NEW ISSUE—Book-Entry Only

Ratings:
Fitch: "AA-"
S&P: "A+"
(see "RATINGS")

In the opinion of Orrick, Herrington & Sutcliffe LLP, San Francisco, California, and Curls Bartling P.C., Oakland, California, Co-Bond Counsel to the SFPUC, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the 2015 Series AB Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from the State of California personal income taxes. In the further opinion of Co-Bond Counsel, interest on the 2015 Series AB Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Co-Bond Counsel observe that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Co-Bond Counsel express no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the 2015 Series AB Bonds. See ***TAX MATTERS****.*

$39,555,000
PUBLIC UTILITIES COMMISSION
OF THE CITY AND COUNTY OF SAN FRANCISCO
Power Revenue Bonds,
2015 Series AB

$32,025,000
2015 Series A Bonds
(Green Bonds)

$7,530,000
2015 Series B Bonds

Dated: Date of Delivery **Due:** As shown on inside front cover

The Public Utilities Commission of the City and County of San Francisco (the "SFPUC") is issuing its Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series A (Green Bonds) (the "2015 Series A Bonds"), and its Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series B (the "2015 Series B Bonds" and, together with the 2015 Series A Bonds, the "2015 Series AB Bonds"), pursuant to authority granted by Sections 9.107(6) and 9.107(8) of the Charter of the City and County of San Francisco (the "City") and a First Supplemental Trust Indenture, dated as of May 1, 2015, by and between the SFPUC and U.S. Bank National Association, as trustee (the "Trustee"), which supplements a Trust Indenture, dated as of May 1, 2015 (collectively, the "Indenture"), by and between the SFPUC and the Trustee.

The 2015 Series AB Bonds are being issued to finance reconstruction or replacement of existing facilities of the SFPUC's Hetch Hetchy Project to fund capitalized interest on the 2015 Series AB Bonds, to fund a debt service reserve account for the 2015 Series AB Bonds and to pay costs of issuance of the 2015 Series AB Bonds.

The 2015 Series AB Bonds will be available in denominations of $5,000 or any integral multiple thereof and will mature in the years and amounts and accrue interest from their date of delivery at the rates set forth on the inside cover page of this Official Statement. Interest on the 2015 Series AB Bonds is payable semiannually on May 1 and November 1 of each year, commencing November 1, 2015.

The 2015 Series AB Bonds will be issued as fully registered bonds, registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), and will be available to ultimate purchasers (the "Beneficial Owners") under the book-entry only system maintained by DTC. Beneficial Owners will not receive physical certificates representing their interests in the 2015 Series AB Bonds. The principal of, premium, if any, and interest on the 2015 Series AB Bonds are payable to DTC by the Trustee, and, so long as DTC is acting as securities depository for the 2015 Series AB Bonds, disbursements of such payments to DTC Participants is the responsibility of DTC and disbursements of such payments to the Beneficial Owners is the responsibility of DTC Participants.

The 2015 Series AB Bonds are subject to optional and mandatory redemption prior to maturity as described in this Official Statement.

Under the Indenture, the SFPUC has irrevocably pledged the Revenues of its Power Enterprise, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, to the punctual payment of principal of, premium, if any, and interest on the Bonds, which consist of all outstanding parity revenue bonds issued under the Indenture, including the 2015 Series AB Bonds. The 2015 Series AB Bonds, all other Bonds and outstanding parity obligations permitted by the Indenture are secured by a parity lien on Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits.

The 2015 Series AB Bonds are special limited obligations of the SFPUC. The SFPUC is not obligated to pay the principal of, premium, if any, or interest on the 2015 Series AB Bonds from any source of funds other than Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. Neither the general funds of the SFPUC nor the funds of any SFPUC enterprise (other than the Revenues and the funds pledged therefor under the Indenture) shall be liable for the payment on the 2015 Series AB Bonds. The SFPUC has no taxing power. The General Fund of the City is not liable for the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds, and neither the credit nor the taxing power of the City is pledged to the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds. The 2015 Series AB Bonds are not secured by a legal or equitable pledge of, or charge, lien, or encumbrance upon, any of the property of the City or of the SFPUC or any of its income or receipts, except Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits.

MATURITY SCHEDULE
(See inside cover)

This cover page contains information for general reference only. It is not intended to be a summary of this issue. Potential purchasers are advised to read the entire Official Statement to obtain information essential to making an informed investment decision.

The 2015 Series AB Bonds are offered when, as and if issued by the SFPUC and received by the Underwriter, subject to the approval of validity by Orrick, Herrington & Sutcliffe LLP, San Francisco, California, and Curls Bartling P.C., Oakland, California, Co-Bond Counsel, and to certain other conditions. Certain matters will be passed upon for the SFPUC and the City by the City Attorney of the City and County of San Francisco and for the Underwriter by Nossaman LLP, Irvine, California. Orrick, Herrington & Sutcliffe LLP, San Francisco, California, is also acting as Disclosure Counsel. Public Financial Management, Inc., San Francisco, California, and Kitahata & Company, San Francisco, California, Co-Financial Advisors to the SFPUC, assisted in the structuring of this financing. It is expected that the 2015 Series AB Bonds in fully registered form will be available for delivery in book-entry form in New York, New York, on or about May 20, 2015.

Wells Fargo Securities

May 7, 2015

MATURITY SCHEDULE

2015 Series A Bonds (Green Bonds)
(Base CUSIP* Number: 79771K)

$13,680,000 Serial Bonds

Maturity (November 1)	Principal Amount	Interest Rate	Yield†	CUSIP*
2026	$ 830,000	4.00%	2.75%[C]	AA4
2027	1,020,000	5.00	2.86[C]	AB2
2028	1,075,000	5.00	3.00[C]	AC0
2029	1,125,000	5.00	3.11[C]	AD8
2030	1,185,000	5.00	3.18[C]	AE6
2031	1,240,000	5.00	3.24[C]	AF3
2032	1,305,000	5.00	3.32[C]	AG1
2033	1,370,000	5.00	3.36[C]	AH9
2034	1,435,000	5.00	3.41[C]	AJ5
2035	1,510,000	5.00	3.45[C]	AK2
2036	1,585,000	5.00	3.48[C]	AL0

$ 5,245,000 5.00% Term Bonds Due November 1, 2039 Yield† – 3.56%[C] CUSIP* AM8

$13,100,000 5.00% Term Bonds Due November 1, 2045 Yield† – 3.63%[C] CUSIP* AN6

2015 Series B Bonds
(Base CUSIP* Number: 79771K)

$7,530,000 Serial Bonds

Maturity (November 1)	Principal Amount	Interest Rate	Yield†	CUSIP*
2017	$710,000	3.00%	0.88%	AP1
2018	730,000	3.00	1.22	AQ9
2019	755,000	4.00	1.44	AR7
2020	785,000	4.00	1.65	AS5
2021	815,000	4.00	1.87	AT3
2022	850,000	4.00	2.07	AU0
2023	880,000	3.00	2.30	AV8
2024	910,000	4.00	2.47	AW6
2025	945,000	4.00	2.59[C]	AX4
2026	150,000	4.00	2.75[C]	AY2

* CUSIP is a registered trademark of The American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by Standard & Poor's Financial Services LLC on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP services. Neither the SFPUC nor the Underwriter assumes any responsibility for the accuracy of the CUSIP data.

† Reoffering prices and yields have been provided by the Underwriter. See **UNDERWRITING**.

[C] Yield to par call on May 1, 2025.

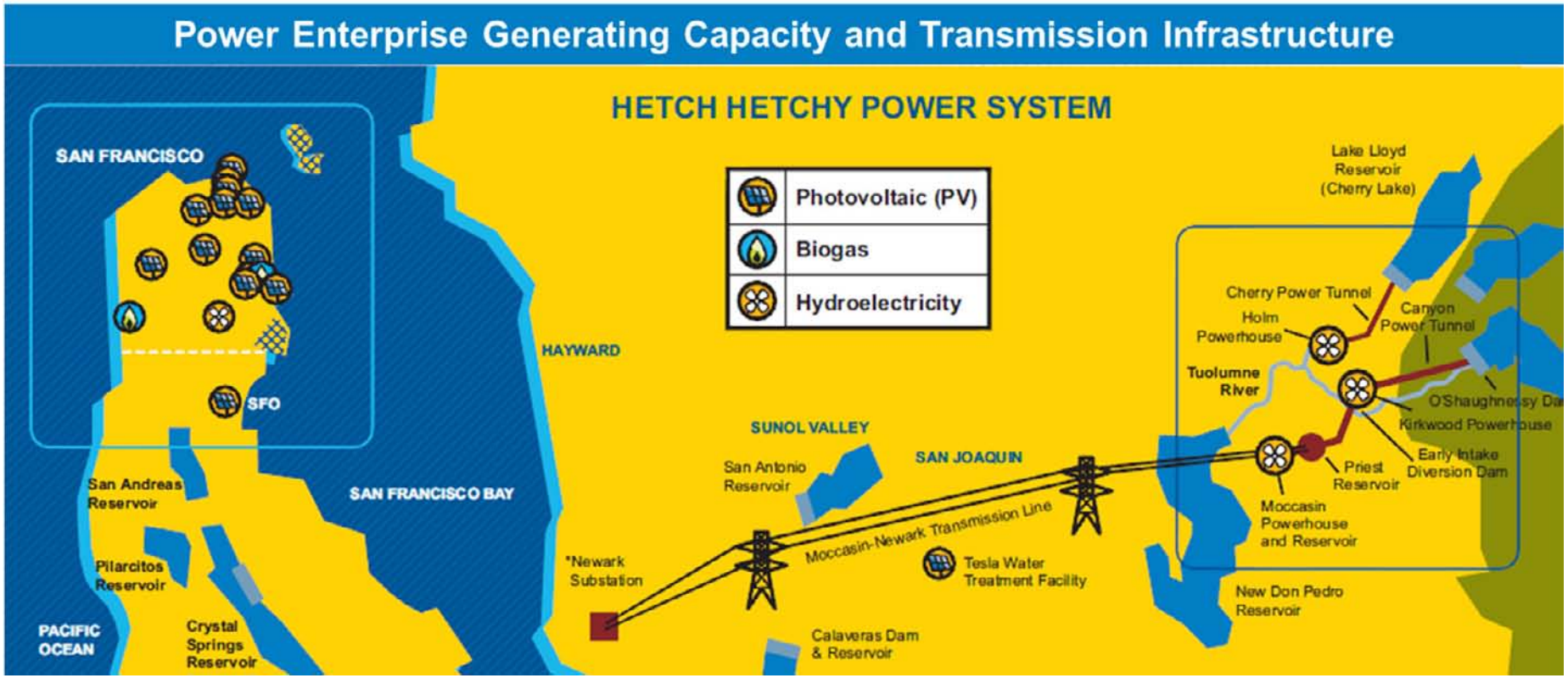

Figure 1-1 – SFPUC Power System (Not to Scale)

The 2015 Series AB Bonds are not secured by a legal or equitable pledge of, or charge, lien or encumbrance upon, any of the property of the SFPUC or of its income or receipts, except Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. See **SECURITY FOR THE BONDS**.

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GENERAL STATEMENT

No dealer, broker, salesperson or other person has been authorized by the SFPUC to give any information or to make any representation other than those contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by the SFPUC.

This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the 2015 Series AB Bonds, by any person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale. This Official Statement is not to be construed as a contract with the initial purchasers of the 2015 Series AB Bonds. Any statement made in this Official Statement involving any forecast or matter of estimates or opinion, whether or not expressly so stated, is intended solely as such and not as a representation of fact. The information set forth herein other than that provided by the SFPUC, although obtained from sources which are believed to be reliable, is not guaranteed as to accuracy or completeness. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the SFPUC or the City since the date hereof.

The City maintains a website at http://www.sfgov.org and the SFPUC maintains a website at http://www.sfwater.org. The information contained in such websites is not incorporated by reference and should not be relied upon in making an investment in the 2015 Series AB Bonds.

References to website addresses presented herein are for information purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement.

The issuance and sale of the 2015 Series AB Bonds have not been registered under the Securities Act of 1933 in reliance upon the exemption provided thereunder by Section 3(a)(2) for the potential issuance and sale of municipal securities.

IN CONNECTION WITH THE OFFERING OF THE 2015 SERIES AB BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE 2015 SERIES AB BONDS AT LEVELS ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

This Official Statement is delivered for use in connection with the issuance, sale and delivery of the 2015 Series AB Bonds and may not be reproduced or used, in whole or in part, for any other purpose.

The Underwriter has provided the following for inclusion in the Official Statement in connection with the offering of the 2015 Series AB Bonds: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

FORWARD LOOKING STATEMENTS

CERTAIN STATEMENTS CONTAINED IN THIS OFFICIAL STATEMENT REFLECT NOT HISTORICAL FACTS BUT FORECASTS AND "FORWARD-LOOKING STATEMENTS." ALL FORWARD-LOOKING STATEMENTS ARE PREDICTIONS AND ARE SUBJECT TO KNOWN AND UNKNOWN RISKS AND UNCERTAINTIES. NO ASSURANCE CAN BE GIVEN THAT THE FUTURE RESULTS DISCUSSED HEREIN WILL BE ACHIEVED, AND ACTUAL RESULTS MAY DIFFER MATERIALLY FROM THE FORECASTS DESCRIBED HEREIN. IN THIS RESPECT, THE WORDS "ESTIMATE", "PROJECT", "ANTICIPATE", "EXPECT", "INTEND", "BELIEVE" AND SIMILAR EXPRESSIONS ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS. ALL PROJECTIONS, FORECASTS, ASSUMPTIONS, EXPRESSIONS OF OPINIONS, ESTIMATES AND OTHER FORWARD-LOOKING STATEMENTS ARE EXPRESSLY QUALIFIED IN THEIR ENTIRETY BY THE CAUTIONARY STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT. GIVEN THEIR UNCERTAINTY, INVESTORS ARE CAUTIONED NOT TO PLACE UNDUE RELIANCE ON SUCH STATEMENTS.

SAN FRANCISCO PUBLIC UTILITIES COMMISSION

Ann Moller Caen, President
Francesca Vietor, Vice President
Vince Courtney, Commissioner
Anson Moran, Commissioner
Ike Kwon, Commissioner

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Michael Carlin, Deputy General Manager and Chief Operating Officer
VACANT, Assistant General Manager, Business Services and Chief Financial Officer
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Juliet Ellis, Assistant General Manager, External Affairs
VACANT, Assistant General Manager, Infrastructure Division

CITY AND COUNTY OF SAN FRANCISCO

MAYOR
Edwin M. Lee

BOARD OF SUPERVISORS

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David Campos, District 9
Julie Christensen, District 3
Malia Cohen, District 10
Mark Farrell, District 2
Jane Kim, District 6
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Trustee
U.S. Bank National Association
San Francisco, California

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OFFICIAL STATEMENT

$39,555,000
PUBLIC UTILITIES COMMISSION OF
THE CITY AND COUNTY OF SAN FRANCISCO
POWER REVENUE BONDS,
2015 SERIES AB

$32,025,000 **2015 Series A Bonds** **(Green Bonds)**	**$7,530,000** **2015 Series B Bonds**

INTRODUCTION

This Introduction is qualified in its entirety by reference to the more detailed information included and referred to elsewhere in this Official Statement. The offering of the 2015 Series AB Bonds to potential investors is made only by means of the entire Official Statement. Terms used in this Introduction and not otherwise defined have the respective meanings assigned to them elsewhere in this Official Statement, including ***APPENDIX A – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE****.*

General

This Official Statement, including the cover page and Appendices hereto, is provided to furnish certain information in connection with the offering by the Public Utilities Commission of the City and County of San Francisco (the "SFPUC") of its Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series A (Green Bonds) (the "2015 Series A Bonds"), and its Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series B (the "2015 Series B Bonds" and, together with the 2015 Series A Bonds, the "2015 Series AB Bonds").

Authority for Issuance

The SFPUC is issuing the 2015 Series AB Bonds pursuant to authority granted by Sections 9.107(6) and 9.107(8) of the Charter (the "Charter") of the City and County of San Francisco (the "City"), Ordinance No. 40-15 passed by the Board of Supervisors of the City (the "Board of Supervisors") on March 24, 2015 ("Ordinance No. 40-15"), a resolution adopted by the SFPUC governing body (the "Commission") on December 9, 2014, Ordinance No. 41-15 passed by the Board of Supervisors on March 24, 2015 ("Ordinance No. 41-15"), and a First Supplemental Trust Indenture, dated as of May 1, 2015 (the "First Supplemental Indenture"), by and between the SFPUC and U.S. Bank National Association as trustee (the "Trustee"), which supplements a Trust Indenture, dated as of May 1, 2015 (the "Master Indenture"), by and between the SFPUC and the Trustee. The Master Indenture and the First Supplemental Indenture are referred to herein collectively as the "Indenture." The 2015 Series A Bonds and the 2015 Series B Bonds constitute a single "Series" under the Indenture.

The San Francisco Public Utilities Commission and the Power Enterprise

The SFPUC is a department of the City responsible for the maintenance, operation and development of three utility enterprises: the Water Enterprise, the Wastewater Enterprise and the Hetch Hetchy Water and Power Enterprise ("Hetch Hetchy Water and Power"). The Water Enterprise provides drinking water to retail customers in the City, to certain retail customers outside of the City and to wholesale customers in three other Bay Area (defined below) counties. The Wastewater Enterprise provides sanitary waste and stormwater collection, treatment and disposal services to residential, commercial and industrial customers in the City and three municipal sewer service providers serving residents and businesses in northern San Mateo County. Hetch Hetchy Water and Power operates and maintains the Hetch Hetchy Water and Power Project, including the O'Shaughnessy Dam, the Hetch Hetchy Reservoir, the Canyon and Mountain Tunnels, the Kirkwood, Moccasin and Holms Powerhouses, Cherry Lake and its dam, Lake Eleanor and its dam, the related water storage and transportation and hydroelectric generating facilities down to and including the Moccasin Powerhouse, all located in Yosemite National Park, Stanislaus National Forest and Tuolumne County, the rights to which were granted to the City by the Raker Act of 1913 (the

"Raker Act"), related transmission facilities down to the City of Newark, California ("Newark"), and the related water storage and transportation facilities from Hetch Hetchy Valley to a connection with the facilities of the Water Enterprise (collectively, the "Hetch Hetchy Project"). The Power Enterprise (defined below) provides hydroelectric, solar and other power, serving City municipal customers, the Modesto Irrigation District ("MID") and the Turlock Irrigation District ("TID" and, collectively, the "Districts"), and other public agencies and retail customers, and provides pedestrian and streetlight services. The Power Enterprise also operates and maintains the natural gas and electric utilities systems on Treasure Island/Yerba Buena Island pursuant to an agreement with Treasure Island Development Authority ("TIDA"). See **THE PUBLIC UTILITIES COMMISSION**, **THE HETCH HETCHY PROJECT** and **THE POWER ENTERPRISE**.

For financial purposes, Hetch Hetchy Water and Power is comprised of two component funds: Hetch Hetchy Water and Hetch Hetchy Power (known as and referred to in this Official Statement as the "Power Enterprise"). All power sales revenues are allocated to the Power Enterprise. Operating and capital costs of Hetch Hetchy Water and Power benefitting solely the Power Enterprise and 55% of combined operating and capital costs that benefit both Hetch Hetchy Water and the Power Enterprise are allocated to the Power Enterprise. See **THE POWER ENTERPRISE**. Operating and capital costs benefitting solely Hetch Hetchy Water and 45% of combined operating capital costs benefitting both Hetch Hetchy Water and the Power Enterprise are allocated to the SFPUC's Water Enterprise.

The 2015 Series AB Bonds are secured by a pledge of Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits (each defined below). The 2015 Series AB Bonds are not secured by or payable from the revenues of the Water Enterprise, the revenues of the Wastewater Enterprise, the revenues allocated to Hetch Hetchy Water or the revenues of the Power Enterprise that do not constitute "Revenues" (as defined in the Indenture).

Purposes

The 2015 Series AB Bonds are being issued to finance the reconstruction or replacement of existing facilities of the Hetch Hetchy Project. See **GREEN BONDS DESIGNATION** and **POWER ENTERPRISE CAPITAL PROGRAM**.

Proceeds of the 2015 Series AB Bonds will also be applied to (a) fund capitalized interest with respect to the 2015 Series AB Bonds, (b) fund a debt service reserve account for the 2015 Series AB Bonds and (c) pay the costs of issuance of the 2015 Series AB Bonds.

See **PLAN OF FINANCE**.

Security for the Bonds

Under the Indenture, the SFPUC has irrevocably pledged the Revenues of its Power Enterprise, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, to the payment of principal of, premium, if any, and interest on the 2015 Series AB Bonds, and any parity revenue bonds issued under the Indenture (collectively, the "Bonds"). The 2015 Series AB Bonds, all other Bonds and any other parity obligations permitted by the Indenture are secured by a parity lien on Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. See **SECURITY FOR THE BONDS**.

The 2015 Series AB Bonds are special limited obligations of the SFPUC. The SFPUC is not obligated to pay the principal of, premium, if any, or interest on the 2015 Series AB Bonds from any source of funds other than Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. Neither the general funds of the SFPUC nor the funds of any SFPUC enterprise (other than the Revenues and the funds pledged therefor under the Indenture) shall be liable for payment of the 2015 Series AB Bonds. The SFPUC has no taxing power. The General Fund of the City is not liable for the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds, and neither the credit nor the taxing power of the City is pledged to the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds. The 2015 Series AB Bonds are not secured by a legal or equitable pledge of, or charge, lien or encumbrance upon, any of the property of the City or of the SFPUC or any of its income or

receipts, except Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits.

Outstanding and Future Parity Obligations

The 2015 Series AB Bonds are the first Series of Bonds to be issued under the Master Indenture and there are currently no other obligations of the SFPUC payable from Revenues on a parity with the 2015 Series AB Bonds. The SFPUC may issue additional Series of Bonds under the Indenture and may incur additional obligations payable from Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, on a parity with the payment of the 2015 Series AB Bonds. See **SECURITY FOR THE BONDS – Additional Series of Bonds** and **– No Senior Obligations; Other Parity Obligations**.

Certain Risk Factors

Investment in the 2015 Series AB Bonds is subject to material risks. For a general overview of certain risk factors which should be considered, in addition to other matters set forth in this Official Statement, in evaluating an investment in the 2015 Series AB Bonds, see **CERTAIN RISK FACTORS**.

Continuing Disclosure

The SFPUC will covenant in a Continuing Disclosure Certificate, to be executed and delivered by the SFPUC concurrently with the issuance of the 2015 Series AB Bonds, to provide certain financial information and operating data relating to the Power Enterprise and notices of certain enumerated events, in certain cases only if material. Such information and notices will be filed by the SFPUC with the Municipal Securities Rulemaking Board ("MSRB") through its Electronic Municipal Market Access system ("EMMA"). For more information concerning the SFPUC's continuing disclosure commitment and the form of the Continuing Disclosure Certificate, see **CONTINUING DISCLOSURE** and **APPENDIX D – FORM OF CONTINUING DISCLOSURE CERTIFICATE**.

Although the SFPUC filed on EMMA materials describing the effectiveness of certain amendments to the indenture pursuant to which the SFPUC's wastewater bonds have been issued, it failed to file timely a simultaneous and duplicative notice of a material event. The SFPUC has, at least twice in the last five years, failed to file in a timely manner notice of a change in the rating of SFPUC bonds resulting from a change in the rating of a bond insurer. The current ratings of the SFPUC's insured bonds are correct on EMMA.

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Except as required by the Continuing Disclosure Certificate, the SFPUC has no obligation to update the information in this Official Statement. See **CONTINUING DISCLOSURE** and **APPENDIX D – FORM OF CONTINUING DISCLOSURE CERTIFICATE**.

Other Matters

Brief descriptions of the 2015 Series AB Bonds, the security and sources of payment for the 2015 Series AB Bonds, the SFPUC, and the Power Enterprise are provided herein. Such descriptions do not purport to be comprehensive or definitive. Definitions of certain capitalized terms used herein may be found in **APPENDIX A – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE**. All references made to various documents herein are qualified in their entirety by reference to the forms thereof, all of which are available for inspection at the office of the SFPUC at:

San Francisco Public Utilities Commission
525 Golden Gate Avenue, 13th Floor
San Francisco, CA 94102
Attention: Assistant General Manager, Business Services and Chief Financial Officer
(415) 554-3155

PLAN OF FINANCE

The 2015 Series A Bonds are being issued to finance the reconstruction or replacement of existing facilities of the Hetch Hetchy Project. The SFPUC expects to spend the proceeds of the 2015 Series A Bonds to finance a rewind of hydro-generating units at Moccasin Powerhouse and for reconstruction or replacement of other Hetch Hetchy Project generation facilities, and to spend the proceeds of the 2015 Series B Bonds to finance the rehabilitation of Hetch Hetchy Project transmission and distribution lines. See **ESTIMATED SOURCES AND USES OF FUNDS** and **POWER ENTERPRISE CAPITAL PROGRAM.**

ESTIMATED SOURCES AND USES OF FUNDS

Proceeds of the 2015 Series AB Bonds are expected to be applied approximately as set forth below:

Sources	
2015 Series A Bond Principal	$32,025,000.00
2015 Series B Bond Principal	7,530,000.00
Net Original Issue Premium	4,857,020.00
Total Sources of Funds	$44,412,020.00
Uses	
Deposit to 2015 Project Fund (2015 Series A Bond Proceeds)	$30,200,000.00
Deposit to 2015 Project Fund (2015 Series B Bond Proceeds)	7,100,000.00
Deposit to 2015 Capitalized Interest Account[(1)]	3,468,593.30
Deposit to Common Reserve Account	2,583,750.00
Costs of Issuance[(2)]	952,064.49
Underwriter's Discount	107,612.21
Total Uses of Funds	$44,412,020.00

(1) To pay interest of the 2015 Series AB Bonds through May 1, 2017.

(2) Including amounts for rating agency fees, fees for legal services, fees for financial advisors, Trustee's fees and expenses, printing costs, and other costs relating to the issuance of the 2015 Series AB Bonds.

GREEN BONDS DESIGNATION

The 2015 Series A Bonds are being designated by the SFPUC as "Green Bonds." The purpose of designating the offered bonds as "Green Bonds" is to allow investors to invest directly in bonds which finance environmentally beneficial projects ("Green Projects"). For purposes of such determination, the SFPUC considers the following to be Green Projects: (i) Hetch Hetchy Project hydroelectric generation facilities, (ii) other renewable energy projects, such as biomass and biowaste, solar and wind, and (iii) energy conservation projects, such as energy-efficient streetlights. The reconstruction or replacement projects expected to be funded by the 2015 Series A Bonds are all generation components of the hydroelectric facilities of the Hetch Hetchy Project, which produces greenhouse gas ("GHG") free electricity. See **PLAN OF FINANCE** and **POWER ENTERPRISE CAPITAL PROGRAM**. The 2015 Series A Bonds will not constitute "exempt facility bonds" issued to finance "qualified green building and sustainable design projects" within the meaning of Section 142(1) of the Code. The SFPUC expects to post information respecting the expenditure of the proceeds of the 2015 Series A Bonds on its website.

The 2015 Series B Bonds are not being designated as "Green Bonds". The Indenture does not restrict the use of proceeds of future issuances of Bonds to the financing of Green Projects and in the future the SFPUC may issue Bonds which are not designated as Green Bonds.

The repayment obligations of the Power Enterprise with respect to the 2015 Series AB Bonds are not conditioned on the completion of any particular project or the satisfaction of any certification relating to the status of the 2015 Series A Bonds as Green Bonds. See **SECURITY FOR THE BONDS**.

THE 2015 SERIES AB BONDS

General

The 2015 Series AB Bonds will be dated as of their date of delivery and will accrue interest from the date of delivery at the rates per annum set forth on the inside cover page of this Official Statement. Interest on the 2015 Series AB Bonds is payable on May 1 and November 1 of each year, beginning November 1, 2015. Interest on the 2015 Series AB Bonds will be calculated on the basis of a 360-day year composed of twelve 30-day months.

The 2015 Series AB Bonds will mature on the dates and in the principal amounts set forth on the inside cover page of this Official Statement. The 2015 Series AB Bonds will be issued in fully registered form in denominations of $5,000 or any integral multiple of $5,000.

Securities Depository and Book-Entry Only System

The 2015 Series AB Bonds will be issued in fully registered form, registered in the name of Cede & Co., as nominee for The Depository Trust Company ("DTC"), New York, New York, as the Owner of the 2015 Series AB Bonds.

So long as DTC, or its nominee, Cede & Co., is the Owner of the 2015 Series AB Bonds, all payments on the 2015 Series AB Bonds will be made directly to DTC. Disbursement of such payments to the DTC Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners of the 2015 Series AB Bonds will be the responsibility of the DTC Participants. See **APPENDIX E - SECURITIES DEPOSITORY AND THE BOOK-ENTRY SYSTEM**.

Redemption

Optional Redemption. The 2015 Series AB Bonds maturing prior to November 1, 2025 are not subject to redemption prior to maturity. The 2015 Series AB Bonds maturing on and after November 1, 2025 are subject to redemption prior to their stated maturity, at the option of the SFPUC, from any source of available funds, as a whole or in part, on any date on or after May 1, 2025, and if in part by lot within such maturity of 2015 Series A Bonds or 2015 Series B Bonds, at a redemption price equal to 100% of the principal amount of 2015 Series A Bonds or 2015 Series B Bonds to be redeemed, plus accrued interest thereon to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The 2015 Series A Bonds maturing on November 1, 2039, and November 1, 2045, are further subject to redemption prior to their stated maturity, from amounts on deposit in the 2015 Series AB Bond Retirement Account, on any November 1 on or after November 1, 2037, and November 1, 2040, respectively, by lot within any such maturity if less than all of the 2015 Series A Bonds of such maturity and tenor be redeemed, upon payment of the principal amount thereof and accrued interest thereon to the date fixed for redemption, without premium.

The 2015 Series A Term Bonds maturing on November 1, 2039 shall be redeemed from Mandatory Sinking Fund Payments in the following principal amounts on the dates indicated below.

Redemption Date (November 1)	Principal Amount
2037	$1,665,000
2038	1,745,000
2039†	1,835,000

† Maturity

The 2015 Series A Term Bonds maturing on November 1, 2045 shall be redeemed from Mandatory Sinking Fund Payments in the following respective principal amounts on the dates indicated below.

Redemption Date (November 1)	Principal Amount
2040	$1,925,000
2041	2,020,000
2042	2,125,000
2043	2,230,000
2044	2,340,000
2045†	2,460,000

† Maturity

In the event of a partial redemption of Term Bonds, the Mandatory Sinking Fund Payments to be reduced shall be specified by the SFPUC.

Selection of 2015 Series AB Bonds for Redemption. Subject to DTC's procedures relating to the selection of bonds for redemption (see **APPENDIX E – SECURITIES DEPOSITORY AND THE BOOK-ENTRY SYSTEM**), whenever less than all of the 2015 Series A Bonds or 2015 Series B Bonds of any one maturity are called for redemption, the Trustee will select the 2015 Series A Bonds or 2015 Series B Bonds of the maturity to be redeemed from the Outstanding 2015 Series A Bonds or 2015 Series B Bonds of that maturity. For purposes of such selection, 2015 Series AB Bonds will be deemed to be made up of $5,000 portions of principal.

Notice of Redemption. Notice of redemption will be mailed by the Trustee at least thirty days but not more than sixty days prior to the redemption date, to DTC (so long as the DTC Book-Entry System is used). The actual receipt by the owner of any 2015 Series AB Bond of notice of such redemption is not a condition precedent to redemption, and failure to receive a redemption notice or any defect in a redemption notice will not affect the validity of the proceedings for the redemption of such 2015 Series AB Bonds or the cessation of the accrual of interest on the date fixed for such redemption. See **APPENDIX E – SECURITIES DEPOSITORY AND THE BOOK-ENTRY SYSTEM**.

Rescission of Notice of Redemption. The SFPUC may, at its option, prior to the date fixed for redemption in any notice of optional redemption, rescind and cancel such notice of redemption by written request to the Trustee and the Trustee will give notice of such cancellation to the recipients of the notice of redemption being cancelled.

Effect of Redemption. When notice of redemption has been duly given as described above, and moneys for payment of the redemption price are held by the Trustee, the 2015 Series AB Bonds called for redemption will, on the redemption date designated in such notice, become due and payable at the redemption price specified in such notice; and from and after the date so designated interest on the 2015 Series AB Bonds called for redemption will cease to accrue, and such 2015 Series AB Bonds will cease to be entitled to any benefit or security under the Indenture, and the Owners of said 2015 Series AB Bonds will have no rights in respect thereof except to receive payment of the redemption price thereof. The Trustee, upon surrender for payment of any of said 2015 Series AB Bonds, will pay such 2015 Series AB Bonds at the redemption price, together with accrued interest thereon. All 2015 Series AB Bonds redeemed will be cancelled upon surrender and no 2015 Series AB Bonds will be issued in place thereof.

Defeasance

The obligations of the SFPUC and the pledge, lien, covenants and agreements of the SFPUC made or provided for in the Indenture will be fully discharged and satisfied as to any 2015 Series AB Bond and such Bond will no longer be deemed outstanding thereunder if certain conditions set forth in the Indenture are satisfied. See **APPENDIX A – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE – Defeasance**.

SECURITY FOR THE BONDS

Pledge of Revenues

General. Under the Indenture, the SFPUC has pledged and placed a lien and charge upon the Revenues of the Power Enterprise, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, to the payment of the Bonds, which consist of any parity revenue bonds issued under the Indenture, including the 2015 Series AB Bonds, and any additional Series of Bonds. This pledge is subject to the flow of funds contained in the Indenture, as described below. See - **Flow of Funds**.

No facilities of the Power Enterprise or the SFPUC have been pledged or mortgaged for, nor do they otherwise secure, payment of the Bonds.

Pursuant to Section 5451 of the California Government Code, the pledge of, lien on and security interest in Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, granted by the Indenture is valid and binding in accordance with the terms thereof from the time of issuance of the 2015 Series AB Bonds; such Revenues will be immediately subject to such pledge; and such pledge will constitute a lien and security interest which will immediately attach to such Revenues and will be effective, binding and enforceable against the SFPUC, its successors, creditors, and all others asserting rights therein to the extent set forth and in accordance with the terms of the Indenture irrespective of whether those parties have notice of such pledge and without the need for any physical delivery, recordation, filing or other further act. Such pledge, lien and security interest are not subject to the provisions of Article 9 of the California Uniform Commercial Code.

For definitions of capitalized terms used herein and not otherwise defined, see **APPENDIX A – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE – Definitions**.

Power Enterprise. The Indenture defines "Power Enterprise" as the SFPUC's Power Enterprise, existing as of the date of the Master Indenture to provide electric power and related services to the City and its departments, agencies and commissions as well as other customers both in and outside of the City, including that portion of the Hetch Hetchy Project allocable to power generation, all other power generation, transmission and distribution facilities and related facilities, streetlights, property and rights constituting a part of the Power Enterprise, and any and all additions, improvements, betterments, renewals, replacements and repairs thereto and extensions thereof, but shall not include: (a) the Water Enterprise, (b) the Wastewater Enterprise, or (c) any Separate System.

The Indenture defines the "Hetch Hetchy Project" as the Hetch Hetchy Water and Power Project, including the O'Shaughnessy Dam, the Hetch Hetchy Reservoir, the Canyon and Mountain Tunnels, the Kirkwood, Moccasin and Holm Powerhouses, Cherry Lake and its dam, Lake Eleanor and its dam, the related water storage and transportation and hydroelectric generating facilities down to and including the Moccasin Powerhouse, all located in Yosemite National Park, Stanislaus National Forest and Tuolumne County, the rights to which were granted to the City by the Raker Act, and the related transmission facilities down to Newark.

The Indenture defines a "Separate System" as any electric power or energy generation, transmission, distribution or other facilities, property and rights that may be, after the date of the Master Indenture, purchased, constructed or otherwise acquired by the SFPUC where the revenues derived from the ownership and operation of which shall be pledged to the payment of bonds or other obligations for borrowed money issued or incurred to purchase, construct or otherwise acquire such facilities, property and rights and shall not be included in Revenues and the operation and maintenance expenses with respect to which shall not be included in Operation and Maintenance Expenses.

Net Revenues. The Indenture defines "Net Revenues" as all of the Revenues, less all Operation and Maintenance Expense and Priority R&R Fund Deposits, if any.

For purposes of the Indenture, "Revenues" means all revenues, rates and charges received and accrued by the SFPUC for electric power and energy and other services, facilities and commodities sold, furnished or supplied by the Power Enterprise, together with income, earnings and profits therefrom (including interest earnings on the proceeds of any Bonds pending application thereof), as determined in accordance with GAAP. Revenues shall include payments to the Power Enterprise from any Separate System maintained by the SFPUC on or with respect to

loans made by the Power Enterprise to such Separate System. Revenues shall not include (a) proceeds from the issuance of any obligations for borrowed money, (b) amounts loaned to the Power Enterprise, (c) Swap Agreement Receipts, (d) proceeds from taxes, (e) customer deposits while retained as such, (f) contributions in aid of construction, (g) gifts, (h) grants, (i) insurance or condemnation proceeds that are properly allocable to a capital account, (j) non-cash revenues or gains that may be required or permitted under GAAP, including mark-to-market gains and deferred revenues, (k) money received by the SFPUC as the proceeds of the sale of any portion of the properties of the Power Enterprise, (l) amounts by their terms not available for the payment of Operation and Maintenance Expenses or principal and interest on the Bonds, (m) Refundable Credits, (n) revenues of any Separate System, (o) Water Enterprise revenues and (p) Wastewater Enterprise revenues.

For purposes of the Indenture, "Operation and Maintenance Expenses" means the costs of the proper operation, maintenance and repair of the Power Enterprise and taxes, assessments or other governmental charges lawfully imposed on the Power Enterprise or the Revenues, or payments in lieu thereof, as determined in accordance with GAAP. Operation and Maintenance Expenses shall include the payment of pension charges and proportionate payments to such compensation and other insurance or outside reserve funds as the SFPUC may establish or the Board of Supervisors may require with respect to employees of the Power Enterprise, as provided in Section 16.103(a) of the Charter. Operation and Maintenance Expenses shall also include repairs and maintenance costs that constitute operating expenses in accordance with GAAP. Operation and Maintenance Expenses shall not include (a) any allowance for amortization, depreciation or obsolescence, (b) operation and maintenance expenses of the Water Enterprise, (c) operation and maintenance expenses of the Wastewater Enterprise, (d) operation and maintenance expenses of any Separate System, (e) losses from any sale or other disposition of Power Enterprise assets or any other assets of the SFPUC, including those of the Water Enterprise and the Wastewater Enterprise, and (f) non-cash losses and costs that may be required or permitted under GAAP, including deferred expenses and unrealized mark-to-market losses.

For purposes of the Indenture, "Priority R&R Fund Deposits" means the amount, if any, required by the Charter to be deposited into the Reconstruction and Replacement Fund from Revenues prior to deposits into the Bond Fund. Because proceeds of the 2015 Series AB Bonds will be used to finance the reconstruction and replacement of existing facilities, the SFPUC has determined that no Priority R&R Fund Deposits are presently required. Prior R&R Fund Deposits could, however, be required in the future.

For purposes of the Indenture, "Refundable Credits" means amounts payable by the Federal government under direct-pay subsidy programs substantially similar to the Build America Bond program under Section 54AA of the Internal Revenue Code of 1986, as amended (the "Code").

The Indenture defines "Swap Agreement Payments" as the regularly scheduled net amounts required to be paid by the SFPUC to the Qualified Counterparty pursuant to a Swap Agreement and "Swap Agreement Receipts" as the regularly scheduled net amounts required to be paid by a Qualified Counterparty to the SFPUC pursuant to a Swap Agreement. The SFPUC has not entered into any Swap Agreements payable from Revenues. See – **No Senior Obligations; Other Parity Obligations**.

Limited Obligations

The SFPUC is not obligated to pay the principal of, premium, if any, or interest on the 2015 Series AB Bonds from any source of funds other than Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. Neither the general funds of the SFPUC nor the funds of any SFPUC enterprise (other than the Revenues and the funds pledged therefor under the Indenture) shall be liable for the payment on the 2015 Series AB Bonds. The SFPUC has no taxing power. The General Fund of the City is not liable for the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds, and neither the credit nor the taxing power of the City is pledged to the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds. The 2015 Series AB Bonds are not secured by a legal or equitable pledge of, or charge, lien or encumbrance upon, any of the property of the City or of the SFPUC or any of its income or receipts, except Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits.

Flow of Funds

In the Indenture, the SFPUC covenants and agrees that it will pay into the Revenue Fund as received all Revenues and further covenants and agrees that all Revenues shall be trust funds in the hands of the SFPUC and shall be used and applied as provided by the Indenture, solely for the purposes of operating and maintaining the Power Enterprise and paying all costs, charges and expenses in connection therewith and for the purpose of making repairs, renewals and replacements to the Power Enterprise and constructing additions, betterments and extensions thereto, and for the purpose of paying the Bonds, the Swap Agreement Payments, if any, and all other charges or obligations against the Revenues of whatever nature now or hereafter imposed thereon by law or contract. All such disbursements and deposits must be made in accordance with the provisions of the Charter, including Section 16.103 thereof.

The Indenture provides that Revenues deposited in the Revenue Fund shall be disbursed in the following order of priority:

First, for the payment of Operation and Maintenance Expenses;

Second, for any Priority R&R Fund Deposits;

Third, for deposit in the Interest Account of each Bond Fund;

Fourth, for deposit in the Bond Retirement Account of each Bond Fund;

Fifth, for deposit in the Reserve Fund;

Sixth, (i) for the payment of principal and premium, if any, and interest on any Subordinate Obligations; (ii) for deposit into a reserve fund securing any Subordinate Obligations; (iii) for Swap Agreement Payments pursuant to Swap Agreements entered into by the SFPUC with respect to any Subordinate Obligations; and (iv) for payment to any financial institution or insurance company providing any letter of credit, line of credit, or other credit or liquidity facility, including municipal bond insurance and guarantees, that secures the payment of principal of or interest on any Subordinate Obligations; in each case in any order of priority within this paragraph which may be hereafter established by the SFPUC by resolution;

Seventh, for any Additional R&R Fund Deposits into the Reconstruction and Replacement Fund;

Eighth, for any necessary or desirable capital additions or improvements to the Power Enterprise;

Ninth, for any payment under a Take-or-Pay Power Purchase Agreement that does not constitute an Operation and Maintenance Expense;

Tenth, for any payment under a Swap Agreement that does not constitute a Swap Agreement Payment; and

Eleventh, for any other lawful purpose of the SFPUC.

In the Indenture, the SFPUC covenants and agrees to transfer to the Trustee for deposit in the Interest Account of each applicable Bond Fund all Refundable Credits received by the SFPUC.

Rate Covenant; Rates and Charges

In the Indenture, the SFPUC has covenanted to fix, establish, maintain and collect rates and charges for electric power and energy and other services, facilities and commodities sold, furnished or supplied through the Power Enterprise, which shall be fair and nondiscriminatory and adequate, together with other revenues of the Power Enterprise, to provide the SFPUC with Revenues sufficient to satisfy the covenants described in the next paragraph. The SFPUC will not be required to impose rates and charges in violation of (i) applicable provisions of the Raker Act or any successor statute; (ii) any other applicable federal or state statutes or regulations; or (iii) any current or future contract or agreement between any City enterprise department, agency or commission, and its customers, tenants or other parties thereto. See **CERTAIN RISK FACTORS – Limitations on Rate-Setting** and **– Raker Act Requirements**.

In the Indenture, the SFPUC has covenanted that the Revenues in each Fiscal Year will be sufficient:

(i) To pay, to the extent not paid from other available moneys, (A) the Operation and Maintenance Expenses during such Fiscal Year, (B) Annual Debt Service on the Bonds due and payable in such Fiscal Year, (C) the amounts, if any, required to be deposited into the Reserve Fund during such Fiscal Year and (D) any and all other amounts the SFPUC is obligated to pay or set aside from the Revenues by law or contract in such Fiscal Year;

(ii) To maintain a Bond Coverage Ratio of at least 1.00 to 1.00; and

(iii) Together with Available Funds, to maintain a Bond Coverage Ratio of at least 1.25 to 1.00.

The failure of the SFPUC to maintain the Bond Coverage Ratio in any Fiscal Year will not constitute a default in the observance of the covenants described above if, within 60 days after the SFPUC first determines that the Bond Coverage Ratio was not met or 60 days after the SFPUC's receipt of audited financial statements showing that the Bond Coverage Ratio was not met (whichever is earlier), the SFPUC engages a Consulting Engineer to deliver a report to the SFPUC within 60 days after such engagement and if (i) within 120 days after receipt of the Consulting Engineer's report the SFPUC implements the recommendations set forth in such report, or (ii) the report states that the Power Enterprise cannot generate Revenues or reduce Operation and Maintenance Expenses sufficiently to enable the SFPUC to maintain the Bond Coverage Ratios while satisfying the other covenants set forth in the Indenture and the SFPUC increases its Revenues or reduces its Operation and Maintenance Expenses to the extent otherwise recommended in such report, or (iii) the SFPUC is prevented from taking any such action by order of any court of competent jurisdiction. Notwithstanding the foregoing, failure for two consecutive Fiscal Years to maintain the Bond Coverage Ratios shall in all events constitute an Event of Default.

For purposes of the Indenture, "Bond Coverage Ratio" for any Fiscal Year means the ratio of (a) (i) Net Revenues in such Fiscal Year, plus (ii) Available Funds in such Fiscal Year, to (b) Annual Debt Service on the Outstanding Bonds in such Fiscal Year; "Annual Debt Service" means, as of any date of calculation, for any Fiscal Year (or other designated twelve-month period) the amount of Principal and interest becoming due and payable on all Outstanding Bonds in such Fiscal Year (or other designated twelve-month period) computed as provided in the Indenture less than amount of any Refundable Credits; and "Available Funds" means any unencumbered amounts, including unappropriated fund balances and reserves, and cash and the book value of investments held by the Treasurer for the Power Enterprise, that the SFPUC reasonably expects would be available, as of any date of calculation, to pay Principal of and interest on Bonds when due. See **APPENDIX A – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE**.

Reserve Fund

The Indenture creates a special fund of the SFPUC to be known as the "Power Revenue Bonds Reserve Fund" (the "Reserve Fund"). The Reserve Fund and the Reserve Accounts therein shall be held and administered by the Trustee, and shall be used solely for the purpose of paying the Bonds and the Swap Agreement Payments secured by the Reserve Accounts in the manner provided in the Indenture. The Trustee shall establish the Common Reserve Account and may establish one or more additional accounts in the Reserve Fund (each, a "Reserve Account"), each of which may secure one or more Series of Bonds pursuant to the Indenture or the Supplemental Indenture authorizing the issuance thereof. The Trustee shall deposit in each Reserve Account proceeds of sale of each Series of Bonds or portion thereof to be secured thereby or other available money, Authorized Investments or a Reserve Account Credit Facility or Facilities, or any combination of the foregoing, in an amount equal to the Reserve Requirement for such Series of Bonds or portion thereof. The 2015 Series A Bonds and the 2015 Series B Bonds constitute a single Series of Bonds under the Indenture.

Each Reserve Account may be drawn upon for the sole purpose of paying the Principal, Mandatory Sinking Fund Payments and Redemption Price of and interest on the Bonds and the Swap Agreement Payments relating to the Bonds secured by such Reserve Account, provided, that excess amounts in any Reserve Account may be withdrawn therefrom upon a written request to the Trustee by the SFPUC and applied to any lawful purposes of the Power Enterprise. Money set aside from time to time with the Trustee for the payment of such Principal, Mandatory

Sinking Fund Payments, Redemption Price, interest and Swap Agreement Payments shall be held in trust equally and ratably for the Owners or Qualified Counterparties in respect of which the same shall have been so set aside.

Each Reserve Account is required to be maintained at all times at the aggregate Reserve Requirements of the Bonds secured by such Reserve Account by additional deposits into such Reserve Account from the Revenue Fund after payment of Operation and Maintenance Expenses and required deposits into the Bond Funds, until such time as the Principal or Redemption Price of the Bonds secured by such Reserve Account, together with interest thereon to the date of retirement or redemption, can be paid from amounts in the Bond Fund or Funds established for such Bonds, together with amounts in such Reserve Account. Each Reserve Account shall be replenished in the following priority: first, to make all payments required under all reimbursement agreements with the providers of Reserve Account Credit Facilities credited to such Reserve Account (and if there is not sufficient money on deposit in such Reserve Account to make all such payments, then on a pro rata basis to each provider); and second, after all such payments are made in full, the amount necessary to make the money, Authorized Investments, and Reserve Account Credit Facility or Facilities or any combination of the foregoing deposited in or credited to such Reserve Account equal to the aggregate Reserve Requirements of the Bonds secured by such Reserve Account. If at any time there is not sufficient money to make all of the foregoing payments, such payments shall be made to the extent of available money into each Reserve Account in the same ratio as the Principal amount of the Outstanding Bonds secured thereby bears to the aggregate Principal amount of all Outstanding Bonds secured by the Reserve Fund. In the event of a deficiency in the Bond Fund for Bonds secured by a Reserve Account, the Trustee shall make up such deficiency from such Reserve Account in the following priority: first, by the withdrawal of cash held therein; second, by the sale or redemption of Authorized Investments held therein; and third, from draws upon the Reserve Account Credit Facility or Facilities credited thereto, if any, on a pro rata basis, in sufficient amounts to make up such deficiency. Such draws shall be made at such times and under such conditions as provided in such Reserve Account Credit Facility or Facilities.

Upon the issuance of each Series of Bonds the SFPUC must either designate such Series as a Common Reserve Series to be secured by the Common Reserve Account or establish the Reserve Requirement for such Series, if any. The Reserve Requirement means, with respect to the Common Reserve Series, the least of (a) 10% of the stated Principal amount of the Common Reserve Series, (b) the maximum Annual Debt Service on the Common Reserve Series, and (c) 125% of the average Annual Debt Service on the Common Reserve Series and, with respect to any other Series of Bonds, the amount, if any, as shall be specified in the Supplemental Trust Indenture authorizing the issuance of such Series of Bonds.

The 2015 Series AB Bonds will be a Common Reserve Series.

Reserve Account Credit Facility. At the option of the SFPUC, amounts on deposit in a Reserve Account may be substituted at any time, in whole or in part, by the deposit with the Trustee of a Reserve Account Credit Facility or Facilities in a stated amount equal to the amounts so substituted. Any amounts released from a Reserve Account as a result of such substitution shall be applied for any lawful purpose of the Power Enterprise.

The Indenture defines "Reserve Account Credit Facility" as a letter of credit, insurance policy, surety bond, or other credit facility provided to the Trustee by a bank, insurance company or other financial institution whose senior unsecured debt obligations are, or whose claims-paying ability is, rated in one of the two highest rating categories by each of at least two Rating Agencies at the time of delivery thereof, which provides for payment when due, in accordance with the terms thereof, of the Principal or Redemption Price of and/or interest on one or more Series of Bonds.

Reconstruction and Replacement Fund

The Indenture creates a special fund of the SFPUC known as the "Power Enterprise Reconstruction and Replacement Fund," to be held by the Treasurer of the City (the "Treasurer") and administered by the SFPUC. The SFPUC covenants and agrees to deposit and maintain in the Reconstruction and Replacement Fund an amount at least equal to the amount, if any, required to be on deposit therein pursuant to the Charter. Amounts in the Reconstruction and Replacement Fund shall be applied to pay costs of reconstruction and replacement of the properties constituting a part of the Power Enterprise due to physical and functional depreciation.

No Senior Obligations; Other Parity Obligations

The Indenture prohibits the SFPUC from issuing or incurring any obligations (other than obligations constituting Operations and Maintenance Expenses) or issuing or creating additional indebtedness payable from Revenues senior to payment of the 2015 Series AB Bonds and from issuing or incurring any obligations or issuing or creating additional indebtedness payable from Revenues on a parity with the 2015 Series AB Bonds other than Bonds and Swap Agreements. The Indenture defines "Swap Agreement" as any financial instrument that (a) is entered into by the SFPUC with a party that is a Qualified Counterparty at the time the instrument is entered into; (b) is entered into with respect to all or a portion of a Series of Bonds; (c) is for a term not extending beyond the final maturity of the Series of Bonds or portion thereof to which it relates; (d) provides that the SFPUC shall pay to such Qualified Counterparty an amount accruing at either a fixed rate or a variable rate, as the case may be, on a notional amount equal to or less than the principal amount of the Series of Bonds or portion thereof to which it relates, and that such Qualified Counterparty shall pay to the SFPUC an amount accruing at either a variable rate or fixed rate, as appropriate, on such notional amount; (e) provides that one party shall pay to the other party any net amounts due under such instrument; and (f) which has been designated to the Trustee in the Supplemental Trust Indenture authorizing the issuance of the related Series of Bonds or portion thereof or in a Certificate of the SFPUC as a Swap Agreement with respect to such Bonds. The SFPUC has not entered into any Swap Agreements.

Additional Series of Bonds

The Charter and the Indenture authorize the issuance of additional Series of Bonds payable from Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, on parity with the 2015 Series AB Bonds upon satisfaction of the conditions set forth therein.

The SFPUC expects to issue additional Series of Bonds to finance the costs of additional improvements to the facilities of the Power Enterprise (the "Power Facilities"). See **POWER ENTERPRISE CAPITAL PROGRAM**.

Charter Requirements. Under the Charter, the SFPUC may issue revenue bonds (including additional Series of Bonds) relating to the Power Enterprise upon satisfaction of the requirements described under **OBLIGATIONS PAYABLE FROM REVENUES – Authority for Issuance of Revenue Bonds and Other Obligations Payable from Revenues**.

Indenture Requirements. The Indenture provides that additional Series of Bonds secured on a parity with the Bonds may be issued for any lawful purpose if prior to the issuance of such additional Series of Bonds, the SFPUC has filed with the Trustee, among other documents, the following:

(a) A written opinion of Bond Counsel to the effect that (i) such Series of Bonds are valid and binding limited obligations of the SFPUC enforceable against the SFPUC in accordance with their terms and (ii) the Indenture, including the Supplemental Trust Indenture authorizing the issuance of such Series of Bonds, is a valid and binding obligation of the SFPUC enforceable in accordance with its terms; provided, that such opinions may be qualified to the extent that the enforceability of the Bonds and the Indenture, including the Supplemental Trust Indenture authorizing the issuance of such Series of Bonds, may be limited by bankruptcy, insolvency, reorganization or similar laws affecting the enforcement of creditors' rights generally and by general equitable principles;

(b) A Certificate of the SFPUC stating that (i) no Event of Default, nor any event or condition which with notice and/or the passage of time would constitute an Event of Default, has occurred and is continuing under the Indenture as of the date of issuance of such Series of Bonds and (ii) the issuance of such Series of Bonds, in and of itself, will not cause an Event of Default under the Indenture;

(c) A Certificate of the SFPUC stating that provision has been made for the immediate deposit into the Reserve Account for such Series of Bonds of money, Authorized Investments, Reserve Account Credit Facility or Facilities or any combination of the foregoing in an aggregate amount equal to the Reserve Requirement, if any, for such Series of Bonds; and

(d) Either,

(i) A Certificate of the SFPUC stating that, in each of the first three full Fiscal Years after the sale of such Series of Bonds, projected Net Revenues:

(A) *Plus* Available Funds, are at least 1.25 times Annual Debt Service on the Outstanding Bonds, after giving effect to the issuance of such Series of Bonds, and

(B) Are at least 1.0 times Annual Debt Service on the Outstanding Bonds, plus required deposits into the Reserve Fund, after giving effect to the issuance of such Series of Bonds; or

(ii) A Certificate of the SFPUC stating that Net Revenues from any twelve consecutive months of the prior twenty-four months:

(A) *Plus* Available Funds, are at least 1.25 times the Annual Debt Service on the Bonds Outstanding, after giving effect to the issuance of such Series of Bonds, and

(B) Are at least 1.0 times Annual Debt Service on the Bonds Outstanding, plus required deposits into the Reserve Fund, after giving effect to the issuance of such Series of Bonds.

For purposes of paragraph (ii) the following adjustments may be made to Net Revenues for such period, if so stated in the Certificate of the SFPUC:

(I) An allowance for additional Revenues anticipated from any additions, extensions and improvements to the Power Enterprise to be acquired or constructed from proceeds of such or a prior Series of Bonds and for any changes in Operation and Maintenance Expenses resulting therefrom, that are not reflected in Net Revenues for such Fiscal Year, but only if such additional Revenues and changes in Operation and Maintenance Expenses represent a full twelve months' change in Net Revenues attributable to such additions, extensions and improvements; and

(II) An allowance for additional Revenues attributable to any increase in the rates and charges imposed by the SFPUC that (A) was in effect prior to the issuance of such Series of Bonds but which, during all or part of such Fiscal Year, was not in effect, or (B) was adopted by the SFPUC prior to the issuance of such Series of Bonds and will be in effect within 90 days after such issuance, but in either case only if such additional Revenues represent a full twelve (12) months' change in Net Revenues attributable to such increase in rates and charges.

Refunding Bonds may be issued by the SFPUC to provide funds sufficient for the payment of any or all of the following:

(1) The Principal, Purchase Price or Redemption Price of the Bonds or Original Bonds (as defined in the Indenture) to be refunded;

(2) All expenses incident to the purchase, call, redemption, retirement or payment of the Bonds or Original Bonds to be refunded;

(3) The costs of issuance of such Series of Refunding Bonds;

(4) Interest on the Bonds or Original Bonds to be refunded to the date such Bonds or Original Bonds will be purchase, redeemed, retired or paid;

(5) Interest on such Series of Refunding Bonds from the date thereof to the date of purchase, redemption, retirement or payment of the Bonds or Original Bonds to be refunded; and

(6) Any other lawful payment obligations, costs or expenses in connection with the issuance of the Refunding Bonds and the purchase, redemption, retirement or payment of the Bonds or Original Bonds to be refunded.

Refunding Bonds may be issued by the SFPUC only upon receipt by the Trustee of, among other things, the following:

(i) The documents specified in paragraphs (a) and (c) above; and

(ii) Either (A) the document specified in paragraph (d) above, or (B) a Certificate of the SFPUC stating that the issuance of such Series of Refunding Bonds will not result in any aggregate increase in Annual Debt Service for the Bonds greater than $100,000 in any Fiscal Year that such Series of Refunding Bonds is scheduled to be Outstanding; and

(iii) An opinion of Bond Counsel that (A) all liability of the SFPUC in respect of the Bonds to be refunded has ceased, terminated and been discharged, pursuant to the terms of the Master Indenture and the Supplemental Trust Indenture pursuant to which such Bonds were issued, and the Owners of such Bonds are entitled to payment of the Principal, Purchase Price or Redemption Price of and interest on such Bonds only out of the money or securities deposited with the Trustee for the payment of such Bonds or (B) all liability of the SFPUC in respect of the Original Bonds to be refunded has ceased, terminated and been discharged, pursuant to the terms of the resolution or resolutions pursuant to which such Original Bonds were issued, and the owners of such Original Bonds are entitled to payment of the principal, purchase price or redemption price of and interest on such Original Bonds only out of the money or securities deposited with the trustee for the owners of such Original Bonds for the payment of such Original Bonds.

Certain Obligations Payable as Operations and Maintenance Expenses

The Indenture prohibits the SFPUC from entering into any Take-or-Pay Power Purchase Agreement payable from Revenues as an Operation and Maintenance Expense unless the SFPUC shall first deliver to the Trustee a Certificate of the SFPUC demonstrating compliance with the requirements set forth in paragraph (d) under **– Additional Series of Bonds – Indenture Requirements** for the first three full Fiscal Years following the Fiscal Year in which such Take-or-Pay Power Purchase Agreement will become effective.

The Indenture defines a "Take-or-Pay Power Purchase Agreement" as a contract (a) with a term of more than five years, (b) pursuant to which the SFPUC is obligated (i) to purchase capacity or energy from a generating facility, and (ii) to pay for such capacity or energy as an Operation and Maintenance Expense regardless of whether or not such capacity or energy is taken by or made available or delivered to the SFPUC, and (c) the payments pursuant to which are directly pledged and applied to pay and secure debt obligations issued to finance such generating facility.

Subordinate Obligations; Obligations Not Payable from Revenues

The Indenture permits the SFPUC to authorize and issue or incur, without limitation, bonds, notes, warrants, certificates or other obligations or evidences of indebtedness, the principal of or interest on which would be payable either (i) from Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits and after and subordinate to the payment from Revenues of the principal of and interest on the Bonds, or (ii) from moneys which are not Revenues. See **OBLIGATIONS PAYABLE FROM REVENUES – Subordinate Obligations**.

Authorized Investments

The Indenture provides that moneys in all funds and accounts held by the Trustee under the Indenture shall be invested upon receipt in Authorized Investments as directed by the SFPUC. "Authorized Investments" means any obligations on investments in which the Treasurer may legally invest the SFPUC's funds. For information

regarding the investment of moneys held in the various funds and accounts of the SFPUC, see **FINANCIAL OPERATIONS – Investment of SFPUC Funds**.

OBLIGATIONS PAYABLE FROM REVENUES

Authority for Issuance of Revenue Bonds and Other Obligations Payable from Revenues

The Charter authorizes the SFPUC to issue revenue bonds and commercial paper notes and other obligations payable from and secured by a pledge of Revenues. Ordinance No. 40-15 enacted the Public Utilities Commission Power Enterprise Revenue Bond Law. Ordinance 40-15 establishes procedures for the issuance of Power Enterprise revenue bonds and provides that "the City, including without limitation the [SFPUC], shall fix, establish, maintain, approve and collect rates and charges for electric power and energy and other services, facilities and commodities sold, furnished or supplied through the Power Enterprise, including on, for and from the City and its departments, agencies and commissions, to provide [Power Enterprise revenues] sufficient (a) to pay all costs and expenses of the Power Enterprise, including without limitation debt service on [Power Enterprise revenue bonds], (b) to provide appropriate reserves therefor, and (c) to satisfy the debt service coverage and other requirements under each [indenture providing for the issuance of Power Enterprise revenue bonds]." Ordinance 40-15 is expected to become effective on May 2, 2015.

The Charter generally requires voter approval of revenue bonds issued by the SFPUC. The Charter, however, contains several exceptions to the general requirements:

- Section 9.107(6) of the Charter provides that no voter approval is required for bonds issued for the purpose of the reconstruction or replacement of existing water facilities or electric power facilities or combinations of water and electric power facilities under the jurisdiction of the SFPUC when authorized by resolution adopted by a three-fourths affirmative vote of all members of the Board of Supervisors.

- Section 9.107(8) of the Charter provides that no voter approval is required for bonds issued to finance or refinance the acquisition, construction, installation, equipping, improvement or rehabilitation of equipment or facilities for renewable energy and energy conservation.

- Section 8B.124 of the Charter authorizes the SFPUC to issue revenue bonds, when authorized by ordinance approval by two-thirds vote of the Board of Supervisors, for purposes of reconstructing, replacing, expanding, repairing or improving water facilities or clean water facilities or combinations of water and clean water facilities under the jurisdiction of the SFPUC.

- Section 9.109 of the Charter authorizes the Board of Supervisors to provide for the issuance of bonds for the purpose of refunding revenue bonds without voter approval if the issuance and sale of such refunding bonds are expected to result in net debt service savings on a present value basis, calculated as provided by ordinance.

The 2015 Series AB Bonds are being issued pursuant to the authority granted by Section 9.107(6) and 9.107(8) of the Charter, Ordinance No. 40-15 and Ordinance No. 41-15.

Revenue Bond Oversight Committee

On November 5, 2002, the voters of the City adopted Proposition P, an ordinance that established the Public Utilities Revenue Bond Oversight Committee ("RBOC") to report publicly to the Mayor, the SFPUC and the Board of Supervisors regarding the expenditure of revenue bond proceeds on the repair, replacement, upgrading and expansion of the Wastewater Enterprise, the Water Enterprise and the Power Enterprise (each as defined herein).

The RBOC has seven members appointed as follows: two by the Mayor, two by the Board of Supervisors, one by the City Controller, one by the Bay Area Water Users Association under the auspices of the Bay Area Water Supply and Conservation Agency. The seventh member is the City's Budget Analyst or his or her representative.

The work of the RBOC is funded by 1/20th of 1% of the gross bond proceeds of revenue bond issuances or sales to the extent permitted by law.

The RBOC's current term expires on January 1, 2016.

The RBOC may, by majority vote of all its members, prohibit the issuance or sale of authorized SFPUC revenue bonds which have yet to be issued or sold if, after reviewing materials provided by the SFPUC and conducting its own independent audit, and after consultation with the City Attorney, the RBOC determines that revenue bond proceeds have been or are being spent on purposes not authorized by the authorizing bond resolution or otherwise in a manner amounting to an illegal expenditure or illegal waste of such revenue bond proceeds. The SFPUC may appeal such a decision to the Board of Supervisors within thirty days. The Board of Supervisors may overturn such a decision by the RBOC by a two-thirds vote of all members of the Board of Supervisors with evidence from the SFPUC of corrective measures satisfactory to the Board of Supervisors or may remand the decision to the RBOC for further consideration.

Senior Obligations; Parity Obligations

The SFPUC has not issued or incurred any obligations (other than obligations constituting Operation and Maintenance Expenses) or issued or created additional indebtedness payable from Revenues senior to payment of the 2015 Series AB Bonds.

The 2015 Series AB Bonds are the first Series of Bonds to be issued under the Master Indenture and there are currently no other obligations of the SFPUC payable from Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, on a parity with the 2015 Series AB Bonds.

Subordinate Obligations

The Power Enterprise has previously issued and incurred and in the future may issue, bonds or notes or incur other obligations of the Power Enterprises secured by a pledge of and lien and charge on Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, junior and inferior to those securing repayment of the Bonds (the "Subordinate Obligations").

In November 2008, the SFPUC issued $6,325,000 aggregate principal amount of clean renewable energy bonds ("CREBs") to finance the installation of solar energy equipment on various City-owned facilities. The CREBs mature in Fiscal Year 2023 and the average annual debt service relating to the CREBs is $421,667.

In October 2011, the SFPUC issued $8,291,000 aggregate principal amount of taxable qualified energy conservation bonds ("QECBs"). The QECBs were issued to fund certain qualified components for the SFPUC's 525 Golden Gate Headquarters project. The QECBs mature in Fiscal Year 2027-28 and the annual debt service relating to the QECBs, net of anticipated federal subsidy payments to the SFPUC, is $591,198.

In April 2012, the SFPUC issued $6,600,000 aggregate principal amount of taxable new clean renewable energy bonds ("NCREBs"). The NCREBs were issued to fund certain qualified facilities that will provide clean, renewable energy at Davies Symphony Hall, City Hall, and University Mount Reservoir. The NCREBs mature in Fiscal Year 2027-28 and the annual debt service relating to the NCREBs, net of anticipated federal subsidy payments to the SFPUC, is $480,690.

The CREBs, QECBs and the NCREBs will constitute Subordinate Obligations under the Indenture.

On April 24, 2015, the SFPUC received an allocation for the issuance of additional new clean renewable energy bonds ("Additional NCREBs") for certain qualified Power Enterprise renewable energy projects. The projects for which the allocation was received include the SFPUC's Police Academy Solar Project and the SFPUC's Marina Solar Project. The SFPUC expects to issue Additional NCREBs for these two projects in the estimated total amount of $4,100,000 in the summer or fall of 2015. These two projects were budgeted to be cash-funded and the issuance of the Additional NCREBs will allow the SFPUC to release such funds to Available Fund Balances of the Power Enterprise. The Additional NCREBs will be issued as Subordinate Obligations.

Shortly after the issuance of the 2015 Series AB Bonds, the SFPUC intends to establish a commercial paper program ("CP Program") for the Power Enterprise. The CP Program will provide the Power Enterprise with an interim funding source for capital spending until long-term financing is obtained. Commercial paper notes issued pursuant to the CP Program will be Subordinate Obligations. The SFPUC has similar commercial paper programs for the Water Enterprise and Wastewater Enterprise.

Contingent Payment Obligations

The Power Enterprise has no interest rate swaps, caps or hedges or other contingent payment obligations payable from Revenues. The Power Enterprise may in the future, however, incur contingent payment obligations payable from Revenues. Such contingent payment obligations may be payable on a parity with the Bonds if the conditions for the issuance of parity debt under the Indenture are met. See **SECURITY FOR THE BONDS – Other Parity Obligations**.

Power Purchase Agreements

In June 2009, the Power Enterprise entered into a 25-year power purchase agreement with SFCity1, LP ("SFCity1") to purchase electricity generated from a solar photovoltaic project located at Sunset Reservoir. In accordance with the terms and conditions thereof, commencing on the project's commercial operation date, SFCity1 will sell and deliver, and the Power Enterprise shall purchase and accept, all of the output of the project. The facility achieved commercial operation in November 2010.

Payments made by the Power Enterprise under its agreement with SFCity1 constitute Operation and Maintenance Expenses under the Indenture. See **SECURITY FOR THE BONDS – Pledge of Revenues – Net Revenues**. In Fiscal Years 2012-13 and 2013-14, the Power Enterprise purchased approximately 6,902 megawatt-hours ("MWh") of electricity for a total payment of $1,761,000 and approximately 6,716 MWh of electricity for a total payment of $1,758,000, respectively. For Fiscal Year 2014-15, the projected purchased electricity is approximately 7,000 MWh for a total payment of approximately $1.7 million.

Other Obligations Payable from Revenues

The SFPUC purchased and cleared a parcel at 525 Golden Gate Avenue, one block north of City Hall, and completed the construction of a new, 13-story office building on the site to house the administrative offices of the SFPUC's three utility enterprises. The SFPUC moved into the building in July 2012. Total project costs were approximately $202 million and were financed with land sale proceeds, fund balances, grants and the proceeds of certificates of participation (the "2009 Certificates of Participation"), representing interests in a City General Fund lease, executed and delivered in two series (one of which constitutes Build America Bonds) on October 7, 2009 in the aggregate principal amount of $167,670,000. Pursuant to a Memorandum of Understanding between the City and the SFPUC, the SFPUC will reimburse the City General Fund for all debt service in connection with this City financing (net of Refundable Credits received). The SFPUC allocates such payment obligations internally among its three utility enterprises based on percentage usage. The Power Enterprise is currently responsible for 9.72% of such obligations, payable from Revenues on a basis subordinate to the payment of principal of and interest on the Bonds.

Debt Service Requirements

Set forth below are the annual principal, interest and total debt service requirements for the 2015 Series AB Bonds:

Fiscal Year Ending June 30	2015 Series A Bonds Principal	2015 Series A Bonds Interest	2015 Series B Bonds Principal	2015 Series B Bonds Interest	Total Debt Service[1]
2015		$ 712,403[2]		$ 124,328[2]	$ 836,730[2]
2016		1,592,950[2]		278,000[2]	1,870,950[2]
2017		1,592,950[2]	$ 710,000	278,000[2]	2,580,950[2]
2018		1,592,950	730,000	256,700	2,579,650
2019		1,592,950	755,000	234,800	2,582,750
2020		1,592,950	785,000	204,600	2,582,550
2021		1,592,950	815,000	173,200	2,581,150
2022		1,592,950	850,000	140,600	2,583,550
2023		1,592,950	880,000	106,600	2,579,550
2024		1,592,950	910,000	80,200	2,583,150
2025		1,592,950	945,000	43,800	2,581,750
2026	$ 830,000	1,592,950	150,000	6,000	2,578,950
2027	1,020,000	1,559,750			2,579,750
2028	1,075,000	1,508,750			2,583,750
2029	1,125,000	1,455,000			2,580,000
2030	1,185,000	1,398,750			2,583,750
2031	1,240,000	1,339,500			2,579,500
2032	1,305,000	1,277,500			2,582,500
2033	1,370,000	1,212,250			2,582,250
2034	1,435,000	1,143,750			2,578,750
2035	1,510,000	1,072,000			2,582,000
2036	1,585,000	996,500			2,581,500
2037	1,665,000	917,250			2,582,250
2038	1,745,000	834,000			2,579,000
2039	1,835,000	746,750			2,581,750
2040	1,925,000	655,000			2,580,000
2041	2,020,000	558,750			2,578,750
2042	2,125,000	457,750			2,582,750
2043	2,230,000	351,500			2,581,500
2044	2,340,000	240,000			2,580,000
2045	2,460,000	123,000			2,583,000
TOTAL[1]	$32,025,000	$36,082,602	$7,530,000	$1,926,828	$77,564,430

(1) Totals may not add due to rounding.
(2) Includes amounts to be paid through May 1, 2017 from proceeds of the 2015 Series AB Bonds deposited in the 2015 Capitalized Interest Account.

THE CITY AND COUNTY OF SAN FRANCISCO

The City is the economic and cultural center of the Bay Area and northern California. The limits of the City encompass over 93 square miles, of which 49 square miles are land, with the balance consisting of tidelands and a portion of the San Francisco Bay (the "Bay"). The City is located at the northern tip of the San Francisco Peninsula, bounded by the Pacific Ocean to the west, the Bay and the San Francisco-Oakland Bay Bridge to the east, the entrance to the Bay and the Golden Gate Bridge to the north, and San Mateo County to the south. Silicon Valley is about a 40-minute drive to the south, and the wine country is about an hour's drive to the north. The City's most

recently completed and adopted Comprehensive Annual Financial Report (the "CAFR") for its fiscal year 2013-14 reported that the City's population in 2013 was 837,442 according to the U.S. Census Bureau.

The San Francisco Bay Area consists of the nine counties contiguous to the Bay: Alameda, Contra Costa, Marin, Napa, San Francisco, San Mateo, Santa Clara, Solano and Sonoma Counties (collectively, the "Bay Area"). The economy of the Bay Area includes a wide range of industries, supplying local needs as well as the needs of national and international markets. Major business sectors in the Bay Area include retail, entertainment and the arts, conventions and tourism, service businesses, banking, professional and financial services, corporate headquarters, international and wholesale trade, multimedia and advertising, biotechnology and higher education.

The City is a major convention and tourist destination. According to the San Francisco Travel Association, a nonprofit membership organization, during the calendar year 2013, approximately 16.9 million people visited the City and spent an estimated $9.38 billion during their stay. The City is also a leading center for financial activity in the State and is the headquarters of the Twelfth Federal Reserve District, the Eleventh District Federal Home Loan Bank, and the San Francisco regional Office of Thrift Supervision.

The City benefits from a highly skilled, educated and professional labor force. The CAFR estimates that per-capita personal income of the City for fiscal year 2013-14 was $76,886. The San Francisco Unified School District operates 5 transitional kindergarten schools, 72 elementary and K-8 school sites, 13 middle schools, 18 senior high schools (including two continuation schools and an independent study school), and 34 State-funded preschool sites, and sponsors 13 independent charter schools. Higher education institutions located in the City include the University of San Francisco, California State University-San Francisco, University of California-San Francisco (a medical school and health science campus), the University of California Hastings College of the Law, the University of the Pacific's School of Dentistry, Golden Gate University, City College of San Francisco (a public community college), the Art Institute of California – San Francisco, the San Francisco Conservatory of Music, the California Culinary Academy and the Academy of Art University.

San Francisco International Airport ("SFO"), located 14 miles south of downtown San Francisco in an unincorporated area of San Mateo County and owned and operated by the City, is the principal commercial service airport for the Bay Area and one of the nation's principal gateways for Pacific traffic. In fiscal year 2013-14, SFO serviced approximately 46.1 million passengers and handled 370,525 metric tons of cargo. The City is also served by the Bay Area Rapid Transit District ("BART") (electric rail commuter service linking the City with the East Bay and the San Francisco Peninsula, including SFO), Caltrain (a conventional commuter rail line linking the City with the San Francisco Peninsula), and bus and ferry services between the City and residential areas to the north, east and south of the City. San Francisco Municipal Railway ("Muni"), operated by the San Francisco Municipal Transportation Agency (the "SFMTA"), provides bus and streetcar service within the City. The Port of San Francisco (the "Port"), which administers 7.5 miles of Bay waterfront held in "public trust" by the Port on behalf of the people of the State, promotes a balance of maritime-related commerce, fishing, recreational, industrial and commercial activities and natural resource protection.

The City is governed by a Board of Supervisors elected from eleven districts to serve four-year terms, and a Mayor who serves as chief executive officer, elected citywide to a four-year term. Edwin M. Lee is the 43rd and current Mayor of the City, having been elected by the voters of the City in November 2011. The City's budget for fiscal years 2014-15 and 2015-16 totals $8.58 billion and $8.56 billion, respectively. The City's General Fund portion of each year's budget is $4.27 billion in fiscal year 2014-15 and $4.33 billion in fiscal year 2015-16, with the balance being allocated to all other funds, including enterprise fund departments, such as the SFMTA, SFO, the Port and the SFPUC. The City's CAFR estimates that the City employed approximately 29,236 full-time-equivalent employees at the end of fiscal year 2013-14. According to the Controller, the preliminary fiscal year 2014-15 total net assessed valuation of taxable property in the City is approximately $181.8 billion.

THE GENERAL FUND OF THE CITY IS NOT LIABLE FOR THE PAYMENT OF PRINCIPAL OF, PREMIUM, IF ANY, OR INTEREST ON THE BONDS, AND NEITHER THE CREDIT NOR THE TAXING POWER OF THE CITY IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF, PREMIUM, IF ANY, OR INTEREST ON THE 2015 SERIES AB BONDS. THE BONDS ARE NOT SECURED BY A LEGAL OR EQUITABLE PLEDGE, OF, OR CHARGE, LIEN, OR ENCUMBRANCE UPON, ANY OF THE PROPERTY OF THE CITY.

THE PUBLIC UTILITIES COMMISSION

General

The SFPUC is a department of the City responsible for the maintenance, operation and development of three utility enterprises: Hetch Hetchy Water and Power, which consists of Hetch Hetchy Water and the Power Enterprise, the Water Enterprise and the Wastewater Enterprise, all as further described below.

The revenues of the Water Enterprise and the Wastewater Enterprise, and revenues allocable to Hetch Hetchy Water, as described under ***– Organization, Purposes and Powers****, are not available for payment of the principal of, premium, if any, or interest on the Bonds, including the 2015 Series AB Bonds. See* ***SECURITY FOR THE BONDS – Pledge of Revenues****.*

Organization, Purposes and Powers

The SFPUC has been established under and is governed by the provisions of the Charter, including the provisions respecting the priority of appropriations from enterprise revenues in Section 16.103 of the Charter.

Hetch Hetchy Water and Power. Hetch Hetchy Water and Power is comprised of two key components: Hetch Hetchy Water, which operates and maintains the Hetch Hetchy Project, and Hetch Hetchy Power (known and referred to in this Official Statement as the "Power Enterprise"), which is responsible for all SFPUC power utility commercial transactions and in-City power operations. The Hetch Hetchy Project provides water for distribution through the Water Enterprise and hydroelectric power to municipal and other customers through the Power Enterprise. A number of the facilities of the Hetch Hetchy Project are joint assets and are used for both water transmission and power generation and transmission, benefitting both Hetch Hetchy Water and the Power Enterprise. All power sales revenues are allocated to the Power Enterprise. Operating and capital costs benefitting the Power Enterprise and 55% of operating and capital costs that jointly benefit both Hetch Hetchy Water and the Power Enterprise are allocated to the Power Enterprise. See **THE POWER ENTERPRISE**. Operating and capital costs benefitting Hetch Hetchy Water and 45% of operating capital costs jointly benefitting both Hetch Hetchy Water and the Power Enterprise are allocated to the SFPUC's Water Enterprise.

The Power Enterprise was created in February 2005 as a separate system and accounting unit within Hetch Hetchy Water and Power. The Power Enterprise provides retail electric service to meet the municipal requirements of the City, including power to operate the SFMTA's streetcars and electric buses, San Francisco General Hospital, City Hall, police stations, fire stations and schools, certain Port facilities, street and traffic lights, municipal buildings and other City facilities, such as SFO, and to certain public agencies and retail customers and provides pedestrian and streetlight operation and maintenance services, energy efficiency, and distributed generation services to City residents and businesses and other customers. Additionally, the Power Enterprise provides power to the Districts and to other customers consistent with prescribed contractual obligations and federal law. See **THE POWER ENTERPRISE**.

Water Enterprise. Nearly 2.6 million people rely on water supplied by the SFPUC to meet their daily water needs through its Water Enterprise. The SFPUC serves as the retail water supplier for the City and is responsible for water deliveries to residents and institutions within the City limits, as well as to a number of retail accounts outside of the City limits. In addition, the SFPUC sells water to 27 wholesale customer entities in San Mateo, Alameda and Santa Clara Counties under the 2009 Water Supply Agreement (the "Water Supply Agreement") and related individual contractual agreements.

The revenues of the Water Enterprise are not "Revenues" under the Indenture and do not secure the payment of the principal of, premium, if any, or interest on the Bonds, including the 2015 Series AB Bonds. See ***SECURITY FOR THE BONDS – Pledge of Revenues****.*

Wastewater Enterprise. The Wastewater Enterprise's collection and treatment system consists of a combined sewer collection system conveying wastewater and stormwater flows within the City to three water pollution control plants, also located within the City. Treated effluent flows are then discharged through deep-water outfalls into the San Francisco Bay and Pacific Ocean. The Wastewater Enterprise also operates and maintains a

sewer system on Treasure Island/Yerba Buena Island pursuant to an agreement with TIDA, and an onsite wastewater and stormwater reclamation and treatment facility at the new SFPUC headquarters at 525 Golden Gate Avenue.

The revenues of the Wastewater Enterprise are not "Revenues" under the Indenture and do not secure the payment of the principal of, premium, if any, or interest on the Bonds, including the 2015 Series AB Bonds. See ***SECURITY FOR THE BONDS – Pledge of Revenues****.*

Commission Members

Under the Charter, the SFPUC is given exclusive charge of the operation and management of all water, wastewater and municipal customers' energy supplies and utilities of the City as well as the real, personal and financial assets under the SFPUC's jurisdiction. The SFPUC is governed by the Commission.

In June 2008, an initiative measure amended the Charter, changing the process for Commission appointments, and establishing qualifications for commissioners, as follows:

- The Commission consists of five members appointed by the Mayor, subject to confirmation by a majority of the Board of Supervisors.
- Seat 1 is designated for a member with experience in environmental policy and an understanding of environmental justice issues.
- Seat 2 is designated for a member with experience in ratepayer or consumer advocacy.
- Seat 3 is designated for a member with experience in project finance.
- Seat 4 is designated for a member with expertise in water systems, power systems, or public utility management.
- Seat 5 is designated for an at-large member.
- In order to stagger the terms of the commissioners, the members appointed to Seats 2 and 4 served for an initial term of two years from August 1, 2008. The remaining three members appointed to Seats 1, 3, and 5 served for an initial term of four years from August 1, 2008. Thereafter, the terms of all members are four years.
- Members may be suspended by the Mayor and may be removed by a three-fourths vote of the Board of Supervisors for official misconduct.

The current members of the Commission and the appointment and expiration dates of their terms are:

Name and Title	Seat	Originally Appointed	Term Expires
Ann Moller Caen, President	3	March 1997	August 2016
Francesca Vietor, Vice President	1	September 2008	August 2016
Vince Courtney	5	January 2011	August 2016
Anson Moran	4	July 2009	August 2018
Ike Kwon	2	February 2015	August 2018

Management

Management of the SFPUC is led by the General Manager. The General Manager is appointed by the Mayor from candidates submitted by the Commission. Once appointed by the Mayor, the General Manager serves at the pleasure of the Commission; however, the Commission also has Charter authority to employ the General Manager under an individual contract.

Brief biographies of the General Manager and principal members of the senior management of the SFPUC are set forth below.

Harlan L. Kelly, Jr. Harlan L. Kelly, Jr. became General Manager of the SFPUC in September 2012. He previously served as the SFPUC's Assistant General Manager, Infrastructure, and was responsible for implementing over $10 billion in capital programs for water, sewer and power, including the $4.6 billion Water System Improvement Program, the $6.9 billion Sewer System Improvement Program, and the $202 million SFPUC Headquarters and Administration Building at 525 Golden Gate Avenue. His civil engineering career spanning nearly three decades includes his tenure as the City Engineer of San Francisco. At San Francisco Department of Public Works, he held functional and project management positions, including Acting General Manager, and Deputy Director of Engineering, during which he managed complex capital improvement programs that included the rebuild and seismic retrofit of City Hall, and expansions of convention, hospital, county jail, and public arts facilities. He is a licensed professional engineer, and a graduate of the University of California at Berkeley. He is the recipient of the Municipal Fiscal Advisory Committee's Public Municipal Excellence Award from the San Francisco Planning and Urban Research Association; the Public Works Leader of the Year Award from the American Public Works Association – Northern California Chapter; the Eminent Engineer Award from the National Engineering Honor Society Tau Beta Pi; and the Heroes and Hearts Award from the San Francisco General Hospital Foundation for exceptional community service. He is a member of the Construction Managers Association of America, the American Society of Civil Engineers, the National Society of Black Engineers, and the American Public Works Association. He is co-founder of the youth internship program Project Pull, which has been in continuous operation since 1995, and he has served on the Board of Directors of the Embarcadero YMCA.

Michael Carlin. Michael Carlin is the SFPUC Deputy General Manager. Mr. Carlin has worked for the SFPUC since 1996 and served from 2004 through 2009 as Assistant General Manager for Water. Since 2009 he has served as Deputy General Manager. Mr. Carlin acts as Chief Operating Officer of the SFPUC, reporting directly to the General Manager, and oversees the SFPUC's efforts to integrate Asset Management, Supervisory Control & Data Acquisition, Work Order Writing & Tracking, Security and other systems and functions across the Water, Wastewater and Power Enterprises and throughout the organization. Mr. Carlin also plays a leading role in overseeing new initiatives and the many environmentally innovative "green" projects that cut across enterprises within the SFPUC, including a comprehensive SFPUC-wide approach towards confronting and adapting to the impacts of climate change. He joined the SFPUC as the Water Resources Planning Manager in 1996. Prior to joining the City, he was the Chief of Planning for the San Francisco Bay Regional Water Quality Control Board. Mr. Carlin holds a B.A. in Biology from San Francisco State University and an M.P.A. with an emphasis in Environmental Management from Golden Gate University.

Barbara Hale. Barbara Hale is Assistant General Manager of the Power Enterprise. Ms. Hale oversees the Power Enterprise, including Power Retail Services, Utilities Services, Regulatory Affairs, Infrastructure Development and Power Purchasing and Scheduling. She is responsible for the development of a strategic business plan for the organization, setting out priorities, objectives, schedules and policy issues. Ms. Hale oversees all power-related inter-governmental relations, works directly with the Commission on policy and capital matters, and provides direction and leadership to a multi-discipline staff at remote and downtown locations. Ms. Hale provides strategic advice on energy policy matters to the General Manager and manages a staff responsible for developing specific energy efficiency projects and renewable and other advanced sources of electrical generation. Ms. Hale also acts as liaison between the SFPUC and State and federal agencies responsible for energy policy, such as the California Public Utilities Commission, the California Energy Commission, the California Power Authority, the Federal Energy Regulatory Commission, and the United States Department of Energy. Ms. Hale graduated cum laude from San Francisco State University with a B.A. in Economics, receiving special recognition for high achievement with the Department Honors Award. Ms. Hale has pursued extensive graduate coursework in Applied Economics.

Tommy T. Moala. Tommy T. Moala is the Assistant General Manager of the Wastewater Enterprise which protects public health and safety through the collective treatment of raw sewage runoff. The City's unique and award-winning combined sewer system treats on average more than 79 million gallons per day of sewage and stormwater during dry weather periods. Mr. Moala oversees operations, equipment and facilities maintenance, structural design and governmental compliance for the City's three wastewater treatment plants, 993-mile long sewer system and network of wastewater pumping stations. A former Naval Propulsion Engineer, Mr. Moala has

more than 15 years experience in wastewater in-plant management. He began his 20-year career with the SFPUC as a Stationary Engineer, moving up steadily through the ranks to Senior Engineer, Chief Stationary Engineer and Operations Manager, and setting the Wastewater Enterprise's standard for zero-violations along the way. A team recipient of the National Protection Agency O & M Award and the National Association of Clean Water Agency Award, Mr. Moala has also received then-Mayor Gavin Newsom's Public Managerial Excellence Award and the SFPUC O'Shaughnessy Award for organizing the SFPUC Emergency Response Team dispatched to Hurricane Katrina. He is a member of the Water Environment Federation, the California Water Environment Federation, the National Association of Clean Water Agencies and the American Water Works Association.

Steven R. Ritchie. Steven Ritchie is the Assistant General Manager of the Water Enterprise, responsible for overseeing water system operations and planning from the Hetch Hetchy Project through the Regional Water System to the City Distribution Division. He is also responsible for the management of the SFPUC's lands and natural resources. Mr. Ritchie was the Manager of Planning at the SFPUC from 1995 to 1998. Prior to his current assignment, he managed the South Bay Salt Pond Restoration Project, a multi-agency effort to restore 15,100 acres of valuable habitat in South San Francisco Bay, while providing for flood risk management and public access. In addition, Mr. Ritchie has worked at management positions at the San Francisco Bay Regional Water Quality Control Board (1987-1995), the CalFed Bay-Delta Program (1998-2000), and URS consultants (2000-2004). He has a B.S. and M.S. in Civil Engineering from Stanford University.

Juliet Ellis. Juliet Ellis is the Assistant General Manager for External Affairs at the SFPUC. Prior to holding her position as an Assistant General Manager, Ms. Ellis served on the Commission as a Commissioner for two years. During her time as a Commissioner, she championed the adoption of an Environmental Justice and Community Benefits policy. Ms. Ellis now oversees the implementation of these policies as Assistant General Manager, along with the Policy and Government Affairs, Communications, and Sustainability Planning teams within the SFPUC. Ms. Ellis also oversees the agency's national partnerships with other public utilities with the goal of scaling community benefits programs within the public sector. Before joining the SFPUC, Ms. Ellis spent nine years as the Executive Director of Urban Habitat, a regional social and environmental justice organization. She also served as the Associate Program Officer for Neighborhood and Community Development at The San Francisco Foundation. Ms. Ellis has served on numerous national, regional and local boards and committees.

The positions of Assistant General Manager, Business Services and Chief Financial Officer, and Assistant General Manager, Intrastructure, are currently vacant.

Employee Relations

The wages, hours and working conditions of City employees are determined by collective bargaining pursuant to State law (the Meyers-Milias-Brown Act, California Government Code Sections 3500-3511) and the Charter. Except for nurses and a few hundred unrepresented employees, the Charter requires that bargaining impasses be resolved through final and binding interest arbitration conducted by a panel of three arbitrators. The award of the arbitration panel is final and binding unless legally challenged. Wages, hours and working conditions of nurses are not subject to interest arbitration, but are subject to Charter-mandated economic limits. Strikes by City employees are prohibited by the Charter. Since 1976, no City employees have participated in a union-authorized strike. See **CERTAIN RISK FACTORS – Unavailability of Generation or Transmission – Labor Actions**.

The City's budget for fiscal years 2014-15 and 2015-16 includes 27,669 and 29,053 budgeted City positions, respectively. City workers are represented by 37 different labor unions. The largest unions in the City are the Service Employees International Union, Local 1021; the International Federation of Professional and Technical Engineers, Local 21; and the unions representing police, fire, deputy sheriffs and transit workers. In May 2014, the City negotiated three-year agreements (for fiscal years 2014-15 through 2016-17) with most of its labor unions. In general, the parties agreed to: (1) annual wage increases schedule of 3% (October 11, 2014), 3.25% (October 10, 2015), and between 2.25% and 3.25% depending on inflation (July 1, 2016); and (2) some structural reforms of the City's healthcare benefit and cost-sharing structures to rebalance required premiums between the two main health plans offered by the City. These changes to health contributions build on reforms agreed to by most unions during earlier negotiations.

The SFPUC employs approximately 2,300 of the City's workers. The Charter governs the SFPUC's employment policies and authorizes the San Francisco Civil Service Commission to establish rules and procedures

to implement those policies. Of the 37 labor unions representing City workers more broadly, 14 presently represent SFPUC employees. Most SFPUC employees collectively bargain every three years.

Over the next five years, nearly half of the SFPUC workforce will be eligible for retirement. A new generation of jobs will require workers with specialized training, skills and experience. The SFPUC's Strategic Sustainability Plan includes indicators for employee training and development. The SFPUC also provides ethics training, diversity training, management training, environmental management system training, as well as fraud prevention and awareness training.

THE HETCH HETCHY PROJECT

General

The Hetch Hetchy Project impounds and delivers to the Water Enterprise water for approximately 2.6 million Bay Area residents and, in an average year, generates more than 1,600,000 MWh of clean, renewable electricity which the Power Enterprise uses to serve its customers, including the City and the Districts. The Hetch Hetchy Project is comprised of approximately 384.3 megawatts ("MW") of nameplate capacity hydroelectric generating facilities in the Sierra Nevada foothills of Tuolumne County, California (including O'Shaughnessy Dam), reservoirs (including Hetch Hetchy Reservoir), hydroelectric generation and electric transmission facilities, and water transmission facilities from Hetch Hetchy Valley to a connection with the facilities of the Water Enterprise.

History

As early as the 1880s, the City began looking to the Sierra Nevada and the Tuolumne River in what is now Yosemite National Park as a possible source of water for the City and the Bay Area. Hetch Hetchy Valley, which is located on the Tuolumne River in Yosemite National Park, was first recommended as a reservoir site at the turn of the 20th Century in a U.S. Geological Survey Study. Then City Mayor James D. Phelan made the first filings for water rights and reservoir rights-of-way in the Tuolumne River watershed as a private citizen, transferring those filings to the City in 1903.

Following the 1906 earthquake, the City again sought water rights and reservoir rights-of-way in the Tuolumne River watershed and began to develop a preliminary design for what would become the Hetch Hetchy Project. It also entered into negotiations with the Districts to protect the Districts' existing water rights and to provide them a share of the hydroelectricity to be produced by the Hetch Hetchy Project, at cost-based rates.

The Raker Act, enacted in 1913 (38 Stat. 242), granted rights of way to the City over federal lands in Yosemite National Park, Stanislaus National Forest, and unclassified public lands for purposes of constructing and operating the Hetch Hetchy Project, conceived by the City to provide water to the Bay Area and generate hydroelectricity as part of water delivery operations. Major facilities in place under authorized Raker Act rights of way issued by the Department of the Interior include O'Shaughnessy Dam and Hetch Hetchy Reservoir on the Tuolumne River in Yosemite National Park; Eleanor Dam and Reservoir in Yosemite National Park; Cherry Dam and Lake Lloyd in Stanislaus National Forest; Kirkwood, Holm, and Moccasin Powerhouses; and appurtenant facilities such as tunnels, penstocks and regulating reservoirs and electric transmission facilities. See – **Hydroelectric Generation.**

The Raker Act grants the City the right to sell electricity generated by the Hetch Hetchy Project to meet municipal and pumping needs, including without limitation its own needs and the needs of the Districts, and for commercial purposes, provided that such electricity may not be sold to a private corporation or individual for resale.

Wholesale electricity deliveries to the Districts are on an "as available" basis and are required by the Raker Act only after satisfying the City's own municipal needs. Any additional excess electricity supplies are sold to certain retail customers and then on the wholesale market to public entities—primarily other publicly-owned utilities ("POUs")—consistent with the requirements of the Raker Act. The Raker Act does not restrict the City's purchase, use and sale of non-Hetch Hetchy Project electricity. See **THE POWER ENTERPRISE – Wholesale Electricity Sales**.

Hydroelectric Generation

The Hetch Hetchy Project is comprised of approximately 384.3 MW of large-scale hydroelectric facilities. The following table shows a timeline of Hetch Hetchy Project powerhouse improvements and impacts on installed capacity at the Hetch Hetchy Project.

TABLE 1
HETCH HETCHY PROJECT GENERATION RESOURCES
POWERHOUSE TIMELINE

Date	Event	Capacity Increases / (Decreases) in MW
1918	Early Intake Powerhouse commences operation	3.0
1923	O'Shaughnessy Dam completed	--
1925	Moccasin Powerhouse begins operations	80.0
1938	O'Shaughnessy Dam raised 85.5 feet	--
1960	Holm/Cherry Powerhouse commences operation	148.5
1967	Kirkwood Powerhouse (1st and 2nd units) commences operation	71.1
1967	Early Intake Powerhouse is removed	(3.0)
1969	New Moccasin Powerhouse replaces prior one	20.0
1986	Moccasin low-head commences operation	3.8
1988	Kirkwood Powerhouse (3rd unit) commences operation	36.5
2005	Holm units 1 and 2 refurbished	16.5
2007	Kirkwood units 1 and 2 refurbished	7.9
Total Installed Capacity		384.3

Source: SFPUC.

The Hetch Hetchy Project includes three large reservoirs and three large hydroelectric powerhouses. The reservoirs, Cherry Lake, Lake Eleanor, and the Hetch Hetchy Reservoir, have an aggregate water storage capacity of approximately 660,000 acre-feet. The powerhouses, Holm Powerhouse, Kirkwood Powerhouse and Moccasin Powerhouse, have an aggregate nameplate capacity of approximately 380.5 MW. Holm Powerhouse has 2 generating units, totaling approximately 165 MW in nameplate capacity, and relies on gravity-driven water flowing downhill from Cherry Lake. Kirkwood Powerhouse has 3 generating units, with an aggregate nameplate capacity of approximately 115 MW. Moccasin Powerhouse has 2 generating units, with an aggregate nameplate capacity of approximately 100 MW. Both Kirkwood and Moccasin rely on gravity-driven water flowing downhill from the Hetch Hetchy Reservoir. There is also a smaller, gravity driven in-line 3.8 MW hydroelectric unit near Moccasin Powerhouse, Moccasin Low-head.

The combined generating capacity of these facilities is approximately 384.3 MW, about 97% of the Power Enterprise's aggregate 395 MW of controlled generation capacity. Annual Hetch Hetchy Project generation averages about 1.6 million MWh, which represents on average approximately 148% of the Power Enterprise's firm retail load. These multiple, sizable hydroelectric generating units, and ready access to State energy markets through available transmission resources, provide the Power Enterprise with redundancy to address both planned and unexpected outages, helping to ensure reliable, firm service for its customers.

Transmission and Distribution

Electricity generated by the Hetch Hetchy Project is transmitted through SFPUC-owned and operated transmission lines, consisting of approximately 110 miles of 115kV and 50 miles of 230kV transmission line, plus four substations. The SFPUC transmission segments are described in the following table.

TABLE 2
SFPUC TRANSMISSION LINE SEGMENTS

Lines No.	Voltage	Transmission Line Alignment / Segment	Year Put into Operation	Approximate Length (miles)
1 & 2	230 kV	Holm Powerhouse to SFPUC's Intake Switchyard	1961	1.6
3 & 4	115 kV	Moccasin Switchyard to PG&E's Newark Substation	1925	98.3
5 & 6	230 kV	Intake Switchyard to SFPUC's Moccasin Switchyard	1961	20.1
		Moccasin Switchyard to SFPUC's Warnerville Switchyard	1961	28.3
7 & 8	115 kV	SFPUC's Warnerville Switchyard to Modesto Irrigation District's Standiford Substation	1961	12.5
9 & 10	230 kV	Kirkwood Powerhouse to SFPUC's Intake Switchyard	1964	0.7
11	230 kV	Kirkwood Powerhouse to SFPUC's Intake Switchyard	1987	0.7

The transmission facilities also interconnect with PG&E's transmission and distribution systems in order to deliver SFPUC generated or purchased power to customers of the Power Enterprise in and around the City. The Hetch Hetchy Project has a small amount of load connected directly to its system, averaging less than 2.5 MW, with a 7 MW peak during water pumping operations to support the Water Enterprise's municipal water operations.

Approximately 75% of the Hetch Hetchy Project's generating capacity is connected to its 230 kV system via Intake Switchyard and Warnerville Substation. Intake Switchyard is a 230 kV switchyard configured using main and auxiliary buses. The switchyard was initially put into service in about 1961. Intake Switchyard provides the main accumulation, switching and transmission point for the Holm and Kirkwood powerhouses (Lines 1 and 2 from Holm Powerhouse and Lines 9, 10 and 11 from Kirkwood Powerhouse). A failure of any critical component within this switchyard represents a significant loss of electric generation and transmission capability. From Intake Switchyard, electricity is transmitted to the SFPUC's Warnerville Substation via Lines 5 and 6. The Warnerville Substation, put in operation in about 1961, is segregated into three areas: 230 kV yard, 115 kV yard, and PG&E 230 kV tap yard. The 230 kV yard has a main and transfer bus configuration and consists of two incoming lines, Lines 5 and 6, three 230/115 kV transformers, and two tap lines for PG&E. The 115 kV system has a main bus, three transformer positions and two line positions, Lines 7 and 8 towards Modesto's Standiford Substation.

The remaining 25% of the Hetch Hetchy Project's capacity is normally connected to another 115 kV sub system at the Moccasin Switchyard which interconnects with PG&E's Newark Substation via two 115 kV lines, Lines 3 and 4. Taps off of these lines connect to Turlock Irrigation District at their Oakdale Substation. The Moccasin Powerhouse can be connected to either the 115 kV or 230 kV systems.

The SFPUC owns about 50 miles of electric 22.4 kV and 2.4 kV distribution line to provide electricity to its remote operations. The distribution is fed from the powerhouses, where electricity is generated at 13.8 kV then stepped up to 22.4 kV. At some remote sites, the electricity is stepped down to 2.4 kV for distribution.

Physical Condition of Facilities

Generation, Transmission and Distribution Facilities

The Hetch Hetchy Project powerhouses have been in operation since the 1960's. See – **Hydroelectric Generation**. While civil assets, such as structures, dams, tunnels and pipes, have a service life of up to 100 years, the mechanical and electrical equipment within the powerhouses have a shorter service life of approximately 25-50 years, depending on the equipment. For planning purposes, the SFPUC assumes expected life of equipment based on industry standards and manufacturer's design life. Actual expected life of equipment may vary depending on a variety of factors including, but not limited to, site conditions, run time, loading, and maintenance. The SFPUC has experienced life expectancies beyond industry standards. However, as the electrical equipment ages and technology expires, obtaining replacement parts becomes a challenge.

SFPUC construction costs are higher than industry average, in part because of the remote location of Hetch Hetchy Project facilities. Total project cost estimates to rehabilitate the large Hetch Hetchy Project powerhouses is as follows:

- Holm Powerhouse: $17 million
- Kirkwood Powerhouse: $35 million
- Moccasin Powerhouse: $35 million

The cost and operational impact to the SFPUC of either a loss of a unit or the inability to generate from a powerhouse varies. The SFPUC anticipates that there would be significant cost and operational impact if either unit at Holm Powerhouse were not available for generation for a one-year period. At Kirkwood Powerhouse, the loss of one of the three units would have moderate cost and operational impacts; however, the loss of two units would become significant. The loss of one unit at Moccasin Powerhouse would have a moderate cost and operational impact to the SFPUC; however, the loss of both units would be significant.

During the summer and fall period, each hydroelectric generation unit is taken out of service for two weeks to perform annual maintenance. Annual maintenance consists of inspections and assessments, testing, calibrating and adjusting the unit as well as verifying and updating station drawings on all systems associated with the unit. Corrective maintenance activities that require a full system outage are also sometimes scheduled during the annual outage period. However the SFPUC focuses on and prioritizes proactive maintenance activities.

The Hetch Hetchy Project electricity delivery system includes transmission lines and switchyards/substations. These assets vary in age, condition, and estimated service life remaining. For planning purposes, the SFPUC assumes expected life of equipment based on industry standards and manufacturer's design life. Actual expected life of equipment will vary depending on a variety of factors, but the largest driver for a transmission system is site conditions. The SFPUC has an ongoing inspection/replacement program funded at about $2 million per year. The inspection/replacement program includes, but is not limited to, tower repair (to address bent members and/or corrosion), insulators, hardware, grounding and a vegetation management program to maintain proper clearances. Though work is being done to extend the life of the assets and guard against catastrophic failure, there are many portions of the system that are of concern, including but not limited to the tower foundations and the grounding.

A majority of the Hetch Hetchy Project's transmission lines were built in the 1960's and have a remaining life expectancy of about 15 years. Transmission lines 3 & 4 were built in 1925 and have exceeded their expected life expectancy. Although Lines 3&4 are at end of life, the existing lines are acceptable for limited continued use with selective refurbishment. A complete rebuild will ultimately be required for long-term continued use of this transmission segment. In order to maintain the current level of reliability of these lines, substantial future maintenance and upkeep will be required, currently projected to total approximately $48 million over the next 15 years until the lines can be replaced. Transmission Lines 3 & 4 are important to the delivery of electricity by the Power Enterprise, and the Power Enterprise anticipates that there would be moderate cost and operational impacts were they to go out of service.

In addition to aging transmission line infrastructure, the SFPUC's condition assessment of its transmission lines identified 195 safety detections on the SFPUC transmission lines that do not meet National Electric Safety Code and/or California Public Utilities Commission General Order 95 minimum safety clearance criteria. In response to these findings, the SFPUC increased maintenance and selective refurbishment activities in order to preserve and extend the operability of these lines and to meet regulatory requirements.

Hetch Hetchy Project substations/switchyards were built in the 1960's. Similar to the powerhouses, the SFPUC has experienced life expectancies beyond industry standards but is experiencing challenges obtaining replacement parts as the equipment ages and technology expires. In 2014, Intake Switchyard was rebuilt. The SFPUC plans to rebuild Warnerville Substation followed by Moccasin Switchyard. Decision on the final construction project will hinge on the SFPUC's future business. Total project cost estimates to rehabilitate the Moccasin Switchyard and Warnerville Substation in-kind are as follows:

- Moccasin Switchyard: $25 million
- Warnerville Substation: $45 million

Intake Switchyard, Moccasin Switchyard and Warnerville Substation are imperative to transmit Hetch Hetchy Project generation to the grid. The SFPUC anticipates that there would be significant cost and operational impact if Intake Switchyard, Moccasin Switchyard or Warnerville Substation were inoperable.

The fourth substation, Calaveras Substation, feeds the SFPUC facilities at Sunol Valley Water Treatment Plant. Though the financial impact to Revenues from loss of this substation would be small, the operational impact to the water operations would be significant. Improvements at this facility were made to facilitate construction activities for the SFPUC's Water System Improvement Program. However, a condition assessment of the facility has not been performed.

The SFPUC has not performed a condition assessment of its distribution system. However, of the 50 miles of system, about 20 miles was replaced after it was destroyed in the 2013 Rim Fire. The SFPUC has an ongoing inspection/maintenance program. The inspection program includes inspection of poles, ancillary equipment and a vegetation management program to maintain proper clearances.

Mountain Tunnel

The Mountain Tunnel conveys water to the Moccasin Powerhouse. Built between 1917 and 1925, the Mountain Tunnel extends 19.2 miles from the Early Intake Dam to the Priest Reservoir. The lower 12 miles are lined. The lining shows signs of deterioration which will likely increase over time. The risk of failure of the Mountain Tunnel, defined as a loss of 25% carrying capacity, is currently low but will increase over time. Failure had been identified as causing up to six or more months of water supply disruption, but recent analysis has shown that the disruption can be kept to approximately 3 months. The current preferred option for remedying the problem is to 1) make improvements to adits and access roads as well as implement an emergency restoration plan; 2) inspect and make necessary tunnel lining repairs; and 3) complete planning (conceptual engineering) for construction of a bypass tunnel as a viable long-term solution. See **POWER ENTERPRISE CAPITAL PROGRAM**.

Hetch Hetchy Project Operations

General

The Hetch Hetchy Project provides two utility services with distinct ratepayers: water and power. A number of the facilities operated by Hetch Hetchy Project staff are joint assets used for both water storage and transmission and electric generation and transmission, benefitting both Hetch Hetchy Water and Power Enterprise operations. Operating and capital costs that jointly benefit both ratepayer groups are allocated 45% to the Water Enterprise and 55% to the Power Enterprise.

Water First Policy

The Hetch Hetchy Project is operated as a combined water storage and conveyance and electric generation and transmission system. The Water Enterprise and the Power Enterprise coordinate operation of the Hetch Hetchy

Project to ensure reliable utility services are provided by the combined system. Pursuant to State statute, the Charter and the terms of the Water Supply Agreement, the SFPUC operates the Hetch Hetchy Project pursuant to a "water first" policy to optimize the reliability and quality of its water deliveries and ensure that hydroelectric generation does not cause any reasonably anticipated adverse impact on water service. Power is generated when water is delivered to meet water system operational requirements.

Hetch Hetchy Project reservoir operations are guided by two principal objectives: collection of Tuolumne River water runoff for diversion to the Bay Area; and fulfillment of the SFPUC's downstream release obligations. To ensure water supply, Hetch Hetchy Project reservoirs remain high through the early winter, until snowmelt runoff is forecasted at 90% certainty to fill all Tuolumne reservoirs. When the forecasted snowmelt is certain to be in excess of the fill volume, the reservoirs may be drawn down through Power Enterprise operations without risking water supply. Similarly, the Bay Area reservoirs included in the regional water system serving the City and the Water Enterprise's wholesale customers (the "Regional Water System") are operated to conserve watershed runoff. As such, reservoirs are drawn down early in the winter period to capture storms and reduce the potential for spilling water out of the reservoirs. In the spring, the Hetch Hetchy Project water that may be drawn down (snowmelt) is often transferred to three of the Bay Area reservoirs that are capable of receiving the water, so that any unused local reservoir storage is filled prior to July 1.

Typically, this policy requires that more water be delivered by the Hetch Hetchy Project to lower level reservoirs in spring, when electricity prices tend to be lower than they are in the summer and fall. Therefore, in an average year, the Power Enterprise has excess generation to sell in the first half of the year; and the Power Enterprise generally supplements its own generation with purchases of wholesale electricity to meet demand during the second half of the year. Nevertheless, consistent annual water needs and water deliveries create consistent "base load" electricity generation to meet almost all of the Power Enterprise's annual retail customer load requirements. In addition, reservoir levels are flexible and, to the extent possible, are strategically managed to generate power when most valuable. The Power Enterprise accounts for the costs of projected power purchases, including seasonal differential in electricity prices, in its budget and reflects such costs in the rates it charges customers. See – **Variability of Hydroelectric Generation** and **CERTAIN RISK FACTORS – Changes in Energy Prices.**

Licensing and Regulation

FERC Regulation

Under the Federal Power Act, the Federal Energy Regulatory Commission ("FERC") is responsible for the licensing of hydroelectric plants within the United States. The Raker Act, which authorized rights-of-way on federal lands necessary for the Hetch Hetchy Project, predates the Federal Power Act. Hetch Hetchy Project hydroelectric facilities are on rights-of-way granted under the Raker Act. In addition, the Federal Power Act specifically exempts from FERC regulation those Hetch Hetchy Project facilities subject to the Raker Act. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION – Federal Law and Regulation – Federal Energy Regulatory Commission**.

Downstream from the Hetch Hetchy Project, the Districts own and operate a hydroelectric generating plant located at the Don Pedro Reservoir on the Tuolumne River (the "Don Pedro Project"). The Don Pedro Project is subject to FERC regulation and is currently undergoing re-licensing. The SFPUC has a water banking arrangement with the Districts that allows the SFPUC to "advance" water owed to the Districts to satisfy their entitlements through storage in the Don Pedro Reservoir for the Districts' later use, thus improving the water flows (and the timing of related electric generation) from Hetch Hetchy Project facilities upstream on the Tuolumne River. See – **FERC Proceeding Regarding Relicensing of the Don Pedro Project**.

CPUC Regulation

The California Public Utilities Commission (the "CPUC") establishes standards that apply to transmission and distribution facilities in order to ensure the safety of employees and the general public. The CPUC applies these standards to POUs as well as privately owned utilities, even though POUs are generally not subject to CPUC jurisdiction. The standards concern all aspects of maintaining and operating transmission and distribution facilities, including vegetation management, clearances, line-loading, inspections, and reporting.

Dam Operation; Dam Safety

In 1929, the California Legislature enacted legislation providing for supervision over non-federal dams in the State. The statutes place the supervision of the safety of non-federal dams and reservoirs under the jurisdiction of the California Department of Water Resources, Division of the Safety of Dams ("DSOD"). Dams under jurisdiction are artificial barriers, together with appurtenant work, including outlet towers that are twenty-five feet or more in height or have an impounding capacity of fifty acre-feet or more.

The DSOD reviews plans and specifications for the construction of new dams or for the enlargement, alteration, repair or removal of existing dams, under applications, and must grant written approval before the owner can proceed with construction. The DSOD routinely inspects operating dams to assure that they are adequately maintained. The DSOD also conducts investigations of selected dams and directs the owners to additional investigations and detailed safety evaluations when necessary.

At a minimum, a DSOD representative inspects each Hetch Hetchy Project dam annually with the SPFUC Hetchy Dam Safety Engineer. DSOD has historically requested up to two inspections per year to inspect the dam at its highest and lowest water levels in order to observe the upstream face of the dam under both conditions. In addition to the DSOD inspection, each Hetch Hetchy Project dam is inspected weekly by the SFPUC Watershed Keepers. Data from these weekly inspections, deflection data and weir flow data are reviewed by the SFPUC Hetchy Dam Safety Engineer. In addition to the scheduled inspections, inspections are performed following earthquakes if certain parameters are met based on size and epicenter proximity to the dam.

FERC Proceeding Regarding Relicensing of the Don Pedro Project

FERC licenses the Don Pedro Project, owned and operated by the Districts. The City helped fund the original construction of Don Pedro Project in exchange for a water bank account allowing the SFPUC to receive water credits for advanced releases from the Hetch Hetchy Project to the Don Pedro Reservoir.

The current FERC license for the Don Pedro Project expires in 2016, subject to the issuance of annual licenses if necessary to complete the relicensing process. The Districts initiated the process to relicense the Project using FERC's Integrated Licensing Process in 2010. Relicensing is a lengthy process, stretching over a number of years and open to public participation. It is estimated the process may cost up to $50 million to complete, which costs are split for certain studies between the Districts and the SFPUC pursuant to an existing agreement. The Districts are in the process of working through a Study Plan related to the relicensing that was issued and subsequently supplemented by FERC. The Districts have reported that, as of July 1, 2014, the Study Plan described a total of 35 studies to be completed and a total of 24 had been completed by the end of 2013. TID has further reported that two more studies were to be performed in 2014, but the California Department of Fish and Wildlife did not issue permits timely and TID filed an extension letter with FERC to perform the studies in 2015. After all of the studies are complete, California Environmental Quality Act ("CEQA") and National Environmental Policy Act ("NEPA") efforts must be undertaken before the license may be finalized. The Districts may operate under the existing license until the new license is finalized subject to the issuance of annual licenses by FERC.

A 1995 Don Pedro Project Settlement Agreement ("Settlement Agreement") and a 1996 Order by FERC ("1996 Order") established increased water flows on the Tuolumne River to protect fisheries and riparian resources. A restoration plan ("Restoration Plan") adopted in 2000 guides planning, funding and implementation efforts. The Restoration Plan calls for a series of projects with a combined estimated cost of $25 million to improve river channel, riparian and fisheries conditions within a 27 mile stretch of the Tuolumne River corridor below La Grange Dam. Four of the ten priority projects have been completed. However, no additional projects are in the planning or construction phases due to the limited availability of federal and State grant funds.

Pursuant to a then-existing agreement between the City and the Districts, the City might have been liable to provide a portion of the increased flows mandated under the 1995 Settlement Agreement. Instead, the City and the Districts entered into a new agreement whereby the Districts agreed to provide all flows ordered by FERC to implement the Settlement Agreement for the term of the current license for the Don Pedro Project (2016), in exchange for which the City pays to the Districts on a monthly basis an amount aggregating $3.5 million per year, subject to an escalation clause applied to keep pace with inflation. Pursuant to the terms of its agreement with the Districts, the City may withdraw from the agreement upon one year's notice.

The term of the Settlement Agreement runs until expiration of the current FERC license. License conditions, such as release requirements, could change under a new license. Changed release requirements could adversely affect the availability of Tuolumne River water to the SFPUC and incidental hydroelectric generation.

On August 18, 2014, the Center for Environmental Science, Accuracy, & Reliability ("CESAR") and Jean Sagouspe, a member of CESAR and an owner of farmland in California's Central Valley that receives its water from the CVP (the "Plaintiffs"), filed a complaint against the National Park Service ("NPS") and named federal officials (collectively the "Federal Defendants") in Federal District Court in the District of Columbia. The Complaint alleges that NPS annually approves instream flow releases from the "Hetch-Hetchy Project," and further alleges that the Federal Defendants have failed to comply with the Endangered Species Act ("ESA") and NEPA in connection with such alleged annual approvals. The City has requested to intervene in the case and, along with the Federal Defendants, has requested to transfer venue to the Eastern District of California. The DC District court granted the motion to transfer venue, and the City's motion to intervene was granted by the Eastern District. The City and the Federal Defendants view the Plaintiffs' claims as frivolous and without any merit. Nevertheless, as the Plaintiffs request that the Court enjoin the City's diversions from the Tuolumne River and enjoin operation of the "Hetch Hetchy Project" until the Federal Defendants comply with the ESA and NEPA in connection with the alleged annual approvals, were such injunctive relief to be granted, in whole or in part, the regional water supply would necessarily be significantly reduced.

WECC/NERC Requirements

FERC has adopted mandatory electric reliability standards developed by the North American Electric Reliability Corporation ("NERC") and enforced in the West by the Western Electric Coordinating Council ("WECC"). These standards require all entities that are a part of the bulk power supply system to demonstrate their ability to ensure reliability for all operations. The SFPUC is required to register and demonstrate compliance (or plans to mitigate non-compliance) in a number of operational areas. The SFPUC has established a compliance program that includes regular training of staff, systematic inspection and monitoring of operations and facilities, regular audits of compliance and mitigation plans, and regular reporting to senior management. NERC regulations are specified by operational function and require entities to register for each applicable function. The SFPUC is registered for several functions, including those applicable to transmission owners and operators and generation owners and operators. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION – Federal Law and Regulation – Federal Energy Regulatory Commission**.

Wildfire Considerations; 2013 Rim Fire

The Hetch Hetchy Project and electric transmission and other facilities operated by Hetch Hetchy Project staff are primarily located in the Sierra Nevada and surrounding foothills, where wildfire is a risk, particularly in the Yosemite National Forest surrounding Hetch Hetchy Reservoir. Wildfires can disrupt the operation of or cause damage to electric generation and transmission facilities.

The third largest wildfire in the State's history, and the biggest wildfire on record in the Sierra Nevada, started on August 17, 2013 and burned over 257,135 acres. This fire, popularly referred to as the Rim Fire, passed through an area containing two of the Hetch Hetchy Project's electric generating stations and reached the southern edge of the Hetch Hetchy Reservoir, which supplies 85% of San Francisco's drinking water and the Kirkwood and Moccasin Powerhouses, which combined generate approximately 57% of the electricity produced by the Hetch Hetchy Project. Other critical infrastructure, including electricity transmission and distribution lines, switch yards, and structures, was in the wildfire's direct path prior to containment. On August 23, 2013, the City declared a State of Emergency followed by Governor Brown's declaration of a State of Emergency for the San Francisco area. Emergency response teams were immediately deployed to protect the City's resources and assets in the Sierra Nevada. The fire was fully contained in October 2013.

The Rim Fire inflicted approximately $40 million in damages to the Hetch Hetchy Project and related transmission assets and other facilities in the Sierra Nevada region. The Hetch Hetchy Project electric generation system was also interrupted by the effects of the Rim Fire for a period of 43 days. In order to serve its retail load and maintain safety and reliability during this period, the SFPUC purchased power on the open market, including using existing banked electricity with PG&E. The total cost to the SFPUC of such power purchases and banked

power usage was approximately $1.7 million. The SFPUC is pursuing cost recovery to recoup losses through the Federal Emergency Management Agency's and the State of California Governor's Office of Emergency Services' Public Assistance Grant programs, as well as purchased property insurance coverage for mission critical assets. To date, the SFPUC has made progress in recovering the majority of costs related to the power purchases through insurance and is working towards collecting further reimbursements for damages caused by the Rim Fire. See **FINANCIAL OPERATIONS – Risk Management and Insurance**. Endpoint delivery of electricity to Power Enterprise retail and wholesale customers remained unaffected and the Rim Fire did not have an adverse impact on drinking water quality, despite some ash having been observed falling into the Hetch Hetchy Reservoir.

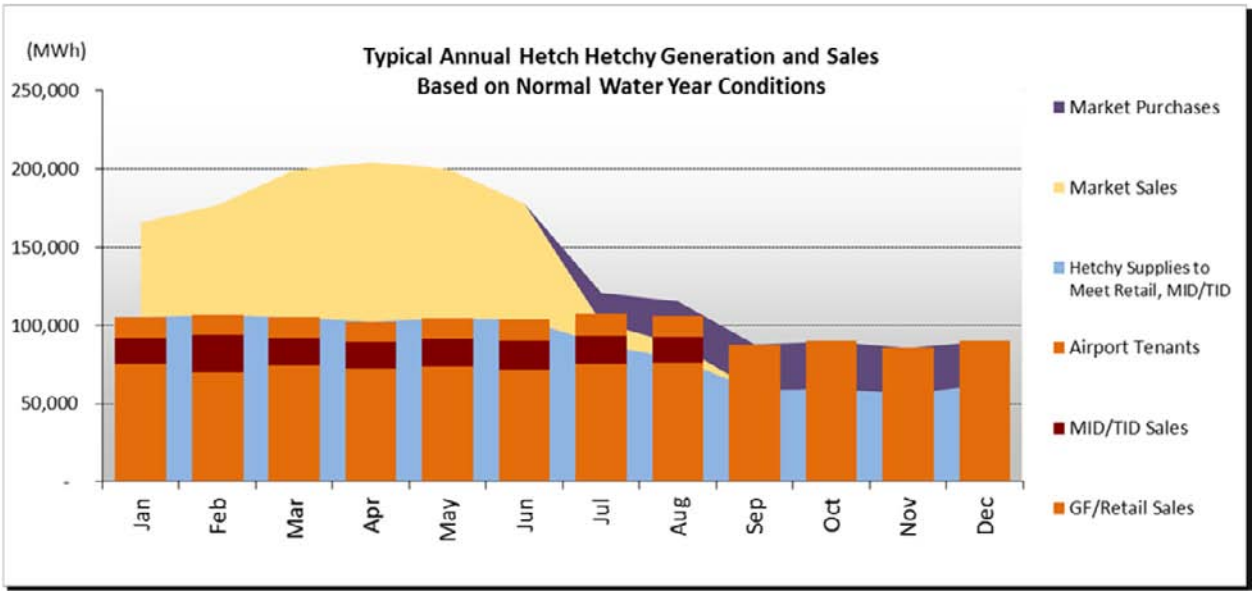
Safety and Security

The safety of the facilities of the Hetch Hetchy Project is maintained via a combination of regular inspections by SFPUC employees, electronic monitoring, and analysis of unusual incident reports. All above-ground facilities operated and maintained by the SFPUC are controlled-access facilities with fencing, gates, closed circuit television systems and security officers at certain points. Smaller, above ground and subterranean pumping stations operated and maintained by the SFPUC are locked with padlock or internal locking mechanisms, and most are monitored via access/intrusion alarms. Security improvements are evaluated on an ongoing basis. The electronic operations and controls have been evaluated and exposure reduced through a series of technology systems enhancements and integration.

Variability of Hydroelectric Generation

As is the case for nearly all hydroelectric generating assets, generation at the Hetch Hetchy Project is subject to annual and seasonal variations in precipitation. Typically, in the spring, hydroelectric generation at the Hetch Hetchy Project is higher than in other parts of the year as collected water and snowmelt flows through the Hetch Hetchy Project and the Regional Water System to satisfy customer draws and fill reservoirs at lower elevations, while electrical demand within the western region of the United States is generally lower than it is during most other parts of the year. Conversely, in the late summer and fall, with substantially less snowmelt and, on average, decreased precipitation, hydroelectric generation at the Hetch Hetchy Project declines due to concomitant decreases in water flow through the Hetch Hetchy Project. At the same time, electrical demand from western regional users increases. In an average year, the Power Enterprise has excess generation to sell in the first half of the year, and generally purchases wholesale electricity during the second half of the year to meet its electricity demand. See – **Hetch Hetchy Project Operations – Water First Policy** and **CERTAIN RISK FACTORS – Changes in Energy Prices.**

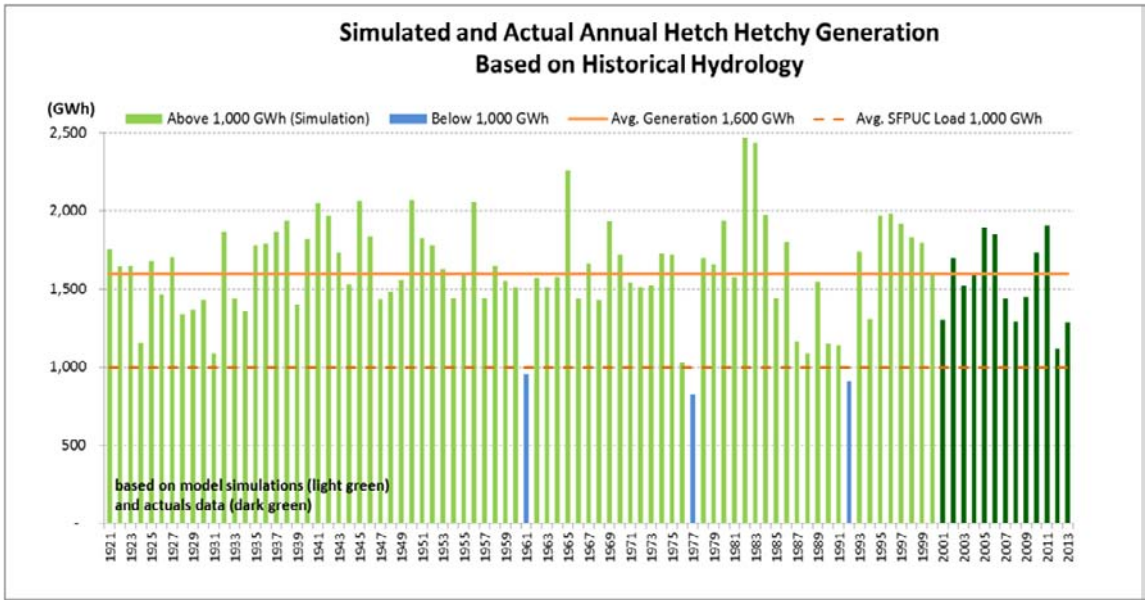
Under normal annual rainfall conditions, the Hetch Hetchy Project typically generates in excess of 1,600,000 MWh per year, with an average of 1,160,000 MWh generated in the first six months to satisfy average customer load of 532,700 MWh during the same period, and an average of 440,000 MWh generated in the second six months to satisfy average customer load of 547,300 MWh during the same period. The Power Enterprise manages Hetch Hetchy Project generation with market power purchases as needed to meet retail load in real time. During the second half of an average year, the Power Enterprise typically makes wholesale electricity purchases equating to approximately 15% of its customers' total load. See **THE POWER ENTERPRISE – Load and Electricity Supply Resource Management; Wholesale Electricity Trading**.



Source: SFPUC.

Precipitation conditions also vary on an annual basis. The Hetch Hetchy Project is geographically located in an environment subject to periodic drought conditions. Since 1921, four extended droughts have been recorded in the Hetch Hetchy Project area, including the current drought which began in 2011. See **– Current California Drought**. During dry years in the Hetch Hetchy Project area, the share of purchased power as a percentage of Power Enterprise customers' load increases. For example, in 2013, a year in which only 73% of average annual precipitation fell in the Hetch Hetchy Project area, purchased power represented a total of 1% of the Power Enterprise's total power delivered, and in 2014, a year in which only 62% of average precipitation fell in the Hetch Hetchy Project area, purchased power represented 4% of the Power Enterprise's total power delivered. Because of the prevalence of hydroelectric generating resources in the Western and particularly Northwestern portions of the United States, regional drought conditions of the type experienced in such regions in 2013 and 2014 can also impact the overall cost of purchased power. The SFPUC cannot predict when current drought conditions will end or the frequency or severity of any future drought conditions.

Had current system generation been in place throughout the past 93 years, models indicate the Hetch Hetchy Project would have produced an annual maximum generation of approximately 2,500,000 MWh and a minimum of approximately 900,000 MWh, while currently serving an average retail customer load of 1,000,000 MWh. On average, the Hetch Hetchy Project generates approximately 1,600,000 MWh of electricity. Even during drought conditions, the Hetch Hetchy Project has frequently generated enough electricity to meet its retail load obligations, but had less excess generation available for wholesale sales, effectively reducing revenues from wholesale market transactions. See **THE POWER ENTERPRISE – Load and Electricity Supply Resource Management; Wholesale Electricity Trading**. The following graph shows simulated annual generation of the Hetch Hetchy Project applying current system generation capability to historic hydrology since 1921.



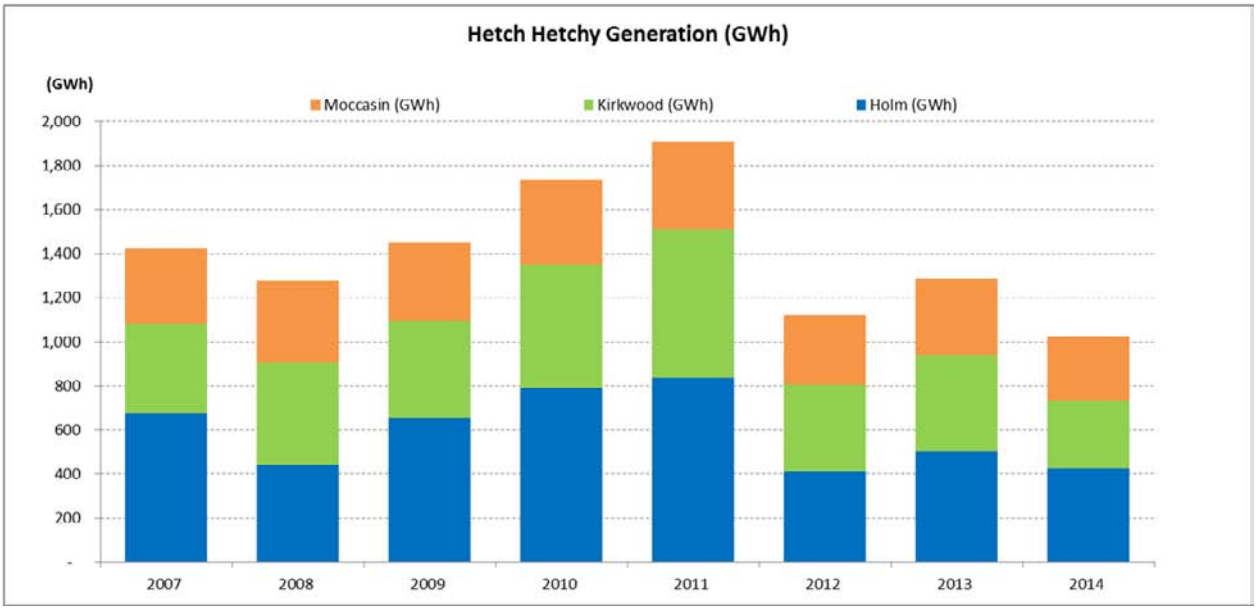
Source: SFPUC.

Current California Drought

The three-year period of 2012-2014 is the driest three-year period of the SFPUC's 97-year hydrolic record. Based on tree ring analysis, the flow deficit (representing the amount below the normal, or median, flow) in the Tuolumne River has been at its worst since the 18th century (1776-1778).

As compared to the same period in Water Year 2014, precipitation conditions have improved while snowpack conditions have not in Water Year 2015 through February 18, 2015. In both cases, precipitation and snowpack conditions still remain below the median. In January 2015 Hetch Hetchy received the least amount of precipitation (0.14") in the 30-year record that is available for Hetch Hetchy. Historically, the greatest amount of precipitation and snowfall occurs in the period of January through March.

The graph below shows the Hetch Hetchy Project generation by powerhouse from 2007 through 2014. Between 2011 and 2014 the annual generation from the three powerhouses has decreased as a result of the drought. The Power Enterprise continues to meet its load obligations through supplemental wholesale power purchase.



Source: SFPUC.

Potential Impact of Climate Change

The issue of climate change has become an important factor in hydroelectric generation in the State. There is evidence that increasing concentrations of greenhouse gases have caused and will continue to cause a rise in temperatures around the world, which will result in a wide range of changes in climate patterns. Moreover, there is evidence that a warming trend occurred during the latter part of the 20th century and will likely continue through the 21st century. These changes will have a direct effect on hydroelectric generation in the State, and numerous studies on climate and water in the State have been conducted to determine the potential impacts. Based on these studies, global warming could result in the following types of water resources impacts in the State, including impacts on the Regional Water System and associated watersheds which may, in turn, impact hydroelectric generation:

- Reductions in the average annual snowpack due to a rise in the snowline and a shallower snowpack in the low- and medium-elevation zones, such as in the Tuolumne River basin, and a shift in snowmelt runoff to earlier in the year,

- Changes in the timing, intensity, and variability of precipitation, and an increased amount of precipitation falling as rain instead of as snow,

- Long-term changes in watershed vegetation and increased incidence of wildfires that could affect water quality,

- Sea level rise and an increase in saltwater intrusion,

- Increased water temperatures with accompanying adverse effects on some fisheries,

- Increases in evaporation and concomitant increased irrigation need, and

- Changes in urban and agricultural water demand.

However, other than the general trends listed above, there is no clear scientific consensus on exactly how global warming will quantitatively affect State water supplies and, therefore, hydroelectric generation.

The SFPUC staff performed an initial evaluation of the effect on the Regional Water System of a 1.5 - degree Celsius (°C) temperature rise between 2000 and 2025. The temperature rise of 1.5°C is based on a consensus among many climatologists that this level of warming is likely to occur by 2025. The evaluation predicts that an increase in temperature of 1.5°C will raise the snowline approximately 500 feet. The elevation of the watershed draining into Hetch Hetchy Reservoir ranges from 3,800 to 12,000 feet above mean sea level, with about 87% of the watershed area above 6,000 feet. In 2000 (a normal hydrologic year in the 82-year period of historical record), the average snowline in this watershed was approximately 6,000 feet during the winter months. Therefore, the SFPUC evaluation indicates that a rise in temperature of 1.5°C between 2000 and 2025 will result in less or no snowpack between 6,000 and 6,500 feet and faster melting of the snowpack above 6,500 feet. Similarly, a temperature rise of 1.5°C between 2025 and 2050 will result in less or no snowpack between 6,500 and 7,000 feet and faster melting of the snowpack above 7,000 feet.

The SFPUC climate change modeling indicates that, on average, about 7% of the runoff currently draining into Hetch Hetchy Reservoir will shift from the spring and summer seasons to the fall and winter seasons in the Hetch Hetchy basin by 2025. This percentage is within the current inter-annual variation in runoff and is within the range accounted for during normal runoff forecasting and existing reservoir management practices. The additional change between 2025 and 2030 is not expected to be detectible. The predicted shift in runoff timing is similar to the results found by other researchers modeling water resource impacts in the Sierra Nevada due to warming trends associated with climate change.

Based on these preliminary studies and the results of literature reviews, the potential impacts of global warming on the Regional Water System are not expected to affect power system operations through 2030. SFPUC hydrologists are involved in ongoing monitoring and research regarding climate change trends and will continue to monitor the changes and predictions, particularly as these changes relate to water system operations and management of the Regional Water System. The SFPUC has developed a work plan to further advance its research on the effects of climate change on the Regional Water System.

Proposals to Restore Hetch Hetchy Valley

Some environmental organizations advocate for the removal of the Hetch Hetchy Reservoir and the restoration of Hetch Hetchy Valley. For example, an initiative ordinance entitled the "Water Sustainability and Environmental Restoration Planning Act of 2012" qualified for the November 2012 City ballot with support from an organization called "Restore Hetch Hetchy" ("RHH"). The initiative would have required the City to identify alternative sources of water and, subject to certain additional conditions, end its use of the Hetch Hetchy Reservoir. That reservoir supplies the Kirkwood and Moccasin Powerhouses, which combined generate approximately 57% of the electricity produced by the Hetch Hetchy Project. This initiative was overwhelmingly rejected by San Francisco voters.

There have been previous studies that examined prior proposals to remove the Hetch Hetchy Reservoir. For example, the California Department of Water Resources and the California Department of Parks and Recreation issued a comprehensive report and concluded that it does appear technically feasible to restore Hetch Hetchy Valley, but expressed caution about the financial feasibility. The study estimated that the total cost for such a project would range from nearly $3 billion to $10 billion. The planning effort alone, they concluded, would take up to ten years to complete and would cost $65 million dollars. A project to restore the Hetch Hetchy Valley likely would substantially increase the Power Enterprise's annual cost of power.

On April 21, 2015, RHH issued a press release stating that it filed a complaint against the City in Tuolumne County Superior Court. The complaint was served on the City on April 29, 2015. Under California Constitution Article X, Section 2 ("Section 2"), which dates back to 1928, the right to water from any natural water course is limited to such water as is reasonably required for the beneficial use to be served, and does not extend to the waste or unreasonable use, method of use or method of diversion of such water. The complaint alleges that the SFPUC's operation of Hetch Hetchy Reservoir is an "unreasonable method of diversion of water" because of the O'Shaughnessy Dam's location within a National Park. The complaint seeks a declaratory judgment on that point, and an order requiring the City to prepare "a written plan detailing alternative reasonable methods of diversion" of its Tuolumne River water rights, including "a component for modifying or removing the O'Shaughnessy Dam"

(with the effects described above). The City believes the legal assertions and claims in the complaint are without merit and unprecedented under Section 2 and intends to vigorously defend the suit.

The SFPUC is unable to predict whether future initiatives might be submitted to or approved by the voters or whether future legal actions might be brought, or their potential impact on the SFPUC or the Power Enterprise.

THE POWER ENTERPRISE

General

The SFPUC has provided electricity services to retail customers and State irrigation districts since the 1920s in accordance with the terms of the Raker Act. Pursuant to the Raker Act, the City developed a system of hydroelectric facilities, transmission facilities and other electric utility infrastructure to serve its customers. See **THE HETCH HETCHY PROJECT**. The City also built and owns certain distribution facilities. Since at least 1945, the City has purchased transmission and distribution services from PG&E through a FERC-approved wholesale agreement to transmit and deliver electricity to City customers.

In 2005, as part of an agency-wide reorganization, the SFPUC created the Power Enterprise as a separate electric utility enterprise to complement the Water and Wastewater Enterprises. Although the Power Enterprise is functionally organized as a separate enterprise within the SFPUC's overall structure, the Hetch Hetchy Project operates as a combined water storage and conveyance and electric generation and transmission utility. See **THE HETCH HETCHY PROJECT**.

The Power Enterprise generates, schedules, purchases, sells, transmits and distributes electricity to meet the needs of about 2,416 retail and wholesale customers, including 17% of the total electricity consumed within the City (the remaining 83% is provided by PG&E and electricity service providers through a State-authorized direct access scheme). The Power Enterprise's customers include:

- all municipal departments, including the City's fire houses, hospitals, municipal transit rail system, water and wastewater treatment facilities, SFO, recreational facilities, maritime facilities, public housing and all City streetlights and traffic signals;
- tenants in City-owned properties, including tenants of the Port and SFO; and
- Phase I of the Hunters Point Shipyard redevelopment project and tenants of TIDA on the former Naval Station Treasure Island and Yerba Buena Island.

The Power Enterprise also owns, operates and maintains more than half of the street lights in the City and supplies electricity to the other half, which are owned and maintained by PG&E. In addition, as a result of the increasing commitment of the citizens of the City to reduce the production of GHGs, together with related environmental concerns, the SFPUC has begun to diversify its generation resources and make additional investments in renewable generation resources and energy efficiency. The Power Enterprise provides energy efficiency and other clean energy services to its customers, including solar incentives to all residents and business within the City through the Power Enterprise's GoSolarSF program to encourage local installations of small scale photovoltaic systems.

The Power Facilities include the power-related assets of the Hetch Hetchy Project, 17 solar arrays and 2 biogas facilities, transmission lines, and numerous distribution facilities. The Power Enterprise currently has 98 full-time positions, an operating budget of $146.7 million for fiscal year 2014-15, and a capital budget of about $75.9 million for power facilities and the power portion of combined water and power facilities. The Power Enterprise's revenues for fiscal year 2013-14 were approximately $105.8 million. Power Enterprise revenues currently support approximately 80% of the SFPUC's costs of operating the Hetch Hetchy Project, including maintenance and capital improvements relating to the Hetch Hetchy Project. See **THE HETCH HETCHY PROJECT – Hetch Hetchy Project Operations** and **FINANCIAL OPERATIONS**.

Power Service in San Francisco

Based on the City's 2011 Updated Electricity Resource Plan (defined below), average total electricity usage in the City has been approximately 6,000 GWh per year or an average of approximately 980 MW of demand. The City's electricity needs are met by three primary providers. PG&E is the largest provider of electricity in the City and serves approximately 75% of the total load within the City. Approximately 8% of the City's electricity needs are supplied by third party electric service providers through direct bilateral power contracts, using PG&E's transmission and distribution system to deliver their electricity. The remaining 17% of the City's electricity usage is served by the Power Enterprise. The above percentages include electricity usage for all of the City and SFO, which is located outside City boundaries in unincorporated San Mateo County and served by the SFPUC. In 2008, the City established a goal to have GHG-free electric service by 2030, to be realized in part by generating, deploying and procuring all of the SFPUC's electricity needs from renewable and zero-GHG electric energy sources.

Pacific Gas & Electric Company

Incorporated in the State in 1905, PG&E is an investor-owned natural gas and electric utility company, with a service area in the State that extends from Eureka in the north to Bakersfield in the south, and from the Pacific Ocean in the west to the Sierra Nevada in the east, although portions of the area are served by municipally owned utilities. PG&E is headquartered in the City. PG&E is the largest provider of electricity within San Francisco. As calculated in San Francisco's 2011 Updated Electricity Resource Plan, PG&E provided 75% of the approximately 6,000 MWh of electricity consumed in the City as of 2010.

PG&E is regulated primarily by the CPUC and FERC. The CPUC has jurisdiction over the rates and terms and conditions of service for PG&E's electricity and natural gas distribution operations, electric generation, and natural gas transportation and storage. FERC has jurisdiction over the rates and terms and conditions of service governing PG&E's electric transmission operations and interstate natural gas transportation contracts. The federal Nuclear Regulatory Commission oversees the licensing, construction, operation, and decommissioning of the PG&E's nuclear generation facilities. PG&E is also subject to the jurisdiction of other federal, state, and local governmental agencies in certain matters.

The SFPUC interfaces with PG&E in multiple ways:

- *Customer*. The SFPUC is a wholesale customer of PG&E for transmission and distribution services within the City, paying PG&E approximately $16 million a year for such services. The SFPUC is also a customer of PG&E streetlight services, currently paying PG&E approximately $1.6 million a year to operate and maintain the 20,000 PG&E-owned streetlights in the City. The SFPUC, though, provides electricity for all streetlights in the City.

- *Regulator*. A Franchise Agreement between the SFPUC and PG&E, approved by the Board of Supervisors on December 26, 1939, grants PG&E non-exclusive franchises to provide electric and gas service in the City and authorizes use of public rights-of-way in connection therewith. The City, including the SFPUC, regularly issues permits to PG&E for work on or use of City property to improve its systems. For example, PG&E is a permitted user of some of the SFPUC's watershed lands.

- *Competitor*. Neither the Raker Act nor PG&E's Franchise Agreement imposes any limitations on the City's ability to serve retail customers. The SFPUC and PG&E are able to compete to serve any load and offer competing products.

Electric Service Providers (Direct Access)

Direct access service in the State was established as a result of the restructuring of the State's electric industry in 1998 through AB 1890 and allows qualified large customers to purchase their electricity directly from qualified generators or other suppliers through bilateral contracts, subject to utility-specific load caps. The local utilities continue to be responsible for transmission and distribution under CPUC tariffs. In the City, although fewer than 800 customers continue to participate in the direct access program, given their large size, their combined

electricity usage constitutes approximately 8% of total electricity usage and includes about 60% of PG&E's largest customers within the City, including certain downtown office buildings, large department stores, industrial customers, the University of California and the California State University System. Residential and small commercial customers of investor-owned utilities are not eligible for participation in the direct access program. None of the Power Enterprise's customers are eligible to participate in the State's direct access program.

Power Enterprise Service

The Power Enterprise is responsible for the marketing, sale, transmission, and delivery of all of the clean energy products produced by the Hetch Hetchy Project and other power produced by the SFPUC. The Power Enterprise balances that supply with purchases or sales to meet customer demand. The Power Enterprise transmits, distributes, meters, and prepares the electric bills for its customers, comprised of all City offices, facilities, and their tenants, ranging from neighborhood Police Stations and Fire Houses, the Ferry Building, and City Hall, to the Airport, General Hospital, wastewater pumping and treatment facilities, the Regional Water Treatment Facilities, and the Municipal Railway. The Power Enterprise is also the full-service electricity provider to the newly developing Hunters Point Shipyard Phase 1 project and the Transbay Transit Center. The Power Enterprise also provides gas and electric service to former Naval Station Treasure Island, by agreement with TIDA. See **–Power Enterprise Customers**. The Power Enterprise operates and maintains four substations and switchgear, and many miles of distribution wires to provide reliable electric service to its customers.

The Power Enterprise provides the full complement of electricity services to its customers, which includes implementing energy efficiency improvements and on-site renewable power generation. The Power Enterprise has developed and owns 2 MW of rooftop solar projects. The Power Enterprise has also developed certain in-City solar generation and methane gas-fired co-generation facilities. See **– Power Supply Resources**. The Power Enterprise owns, operates, manages, and maintains approximately 25,000 street lights and related circuitry throughout the City.

The Power Enterprise's operations and planning are guided by a number of policy objectives, including:

- Ensuring compliance with the Raker Act;
- Preserving the ability to operate, maintain, repair and improve SFPUC-owned facilities and providing safe and reliable electric service;
- Maximizing the value received from Hetch Hetchy Project electricity supply; and
- Continuing to support other valuable City and community goals, such as:
    - Reducing the City's carbon footprint
    - Increasing the reliability of the City's electricity supply
    - Encouraging conservation and sustainable technologies.

Power Supply Resources

The Power Enterprise meets its customers' electricity requirements with a combination of (1) generation from the SFPUC-owned Hetch Hetchy Project, (2) generation at renewable projects in the City owned by the Power Enterprise and (3) market purchases. See **THE HETCH HETCHY PROJECT**.

The Power Enterprise portfolio is comprised of approximately 395 MW of renewable electricity generating capacity serving approximately 150 MW of retail load.

TABLE 3
POWER GENERATION RESOURCES

Hetch Hetchy Project Large Hydro (96% of Total)

Powerhouse	Capacity (MW)	Units
Holm	165.0	2
Kirkwood	115.5	3
Moccasin	100.0	2
Total	380.5	7

Other Renewable (4% of Total)

Source	Capacity (MW)
Solar (local)	7.7
Hetchy Small Hydro	3.8
Biogas (local)	3.1
Total	14.6

Solar, Biogas, Wind

In addition to the generation resources of the Hetch Hetchy Project, the Power Enterprise has developed, owns, and maintains 2.7 MW of rooftop solar projects on City property. The Power Enterprise has also partnered with a private solar developer to build a large-scale, local solar facility on the SFPUC's Sunset Reservoir. The SFPUC has entered into a long-term Power Purchase Agreement for the output of this 5 MW Sunset Solar Generating Project. See – **Power Purchases**. Solar generation capacity is distributed among the 17 municipal solar installations listed below.

TABLE 4
SOLAR GENERATION RESOURCES

Project	Date Online	Location	Output
Moscone Convention Center	Mar. 2004	747 Howard St.	676 kW
Southeast Wastewater Treatment Plant	Oct. 2005	750 Phelps St.	255 kW
Pier 96	Jan. 2007	Pier 96	245 kW
Maxine Hall Neighborhood Medical Center	Dec. 2007	1301 Pierce St.	32 kW
North Point Wet-Weather Facility	Dec. 2007	111 Bay St.	241 kW
City Distribution Division	Dec. 2007	1990 Newcomb Ave.	134 kW
Chinatown Public Library	Jan. 2008	1135 Powell St.	10 kW
San Francisco International Airport	Mar. 2008	Terminal 3	456 kW
Sunset Reservoir[(1)]	Nov. 2010	Ortega & 28th Ave.	5 MW
MUNI Maintenance Yard	Oct. 2011	1095 Indiana St.	106 kW
Chinatown Public Health Center	Nov. 2011	1490 Mason St.	24.5 kW
Tesla Water Treatment Facility	Mar. 2012	Tracy, CA	32 kW
SFPUC Headquarters	Jun. 2012	525 Golden Gate Ave.	164 kW
Alvarado Elementary School	Nov. 2012	625 Douglass St.	50 kW
MUNI Ways and Structures	Sep. 2013	700 Pennsylvania Ave.	101 kW
Louise M. Davies Symphony Hall	Mar. 2014	201 Van Ness Ave.	182 kW
North Beach Library	Jul. 2014	850 Columbus Ave.	11.7 kW

(1) Owned by SFCity1. Power purchased by the Power Enterprise pursuant to a long-term power purchase agreement. See – **Power Purchases**.
Source: SFPUC.

The SFPUC has also begun the process of installing an 80 kW solar electric system on City Hall, which is expected to be operational in 2015.

The SFPUC also operates two biogas generation facilities, located at the Wastewater Enterprise's Southeast and Oceanside Wastewater Treatment Plants, with a combined capacity of approximately 3.1 MW or approximately 1% of the Power Enterprise's aggregate generation capacity. Such facilities generate clean, renewable energy from the gas byproducts of the wastewater decomposition process.

Power Purchases

The Power Enterprise supplements its resource portfolio with long-term and short-term power purchases to meet retail customer demand. The SFPUC has entered into a number of long-term power purchase agreements to help meet its electricity requirements:

- ***Western Area Power Administration*** – The SFPUC has entered into a long-term power agreement with the Western Area Power Administration ("WAPA") wherein WAPA provides supplemental power and portfolio management services for customer needs on Treasure Island and Yerba Buena Island ("TI/YBI"). Through the agreement, WAPA provides full load service and scheduling coordinator services for TI/YBI. The contract allocates a percentage of WAPA's base resources and supplemental electricity to the SFPUC to meet the existing needs of TI/YBI. Additionally, the WAPA agreement provides for transmission access on the Central Valley Project Transmission System for such allocation. The contract expires on December 31, 2024.

- ***Sunset Reservoir Photovoltaic*** – The SFPUC has entered into an agreement with SFCity1 to finance, construct, own, operate, and maintain a 5 MW solar photovoltaic generating plant on the rooftop of the SFPUC-owned North Storage Basin Reservoir and certain adjacent land on the Sunset Reservoir property and to sell all electricity generated by such project to the SFPUC though a 25-year power purchase agreement. The power purchase agreement provides that the SFPUC will purchase all electricity produced by the Sunset Solar Project at specified contract prices. The contract provides an option for the SFPUC to buy the solar facility at a predetermined price on or after 7 or 15 full years from the actual commercial operation date.

When electricity from its owned generation resources and long-term purchased power are not sufficient to meet electricity demand, the Power Enterprise supplements its resources with medium- and short-term power purchases through month-ahead, day-ahead and spot purchases on the CAISO market. All market purchases are subject to established risk management practices and guidelines, including trading limits and counterparty credit requirements, and are required to include electricity produced from GHG-free sources.

Wholesale Electricity Sales

The Raker Act requires the City to sell electricity from the Hetch Hetchy Project first to meet the City's own pumping and municipal needs, then, as available, to meet the pumping and municipal needs of the Districts, and lastly, as available, the City may sell excess electricity for commercial purposes. The Raker Act does not limit the type of commercial end-use customer that SFPUC may supply; electricity may be sold to any retail/commercial end-use customer. However, such electricity may not be sold to a private corporation or individual for resale. Historically, excess Hetch Hetchy Project electricity has generally been sold to other public utilities.

In 1988, the SFPUC entered into a long-term power sales agreement with the Districts. The SFPUC subsequently amended the terms of the agreement with each of the Districts. The agreement with MID was renegotiated in 2008 to remove the Power Enterprise's obligation to provide firm power to MID and to eliminate MID's rights to excess electricity from the Hetch Hetchy Project. The SFPUC's agreement with MID expires on June 30, 2015. In 2005, the SFPUC amended the terms of the agreement with TID. The amended agreement between the SFPUC and TID terminates the Power Enterprise's obligation to provide TID firm power at below market costs. The SFPUC's agreement with TID also expires on June 30, 2015. The SFPUC is negotiating updated agreements, subject to the requirements of the Raker Act. The SFPUC will continue to comply with the Raker Act by making hydroelectricity generated by the Hetch Hetchy Project available at cost to MID and TID for agricultural

pumping and municipal loads after the expiration of the power sales agreement, as electricity is available. See **CERTAIN RISK FACTORS – Raker Act Requirements**.

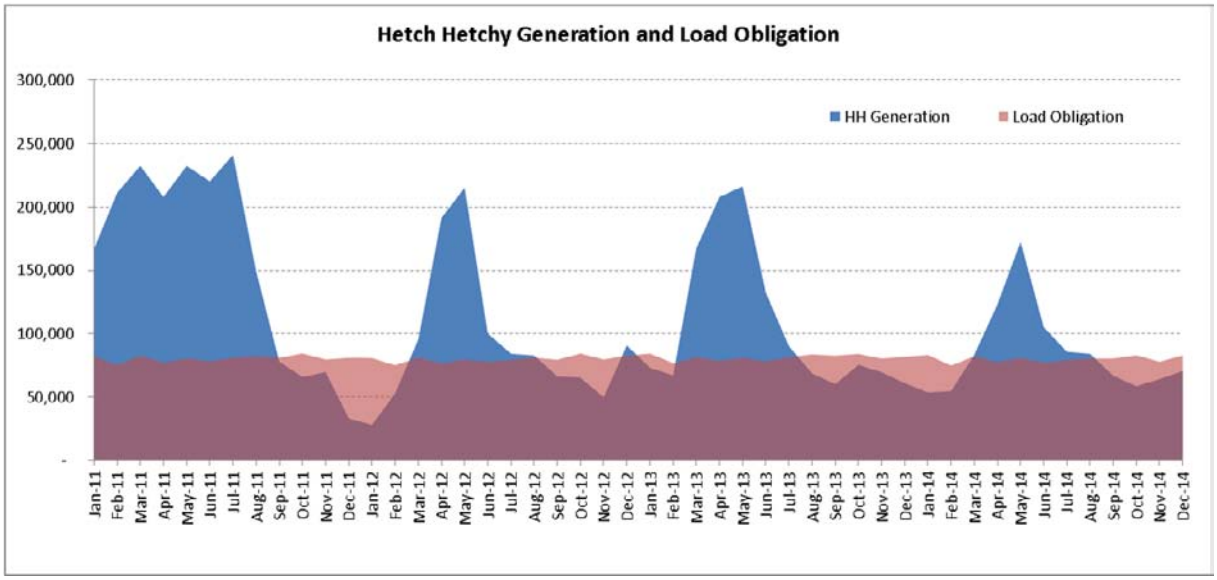
For Fiscal Years 2012-13 and 2013-14 electricity sales to the Districts totaled approximately 227,544 MWh or approximately $6.54 million, and approximately 103,489 MWh or approximately $3.43 million, respectively. The revenues from electricity sales to the Districts for Fiscal Year 2014-15 are projected to be approximately $5.4 million.

The SFPUC previously entered into a long-term agreement with the Riverbank Local Redevelopment Authority (the "Riverbank LRA") to provide firm power to the Riverbank LRA to serve electric load at the former Riverbank Army Ammunition Plant (the "RAAP"). The Riverbank LRA is currently in the process of converting the RAAP to civilian and commercial uses. The agreement expired in 1991; however, the SFPUC continues to provide firm service under the same terms and conditions. Total electric sales to the Riverbank LRA in 2013 were approximately 6,000 MWh. The SFPUC expects to negotiate a new power supply agreement with Riverbank LRA. See – **Power Enterprise Customers – Wholesale Customers**.

Load and Electricity Supply Resource Management; Wholesale Electricity Trading

The Power Enterprise manages Hetch Hetchy Project generation with market power purchases as needed to meet retail load in real time and by season to account for the variability of available hydroelectric generation. As a net-long generator, variation in annual generation is covered by fund balances which are replenished in normal- and high-precipitation years. As of June 30, 2014, the Power Enterprise had an unrestricted fund balance of approximately $135 million. Seasonal variability in hydroelectric generation is addressed through seasonal market power sales and purchases, and a power banking agreement with PG&E. In the second half of the calendar year, the Power Enterprise purchases wholesale electricity to meet, on average, approximately 15% of its needs. During dry years, when less Hetch Hetchy Project generation is available, Power Enterprise's market exposure increases, historically by an additional 5% on average of its retail needs. See **THE HETCH HETCHY PROJECT – Variability of Hydroelectric Generation**.

The following chart shows the last four years of historical Hetch Hetchy Project generation and Power Enterprise customer demand on an annual basis.



Source: SFPUC.

In addition to providing transmission and distribution services, PG&E also provides the Power Enterprise with a power banking arrangement. Historically, the SFPUC has relied on its power banking arrangement with PG&E to hedge and manage differences in Hetch Hetchy Project generation and customer demand on a seasonal

basis. The power banking arrangement permits the Power Enterprise to deposit a limited amount of Hetch Hetchy Project electricity during periods when generation exceeds the Power Enterprise's retail and wholesale obligations. The Power Enterprise withdraws, within certain limits, electricity to meet SFPUC requirements when Hetch Hetchy Project generation is less than retail obligations. See **THE HETCH HETCHY PROJECT – Variability of Hydroelectric Generation**.

The City's interconnection agreement with PG&E allows the Power Enterprise to bank excess electricity to a maximum of 110,000 MWh. As of June 30, 2014, the balance of electricity accounted for under such banking arrangement was 78,502 MWh for the benefit of the Power Enterprise. The interconnection agreement is scheduled to expire in July 2015. Following expiration of the agreement, PG&E will no longer be obligated to provide power banking services to the Power Enterprise. The Power Enterprise anticipates that, after termination of the Interconnection Agreement, it will utilize bilateral agreements or the CAISO market to derive value from its excess generation and meet the SFPUC's requirements during periods when Hetch Hetchy Project generation is less than retail obligations. See **– Transmission and Distribution**.

The SFPUC has adopted an Energy Trading Risk Management Policy applicable to the wholesale purchases and sales of electricity by the SFPUC to balance loads and resources in the near-term. The policy sets parameters for trades that include guidelines for load forecasting, counterparty eligibility, transaction authorizations, documentation and reporting requirements, and other transaction limitations.

Transmission and Distribution

Since at least 1945, the City has purchased transmission and distribution services from PG&E through a FERC-approved wholesale agreement to transmit and deliver electricity to City customers. Currently, the SFPUC takes transmission and distribution services from PG&E through a long-term FERC-approved interconnection agreement. The City's interconnection agreement with PG&E was entered into in 1987 and renegotiated in 2007. Under the interconnection agreement, PG&E provides firm transmission capacity and interconnection to its distribution network. Such wholesale transmission and distribution services are provided to the Power Enterprise at negotiated, FERC-approved rates to facilitate the transmission and distribution of the Power Enterprise's electricity supplies to its customers within the City, on the San Francisco Peninsula, in the East Bay and in other locations. The Power Enterprise also purchases distribution service from PG&E under PG&E's Wholesale Distribution Tariff to serve customers at Hunters Point and the new Transbay Transit Center. In addition to these arrangements for transmission and distribution services, the Power Enterprise provides electric service on Treasure Island through long-term agreements with the WAPA and the Port of Oakland. See **– Power Supply Resources – Power Purchases**.

The interconnection agreement with PG&E is scheduled to expire in July 2015. As a result of electric industry restructuring in the 1990s, PG&E is now required to provide open, non-discriminatory service on its distribution and transmission network to wholesale customers, such as the Power Enterprise, under FERC-approved wholesale tariffs. Open access to PG&E's grid avoids the need for the Power Enterprise to install, own and maintain duplicative and costly transmission and distribution infrastructure for its existing customer base. Upon expiration of the current interconnection agreement, the Power Enterprise expects to transition from its current arrangement to similar transmission and distribution services under FERC-approved tariffs. For transmission services, the Power Enterprise will take wholesale transmission services on PG&E's system using the CAISO's Open-Access Transmission Tariff at rates approved and regulated by FERC. For distribution services, the Power Enterprise expects to take distribution services from PG&E under the FERC-approved Wholesale Distribution Tariff at rates approved and regulated by FERC.

The City has filed a complaint against PG&E at FERC related to PG&E's delays in processing the SFPUC's request for service under PG&E's Wholesale Distribution Tariff beginning in July 2015. PG&E acknowledges that the SFPUC is entitled to open access service under the tariff, but disagreements remain regarding the extent of new distribution facilities the City will be required to construct in order to serve its existing customers. Resolution of the complaint, either through a negotiated settlement with PG&E or a decision by FERC, will impact the cost of service for the Power Enterprise. If the disputed issues are not resolved before the interconnection agreement expires, though, service to Power Enterprise customers will not be interrupted.

See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION – Federal Law and Regulation**.

Current transmission and distribution rates specified in the interconnection agreement are less than the FERC-approved tariffed rates for transmission service through the CAISO Open-Access Transmission Tariff and distribution service through PG&E's Wholesale Distribution Tariff. With the expiration of the interconnection agreement, the Power Enterprise's transmission and distribution costs are expected to increase. The Power Enterprise's adopted two-year budget through Fiscal Year 2015-16, and all financial projections, include the anticipated cost increases, with the cost budgeted at $17 million for Fiscal Year 2015-16 and projected to increase 6% per year for the next ten years.

SFPUC-owned Transmission Service

The SFPUC owns and maintains four transmission lines extending from the generation units of the Hetch Hetchy Project. See **THE HETCH HETCHY PROJECT**. These transmission lines connect with the CAISO system and are also connected to two other balancing authorities that serve the SFPUC's two largest wholesale customers. These are the Balancing Authority of Northern California, which covers MID, and TID, which operates as its own balancing authority. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION – The Power Enterprise's Relationship to the CAISO**. The SFPUC is evaluating the potential to extend the transmission line terminating at Newark into the City.

The SFPUC also provides transmission-level service to RAAP via a tap from the SFPUC's 115 kV transmission system located just north of the main RAAP site. See – **Wholesale Electricity Sales**.

Trans Bay Cable

The Trans Bay Cable project is an electricity transmission infrastructure project for delivery of electricity to the transmission grid in the City. On August 7, 2007, the Board of Supervisors granted two non-exclusive licenses to Trans Bay Cable LLC ("TBC") for the Trans Bay Cable Project. TBC proposed to install, operate, and maintain approximately 53 miles of high-voltage direct current transmission cable bundle of approximately 10 inches in diameter running from the City of Pittsburg to the City. Approximately 9.4 miles of the cable are in submerged lands, a small portion of shoreline, and on a portion of a street that are under San Francisco Port Commission jurisdiction. The project came on line November 29, 2010.

The first license is a nonexclusive license to install a 400 MW high-voltage transmission line, with a four-year term. In connection with this license, TBC paid the SFPUC $3.5 million as a "Renewable Energy, Transmission and Grid Reliability Payment," which the SFPUC is using to study development of two City-owned transmission projects, a Newark-San Francisco Project and a Potrero-Embarcadero Project.

The second license is a non-exclusive license for operation of the high-voltage transmission line with a 25-year term and an option to renew for 10 years. TBC is obligated to pay the Power Enterprise approximately $20 million in 10 separate installments of $2 million annually, adjusted for inflation, as the "San Francisco Electric Reliability Payment" to implement, advance, promote, or enhance policies and projects consistent with City energy policies, including renewable energy, conservation, and environmental health programs and green jobs training and placement programs which benefit low- income, at-risk, and environmentally disadvantaged communities.

In-City Distribution

PG&E owns and operates most of the electric distribution infrastructure within the City and, with the exception of Trans Bay Cable, PG&E also owns all of the high-voltage transmission lines entering San Francisco. The Power Enterprise serves customers through City-owned distribution networks at SFO and large City-owned properties (for example, properties operated by the Port, SFMTA, and the SFPUC's water treatment and wastewater facilities). The Power Enterprise is in the process of installing additional distribution facilities to serve new retail customers in Hunters Point Shipyard (Phase 1) and at the Transbay Transit Center. The SFPUC distribution facilities (lines and substations) directly interconnect to PG&E's distribution network, but they are not adequate to provide service to all SFPUC customers.

Some large Power Enterprise customers, such as SFO, are interconnected at transmission level. Through an agreement with TIDA, the Power Enterprise also maintains the distribution system at the former Naval Station Treasure Island, on behalf of TIDA. The existing system on the property is owned by the United States Navy, but will be transferred to TIDA upon implementation of a memorandum of agreement between TIDA and the Navy. SFPUC has the right to take title to a newly constructed submarine electric cable linking the property to the East Bay. TIDA has entered into a development agreement for the redevelopment of the property, which would include construction of new utility infrastructure.

Operational Control

The Power Enterprise plans for and operates within resource adequacy, renewable portfolio standards ("RPS") and other retail regulatory requirements for peak demand of 160 MW and an annual electricity requirement of 1,000,000 MWh of retail load. The Power Enterprise provides scheduling services on a non-stop basis. Electricity supplies are firmed and shaped to retail loads with market purchases and sales (at hourly, daily, monthly and longer term periods). Scheduling Coordinator services and certain federal reliability requirements are independent of sales volumes, strategy and retail/wholesale mix. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION – Federal Law and Regulation**. Power Enterprise staff handles trading, scheduling, settlements, risk management, and long-term resource planning with capacity largely independent of sales volumes, strategy, and retail/wholesale mix.

Power Enterprise Customers

The Power Enterprise's retail service territory provides it with a monopoly franchise similar to those enjoyed by other public utilities, but with atypical geographic boundaries. With the exception of a few large customers, most of Power Enterprise's retail customers are directly interconnected to PG&E's distribution network. See **– Transmission and Distribution – In-City Distribution**. Most Power Enterprise retail customers are entities affiliated with the City or are located on City property. Many City departments currently served by the Power Enterprise have been served by the City and/or the SFPUC (or its predecessor) for decades, in many cases since 1923. The ability of such customers to switch to service provided by another utility in the area is limited and generally would result in neither cost savings nor service improvements for such customers. Specifically, PG&E's ability to serve customers in the City is constrained by its non-exclusive franchise agreement with the City and the Power Enterprise's competitive cost-of-service, which is currently below PG&E's cost-of-service.

The following table shows the total number of electric service accounts maintained by the Power Enterprise from Fiscal Year 2009-10 to Fiscal Year 2013-14 by customer category.

TABLE 5
POWER ENTERPRISE ELECTRIC SERVICE ACCOUNTS
BY CUSTOMER CATEGORY
FISCAL YEARS 2009-10 TO 2013-14

	2010	2011	2012	2013	2014
City Agencies	1,429	1,437	1,437	1,449	1,470
Non-City Agencies (e.g. SFUSD, SF Community College District)	786	791	780	766	758
Moccasin/City of Riverbank	39	40	41	40	41
Modesto/Turlock Irrigation Districts	2	2	2	2	2
Total accounts	2,256	2,270	2,260	2,257	2,271

Source: SFPUC.

The following table presents the Power Enterprise's major customers by average total amount of electricity purchased during Fiscal Years 2009-10 to 2013-14.

TABLE 6
ANNUAL ELECTRICITY SALES TO MAJOR CUSTOMERS
FISCAL YEARS 2009-10 TO 2013-14

	Annual Electricity Sales (MWh)				
	2010	**2011**	**2012**	**2013**	**2014**
Municipal Customers					
San Francisco International Airport (incl. tenants)	323,050	326,652	330,497	329,327	330,143
Municipal Transportation Agency	113,157	107,509	107,396	106,007	108,232
SFPUC - Wastewater Enterprise	64,994	70,711	66,056	64,112	67,102
Administrative Services Agency	45,123	43,397	41,162	57,684	61,174
Department of Public Health	52,315	55,748	54,901	58,460	61,130
SFPUC - Water Enterprise	43,734	46,913	53,527	54,074	54,444
San Francisco Unified School District	35,776	35,658	34,536	34,079	33,513
Recreation and Parks Department	18,385	18,776	18,865	19,366	20,107
San Francisco Housing Authority	21,789	23,956	23,170	21,803	20,056
City Owned Parking Garages	12,590	12,094	12,015	12,398	12,274
Port of San Francisco[(1)]	8,619	8,380	7,736	8,778	9,423
Other Municipal[(2)]	210,365	208,394	216,425	202,299	202,290
Other Retail					
Treasure Island [(3)]	9,519	9,733	10,535	10,998	10,920
Hunters Point Shipyard Redevelopment Phase 1 Development[(4)]	-	6	28	6	58
Transbay Transit Center[(5)]	-	-	-	-	-
Wholesale					
Turlock Irrigation District	209,163	345,477	199,900	168,921	75,077
Modesto Irrigation District	77,745	113,843	77,938	58,623	28,412
Riverbank (formerly Norris Industries)	8,123	6,166	6,073	6,273	7,707
Western Systems Power Pool	298,549	568,157	143,675	131,200	2,400
Total[(6)]	**1,552,996**	**2,001,570**	**1,404,435**	**1,344,408**	**1,104,462**

(1) Excludes tenants.
(2) Includes Port tenants, Moccasin and miscellaneous accounts.
(3) Does not include amount for flat rate customers. Customers are tenants of TIDA and Federal agencies, which SFPUC serves by agreement with TIDA
(4) Includes Construction only.
(5) Not yet in service.
(6) Totals may not add due to rounding.

Source: SFPUC.

Municipal Customers

- San Francisco Public Utilities Commission

The Power Enterprise supplies electricity to the SFPUC Water Enterprise and Wastewater Enterprise. See **THE PUBLIC UTILITIES COMMISSION – Organization, Purposes and Powers**.

- San Francisco International Airport

With 40 airlines and 112 direct destinations, SFO is the 7th leading passenger airport in North America and the 19th largest air cargo airport. In its fiscal year 2013-14, SFO served nearly 45 million incoming and outgoing passengers, and moved 329,571 metric tons of cargo.

- San Francisco Municipal Transportation Agency

The SFMTA, a department of the City, is responsible for the management of all ground transportation in the City. The SFMTA operates Muni, which provides bus and street car service and is the nation's seventh largest public transit system. The agency's additional responsibilities include managing parking and traffic, bicycling, walking and the regulation of taxis.

- San Francisco Unified School District

The San Francisco Unified School District ("SFUSD") is the seventh largest school district in the State, educating over 57,000 students every year. SFUSD is governed by an elected seven-member Board of Education. During school year 2013-14, SFUSD had:

  - 72 elementary and K-8 schools
  - 12 middle schools
  - 19 senior high schools (including two continuation schools and an independent study school)
  - 13 preschools
  - 13 active charter schools authorized by the District

- Other City Departments

In addition to the departments described above, the Power Enterprise serves all other City departments, including but not limited to City Hall, the Port, the San Francisco Public Library, the San Francisco Police Department, the San Francisco Fire Department, and also serves the San Francisco Housing Authority and the Community College District of San Francisco. See **THE CITY AND COUNTY OF SAN FRANCISCO**.

- City Tenants

The Power Enterprise serves customers who are tenants on City property, including at SFO and the Port. PG&E has disputed the Power Enterprise's right to serve these customers under the Interconnection Agreement, which expires July 1, 2015. After that, the City expects to serve these customers under open access tariffs adopted by FERC.

Wholesale Customers

- The Districts

TID and MID were both established in 1887, and are publicly owned irrigation districts in the State that also provide electric retail electricity directly to homes, farms and businesses. Both Districts were organized under the Wright Act, operate under the provisions of the California Water Code as special districts, and are governed by five-member Boards of Directors.

TID serves electricity to a growing retail customer base that now numbers in excess of 98,000 residential, farm, business, industrial and municipal accounts. TID also provides irrigation water to more than 5,800 growers in 149,500 acres of Central Valley farmland.

MID provides electricity to over 115,000 residential, commercial, industrial and municipal accounts, and irrigation water to more than 3,000 accounts in a service area of 101,700 acres.

The Power Enterprise has long-term Energy Sales Agreements with both Districts. See **– Wholesale Electricity Sales**.

- Riverbank LRA

The Riverbank LRA is currently in the process of converting the RAAP to civilian and commercial uses. The RAAP is located at the southeastern edge of the City of Riverbank, 5 miles north of Modesto and consists of approximately 673,000 square feet of buildings located on 173 acres. The SFPUC provided electric service to RAAP when it was a military facility and has continued to provide electric service to the Riverbank LRA as it transitions the site to civilian use. See **– Wholesale Electricity Sales**.

- Western Systems Power Pool

The Western Systems Power Pool ("WSPP") is a group of energy buyers and sellers who maintain an agreement that provides standard terms and conditions for power transactions to facilitate trading opportunities and manage power delivery and price risk. The current WSPP Agreement, effective May 9, 2013 and updated June 6, 2013, is the most commonly used standardized power sales contract in the electric industry. It is regularly modified and approved by FERC and used by jurisdictional and non-jurisdictional entities. WSPP parties regularly enter agreements using some or all of the WSPP standard terms and adding additional terms as required for particular transactions. Many public entities are members of the WSPP, which allows the Power Enterprise to efficiently sell excess Hetch Hetchy Project electricity to Raker Act-eligible entities, such as the Districts and the California Department of Water Resources.

The Power Enterprise may purchase or sell energy with different market entities through the Western System Power Pool. During periods in which the Hetch Hetchy Project generates electricity in excess of the amount necessary to satisfy the Power Enterprise's retail and wholesale obligations, the Power Enterprise may sell such excess to counterparties eligible under the provisions of the Raker Act. The SFPUC's Energy Trading Risk Committee performs verification processes regularly to update the qualified counterparties in order to comply with Raker Act. During Fiscal Year 2013-14, the Power Enterprise purchased $2.6 million of power. Sales of excess electricity, after meeting the Power Enterprise's other obligations, were approximately 2,400 MWh, or approximately $120,000.

Commercial Customers

- **Hunters Point Shipyard Phase 1**. A redevelopment project currently under construction, the Hunters Point Shipyard Phase 1 is entitled for 1400 residential units. SFPUC has constructed facilities to serve this development, and will own, operate and maintain the distribution system as public utility infrastructure is installed and dedicated to the City.

- **Former Treasure Island Naval Station**. Under Navy control since 1941, the former Naval Station was decommissioned in the 1990s. The property includes both Treasure Island and Yerba Buena Island, totaling approximately 575 acres with access from Highway 80 off the Bay Bridge. In 1997, the City created a non-profit public benefit corporation, TIDA, to act as a single entity focused on reuse and conversion of former Naval Station Treasure Island. Since that time, under agreements with the Navy, TIDA has assumed maintenance and operation of the property, excluding portions that were transferred to the Coast Guard, the Department of Labor, or retained by the Navy. TIDA has established both residential and commercial tenancies in existing facilities, with a current resident population over 2,500. TIDA has entered into a memorandum of agreement with the Navy providing for transfer of the property, on a phased basis, subject to Navy remediation of hazardous materials.

TIDA and the City have also entered into agreements with the Treasure Island Community Developers, a for-profit development company, to redevelop the property, with entitlements for 8000 residential units, and commercial development. The SFPUC operates and maintains the existing water, wastewater, and power distribution systems on Treasure Island pursuant to agreement with TIDA, subject to receiving full compensation from TIDA for those services. TIDA sets rates, fees and charges for its tenants, and the federal agencies, under agreement with the Navy.

- **Transbay Transit Center.** The Transbay Joint Powers Authority ("TJPA") is constructing a new multi-modal regional transportation center, a downtown rail extension, bus ramps, bus storage facility, and related facilities (collectively referred to as the Transbay Transit Center). The TJPA and the SFPUC entered into an Electric Service Agreement for the Power Enterprise to be the primary provider of electric service to the Transbay Transit Center, beginning January 2014 with no defined expiration date.

Under the City's Administrative Code, all City projects, including projects managed by the successor to the San Francisco Redevelopment Agency, the Office of Community Investment and Infrastructure, must work with SFPUC to study the feasibility of the SFPUC providing power to the project. For example, in 2007 the Power Enterprise, working with the San Francisco Redevelopment Agency, performed a financial analysis to assess the feasibility of the Power Enterprise being the electricity provider to the new Hunters Point redevelopment project. The results of the analysis guided the City's decision that the Power Enterprise would be the power provider for Phase 1 of the development. The Power Enterprise expects to be the power provider for other phases of the Hunters Point development and is working with developers and other City agencies as later phases are developed.

Security and Reliability

The security and reliability of the nation's electrical grid is regulated by FERC through agreement with the NERC. The SFPUC is a NERC registered Generator Owner, Generator Operator, Transmission Owner, Transmission Operator, Purchasing Selling Entity and Transmission Planner, and as such is subject to mandatory and enforceable NERC Reliability Standards. The SFPUC ensures the secure and reliable operation of its electric system, and compliance with NERC Reliability Standards, by having systems, processes, and trained staff in place to avoid, and if necessary, mitigate operating emergencies. These systems include a Supervisory and Control and Data Acquisition system providing 24/7 monitoring and control functions to SFPUC NERC Certified system operators, and data sharing functions with interconnected transmission systems to enhance situational awareness and interconnection-wide preparedness. The secure and reliable operation of the Hetch Hetchy Project system is maintained by following a well-defined set of mandatory rules established by the NERC Reliability Standards, which the SFPUC implements through its own operating procedures, in coordination with other interconnected systems. The SFPUC's procedures provide its trained personnel with pre-planned processes for event reporting, back-up control center operations, system restoral, emergency operations, and contingency analysis and planning that can be executed in coordination with other entities. The security and reliability of the Hetch Hetchy Project, and compliance with NERC Reliability Standards, is achieved through this application of tools, processes and trained staff.

Municipalization Proposals

Since 1921, the City's citizens have voted on a number of voter initiatives that have from time-to-time proposed provision of electricity by the SFPUC to all customers within the City, or municipalization of PG&E's distribution system within the City. In every case the voters failed to approve a full-scale municipalization of electric service by the City and/or the SFPUC. If such a measure were approved, the City could either take over through eminent domain the existing distribution system within the City, or build out its own distribution system. The decision to build or purchase the distribution system would be based on a cost-benefit analysis that would include the value and condition of the existing system and the time necessary to build out a new system.

FUTURE POWER SUPPLY AND DEMAND

Projected Power Demand and Adequacy of Power Supply

The Power Enterprise develops five-year forecasts of growth in electricity sales to its current customers based on a combination of known new construction projects, expansion of existing service and general projected load growth. These forecasts are factored into the Power Enterprise's adopted budget and ten-year financial plans. In connection with its two year adopted budget for Fiscal Years 2014-15 and 2015-16 and its current ten-year financial plan, the Power Enterprise anticipates electricity sales to current and new customers will increase over the next five years.

The expiration of the Power Enterprise's interconnection agreement with PG&E in 2015 may increase the availability of Hetch Hetchy Project generation to serve retail customer load, depending upon the replacement arrangements. The expiration of the interconnection agreement with PG&E will eliminate the SFPUC's power banking arrangement with PG&E. See **THE POWER ENTERPRISE – Load and Electricity Supply Resource Management; Wholesale Electricity Trading**.

TABLE 7
POWER ENTERPRISE PROJECTED LOAD GROWTH AND POWER SUPPLIES
(MWH)

	Fiscal Years Ending June 30				
	2015	**2016**	**2017**	**2018**	**2019**
Future Load of Current Customers[1]					
Municipal Customers	992,042	998,605	1,002,119	1,010,568	1,019,153
Norris (City of Riverbank)	6,590	6,607	6,733	6,767	6,801
MID Class 1	70,299	88,331	83,299	83,590	83,644
TID Class 1	49,624	62,353	87,051	86,718	86,723
TID Excess	154,715	0	0	0	0
Electricity Sale[2]	308,617	372,843	401,116	382,216	369,499
DDA Deposit			0	0	0
Future Load of Current Customers Total	1,581,887	1,528,954	1,580,317	1,569,859	1,565,820
Future Expansion (Redevelopment) Total[3]	18,155	18,868	20,372	26,774	32,733
Total Future Power Sales	1,600,042	1,547,822	1,600,689	1,596,633	1,598,553
Projected Power Supply					
Hetch Hetchy Generation	1,414,321	1,452,417	1,490,513	1,490,513	1,490,513
Sunset Solar	7,211	6,965	6,719	6,719	6,719
DDA Return	110,000	0	0	0	0
WSPP Energy Purchases	79,452	97,461	115,470	121,709	129,724
Total Projected Power Supply	1,610,984	1,556,843	1,612,702	1,618,940	1,626,956
Delta: Supply - Loads	10,942	9,021	12,012	22,307	28,402
	1%	1%	1%	1%	2%

(1) Fiscal Year 2015-16 projections based on adopted budget for Fiscal Years 2014-15 and 2015-16. Fiscal Years 2017-18 and 2018-19 projections based on ten year financial plan.
(2) Electricity Sales are all excess Hetch Hetchy Project generation after meeting retail load requirements. The availability of Hetch Hetchy Project generation depends on hydrological conditions. Electricity Sales forecasts are based on Average Annual Hydrological Conditions. See **THE HETCH HETCHY PROJECT – Variability of Hydroelectric Generation**.
(3) Future Expansion load includes Treasure Island service.

Source: SFPUC.

The Power Enterprise meets its electricity delivery obligations through a portfolio of demand management and supply-side resources consistent with City policies and best utility practices. The Power Enterprise anticipates addressing any increases in retail electricity sales through a combination of energy efficiency measures, sales of Hetch Hetchy Project generation as available, including amounts expected to become available to serve retail load after 2015, and supplemental market purchases, each as reflected in the Power Enterprise's current five-year forecast.

POWER ENTERPRISE CAPITAL PROGRAM

Capital Planning Process

SFPUC's long-term financial planning is performed on an annual rolling ten-year forward basis. The SFPUC prepares a Ten-Year Capital Plan as part of the budget deliberations process as required by the Charter. Proposed long-term capital program, projects and investment, and related costs are included in the Ten-Year Financial Plan. Required rates necessary to pay for both capital and operating costs are also calculated. The Ten-Year Capital Plan is not a budget and is not "appropriated" like a budget. Annual Capital Improvement Programs ("CIPs") can be revised during the development of the budget and final projects, costs and totals for annual CIPs can change. Consequently, even though the annual CIPs are based on the Ten-Year Capital Plan, they may occasionally differ from it.

Consistent with the Charter, updates to the Ten-Year Capital Plan are annually reviewed by the Commission. The Ten-Year Capital Plan provides estimated rate impacts of projected spending and assure compliance with debt service coverage and fund balance reserve policy requirements.

Ten-Year Capital Plan

In February 2015, the Commission adopted the Ten-Year Capital Plan for Hetch Hetchy Water and Power for Fiscal Years 2015-16 through 2024-25. The Hetch Hetchy Water and Power capital program is divided into power-infrastructure-related projects (allocable to the Power Enterprise), water-infrastructure-related projects (allocable to the Water Enterprise) and joint projects for facilities that are used for both water and power operations (allocable 55% to the Power Enterprise and 45% to the Water Enterprise). The Capital Plan during this period totals $1.99 billion, with the Power Enterprise's share totaling $759.8 million. The Capital Plan for Fiscal Year 2014-15 and Fiscal Year 2015-16 was approved by the City as part of the two-year budget for the Power Enterprise, with capital spending budgeted at $75.8 million and $74.9 million, respectively.

In addition to the adopted Capital Plan projects, the SFPUC has identified projects that remain unfunded, totalling approximately $1 billion over the next 10 years. The projects adopted as part of the 10-year Capital Improvement Plan have been prioritized to ensure the maintenance of adequate 24/7 operations as well as a balanced budget. As revenues increase, or priorities change, the unfunded projects may be included as part of future years' capital plans.

The Ten-Year Capital Plan is projected to be funded primarily from a combination of Power Enterprise revenues (i.e. cash) and bonds and commercial paper. Specifically, the Ten-Year Capital Plan projects that revenue funding will account for $197.9 million of project funding, and total debt funding will account for $989.3 million of project funding. Of this, $549.9 million is projected to come from Power Enterprise debt and $439.4 million from Water Enterprise debt. For Fiscal Year 2015-16, projects are to be primarily funded from $17.3 million of Power Enterprise revenues and $55.9 million of Power Enterprise bond and commercial paper proceeds and $17.9 million of Water Enterprise bond and commercial paper proceeds. For Fiscal Year 2016-17, projects are expected to be primarily funded from $19.7 million of Power Enterprise revenues, $45.0 million of proceeds of future Power Enterprise bond or commercial paper sales and $26.6 million of Water Enterprise bond and commercial paper proceeds. Revenues attributed to Cap and Trade Auctions expected to be received from the State account for another capital funding source for the Power Enterprise.

The Ten-Year Capital Plan consists of projects that are Hetch Hetchy Power Projects, Hetch Hetchy Water Infrastructure Projects, Hetch Hetchy Power Infrastructure Projects, and Hetch Hetchy Joint Water and Power Projects. The Ten-Year Capital Plan projects capital spending for these project categories as set forth below. Actual spending may differ from the amounts shown as the SFPUC retains broad authority to prioritize and substitute projects in order to meet the organization's needs at any particular time.

Power Enterprise Power Projects

Streetlights

$56.2 million will be spent for streetlights located in the City. Specifically, funds will be spent for various street lighting improvements, replacement and repairs, including engineering and construction costs.

Redevelopment

$34.9 million will be spent for projects servicing Treasure Island and Yerba Buena Island, including the replacement of the existing overhead electric distribution system. In addition, funds have been budgeted for a new underground distribution system in Oakland and continuing work to provide service to Alice Griffith/Candlestick Point.

Renewable Generation

$21.0 million will be spent on certain renewable generation projects, including the planning, development and implementation of new electricity generation resources to provide clean, local generation. Such spending includes $9.0 million over Fiscal Years 2015-17 for the GoSolarSF Program.

Transmission/Distribution

$1.3 million will be spent to convert 2,000 PG&E meters to Power Enterprise meters and to provide electrical connection to the new Transbay Transit Center.

Energy Efficiency

$10.0 million will be spent on investments to reduce facility operating costs for General Fund and Enterprise customers, improve system functionality and reduce the environmental impact of energy use.

Hetch Hetchy Water Infrastructure Projects

$79.4 million will be spent on upcountry water projects such as continued rehabilitation to the San Joaquin Pipeline and Priest Reservoir Lining. These costs are 100% funded by the Water Enterprise.

Hetch Hetchy Power Infrastructure Projects

$196.4 million will be spent on the rehabilitation and upgrades to Hetch Hetchy Project powerhouses, transformers, reservoir pumps and control systems. This category includes rehabilitation of transmission lines/distribution systems and switchyards/substations.

Hetch Hetchy Joint Power/Water Projects

$800.1 million will be related to capital spending for upcountry joint assets, allocable 55% to the Power Enterprise and 45% to the Water Enterprise pursuant to the 2009 Water Supply Agreement (the "WSA") between the SFPUC and its wholesale water customers (the "Wholesale Water Customers"). See **THE HETCH HETCHY PROJECT – Hetch Hetchy Project Operations – General**. The Power Enterprise's 55% allocable share of this capital spending totals $440.1 million. Projects identified include replacements to support the infrastructure required for the operation and maintenance for the Hetch Hetchy Project's water- and power-related systems, including improvements to facilities at Moccasin, road improvements, facility security and communication projects.

The largest of the joint power/water projects during the Ten-Year Capital Plan period is Mountain Tunnel. Mountain Tunnel is estimated to cost approximately $627.8 million, with the Power Enterprise's 55% allocable share totaling $345.3 million. Mountain Tunnel conveys upcountry water supply from Kirkwood Powerhouse to Priest Reservoir. Mountain Tunnel has been in-service for over 80 years, with only minimal maintenance work performed over that time. Recent inspections showed considerable repair work needed over nine miles of lined tunnel sections. Of this amount, approximately 80% of estimated

costs are expected to be incurred over the last five years of the Ten-Year Capital Plan period. See **THE HETCH HETCHY PROJECT – Physical Condition of Facilities – Mountain Tunnel.**

The Wholesale Water Customers, as part of their review of the WSA for Fiscal Years 2011-12 and 2012-13, questioned certain capital expenditure classifications. The Wholesale Customers and the SFPUC are evaluating and negotiating the ultimate classification of these expenditures. If re-classifications occur, it is unclear what the financial impact of such re-classifications on the Power Enterprise would be.

Proceeds of the 2015 Series AB Bonds are expected to fund upcountry infrastructure projects that are part of the Fiscal Year 2015-16 Capital Plan. The following are brief descriptions of these projects.

Expected to be funded from proceeds of the 2015 Series A Bonds:

Moccasin Hydroelectric Generator Rewind – Rewind Moccasin Powerhouse generator units 1 and 2.

Other Powerhouse Projects; Holm Unit 2 – Hydroelectric generation powerhouse upgrade, renewal and replacement projects, including upgrades to the Holm Powerhouse generator unit number 2.

Hydroelectric Powerhouse Control Upgrade – Upgrade to powerhouse protection, control and indication monitoring systems used in connection with hydroelectric generation.

Oil Containment Upgrades for Holm & Kirkwood Hydroelectric Facilities – Upgrades to the oil separation systems within the hydroelectric powerhouse to prevent oil discharges.

Moccasin GSU Transformers & Oil Containment – Replace existing transformers within the hydroelectric powerhouse.

Kirkwood Powerhouse Refurbishment & TSOV Replacement – Rehabilitation of Kirkwood hydroelectric powerhouse to increase the life expectancy of the asset.

Expected to be funded from proceeds of the 2015 Series B Bonds:

Hydroelectric Transmission Lines/Distribution System (Moccasin to Warnerville (Don Pedro Crossing)) – Rehabilitation of certain facilities used for the transmission and distribution of hydroelectricity.

Switchyard/Substation Rehabilitation related to Hydroelectricity (Warnerville SW Phase 1) – Renewal and replacement of switchyard and substation components for hydroelectricity transmission.

Moccasin Hydroelectric Switchyard Upgrade – Renewal and replacement of switchyard and substation components at Moccasin Switchyard for hydropower transmission.

Environmental Considerations

Projects undertaken by the SFPUC are generally subject to CEQA and certain projects involving the participation of federal agencies, including projects on federal land, are also subject to NEPA.

Under CEQA, a project that may have a significant effect on the environment and is to be carried out or approved by a public agency must comply with a comprehensive environmental review process, including the preparation of an Environmental Impact Report ("EIR"). The EIR reflects not only an independent technical analysis of the project's potential impacts, but also the comments of other agencies with some form of jurisdiction over the project and the comments of interested members of the public. Contents of the EIR include a detailed statement of the project's significant environmental effects; any such effects that cannot be avoided if the project is implemented; mitigation measures proposed to minimize such effects; alternatives to the proposed project; the relationship between local and short-term uses and long-term productivity; any significant irreversible environmental changes that would result from the project; the project's growth-inducing impacts; and a brief statement setting forth the agency's reasons for determining that certain effects are not significant and hence do not require discussion in the EIR. Before approving a project the SFPUC must make findings on whether or how it can mitigate the significant environmental effects of the project. If the project requires mitigation, the SFPUC must

adopt a mitigation monitoring plan to determine whether the mitigation is carried out during project implementation. If the SFPUC determines that the project itself will not have a significant effect on the environment, it may adopt a written statement (called a negative declaration) to that effect and need not prepare an EIR. After deciding to approve or carry out a project, either following the EIR process or after adopting a negative declaration, the SFPUC must file notice of such determination. Any action or proceeding challenging the SFPUC's determination must be brought within 30 days following the filing of such notice. Actions have been, and in the future may be, filed against the SFPUC challenging the SFPUC's compliance with CEQA, including the adequacy of the EIR and other environmental documents, for particular projects. If an action challenging the SFPUC's compliance with CEQA is successful, the particular project could be delayed, revised, suspended or canceled. CEQA also contains a number of exemptions, which the SFPUC uses for its projects when appropriate.

As part of its regular planning and budgetary process, the SFPUC gives careful attention to environmental considerations. All projects are evaluated under the SFPUC's environmental impact review procedures, developed in compliance with federal and State laws and regulations.

FINANCIAL OPERATIONS

General

The SFPUC is a department of the City and, as such, the financial operations of its three enterprises are included in the Comprehensive Annual Financial Report of the City and shown as enterprise funds. *The City's Comprehensive Annual Financial Report is not incorporated by reference herein*.

The following information is provided with respect to the Power Enterprise only and does not purport to reflect the financial position of the SFPUC or the City as a whole.

Basis of Accounting

The accounts of Hetch Hetchy Water and Power are organized on the basis of proprietary fund types and are included as enterprise funds of the City. The activities of the Power Enterprise are accounted for with a set of self-balancing accounts that comprise assets, liabilities, net position, revenues, and expenses. The Power Enterprise fund accounts for activities (i) that are financed with debt that is secured solely by a pledge of the net revenues from fees and charges of the activity; or (ii) that are required by laws or regulations that the activity's costs of providing services, including capital costs (such as depreciation or debt service), be recovered with fees and charges, rather than with taxes or similar revenues; or (iii) that the pricing policies of the activity establish fees and charges designed to recover its costs, including capital costs (such as depreciation or debt service).

The financial activities of the Power Enterprise are accounted for on a flow of economic resources measurement focus, using the accrual basis of accounting in accordance with U.S. generally accepted accounting principles. Under this method, all assets and liabilities associated with operations are included on the statements of net position, revenues are recognized when earned, and expenses are recognized when liabilities are incurred. Operating revenues are defined as charges to customers and rental income.

The Power Enterprise applies all applicable Governmental Accounting Standards Board ("GASB") pronouncements, as well as statements and interpretations of the Financial Accounting Standards Board ("FASB"), Accounting Principles Board Opinions, and Accounting Research Bulletins of the Committee on Accounting Procedures issued on or before November 30, 1989, unless those pronouncements conflict with or contradict GASB pronouncements.

City Budget Process

The SFPUC budget is a part of the overall budget prepared bi-annually by the City. The SFPUC's two-year proposed budget is prepared by SFPUC staff and then submitted to the Commission for approval before being submitted to the Mayor. The Mayor's Office reviews and may amend the SFPUC's proposed budget, and then incorporates the proposed budget into the total City budget that is submitted to the Board of Supervisors for approval. Under the Charter, the Board of Supervisors may increase or decrease any proposed expenditure in the Mayor's budget so long as the aggregate changes do not cause the expenditures to exceed the total amount of

expenditures proposed by the Mayor. The Charter further provides that the Mayor may reduce or reject any expenditure authorized by the Board of Supervisors except appropriations for bond interest, redemption or other fixed charges, subject to reinstatement of any such expenditure by a two-thirds vote of the Board of Supervisors.

With the passage of Proposition A in 2009, the SFPUC develops and proposes a two-year budget.

Rate-Setting Process; Rates

General

The California Constitution permits the City, like other municipalities within the State, to serve electric customers both within and outside of its geographic borders, except within the service territory of another municipality that objects to such service. Section 8B.121 of the Charter gives the SFPUC exclusive control of energy supplies and utilities for the City. The Commission sets the rates, fees and other charges imposed in connection with provision of utility services under its jurisdiction pursuant to Section 8B.125 of the Charter, including rates contained in the SFPUC's agreements with various parties (for example, the Districts) for the sale of electricity. Commission action on all rates, fees and charges for utility services is subject to rejection – within 30 days of submission - by resolution of the Board of Supervisors. If the Board fails to act within 30 days the rates shall become effective without further Board action. Prior to the Commission taking action on any rate-setting, the proposed rates, fees and charges are reviewed by the Citizens Advisory Committee and the Rate Fairness Board.

In addition, under Charter Section 8B.125, in setting retail rates, fees and charges (which exclude charges to the City for certain utility services), for example, to Hunters Point Shipyard customers, the Commission must:

(a) Provide sufficient revenues to improve or maintain the financial condition and bond ratings of the Power Enterprise at or above levels equivalent to highly-rated utilities, meet requirements and covenants under all bond resolutions and the Indenture, and provide sufficient resources for the continued financial health (including appropriate reserves), operation, maintenance and repair of the Power Enterprise, consistent with good utility practice;

(b) Retain an independent rate consultant to conduct a cost-of-service study for the Power Enterprise at least every five years;

(c) Set retail rates, fees and charges based on the cost-of-service;

(d) Study and develop, in accordance with applicable state and federal laws, rate-based conservation incentives or lifeline rates and similar rate structures to provide assistance to low-income customers;

(e) Adopt annually a rolling five-year forecast of rates, fees and other charges; and

(f) Establish an independent Rate Fairness Board.

None of the rates set by the Commission are subject to administrative or regulatory review by any State or federal regulatory body, including the CPUC and FERC. However, such rates are subject to review by the Board of Supervisors and must comply with certain ratemaking and other requirements of federal and state law, together with the Charter and municipal code of the City. It is possible that future legislative or regulatory changes could subject the rates or service area of the SFPUC to the jurisdiction of the CPUC or to other limitations or requirements of law.

SFPUC Citizens Advisory Committee and Rate Fairness Board

The Public Utilities Commission Citizens' Advisory Committee ("CAC"), established by a Charter amendment in 2002, provides recommendations to the SFPUC's General Manager and the Board of Supervisors regarding the SFPUC's long-term strategic, financial and capital improvement plans. The CAC is comprised of seventeen appointees. Each member of the Board of Supervisors may appoint one member who must be a resident of his or her supervisory district. Candidates must demonstrate one or more of the following qualifications: represent a community, business, environmental, or environmental justice organization, or have demonstrated knowledge, skill

or experience in a field related to public utilities, environmental justice or environmental science. Two additional members of the CAC are appointed by the President of the Board of Supervisors, one of whom represents a small business and the other of whom represents an environmental justice organization. The final four members are appointed by the Mayor and must include one member who represents regional water customers of the SFPUC, one who represents a large City water user, one who has knowledge of engineering or financial management and one who represents a regional or statewide environmental organization.

Proposition E, approved by City voters on November 5, 2002 ("Proposition E"), directed the establishment of a Rate Fairness Board to advise the SFPUC on water, sewer and power rate matters. The Rate Fairness Board consists of seven members: the City Administrator or his or her designee; the Controller or his or her designee; the Director of the Mayor's Office of Public Finance or his or her designee; two residential City retail customers, consisting of one appointed by the Mayor and one by the Board of Supervisors; and two City retail business customers, consisting of a large business customer appointed by the Mayor and a small business customer appointed by the Board of Supervisors. Specific powers for the Rate Fairness Board include the authority to: (1) review the five-year rate forecasts produced by the SFPUC enterprises, including the Power Enterprise; (2) hold one or more public hearings on annual rate recommendations before the SFPUC adopts rates; (3) provide a report and recommendations to the SFPUC on any rate proposal; and, (4) in connection with periodic rate studies, submit to the SFPUC rate policy recommendations for the Commission's consideration, including recommendations to reallocate costs among various retail utility customer classifications, subject to any outstanding bond requirements. The Rate Fairness Board is not authorized, however, to reject proposed rates approved by the Commission.

Cost of Service Studies

Proposition E also added a requirement in the Charter that the SFPUC conduct an independent utility cost-of-service study at least every five years. The most recent study was completed in December 2010 to determine the cost of service for existing municipal and public agency customers as well as cost of service and projected electric load from retail redevelopment areas, including Hunters Point Shipyard and Treasure Island. This study concluded that the average cost of service for redevelopment, municipal and public agencies load was 9.0 cents/kWh. As of May 2014, the average Power Enterprise cost of service for the remaining load is 9.9 cents/kWh.

The SFPUC anticipates completing the next independent rate and cost-of-service study in 2015 to determine the cost of service for municipal and public agency customers, retail commercial and residential customers, and other new customer classes as identified by the Power Enterprise, for rates to be effective on July 1, 2016.

Municipal Rate-Setting Actions

In Fiscal Year 1989-90, the Commission adopted Resolution 89-0355 prescribing that rates for City enterprise departments be based on comparable PG&E rates and that these rates rise or fall automatically with changes in applicable rates authorized by the CPUC. This resolution also defined cost of service for municipal departments to include maintenance and operations expenses, taxes, depreciation and repair and replacement expenses over time.

In Fiscal Year 1998-99, a rate study was conducted which concluded that the City's General Fund department rates did not reflect cost-of-service. This resulted in the implementation of the first of a three-step rate increase in General Fund department rates ranging from 0 cent/kWh to 3.125 cent/kWh. The second and third step increases were not implemented. In Fiscal Year 2001-02, some General Fund departments had their rates increased to 3.75 cent/kWh in connection with certain events that occurred during the California energy crisis. In Fiscal Year 2004-05, the Board of Supervisors adopted Resolution No. 431-04 which established a policy that appropriations for General Fund departments be sufficient to cover cost-of-service electric rates. However, no rate increases were implemented immediately in connection with such policy. In December 2011, the Commission adopted Resolution 11-0203 increasing average municipal customer rates by 0.5 cent/ kWh per year for four years beginning in Fiscal Year 2012-13. The first of these four-year scheduled rate increases went into effect on July 1, 2012. However, two years into the four-year agreement, in February 2014, the SFPUC reopened negotiations to increase the City General Fund department electric rates in an effort to balance the Power Enterprise's Ten-Year Financial Plan, as required by the City Charter. In May 2014, the Commission adopted Resolution 14-0089 increasing average municipal customer rates by 1.0 cent/ kWh per year for two years beginning in Fiscal Year 2014-15 through Fiscal Year 2015-

16. As a result of this resolution, City General Fund departments are charged an average 0.475cent/kWh, resulting in a discount of approximately 45% relative to comparable PG&E rates.

As prescribed by Resolution 89-0355, the SFPUC continues to set electric rates for City Enterprise departments based on comparable PG&E rates that adjust automatically with changes authorized by the CPUC.

Average rates for Fiscal Year 2013-14 to Fiscal Year 2015-16, reflected in the following table, are based on the municipal department or other public or governmental agency's existing SFPUC established rate.

TABLE 8
MUNICIPAL CUSTOMERS AVERAGE RATES FOR FY 2013-14 TO FY 2015-16

Municipal Power Service Rates	FY 2013-14 Historical Rates	FY 2014-15 Adopted Rates[1]	FY 2015-16 Adopted Rates[1]
General Fund Department Activities and Related Customers	4.75 ¢/kWh	5.75 ¢/kWh	6.75 ¢/kWh
Public Libraries	8.13 ¢/kWh	9.13 ¢/kWh	10.13 ¢/kWh
Moscone Convention Center Facilities	6.70 ¢/kWh	7.70 ¢/kWh	8.70 ¢/kWh
San Francisco General Hospital	1.70 ¢/kWh	2.70 ¢/kWh	3.70 ¢/kWh
Laguna Honda Hospital	2.49 ¢/kWh	3.49 ¢/kWh	4.49 ¢/kWh
Public Buildings and San Francisco City Street Lights	1.00 ¢/kWh	2.00 ¢/kWh	3.00 ¢/kWh
Enterprise Departments (tied to PG&E rates)	13.00 ¢/kWh	14.49 ¢/kWh	15.50¢/kWh

[1] Adopted by the Commission.

Source: SFPUC.

Retail Rate-Setting Actions

As a result of the SFPUC's 2011 electric rate study, the SFPUC adopted public electric rates for new retail customers in redevelopment areas in the City, including Hunter's Point Shipyard and Treasure Island. On February 8, 2011, the Commission adopted Resolution 11-0021 establishing SFPUC electric rates for residential and commercial retail redevelopment effective on July 1, 2012. These rates were established such that they covered maintenance and operations expenses, taxes, depreciation and repair and replacement expenses over time. This resolution also established an annual adjustment for these rates based on the lesser of the annual percentage in the Consumer Price Index or the change of the PG&E scheduled rates effective each successive July 1.

TABLE 9
ADOPTED RETAIL ELECTRICITY RATES FOR FY 2015-16

Retail Electric Service Rates	FY 2015-16 Adopted Rates[1]
Residential R-1 Rates	
Monthly Service Charge	$2.97/account
Winter Season	
For the first 278 kWh	$0.11705/kWh
For the next 83 kWh	$0.13306/kWh
All additional kWh	$0.27238/kWh
Summer Season	
For the first 229 kWh	$0.11705/kWh
For the next 68 kWh	$0.13306/kWh
All additional kWh	$0.27238/kWh
Commercial C-1 Rates	
Monthly Service Charge – Single Phase Service	$14.79/account
Monthly Service Charge – Poly-Phase Service	$22.21/account
Winter Season	
All kWh	$0.1436/kWh
Summer Season	
All kWh	$0.20065/kWh

[1] Adopted by the Commission

Source: SFPUC.

To date, the Power Enterprise has prepared service standards, developed system plans and specifications, acquired materials and equipment, and initiated construction of primary distribution facilities. Under an existing development agreement, the Power Enterprise will also construct, own, and operate the electric distribution infrastructure required to provide retail electric service to residential and commercial customers in a portion of the former Hunter's Point Shipyard.

Contractual Rate-Setting Actions

In addition, as of Fiscal Year 2013-14, MID and TID Class 1 rates were $0.03593/kWh and $0.03212/kWh, respectively. Consistent with existing agreements, the amounts paid by the Districts adjust annually based on actual costs. The MID and TID Class 1 rate contract is up for renegotiation with the Districts in spring 2015 for rates to be effective on July 1, 2015.

PG&E Rates

The rates PG&E may charge for various categories of electricity delivery within the City ("PG&E Rates") are established by the CPUC. PG&E Rates are adjusted by the CPUC from time to time. The electric rates charged by the SFPUC to its customers are sometimes limited by or established with reference to PG&E rates. The establishment of higher or lower PG&E Rates by the CPUC will result in increases or decreases in the electric rates charged by the SFPUC to affected customers and increased or decreased Revenues. The SFPUC does not have control over PG&E's rates. The City does, however, actively participate in PG&E's general rate case and rate design proceedings at the CPUC.

Billing and Collection Procedures

The SFPUC bills customers for electric service on a monthly basis. Billing is generally based on actual meter reads, although in certain cases estimates are used (with a later adjustment) or are made pursuant to an average billing agreement. The SFPUC may impose a late charge or, for customers other than municipal customers, disconnect service for nonpayment.

Power Sales Revenues; Other Revenues

Recent Power Enterprise revenues have remained level at approximately $105 million per year. On average, approximately 92% of all Power Enterprise revenues are from charges for services and approximately 8% are from other revenues, including rents, interest income and other revenues. On average, approximately, 65% of Charges for Service are from municipal sales. While those revenues have historically remained relatively constant, in recent years, the Commission has approved rate increases to municipal customers. Wholesale sales have reduced in recent years due to reduction in Hetch Hetchy Project generation available to the Districts and wholesale sales.

TABLE 10
HISTORICAL REVENUES
FOR FISCAL YEARS ENDED JUNE 30
(IN THOUSANDS)

Revenues:	**2010**	**2011**	**2012**	**2013**	**2014**
Charges for Services					
Municipal Sales	$60,344	$ 62,425	$62,568	$64,156	$73,114
Other Retail Sales[(1)]	18,089	19,476	21,034	18,146	20,101
Wholesale Sales	18,803	26,554	11,079	14,097	5,478
Total	$97,236	$108,454	$94,680	$96,398	$98,693
Rent & concessions	135	140	134	135	123
Interest & investment income	2,081	1,965	2,589	139	1,289
Trans Bay Cable License[(2)]	3,500	2,000	2,115	2,158	2,221
Cap & Trade Allowances[(2)]	N/A	N/A	N/A	785	678
All Others	2,956	5,424	3,685	1,949	2,899
Totals	$105,908	$117,983	$103,203	$101,564	$105,903

(1) Includes revenues recovered from services to Treasure Island. Such amounts are excluded from Revenues under the Indenture.

(2) Trans Bay Cable LLC licenses and cap and trade allowances are excluded from Revenues under the Indenture.

Source: SFPUC.

Operation and Maintenance Expenses

"Operation and Maintenance Expenses" covers the general operational expenses of the Power Enterprise. These expenses include labor and employment benefits, contractual services, materials and supplies, depreciation, general and administrative, services from other departments and other miscellaneous costs. Services from other departments include payment for services from other City departments, such as City Attorney's Office and the General Services Agency. Purchased power costs also constitute Operation and Maintenance Expenses. See **HISTORICAL OPERATING RESULTS** and **THE PUBLIC UTILITIES COMMISSION – Employee Relations**.

The following table summarizes the number of SFPUC employees assigned to the Power Enterprise covered by collective bargaining agreements as of March 31, 2015 and the expiration dates of such agreements.

TABLE 11
POWER ENTERPRISE EMPLOYEE COLLECTIVE BARGAINING AGREEMENTS
(AS OF MARCH 31, 2015)

Employee Bargaining Unit	Full-Time Equivalent Employment	Agreement Expiration Date
Electrical Workers, Local 6	19	June 30, 2017
International Federation of Professional and Technical Engineers, Local 21	63	June 30, 2017
Laborers International Union, Local 261	2	June 30, 2017
Municipal Executives' Association	18	June 30, 2017
SEIU Local 1021	11	June 30, 2017
Stationary Engineers, Local 39	2	June 30, 2017
	115	

Employee Benefit Plans

Retirement System Plan Description. The SFPUC participates in the City's single employer defined benefit retirement plan (the "Plan") which is administered by the San Francisco City and County Employees' Retirement System (the "Retirement System" or "SFERS"). The Plan covers substantially all full time employees of the SFPUC along with other employees of the City. The Plan provides basic service retirement, disability, and death benefits based on specified percentages of final average salary and provides cost-of-living adjustments after retirement. The Plan also provides pension continuation benefits to qualified survivors. The Charter and City Administrative Code are the authorities that establish and amend the benefit provisions and employer obligations of the Plan.

Plan Financial Reports and Funded Status. The Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for the Plan. That report may be obtained by writing to the San Francisco City and County Employees' Retirement System, 30 Van Ness Avenue, Suite 3000, San Francisco, CA 94102, or by calling (415) 487-7020.

The funded status of the Plan as of June 30, 2013 (the most recent date for which information is available) was as follows:

	(000s)
Actuarial Liability	$ 20,224,776
Actuarial Value of Assets	$ 16,303,397
Unfunded Actuarial Liability	$ 3,921,379
Funded Status (assets/liabilities)	80.6%

Source: SFPUC.

Retirement System Funding Policy. Contributions to the basic Plan are made by both the SFPUC and its employees. Employee contributions are mandatory. Employee contribution rates for Fiscal Years 2013-14, 2012-13 and 2011-12 varied from 7.5% to 13.0% as a percentage of covered payroll. Due to certain bargaining agreements, the SFPUC contributed from 0.5% to 8.0% of covered payroll on behalf of some employees.

The contributions made by the Power Enterprise for the prior three Fiscal Years were as follows:

Fiscal Year	Actuarially Determined Rate as a Percentage of Covered Payroll	Contribution (000s)	Percent of Required Contribution
2011-12	18.09%	$2,497	100%
2012-13	20.70	2,731	100
2013-14	20.80	3,400	100

Source: SFPUC.

Projected Future Contributions and Pension Costs. Employer-share contribution rates increased from 18.1% in Fiscal Year 2011-12 to 20.7% in Fiscal Year 2012-13 for covered City employees, as adopted by the Retirement Board in March 2012. Required employer-share rates included in the City's projections are based on a projection scenario provided by the Cheiron consulting firm, which assumes that the pension fund achieves a 0% investment return in Fiscal Year 2011-12 and achieves its target investment return in each subsequent year. This projection assumes required employer-share contribution rates of 25.5% in Fiscal Year 2013-14, 28.6% in Fiscal Year 2014-15, and 27.6% in Fiscal Year 2015-16. These rates are assumed to be reduced by the floating employee contribution rates included in the pension cost sharing provisions of Proposition C, as well as the increased employee contributions included in the amended labor agreements with the Police Officers Association and Firefighters Local 798. Together, these provisions result in $38.1 million in savings to the City in Fiscal Year 2012-13, growing to $56.5 million in Fiscal Year 2015-16. Despite these savings, SFERS employer contribution costs are projected to increase by $10.2 million in Fiscal Year 2012-13, $47.1 million in Fiscal Year 2013-14, and $36.6 million in Fiscal Year 2014-15, followed by a decrease of $12.8 million for Fiscal Year 2015-16.

Health Care Benefits. Health care benefits of the SFPUC employees, retired employees and surviving spouses are financed by beneficiaries and by the City through the City and County of San Francisco Health Service System (the "Health Service System"). The Power Enterprise's annual contribution for both active and retired employees amounted to approximately $4.547 million and $4.621 million in Fiscal Years 2012-13 and 2013-14, respectively.

Included in these amounts are $906,000 and $846,000 for 2014 and 2013, respectively, to provide post-retirement benefits for retired employees, on a pay-as-you-go basis.

The City has determined a Citywide Annual Required Contribution ("ARC"), interest on net other post-employment benefits other than pensions ("OPEB") obligation, ARC adjustment, and OPEB cost based upon an actuarial valuation performed in accordance with GASB 45, by the City's actuaries. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost of each year and any unfunded actuarial liabilities (or funding excess) amortized over 30 years. The City's allocation of the OPEB related costs to the SFPUC for the year ended June 30, 2014 based upon its percentage of Citywide payroll costs is presented below.

The following table shows the components of the City's annual OPEB allocations for the Power Enterprise for the years ending June 30, 2014 and 2013, for the amount contributed to the plan, and changes in the City's net OPEB obligation:

TABLE 12
ANNUAL OPEB OBLIGATION FOR THE POWER ENTERPRISE
FOR FISCAL YEARS ENDING JUNE 30, 2013 AND JUNE 30, 2014
(IN THOUSANDS)

	2014	2013
Annual required contribution	$ 2,238	$ 2,576
Interest on net OPEB obligation	469	361
Adjustment to ARC	(390)	(300)
Annual OPEB cost (expense)	2,317	2,637
Contribution made	(906)	(846)
Increase in net OPEB obligation	1,411	1,791
Net OPEB obligation – beginning of year	11,038	9,247
Net OPEB obligation – end of year	12,449	11,038

Source: SFPUC, Financial Services.

The City issues a publicly available financial report on a City-wide level that includes the complete note disclosures and required supplementary information related to the City's post-retirement health care obligations. The report may be obtained by writing to the City and County of San Francisco, Office of the Controller, 1 Dr. Carlton B. Goodlett Place, Room 316, San Francisco, CA 94102, or by calling (415) 554-7500.

The City's OPEB Unfunded Actuarial Accrued Liability ("UAAL") was $4.4 billion for Fiscal Year 2013-14. The amount allocable to the Power Enterprise, as of July 1, 2014, was $28.93 million.

Pension and Health Care Cost Reforms. City voters have implemented pension and health care cost reforms in recent years to help mitigate future cost increases. These include the following propositions:

Proposition B. Proposition B was approved by voters in June 2008 and increased the years of service required to qualify for employer-funded retiree health benefits for City employees who retire under SFERS and were hired on or after January 10, 2009. Employees hired before January 10, 2009, became eligible to participate in the retirement health care system after 5 years of service and the employer paid 100% of the contribution. Proposition B also stated that a separate Retiree Health Care Trust Fund would be created to pay for the City's future costs related to retiree health care. This trust fund will be funded by employer and employee contributions for employees hired on or after January 10, 2009. These new employees would contribute up to 2% of their pre-tax pay and employers would contribute 1%.

Proposition C. Proposition C was a Charter amendment approved by voters in November 2011 that changed the way the City and current and future employees share in funding SFERS pension and health benefits.

With regard to pension benefits, the base employee contribution rate remains at 7.5% for most employees when the City contribution rate is between 11% and 12% of City payroll. Employees making at least $50,000 will pay an additional amount up to 6% of compensation when the City contribution rate is over 12% of City payroll. When the City contribution rate falls below 11%, employee contributions will be decreased proportionately.

Proposition C creates new retirement plans for employees hired on or after January 7, 2012 that: (1) for miscellaneous employees, increased the minimum retirement age to 53 with 20 years of service or 65 with 10 years; (2) for safety employees, kept the minimum retirement age at 50 with five years of service, but increased the age for maximum benefits to 58; (3) for all employees, limited covered compensation, calculated final compensation from three-year average, and changed the multipliers used to calculate pension benefits, and (4) for miscellaneous employees, raised the age of eligibility to receive vesting allowance to 53 and reduced by half the City's contribution to vesting allowances. Proposition C limits cost-of-living adjustments for SFERS retirees.

With regard to health benefits, elected officials and employees hired on or before January 9, 2009, contribute up to 1% of compensation toward their retiree health care, with matching contribution by the City. For

employees or elected officials who left the City workforce before June 30, 2001, and retire after January 6, 2012, Proposition C requires that the City contributions toward retiree health benefits remain at the same levels they were when the employee left the City workforce.

Allocation of Costs

The SFPUC allocates various common costs it incurs among Hetch Hetchy Water and Power, the Water Enterprise and the Wastewater Enterprise. Allocations are based on the SFPUC management's best estimate and may change from year to year depending on activities undertaken by each enterprise and information available. For the years ended June 30, 2014 and 2013, the SFPUC allocated $12.426 million and $12.848 million, respectively, in administrative costs to Hetch Hetchy Water and Power, which is included in the financial statements under various expense categories. These costs are then allocated to Hetch Hetchy Water and the Power Enterprise in the Hetch Hetchy Water and Power financial statements, using the periodically reviewed department overhead allocation model.

Payments to/from the City

The City performs certain administrative services such as maintenance of accounting records and investment of cash for all fund groups within the City. For the years ended June 30, 2014 and 2013, the Commission allocated $9.341 million and $9.589 million, respectively, in administrative costs to the Power Enterprise, which is included in the financial statements under various expense categories, using the periodically reviewed department allocation model.

The overhead allocation paid to the General Fund of the City by Power Enterprise was $62,000 and $402,000 for the years ended June 30, 2014 and 2013, respectively, and is included in other operating expenses in the financial statements.

A variety of City departments provide direct services such as engineering, purchasing, legal, data processing, telecommunications, and human resources to the Power Enterprise and charge amounts designed to recover those costs. These charges totaling approximately $5.892 million and $5.002 million for the years ended June 30, 2014 and 2013, respectively, are included in services provided by other departments in the Power Enterprise's financial statements.

SFPUC has a 75-year lease agreement with the San Francisco Recreation and Parks Department for parking spaces at the Civic Center garage for use by the SFPUC's fleet of vehicles. The lease commenced on February 1, 2011. Payments to be made under this agreement total $6.274 million, of which $6 million has been paid, with one final payment of $274,000 due in Fiscal Year 2014-15. The expenses and prepayments are allocated among the Hetch Hetchy Water and Power, the Water Enterprise and the Wastewater Enterprise based on employee occupancy at 525 Golden Gate. As of Fiscal Year ended June 30, 2014, the Power Enterprise's allocable shares of expenses and prepayments were $16,000 and $984,000, respectively.

The SFPUC makes payments to the City relating to the financing of the SFPUC's headquarters. See **OBLIGATIONS PAYABLE FROM REVENUES – Other Obligations Payable from Revenues**.

The SFPUC receives payments from other agencies of the City for their share of the cost of the service provided to them. See **– Rate-Setting Process; Rates**.

Debt Management and Fund Balance Reserve Policies

The SFPUC has established Debt Management Policies and Procedures for debt financing under its jurisdiction. These policies apply to all SFPUC enterprises, including the Power Enterprise, and are intended to enable the SFPUC to effectively manage its debt issuance and debt management practices. The policies and procedures are reviewed biannually and revised, as necessary, with Commission approval. The most recent revisions were approved on March 24, 2015.

The SFPUC also established a Fund Balance Reserve Policy in 2010. This policy is applied to the long-term financial planning of all SFPUC enterprises, including the Power Enterprise. The Fund Balance Reserve

Policy states that operating and capital plans, budgets and rates will be projected and proposed for adoption such that all bond indenture requirements are met or exceeded and that Operating Fund Balance Reserves meet one or more of the following: total at least 15% of annual revenues; total at least 15% of annual expenditures; and result in Debt Service Coverage, on a bond indenture basis, including fund balance reserves available to pay debt service, of at least 1.25 times.

The SFPUC makes no representation that these policies will not be revised or amended and, except to the extent required for compliance with the terms of the Indenture, and makes no representation that these policies will be followed by the SFPUC.

Investment of SFPUC Funds

The SFPUC's pooled deposits and investments are invested pursuant to State law and the investment policy established by the City Treasurer and overseen by the Treasury Oversight Committee. This policy seeks the preservation of capital, liquidity and yield, in that order of priority. The policy addresses the soundness of the financial institutions that hold City assets and the types of investments permitted by the California Government Code. The earned income yield for Fiscal Year 2013-14 was 0.73%.

The SFPUC's non-pooled deposits and investments consist primarily of funds related to the SFPUC's outstanding bonds, which are invested pursuant to policy established by the SFPUC, subject to the restrictions contained in the applicable bond documentation.

Risk Management and Insurance

The SFPUC's risk management program encompasses both self-insured and insured exposure at risk. Risk assessments and purchasing of insurance coverage are collaboratively coordinated by the SFPUC Enterprise Risk Management department and the City's Office of Risk Management. With certain exceptions, the City and the SFPUC's general approach is to first evaluate the exposure at risk for self-insurance. Based on this analysis, internal mitigation strategies and financing through a "self-retention" mechanism are identified and, if more economical, the SFPUC administers, adjusts, settles, defends, and pays claims from budgeted resources. When economically more viable or where required by debt financing covenants, the SFPUC obtains commercial insurance.

At least annually, the City reviews and actuarially determines general liability and workers' compensation risk exposures. The SFPUC generally does not maintain commercial earthquake coverage.

The following is a summary of the SFPUC's coverage approach to risk:

Primary Risks	Typical Coverage Approach
General Liability	Self-Insured
Property	Purchased Insurance & Self-Insured
Electronic Data Processing	Purchased Insurance & Self-Insured
Workers' Compensation	Self-Insured through City-Wide Pool

Other Risks	Typical Coverage Approach
Surety Bonds	Purchased and Contractually Transferred
Professional Liability	Combination of Self-Insured, and Contractual Risk Transfer
Errors & Omissions	Combination of Self-Insured, and Contractual Risk Transfer
Builders Risk	Purchased Insurance & Contractual Risk Transfer
Employment Practices Liability	Purchased Insurance
Public Officials Liability	Purchased Insurance
Crime	Purchased Insurance

The SFPUC's property risk management approach varies depending on whether the facility is currently under construction, or if the property is part of revenue-generating operations. The majority of purchased insurance

is for revenue-generating facilities, debt-financed facilities, and mandated coverage to meet statutory or contractual requirements.

The SFPUC has purchased a Public Officials Liability policy for all public officials with financial oversight responsibilities, including Commissioners, the General Manager and the Chief Financial Officer. The policy also includes employment practices liability coverage.

Additionally, the SFPUC has implemented an Enterprise Risk Management program for the Business & Financial Services Bureau and is currently in the process of establishing an ERM program for the Power Enterprise. The framework provides a strategic approach to managing operational risks of the organization through a coordinated process that identifies, assesses, treats, and monitors risks. The SFPUC acknowledges the importance of aligning strategic planning to the risk management process and intends to continue implementation across the organization.

Capital Project Risk Management. For capital construction projects, the SFPUC has utilized traditional contractual risk transfer, owner-controlled insurance programs or other alternative insurance programs. Under the latter two approaches, the insurance program usually provides coverage for the entire construction project, along with multiple risk coverages, such as general liability and workers compensation. When a contractual risk transfer is used for capital construction risks, the SFPUC requires each contractor to provide its own insurance, while ensuring that the full scope of work be covered with satisfactory levels to limit the SFPUC's risk exposure balanced by that which is commercially available.

Bonds are required, unless Builder's Risk is purchased, in most phases of the construction contracting process for such phases, as bid, performance, and payment or maintenance. Additionally, bonds may be required in other contracts where goods or services are provided to ensure compliance with applicable terms and conditions such as warranty.

Professional liability policies are either directly purchased insurance on behalf of the SFPUC, transferred through contract to the contracted professional, or retained through self-insurance on a case by case basis depending on the size, complexity or scope of construction or professional service contracts. Professional liability policies are typically purchased for services provided by engineers, architects, design professionals and other licensed or certified professional service providers.

Builder's Risk policies of insurance are required to be provided either through an owner-controlled insurance program or the contractor on all construction projects for the full value of the construction.

HISTORICAL OPERATING RESULTS

The historical results of operations reflected in the following table are based on the tables contained in the Financial Statements entitled "Statements of Revenues, Expenses and Changes in Net Assets" and "Statements of Cash Flows" for the Fiscal Years listed. See **APPENDIX B – SFPUC POWER ENTERPRISE FINANCIAL STATEMENTS**.

TABLE 13
POWER ENTERPRISE
HISTORICAL REVENUES AND OPERATION AND MAINTENANCE EXPENSES
FOR FISCAL YEARS ENDED JUNE 30
(IN THOUSANDS)[1]

	2010	2011	2012	2013	2014
Revenues:					
Charges for services	$ 97,236	$ 108,454	$ 94,680	$ 96,398	$ 98,693
Rent & concessions	135	140	134	135	123
Subtotal Operating Revenues	$ 97,371	$ 108,594	$ 94,814	$ 96,533	$ 98,816
Interest & investment income	2,081	1,965	2,589	139	1,289
Other non-operating revenues	6,456	7,424	5,800	4,892	5,798
Subtotal Non-Operating Revenues	$ 8,537	$ 9,389	$ 8,389	$ 5,031	$ 7,087
Total Revenues	$ 105,908	$ 117,983	$ 103,203	$ 101,564	$ 105,903
Expenses:					
Personnel services	$ 25,755	$ 28,474	$ 31,719	$ 33,564	$ 33,762
Contractual services	5,627	6,063	4,726	4,956	4,063
Purchased power & related costs	17,726	19,269	21,539	20,891	26,215
Materials and supplies	1,540	1,638	1,694	1,671	2,075
Depreciation[2]	8,539	9,582	9,796	11,079	11,128
Services provided by other departments and general & administrative	4,018	7,101	7,947	8,665	9,711
Other operating expenses[3]	23,129	14,114	16,186	12,433	14,086
Subtotal operating expenses	$ 86,334	$ 86,241	$ 93,607	$ 93,259	$ 101,040
Interest expense	722	562	99	1,641	1,574
Other non-operating expenses	5,321	4,403	3,179	3,025	2,485
Total expenses	$ 92,377	$ 91,206	$ 96,885	$ 97,925	$ 105,099
Change in net position before transfers	13,531	26,777	6,318	3,639	804
Transfers in (out)	(1,400)	(184)	(2)	(196)	(38)
Change in net position	12,131	26,593	6,316	3,443	766
Net position at beginning of year	$ 331,090	$ 343,221	$ 369,814	$ 375,848	$ 379,284
Net position at end of year	$ 343,221	$ 369,814	$ 376,130	$ 379,284	$ 376,146

(1) See Table 10.
(2) Depreciation is excluded from Operation and Maintenance Expenses under the Indenture.
(3) Includes operating programmatic expenses associated with facility maintenance, a portion which is excluded from Operation and Maintenance Expenses under the Indenture.

Source: SFPUC, Hetch Hetchy Water and Power Audited Financial Statements.

CERTAIN RISK FACTORS

The following section discusses certain risk factors that should be considered by potential investors, along with all other information presented in this Official Statement, in evaluating the risks inherent in the purchase of the 2015 Series AB Bonds. The following discussion is not meant to be a comprehensive or definitive list of the risks associated with an investment in the 2015 Series AB Bonds. Any one or more of the risk factors discussed below, among others, could adversely affect the ability of the SFPUC to pay principal of or interest on the 2015 Series AB Bonds or lead to a decrease in the market value and/or in the liquidity of the 2015 Series AB Bonds. The order in which this information is presented does not necessarily reflect the relative importance of the various issues. There can be no assurance that other risk factors not discussed herein will not become material in the future, and the SFPUC has not undertaken to update investors about the emergence of other risk factors in the future.

General

The ability of the SFPUC to comply with its covenants under the Indenture and to generate Revenues sufficient to pay the Operation and Maintenance Cost of the Power Enterprise and principal of and interest on the 2015 Series AB Bonds may be adversely affected by actions and events outside of the control of the SFPUC and may be adversely affected by actions taken (or not taken) by regulatory agencies, voters, Power Enterprise customers or PG&E. Among other matters, general and local economic conditions, weather or climatic conditions, natural or other disasters and changes in law and government regulations could adversely affect the amount of Revenues realized by the SFPUC or significantly raise the cost of operating the facilities of the Power Enterprise (the "Power Facilities").

In addition, the realization of future Revenues is subject to, among other things, the capabilities of management of the SFPUC, the ability of the SFPUC to provide service to its customers, the ability of the SFPUC to establish, maintain and collect charges from its customers and the ability of the SFPUC to establish, maintain and collect rates and charges sufficient to pay for Operation and Maintenance Cost of the Power Enterprise, the Bonds and other obligations payable from Revenues. See **FINANCIAL OPERATIONS** and **OBLIGATIONS PAYABLE FROM REVENUES**.

Limited Obligations

If the SFPUC defaults on its obligations to make debt service payments on the Bonds, the Trustee has the right under the Indenture to accelerate the total unpaid principal amount of the Bonds. However, in the event of a default and such acceleration, there can be no assurance that the SFPUC, and correspondingly the Trustee, will have sufficient moneys available for payment of the Bonds.

The SFPUC is not obligated to pay the principal of, premium, if any, or interest on the 2015 Series AB Bonds from any source of funds other than the Revenues of the Power Enterprise, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits. The General Fund of the City is not liable for the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds, and neither the credit nor the taxing power of the City is pledged to the payment of the principal of, premium, if any, or interest on the 2015 Series AB Bonds. The SFPUC has no taxing power. The 2015 Series AB Bonds are not secured by a legal or equitable pledge of, or charge, lien or encumbrance upon, any of the property of the City or of the SFPUC or any of its income or receipts, except Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits.

Unavailability of Generation or Transmission

The operation of the Power Facilities, including the Hetch Hetchy Project, is subject to a number of risks which could adversely affect the ability of the Power Enterprise to generate electricity or deliver electricity to its customers. Such interruptions in generation or transmission could adversely impact Revenues or require the SFPUC to increase expenditures for repairs and replacement power. Such Revenue losses or increased operating expenses, if significant, could adversely impact the SFPUC's ability to pay debt service on the Bonds.

Lack of Supply Diversity. Although the SFPUC has been developing alternative sources of generation, the Power Enterprise's electric supply resources remain highly concentrated. Developments with respect to hydroelectric generation in general, or the Hetch Hetchy Project in particular, could have an amplified effect on the availability and cost of electricity required to meet the needs of the Power Enterprise's customers. See **THE HETCH HETCHY PROJECT**.

Aging Facilities; Failure of Key Facilities. The Power Facilities vary in age, condition, and estimated service life remaining. The average useful life of generating assets is about 30 years while the average useful life of transmission assets is approximately 80 years. Certain portions of the Power Facilities are near the end of their useful life. Long-lived assets result in decreased reliability due to unplanned outages and place a greater maintenance burden on Power Enterprise operations. Aging generating and transmission assets, if left unaddressed, could result in increased system failures, including losses of Hetch Hetchy Project electric generation delivered to the City, increasing the Power Enterprise's cost of purchased power. See, for example, **THE HETCH HETCHY PROJECT – Physical Condition of Facilities.**

Limited Redundancy. Certain Power Facilities have limited redundancy, which reduces the SFPUC's ability to take components of the system out of service for maintenance and repairs, and to provide backup facilities in cases of failure. Any failure of the Power Facilities could result in an increase in the Power Enterprise's purchased power or transmission costs.

Rainfall Variability and Drought. Hydroelectric generation by the Hetch Hetchy Project is subject to seasonal and annual variations in rainfall. See **THE HETCH HETCHY PROJECT – Variability of Hydroelectric Generation** and **– Current California Drought.**

Water System Operation Requirements. The SFPUC's "water first" policy requires the Power Enterprise to coordinate electricity generation with water releases from Hetch Hetchy Reservoir required to serve the needs of Water Enterprise customers, which has an impact on the Power Enterprise's ability to schedule generation in a manner that would maximize Revenues and minimize Operation and Maintenance Expenses. The price of electricity is subject to market conditions and seasonal market variations which frequently result in lower costs per MWh during the early part of the calendar year when more water is released to serve the requirements of the Water Enterprise and higher costs per MWh in the latter part of the calendar year when less water is released to serve the requirements of the Water Enterprise. See **THE HETCH HETCHY PROJECT – Hetch Hetchy Project Operations – Water First Policy** and **– Variability of Hydroelectric Generation**.

Unavailability of Transmission. The Power Enterprise's transmission assets are interconnected to the California Independent System Operator's (the "CAISO's") system. The unavailability of transmission assets due to failure or maintenance outage could require the Power Enterprise to obtain alternative transmission services from other utilities or increase the Power Enterprise's reliance on the CAISO's transmission network, which could result in increased transmission costs to the Power Enterprise. See **THE POWER ENTERPRISE – Transmission and Distribution.**

Casualty Losses. Damage to the Power Facilities from a variety of sources could impair or degrade the Power Enterprise's ability to deliver electricity to its customers, perhaps for an extended period of time. The SFPUC maintains a risk management program which includes both insured and self-insured coverages; however, the program does not provide, and the SFPUC is not required to obtain, coverage for every type of loss. For example, damage attributable to seismic events and environmental pollution are excluded from such coverages. In situations where the SFPUC has not purchased commercial coverage, the Power Enterprise has a 'self-retention' program that it administers and retains budgeted resources internally to provide coverage for loss liabilities. See **FINANCIAL OPERATIONS – Risk Management and Insurance**. There can be no assurance in the event of a casualty loss that insurance proceeds or the SFPUC's budgeted resources will be available in amounts sufficient to make necessary capital repairs and mitigate other consequential losses.

Seismic Hazards. Certain facilities and customers of the Power Enterprise are located in seismically active regions of the State. See **– Seismic Considerations.**

Other Natural and Man-Made Disasters. Other disasters, including without limitation wildfires, flooding and landslides, or man-made disasters, could interrupt operation of the Hetch Hetchy Project and other Power Facilities. See **THE HETCH HETCHY PROJECT – Wildfire Considerations; 2013 Rim Fire**.

Operational Liability. The SFPUC operates high voltage transmission lines through right of way corridors that extend approximately 200 miles across forested and populated areas between the Sierra Nevada Mountains and the Newark Substation. These high voltage transmission lines can cause fires, electrocution or other casualties if safe clearance zones are not maintained or are accidentally breached, potentially resulting in significant liability losses. SFPUC is undertaking a condition assessment of its transmission line right of way and has identified potential hazards, including those due to insufficient ground clearance and those caused by encroachments or structures improperly located by other local jurisdictions, utilities or individuals in proximity to the transmission lines. Immediate measures are being taken to enhance warning notification, exclude access, or remove trees or vegetation, and a capital improvement program is under development in order to establish safe clearance zones where deficient. The cost and complexity of remedying all such potential hazards is such that such measures are unlikely to be fully implemented within the scope of the current ten year CIP, and the SFPUC is working to prioritize its remedial actions. See **POWER ENTERPRISE CAPITAL PROGRAM**.

Safety and Security. Military conflicts and terrorist activities could also adversely impact the operations of the Power Enterprise or the finances of the SFPUC. The SFPUC plans and prepares for emergency situations and related responses to maintain critical services. However, there can be no assurance that any such safety and security measures will prove adequate in the event of terrorist activities directed against the Power Facilities or that costs of security measures will not be greater than presently anticipated.

Statutory and Regulatory Compliance. The operation of the Power Facilities is subject to a variety of federal and State statutory and regulatory requirements concerning matters such as reliability, reporting, and the scheduling of electrical generation and transmission. Non-compliance with applicable laws or regulations could result in fines and penalties being assessed against the SFPUC or claims being made by private parties. Changes in the scope and standards for electricity generation, transmission and distribution systems such as the Power Facilities may also lead to administrative orders issued by federal or State regulators. Future compliance with increased regulatory requirements or enforcement orders could impose substantial additional operating expenses on the Power Enterprise.

Endangered Species. Various aquatic species (including native fishes) present in the Tuolumne River and Bay Area streams (e.g., Alameda, San Mateo and Pilarcitos Creeks) are either listed or candidates for listing under the State or federal endangered species acts. New listings and future enforcement actions under the acts, or conditions placed in permits to undertake construction for certain projects, could potentially directly affect water flow and electrical generation at the Hetch Hetchy Project. See **THE HETCH HETCHY PROJECT – FERC Proceedings Regarding Relicensing of the Don Pedro Project.**

Labor Actions. The Charter prohibits SFPUC and other City employees from striking. Nonetheless, a work stoppage or other labor action could limit the SFPUC's ability to operate the Power Facilities and adversely impact Revenues.

Proposals to Restore Hetch Hetchy Valley. Various environmental advocates have from time to time proposed the dismantling of O'Shaughnessy Dam with the aim of draining Hetch Hetchy Reservoir and restoring the river valley, including through a ballot initiative ordinance to require a planning process for the restoration of Hetch Hetchy Valley that was rejected by City voters in the November 2012 election. Any such proposals, if implemented, would increase the operating and capital expenses of the Power Enterprise, primarily due to increased power purchases. See **THE HETCH HETCHY PROJECT – Proposals to Restore Hetch Hetchy Valley**.

Seismic Considerations

Certain distribution and transmission facilities of the Power Enterprise and the Power Enterprise's principal customers are located in seismically active regions of the State. The San Andreas Fault lies immediately west of the City, and the Hayward fault is approximately fifteen miles to the east. A third major fault, the Calaveras Fault, is a branch of the Hayward Fault and lies east of the Hayward Fault.

During the past 150 years, the San Francisco Bay Area has experienced several major and numerous minor earthquakes. The largest was the 1906 San Francisco earthquake along the San Andreas Fault with an estimated magnitude of 8.2 on the Richter scale. Another was the 1868 Hayward earthquake along the Hayward Fault. The most recent significant earthquake was the October 1989 Loma Prieta earthquake on the San Andreas Fault, which had a magnitude of 7.1 on the Richter scale and an epicenter near Santa Cruz, approximately fifty-five miles south of the City. According to a recent United States Geological Survey, a significant earthquake along these or other faults is probable during the period the 2015 Series AB Bonds will be outstanding. A significant earthquake in the City could adversely affect short-term or long-term demand or the ability of Power Enterprise customers to pay for electric service.

The Hetch Hetchy Project is located largely in Yosemite National Park, one of the most stable seismic zones in the State, and there are no known major faults in the area in which its large generation facilities are located. The SFPUC therefore considers the risk of either a major earthquake in that region or an earthquake in the San Francisco Bay Area of a magnitude sufficient to have a significant impact on the Hetch Hetchy Project to be low. Many of the Hetch Hetchy Project's generation and transmission facilities were constructed prior to 1980, however, and have not been retrofitted to meet current seismic standards. As the SFPUC continues to upgrade and replace certain generation and transmission assets, including the powerhouse, substation and switchyard, it expects to make modifications designed to make the refurbished assets meet or exceed current seismic standards. The SFPUC has no current plans to retrofit the buildings housing such assets, however.

The SFPUC's in-City assets, including for example certain renewable energy generating facilities and streetlights, along with facilities in other locations in the larger Bay Area, such as subtations located near SFO, of the are expected to be subject to greater and more frequent seismic activity than the facilities of the Hetch Hetchy Project as sections of the Hayward Fault, San Andreas Fault and Calaveras Fault are near the City.

With certain minor exceptions, the SFPUC does not maintain commercial earthquake insurance coverage for the Hetch Hetchy Project or other Hetch Hetchy Water and Power facilities. See **FINANCIAL OPERATIONS – Risk Management and Insurance**.

A major seismic event affecting critical operational facilities of the Power Enterprise could result in electrical generation service interruptions necessitating that the Power Enterprise purchase wholesale electricity, based on availability and market price, to replace any generation capacity taken offline by the seismic event. Particularly severe seismic events could also significantly impact the wholesale electricity market, available transmission resources and customer demand.

Construction Related Risks

Construction projects for the Power Enterprise are subject to ordinary construction risks and delays applicable to projects of their kind, such as (i) inclement weather affecting contractor performance and timeliness of completion, which could affect the costs and availability of, or delivery schedule for, equipment, components, materials, labor or subcontractors; (ii) contractor claims or nonperformance; (iii) failure of contractors to execute within contract price; (iv) work stoppages or slowdowns; (v) failure of contractors to meet schedule terms; or (vi) unanticipated project site conditions, including the discovery of hazardous materials on the site or other issues regarding compliance with applicable environmental standards, and other natural hazards or seismic events encountered during construction. Increased construction costs or delays could impact the Power Enterprise's financial condition in general and the implementation of its capital programs in particular.

Limitations on Rate-Setting

The generation of Revenues sufficient to satisfy the requirements of the Indenture and to pay the principal of and interest on the 2015 Series AB Bonds will require the SFPUC to raise the rates payable by its customers. The increase or maintenance of rates is subject to various substantive and procedural requirements and limitations. See **FINANCIAL OPERATIONS – Rate-Setting Process; Rates**.

Raker Act Requirements

The Raker Act, enacted in 1913, granted the City the right to construct the Hetch Hetchy Project, including O'Shaughnessy Dam at Hetch Hetchy Valley in Yosemite National Park and related infrastructure, and to operate the dam and reservoirs to generate electricity and to supply water to the City. The Raker Act further grants the City the right to sell electricity generated by the Hetch Hetchy Project to meet municipal and pumping needs, including without limitation its own needs and the needs of the Districts, and for commercial purposes, provided that such electricity may not be sold for resale to a private corporation or individual. See **THE HETCH HETCHY PROJECT**. Wholesale electricity deliveries to the Districts are on an "as available" basis and are required by the Raker Act only after satisfying the City's own municipal and pumping needs. Any additional excess electricity supplies are sold to certain retail customers and then on the wholesale market to public entities—primarily other POUs—consistent with the requirements of the Raker Act. The Raker Act does not restrict the City's purchase, use and sale of non-Hetch Hetchy Project electricity. See **THE POWER ENTERPRISE – Wholesale Electricity Sales.**

Customer Concentration

The Power Enterprise's customer base consists of municipal, public agency, and retail customers and long-term wholesale customers, with excess generation sold on the wholesale short-term markets. The municipal, public agency and retail customers, which include City enterprise department customers and General Fund department customers, together comprise on average approximately 81% of all electricity sales. City enterprise department customers made up 41% of all Power Enterprise electricity sales in Fiscal Year 2013-14. General Fund department customers accounted for approximately 26% of all Power Enterprise electricity sales in Fiscal Year 2013-14. Long-term wholesale agreements, including those with the Districts, represent on average approximately 19% of all Power Enterprise electricity sales. The Power Enterprise also enters into short-term wholesale market arrangements to sell excess supply, primarily during the run-off spring season. In Fiscal Year 2013-14, short-term wholesale market sales were approximately 0.2% of all the Power Enterprise's electricity sales.

As the Power Enterprise's retail customers are concentrated primarily in and around the City, changes in the financial condition of, or the health of the economy in, the City and, to a certain extent, the greater Bay Area, may have an amplified impact on the finances of the Power Enterprise. As many customers of the Power Enterprise are municipal and other governmental entities, factors impacting the financial condition of such entities may similarly have significant impact on the finances of the Power Enterprise.

Increased Operation and Maintenance Expenses

There can be no assurance that the operation and maintenance expenses of the SFPUC, such as wages and salaries, pension and other benefits, and purchased power costs, will not increase, perhaps substantially. See **FINANCIAL OPERATIONS – Operation and Maintenance Expenses**.

Changes in Energy Prices

Energy prices have at times been subject to volatile change for numerous reasons, including market forces beyond the control of the SFPUC. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION**. A portion of the SFPUC's retail electric rates are set with reference to PG&E's customer rates, while a portion are set at lower levels with reference to costs of service. See **FINANCIAL OPERATIONS – Rate-Setting Process; Rates.** Higher wholesale energy market prices may increase operating costs of the Power Enterprise and reduce Net Revenues.

California's (the "State's") electricity deregulation instituted pricing mechanisms that establish market clearing prices for all electricity not purchased under forward contracts. Electricity prices are set through this auction mechanism designed to account for supply, demand and congestion. When generation supply exceeds demand, electricity prices move lower. Typically, electricity prices are lower in the spring when hydroelectric generation is abundant and demand moderate. Electricity prices tend to be higher in the late summer and fall when regional and State-wide generating resources are more limited and demand is highest. In an average year, the Power Enterprise has excess generation to sell in the first half of the year and generally purchases wholesale electricity

during the second half of the year to meet its electricity demand. The Power Enterprise accounts for the seasonal differential in electricity price in its budget request for annual electricity purchases and reflects such costs in the rates it charges customers.

The SFPUC generally sets electric rates for enterprise customers at a level competitive with the adopted PG&E rates for each customer class. PG&E is an investor-owned utility that provides natural gas and electric service to about 5.1 million electric and gas customers in Northern and Central California. See **THE POWER ENTERPRISE – Power Service in San Francisco – Pacific Gas & Electric Company**. PG&E is regulated by the CPUC for its retail services and by the FERC for its wholesale service. PG&E's rates for retail service to customers in California are established by the CPUC after public review to determine they are "just and reasonable".

See also **– Limitations on Rate Setting** and **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION.**

Uncertainties of the Electric Utility Industry

The operations of the Power Enterprise and its financial condition could be adversely affected by developments in the electricity markets and related regulation. See **DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION.**

Economic, Political, Social and Environmental Conditions

Changes in economic political, social, or environmental conditions on a local, state, federal, and/or international level may adversely affect investment risk generally. Such conditional changes may include (but are not limited to) fluctuations in business production, consumer prices, or financial markets, unemployment rates, technological advancements, shortages or surpluses in natural resources or energy supplies, changes in law, social unrest, fluctuations in the crime rate, political conflict, acts of war or terrorism, environmental damage, and natural disasters.

Constitutional, Statutory and Charter Limitations

The SFPUC is subject to limitations imposed by the Charter and by the State Constitution and statutes. Such limitations could adversely affect the financial condition of the Power Enterprise. See **CONSTITUTIONAL, STATUTORY AND CHARTER LIMITATIONS.**

Initiative, Referendum, Charter Amendments and Future Legislation and Regulations

Under the State Constitution, the voters of the State have the ability to initiate legislation and require a public vote on legislation passed by the California Legislature through the powers of initiative and referendum, respectively. Under the Charter, the voters of the City can restrict or revise the powers of the SFPUC through the approval of a Charter amendment. The SFPUC is unable to predict whether any such initiatives might be submitted to or approved by the voters, the nature of such initiatives, or their potential impact on the SFPUC or the Power Enterprise. See **CONSTITUTIONAL, STATUTORY AND CHARTER LIMITATIONS**. See also **THE HETCH HETCHY PROJECT – Proposals to Restore Hetch Hetchy Valley**.

In addition, the SFPUC and its operations are subject to various laws, rules and regulations adopted by the local, State and federal governments and their agencies. The SFPUC is unable to predict the adoption or amendment of any such laws, rules or regulations, or their effect on the operations or financial condition of the Power Enterprise.

Bankruptcy

The SFPUC, being an enterprise department of the City, likely cannot itself file for bankruptcy. While an involuntary bankruptcy petition cannot be filed against the City, the City is authorized to file for bankruptcy under certain circumstances. Should the City file for bankruptcy, there could be adverse effects on the holders of the 2015 Series AB Bonds.

To the extent that the Revenues are "special revenues" under the United States Bankruptcy Code (the "Bankruptcy Code"), then Revenues collected after the date of the bankruptcy filing should be subject to the lien of the Indenture. If any or all of the Revenues are determined not to be "special revenues," then any such amounts collected after the commencement of the bankruptcy case will likely not be subject to the lien of the Indenture. The holders of the 2015 Series AB Bonds may not be able to assert a claim against any property of the City other than the Revenues, and if any or all of the Revenues are no longer subject to the lien of the Indenture, then there may be limited, if any, funds from which the holders of the 2015 Series AB Bonds are entitled to be paid.

The Bankruptcy Code provides that "special revenues" can be applied to necessary operating expenses of the project or system, before they are applied to other obligations. This rule applies regardless of the provisions of the transaction documents. It is not clear precisely which expenses would constitute necessary operating expenses, and any definition in the transaction documents may not be applicable.

If the City is in bankruptcy, the parties (including the Trustee and the holders of the 2015 Series AB Bonds) may be prohibited from taking any action to collect any amount from the City or to enforce any obligation of the City, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Trustee from making payments to the holders of the 2015 Series AB Bonds from funds in the Trustee's possession. The rate covenants (see **SECURITY FOR THE BONDS – Rate Covenants; Rates and Charges**) may not be enforceable in bankruptcy by the Trustee or the holders of the 2015 Series AB Bonds.

Revenues are deposited with and held by the Treasurer and may be commingled with other City funds. See **SECURITY FOR THE BONDS – Flow of Funds**. If the City goes into bankruptcy, the City may not be required to turn over to the Trustee any Revenues that are in its possession at the time of the bankruptcy filing. In addition, if the City has possession of Revenues (whether collected before or after commencement of the bankruptcy) and if the City does not voluntarily turn over such Revenues to the Trustee, it is not entirely clear what procedures the Trustee and the holders of the 2015 Series AB Bonds would have to follow to attempt to obtain possession of such Revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful.

The City may be able to borrow additional money that is secured by a lien on any of its property (including the Revenues), which lien could have priority over the lien of the Indenture, or to cause some of the Revenues to be released to it, free and clear of lien of the Indenture, in each case as long as the bankruptcy court determines that the rights of the Trustee and the holders of the 2015 Series AB Bonds will be adequately protected.

If the City is in bankruptcy it may be able, without the consent and over the objection of the Trustee and the holders of the 2015 Series AB Bonds, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Indenture and the 2015 Series AB Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable.

There may be delays in payments on the 2015 Series AB Bonds while the court considers any of these issues. There may be other possible effects of a bankruptcy of the City that could result in delays or reductions in payments on the 2015 Series AB Bonds, or result in losses to the holders of the 2015 Series AB Bonds. Regardless of any specific adverse determinations in a City bankruptcy proceeding, the fact of a City bankruptcy proceeding could have an adverse effect on the liquidity and value of the 2015 Series AB Bonds.

The City may invest the Revenues in the City's Pooled Fund. Should those investments suffer any losses, Revenues may be lower than expected, and there may be delays or reductions in payments on the 2015 Series AB Bonds.

Limitations on Remedies

The remedies available to the owners of the Bonds upon the occurrence of an event of default under the Indenture in many respects depend upon judicial actions which are themselves often subject to discretion and delay and could prove both expensive and time consuming to obtain. In addition to the limitations on remedies contained

in the Indenture, the rights and obligations under the Bonds and the Indenture may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against charter cities and counties in the State.

The opinions to be delivered by Co-Bond Counsel, concurrently with the issuance of the 2015 Series AB Bonds, that the 2015 Series AB Bonds constitute valid and binding limited obligations of the SFPUC and that the Indenture constitutes a valid and binding obligation of the SFPUC will also be subject to such limitations and the various other legal opinions to be delivered concurrently with the issuance of the 2015 Series AB Bonds will be similarly qualified. See **APPENDIX C – PROPOSED FORM OF OPINION OF CO-BOND COUNSEL**.

If the SFPUC fails to comply with its covenants under the Indenture or to pay principal of or interest on the 2015 Series AB Bonds, there can be no assurance that the available legal remedies will be adequate to protect the interests of the holders of the 2015 Series AB Bonds.

Loss of Tax Exemption/Risk of Tax Audit of Municipal Issuers

As discussed under **TAX MATTERS**, interest with respect to the 2015 Series AB Bonds could fail to be excluded from the gross income of the owners thereof for purposes of federal income taxation retroactive to the date of the execution and delivery of the 2015 Series AB Bonds as a result of future acts or omissions of the SFPUC in violation of its covenants to comply with requirements of the Internal Revenue Code of 1986, as amended. Should such an event of taxability occur, the 2015 Series AB Bonds are not subject to prepayment or any increase in interest rate.

In December 1999, as a part of a larger reorganization of the Internal Revenue Service ("IRS"), the IRS commenced operation of its Tax Exempt and Government Entities Division (the "TE/GE Division"), as the successor to its Employee Plans and Exempt Organizations division. The TE/GE Division has a subdivision that is specifically devoted to tax-exempt bond compliance. Public statements by IRS officials indicate that the number of tax-exempt bond examinations is expected to increase significantly under the new TE/GE Division. There is no assurance that, if an IRS examination of the 2015 Series AB Bonds were undertaken, it would not adversely affect the secondary market value of the 2015 Series AB Bonds.

Change in Tax Law

As discussed under **TAX MATTERS**, current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the 2015 Series AB Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent beneficial owners from realizing the full current benefit of the tax status of such interest.

Failure to Maintain Credit Ratings

Certain rating agencies have assigned ratings to the 2015 Series AB Bonds. The ratings issued reflect only the views of such rating agencies. Any explanation of the significance of these ratings should be obtained from the respective rating agencies. The SFPUC undertakes no responsibility to maintain its current credit ratings on the 2015 Series AB Bonds or to oppose any such downward revision, suspension or withdrawal. See **RATINGS**. There is no assurance current ratings will continue for any given period or that such ratings will not be revised downward or withdrawn entirely by the rating agencies if, in the respective judgment of such rating agencies, circumstances so warrant. Any such downward revision or withdrawal of such ratings could be expected to have an adverse effect on the market price of the 2015 Series AB Bonds.

Secondary Market

There can be no guarantee that there will be a secondary market for the 2015 Series AB Bonds or, if a secondary market exists, that the 2015 Series AB Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse developments or economic prospects connected with a particular issue, secondary trading practices in connection with a particular issue are suspended or terminated. Additionally,

prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

Uncertainties of Projections, Forecasts and Assumptions

Compliance with certain of the covenants contained in the Indenture is based upon assumptions and projections. Projections and assumptions are inherently subject to significant uncertainties. Inevitably, some assumptions will not be realized and unanticipated events and circumstances may occur and actual results are likely to differ, perhaps materially, from those projected. Accordingly, such projections are not necessarily indicative of future performance, and the SFPUC assumes no responsibility for the accuracy of such projections. See **FORWARD-LOOKING STATEMENTS** on the inside front cover of this Official Statement.

Other Risks

The discussion in this section, **CERTAIN RISK FACTORS**, is not meant to be a comprehensive or definitive list of the risks associated with an investment in the 2015 Series AB Bonds. There may be other risks inherent in ownership of the 2015 Series AB Bonds in addition to those described in this section. Investors are advised to read the entire Official Statement in order to obtain information necessary to make an investment in the 2015 Series AB Bonds.

DEVELOPMENTS IN THE ELECTRICITY MARKETS AND REGULATION

Structure of the Energy Market Today

The State's electric system is part of the Western grid, one of three interconnected electric systems that cover the continental United States (the others being the Eastern grid and the Texas Interconnection). In addition to all of the State, the Western grid consists of all or part of 13 other Western states, two Canadian provinces, and Baja California, Mexico. The ability of electricity to flow across this grid, subject to transmission availability, creates a regional market for electricity. The State imports about 1/4th of its energy needs from outside of the State.

Within the Western grid, there are 38 balancing authorities. A balancing authority is an entity responsible for operating a portion of the grid (called a transmission control area). The balancing authority matches electric generation with load and maintains the electric frequency of the grid.

The CAISO is the largest of the balancing authorities in the western interconnection, handling an estimated 35 percent of the electric load in the West. The CAISO manages the flow of electricity across the high-voltage, long-distance electric transmission lines that make up 80 percent of California's and a small part of Nevada's electric grid. The CAISO was created in 1996 as a result of California's restructuring of the electric industry with the adoption of Assembly Bill ("AB") 1890 (Stats. 1996, Ch. 854). AB 1890 encouraged California's three largest investor-owned electric utilities to turn over operational control of their transmission systems to the CAISO. The goal of AB 1890 was that the State's electric transmission system be made available on an open and non-discriminatory basis to all generators and electric consumers. The CAISO is a non-profit public benefit corporation overseen by a five-member board appointed by the Governor of the State and confirmed by the State Senate. It is regulated by the FERC.

In addition to operating and scheduling electricity on its transmission system, the CAISO is the only balancing authority in the Western grid to operate a day-ahead, hour-ahead, and real-time energy market matching buyers and sellers and facilitating over 28,000 market transactions every day. Although the vast majority of the State's electric needs are met through longer-term business relationships (such as ownership or long-term contracts), the CAISO day-ahead and real-time energy markets provide indicators of the current market price of electricity. The market clearing prices reflect limitations in the transmission system; if an expensive generator must operate because there is inadequate transmission capacity to bring cheaper generation into a constrained area, then all the generators in the constrained area get paid the price bid by the most expensive generator that needs to operate within the constrained area.

The CAISO is currently in the process of expanding access to its energy markets to entities outside its boundaries by creating an Energy Imbalance Market ("EIM"). The EIM would allow load-serving entities located

outside of the CAISO to access the CAISO's real-time energy market to better balance supply and demand. PacifiCorp and NV Energy have already committed to participate in the EIM market. The CAISO's EIM market went live on November 4, 2014.

The CAISO also ensures the reliability of its electric system by imposing resource adequacy ("RA") standards upon all load-serving entities ("LSE") within the CAISO. The RA requirements obligate each LSE to procure in advance a specified amount of electricity capacity that can be made available to the CAISO to schedule and dispatch as needed to meet electricity demand. The CAISO currently has three RA obligations that the SFPUC must meet:

- A system-wide obligation to provide capacity sufficient to meet the SFPUC's forecasted peak demand plus a sufficient reserve margin (currently set at 15% of peak demand);
- A flexible capacity obligation to ensure that a pre-determined portion of the capacity used to meet the system-wide obligation is capable of being dispatched and ramping up and down over the course of the day to meet fluctuations between supply and demand; and
- A local capacity requirement ("LCR") to ensure that the CAISO has sufficient capacity in certain sub-regions to ensure reliable service in the event of local reliability issues.

The CAISO also engages in long-term transmission planning, identifying upgrades or expansions that are needed to meet reliability requirements, providing economic benefits, connecting new generation to the grid and/or achieving public policy goals (such as the development of new renewable generation).

The Power Enterprise's Relationship to the CAISO

Almost all of the Power Enterprise's electric loads are located within the footprint of the CAISO. The Power Enterprise uses the CAISO's transmission system to deliver electricity to Power Enterprise load that is not connected to the Power Enterprise's transmission system as well as to buy and sell surplus electricity. The Power Enterprise's high-voltage electric transmission lines are not formally part of the CAISO system, but the Power Enterprise and CAISO have an agreement that coordinates the operation of the Power Enterprise's transmission lines with the CAISO system. The Power Enterprise's transmission lines are also connected to two other balancing authorities that serve the SFPUC's two largest wholesale customers. These are TID, which operates as its own balancing authority, and the Balancing Authority of Northern California, which covers MID.

Expiration of the PG&E Interconnection Agreement

The Power Enterprise currently uses a FERC-approved interconnection agreement with PG&E to provide for the delivery of electricity over the CAISO-operated grid to meet Power Enterprise loads in the City and surrounding region. With the expiration of this agreement on July 1, 2015, the Power Enterprise expects to take transmission service from the CAISO under the CAISO's open access transmission tariffs. See **THE POWER ENTERPRISE – Transmission and Distribution**.

Resource Adequacy Requirements

The Hetch Hetchy Project provides sufficient capacity to meet the SFPUC's system-wide and flexible capacity obligations to the CAISO. The Hetch Hetchy Project is not within any of the CAISO's load capacity requirement zones and thus cannot be used to meet the SFPUC's load capacity requirements. Currently the CAISO requires a load serving entity, such as the SFPUC, to show that it has procured approximately 90% of its needed RA capacity, a level equal to 100% of the SFPUC's total forecast load on a monthly basis plus a 15% reserve, a year in advance and 100 percent of its RA needs a month ahead. The CAISO is now working with stakeholders to develop multi-year RA rules that would require load serving entities to show how they will meet their RA obligations several years in advance.

Load Granularity

For purposes of reliability and to ensure the efficient dispatch of the electric system, the CAISO currently determines electricity prices at almost 3,000 different points ("nodes") within its system. To avoid complexity and to facilitate a liquid energy market, the CAISO aggregates the prices set at each node into a single electricity price for each broad region served by the CAISO. The electricity price paid by the SFPUC for any purchases from the CAISO is therefore based on a regional price for all of Northern California. FERC has directed that the CAISO consider disaggregating prices beyond the regional level potentially through the creation of additional regional zones. As the vast majority of the SFPUC's load is located on the San Francisco peninsula, a transmission-limited area with minimal electric generation, the SFPUC could find itself located in a new pricing zone with potentially higher average electricity prices. The CAISO is currently engaged in a stakeholder process to determine how to respond to FERC's request.

On-Going Market Changes

The CAISO market is continually evolving to reflect changes in business needs, technological changes, and federal law and regulation.

Federal Law and Regulation

Federal Energy Regulatory Commission

The Federal Power Act, as amended, gives FERC the authority to regulate the interstate transmission of electric energy and the sale, at wholesale, of electric energy. FERC is vested with "jurisdiction over all facilities for such transmission or sale" as well as the requirement to ensure that the rates and charges for these services as well as "any rule, regulation, practice, or contract affecting such rate, charge, or classification," are not "unjust, unreasonable, unduly discriminatory or preferential."

Under the Federal Power Act, states retain authority over "any other sale of electric energy" and facilities used for "generation of electric energy," "local distribution," or "transmission of electric energy in intrastate commerce." POUs like the SFPUC are also generally exempt from FERC regulation, except for regulations pertaining to electric system reliability. POUs are affected by FERC regulation, however, to the extent they rely on FERC-regulated transmission services or energy purchases to meet their needs. Additionally, FERC has adopted a reciprocity requirement, under FERC Order 888, that a POU that benefits from the open-access requirements of a FERC-regulated transmission provider must offer comparable open-access to its own transmission system; however to date none of the Power Facilities or related transmission lines have been subject to a comparable open-access request. In addition, certain FERC regulatory requirements, such as the licensing of dams, are applicable to POUs, but not to the Hetch Hetchy Project as a result of specific exemptions for such facilities in the Federal Power Act.

FERC is the primary regulatory agency overseeing the rates, rules, and regulations that the CAISO has established for its operation. As noted above, the Power Enterprise relies on the CAISO's transmission system to deliver energy to its load, and is subject to the CAISO's resource adequacy requirements which are also FERC-regulated. FERC is also responsible for regulation of the wholesale energy market. This regulation affects the price that the Power Enterprise may pay for energy purchases from FERC-regulated entities, as well as non-Raker Act energy sales. The Power Enterprise's sales of energy to other POUs (which includes all sales of electric energy subject to the Raker Act) are not subject to FERC jurisdiction, but the price for such sales is generally influenced by the broader Western energy market which is largely under FERC jurisdiction. Power Enterprise sales to other POUs may also involve the use of FERC-regulated transmission services to deliver the electricity.

When Congress initially enacted the Federal Power Act in 1935, electric utilities were mostly vertically integrated firms that constructed and operated their own generation, transmission, and distribution facilities. The firms acted as separate, local monopolies, and consumers paid a single "bundled" rate for delivered electricity. Sixty years later, the electric industry had experienced fundamental changes: electric systems had become increasingly interconnected, long- distance transmission had become increasingly economical, and smaller, lower-cost electric generating plants had begun to emerge as competitors to the vertically integrated utilities.

FERC responded to these changes and market conditions by adopting reforms to the electric industry that were designed to promote competition and create a competitive wholesale market for electricity. In FERC Order 888, FERC required each transmission provider subject to FERC regulation to "functional[ly] unbundle" its wholesale generation and transmission services and file an open-access transmission tariff that would allow non-discriminatory access to each utility's transmission system. The goal of this change was to allow customers to have the benefits of competitively priced generation. To promote development of competitive markets, FERC encouraged the formation of regional transmission organizations and independent system operators such as the CAISO to coordinate the use, operation, and planning of a region's transmission system.

One of the results of FERC Order 888 is a competitive Western-wide wholesale energy market. FERC has adopted a pro-competition policy of letting prices in these markets to be set by market forces, subject to FERC retaining authority to address instances of market abuse and manipulation.

FERC has also moved to make the market for transmission services more efficient and competitive. FERC Order 890 requires each FERC-regulated transmission provider to establish an open, transparent, and coordinated transmission planning process. The CAISO utilizes a yearly transmission planning process to meet its requirements under FERC Order 890. FERC Order 1000 goes a step further and now requires inter-regional transmission planning, the development of methodologies to allocate the costs of inter-regional transmission facilities as well as allowing for competition among transmission developers to build new projects identified as needed as a result of the transmission planning process.

North American Electric Reliability Corporation

The Energy Policy Act of 2005 required FERC to certify an Electric Reliability Organization ("ERO") to develop mandatory and enforceable reliability standards, subject to FERC review and approval. On February 3, 2006, FERC issued Order 672, which certified NERC as the ERO. The reliability standards developed by NERC and adopted by FERC apply to users, owners and operators of transmission elements operated at 100 kilovolts (kV) or higher and real power and reactive power resources connected at 100 kV or higher, as more specifically set forth in each Reliability Standard. Many Reliability Standards have since been approved by FERC.

NERC and its Regional Reliability Organizations ("RRO") may enforce the Reliability Standards, subject to FERC oversight or FERC may independently enforce the Reliability Standards. The WECC is the RRO for the western region. Potential monetary sanctions include fines of up to $1 million per violation per day. FERC Order 693 further provided the ERO and RROs with the discretion necessary to assess penalties for such violations, while also having discretion to calculate a penalty without collecting the penalty if circumstances warrant. On March 18, 2010, FERC issued a Policy Statement on Penalty Guidelines, which appeared to envision the option of more serious penalties than would be imposed by NERC. NERC and a significant part of the industry challenged that Policy Statement and several other orders issued the same day with respect to reliability. FERC suspended the effectiveness of the policy in order to receive comments and, on September 17, 2010, FERC issued a Revised Policy Statement on Penalty Guidelines, which clarified and tempered some of its prior statements, although the revised guidelines maintained that it was appropriate to use the US Criminal Sentencing Guidelines Model as an analytical tool for assessing penalties. FERC further clarified that its Revised Policy Statement on Penalty Guidelines would be applied only to investigations conducted by FERC.

United States Environmental Protection Agency Proposed Clean Power Plan

On June 2, 2014, the United Stated Environmental Protection Agency (the "EPA") released its proposed Clean Power Plan. This plan seeks to reduce GHG emissions from existing electric generating plants by 30 percent before 2030. Under the plan, each state is assigned an emission performance goal to be achieved. California's interim electricity emissions goal set by the EPA is an average of 556 lbs carbon dioxide ("CO2")/ MWh for the 2020-2029 period, with a final goal of 537 lbs CO2/MWh in 2030. The plan proposes to provide each state the flexibility to achieve its goal through the use of a number of different measures including: 1) increasing the efficiency of coal-fired power plants; 2) increasing the effective use of existing natural gas-fired power plants; 3) increasing the use of renewable generation; and 4) expanding state energy efficiency programs.

Under the EPA's proposed plan, each state would have to submit a state implementation plan ("SIP") to the EPA by June 2016. For California, the SIP would be developed by the California Air Resources Board ("CARB"),

which is working with the CPUC and CAISO to evaluate the proposed targets and develop potential compliance strategies.

CARB has stated that if California achieves its already adopted GHG reduction goals, the state would also meet its emissions goal under the EPA's proposed plan. See **– California State Law and Regulation**. As all of the SFPUC's electric generating resources are already GHG-free, the effect of the EPA's proposal on the SFPUC is expected to be minimal. To the extent that electricity prices rise generally as a result of the plan's implementation, the SFPUC could potentially benefit, as it is currently a net seller of electricity and GHG-free electricity may attract a price premium relative to fossil-based electric generation. To the extent that California relies on energy efficiency and renewable energy activities to meet the plan's requirements, there is a potential for increased federal oversight of these activities to ensure that stated GHG reductions are achieved.

FERC Hydroelectric Licensing

Under the Federal Power Act, FERC is also responsible for the licensing of hydroelectric plants within the United States. The Hetch Hetchy Project, however, predates FERC's authority and is exempt from FERC regulation pursuant to specific "grandfathering" provisions in the Federal Power Act. The Don Pedro Project, owned and operated by the Districts, is subject to FERC regulation and is currently undergoing re-licensing. See **THE HETCH HETCHY PROJECT – FERC Proceeding Regarding Relicensing of the Don Pedro Project**.

California State Law and Regulation

State Constitution

Art. XI, Sec. 9(a) of the State Constitution allows municipal corporations, such as the City, to "establish, purchase, and operate public works to furnish its inhabitants with light, water, power, heat, transportation, or means of communication." As a result, the SFPUC has significant discretion to establish its own rules and procedures for operating its electric utility subject to those areas where either the state has asserted jurisdiction or there is an issue of federal pre-emption.

The following is a listing of state legislation that affects the Power Enterprise's electric operations and the SFPUC's compliance with these requirements.

Assembly Bill 32; CARB Scoping Plan; Cap and Trade

State Assembly Bill 32 ("AB 32"), known as the Global Warming Solutions Act of 2006, requires CARB to adopt policies and regulations to reduce GHG emissions to 1990 levels by 2020. On December 11, 2008, CARB adopted a "scoping plan" identifying the market structures, prescriptive regulations, fees and voluntary measures that need to be developed and implemented by CARB and other state agencies to achieve this goal. Among the measures identified in the scoping plan that could potentially affect the SFPUC are proposals to increase energy efficiency, promote renewable energy and distributed generation, and the increased electrification of motor vehicles.

The scoping plan included a cap-and-trade system covering approximately 85% of all GHG emissions in California that was approved by CARB on December 16, 2010 and became enforceable starting on January 1, 2013. In 2015 the program will be expanded to include the province of Quebec, Canada.

The cap-and-trade program covers sources accounting for 85% of California's GHG emissions, the largest program of its type in the United States. The cap-and-trade program will be implemented in phases. The first phase of the program (until December 31, 2014) will introduce a hard emissions cap on electric utilities and large industrial sources emitting more than 25,000 metric tons of carbon dioxide-equivalent greenhouse gases ("CO2e") per year. In 2015, the program will be expanded to cover distributors of transportation, natural gas, and other fossil fuels. The cap will decline about 2 percent in 2014, and 3 percent annually from 2015 to 2020. The cap-and-trade program will require covered entities to retire compliance instruments (e.g., allowances) for each metric ton of CO2e they emit.

For electric utilities, the cap-and-trade compliance obligation is placed on the "first deliverers" of electric energy. First deliverers include those who generate electric energy in state or those who first import energy into

California from out-of-state. As the Power Enterprise's electric generation resources do not emit CO2 and the Power Enterprise does not, and has a policy not to, purchase electric energy directly from out-of-state, the Power Enterprise has no compliance obligation under the program and is not a covered entity. GHG emissions from the Power Enterprise's operation of the natural gas system at Treasure Island are also below the 25,000 ton CO2e level that would trigger a compliance obligation.

As part of a transition process, initially most of the carbon allowances will be distributed for free. As the program matures, the amount of allowances allocated for free will be progressively reduced and covered entities will be required to buy allowances at auction. The cap-and-trade program will also allow covered entities to use offset credits for compliance purposes (not exceeding 8% of a regulated entity's compliance obligation). Offsets must be obtained from certified projects in sectors that are not regulated under the cap-and-trade program. These include urban forest projects, reforestation projects, destruction of ozone-depleting substances, and methane management projects.

Under the cap-and-trade program, electric distribution utilities ("EDU") such as the SFPUC receive a designated amount of allowances set by regulation through 2020. One purpose of these allowances is to at least partially compensate EDUs for the higher prices they may incur for purchasing electric energy that now has a compliance obligation. The EDU must either use the allowances to meet its own compliance obligations or put its allowances up for sale at quarterly auctions run by CARB. All allowances provided to electric distribution utilities must be used to benefit the utility's ratepayers. Because the SFPUC does not have a compliance obligation under the program, the SFPUC sells most of its allowances through the auction process and uses the proceeds to benefit ratepayers as required by the cap-and-trade program.

Future AB 32; CARB Scoping Plan; Cap and Trade

AB 32 sets a long-term goal for California to reduce its GHG emissions to 80% below 1990 levels by the year 2050. This would require continuing reductions in GHG emissions beyond 2020 to reach this goal. As required by AB 32, CARB is developing a revised scoping plan identifying potential future measures to reduce GHG emissions. The plan currently identifies a continued "decarbonization" of the electric sector; further electrification of motor vehicles; and continued use of energy efficiency activities as potential sources of further GHG reductions.

Renewable Portfolio Standard

The California Renewable Energy Resources Act (the "CRERA"), effective as of December 10, 2011, establishes requirements for the procurement of eligible renewable resources for California's retail sellers of electricity, including local POUs such as the SFPUC ("Renewable Portfolio Standards" or "RPS"). Eligible renewable resources include wind, solar, geothermal, biomass, wave/tidal energy, and small hydroelectric generation that meets certain criteria.

The CRERA generally requires all electric utilities and energy service providers to procure 33% of their retail energy needs from renewable energy by 2020, with interim targets starting at 20% for the 2011-2013 period and progressively ramping up to 33% by 2020. The CRERA recognizes that imposing such an obligation upon the SFPUC would have resulted in the SFPUC having to displace one zero-GHG energy resource (Hetch Hetchy Project hydroelectric energy) with another zero-GHG resource (eligible renewable resources) without any reduction in GHG emissions and significantly increased costs to the SFPUC. As a result, the CRERA established an alternative compliance obligation for the SFPUC. Provided that the SFPUC receives greater than 67% of its electricity demands from the Hetch Hetchy Project, the SFPUC is only required to procure eligible renewable energy resources for its electric demands unmet by the Hetch Hetchy Project. Since in most years the SFPUC has historically been able to meet 95% to 100% of its electric demands from its Hetch Hetchy Project generation the SFPUC generally expects to have to procure only small amounts of eligible renewable energy annually to meet its RPS obligations under the CRERA.

For POUs, the initial responsibility for enforcing the CRERA's requirements is placed upon the POU. To ensure that the SFPUC is able to meet applicable RPS requirements, the SFPUC adopted an Enforcement Program on December 13, 2011 (Resolution 11-0202), which directed staff to develop a Procurement Plan that was also adopted by the Commission (Resolution 12-0217). The Procurement Plan identifies the SFPUC's requirements

under the RPS, identifies the exceptions allowed under the RPS that would allow the SFPUC to defer or delay meeting the RPS requirements, establishes the process for forecasting and procuring any additional RPS-eligible supplies needed to meet the RPS requirements (including unexpected contingencies). The SFPUC's latest adopted Procurement Plan forecasts that the SFPUC will be able to meet its RPS obligations with its own electric generation during years of normal or above-average hydroelectric generation. Only during years of below average hydroelectric generation does the SFPUC anticipate needing to purchase additional eligible renewable energy to meet its RPS obligations. The SFPUC forecasts that such purchases will be small relative to total demand. The cost to procure these resources is expected to be consistent with the SFPUC's annual budgets for purchased energy.

Resource Adequacy Requirements

Public Utilities Code 9620 requires each POU to develop its own resource adequacy requirement and to "prudently plan for and procure resources that are adequate to meet its planning reserve margin and peak demand and operating reserves, sufficient to provide reliable electric service to its customers." This requirement is similar to the resource adequacy requirements established by the CAISO. FERC has authorized the CAISO to apply its own Resource Adequacy rules to any utility that has not adopted a Resource Adequacy program. To comply with Public Utilities Code 9620, on May 23, 2006 the SFPUC adopted, in its Resolution 06-0087, an Interim Utility Resource Adequacy Plan. The Plan established a 15% reserve margin and established forecasting and reporting requirements to meet the Act's requirements.

Energy Loading Order

State Senate Bill 1037, effective January 1, 2006, requires POUs to first acquire all available energy efficiency, demand reduction and renewable resources that are cost effective, reliable and feasible prior to procuring new energy generation resources. This requirement is similar to the Energy Action Plan adopted jointly by the CPUC, CEC, and California Power Authority to establish an "energy loading order" for California's electric utilities that focuses first on decreasing electricity demand by increasing energy efficiency and demand response, then meeting new generation needs first with renewable and distributed generation resources, and lastly with clean fossil-fueled generation.

In 2008, the Board of Supervisors, in its Resolution 227-08, adopted the policy goals outlined in the Energy Action Plan and energy loading order to guide SFPUC energy procurement. San Francisco's 2011 Updated Electricity Resource Plan (the "2011 Updated Electricity Resource Plan"), approved by the SFPUC in its Resolution 11-0035 and by the Board of Supervisors in its Resolution 349-11, reaffirmed the use of the energy loading order to meet future energy needs.

State Assembly Bill 2021, signed by the Governor on September 29, 2006, requires that POUs establish, report, and explain the basis of their annual energy efficiency and demand reduction targets over a 10-year planning horizon. The SFPUC submits annual reports to the California Energy Commission and submitted its latest report through the California Municipal Utilities Association on March 15, 2014.

Community Choice Aggregation Service

State law allows a local government entity to sell electricity directly to customers within the entity's jurisdiction through a Community Choice Aggregation ("CCA") program. Under a CCA program, a public entity could develop a portfolio of energy supplies that it purchased or produced to meet specific local targets for renewable energy or to meet other policy and service objectives. Transmission and distribution services would continue to be provided by the local utility subject to CPUC tariffs. Customers within a CCA's jurisdiction may choose to opt-out of the program.

The SFPUC developed a CCA program called "CleanPowerSF" for customers in the City. After many years of study and development, the City is currently working to launch CleanPowerSF within a year's time. The SFPUC anticipates that if the City implements a CleanPowerSF, no current Power Enterprise customers would become CCA customers, as these customers are not eligible under state law and the Power Enterprise electric service already offers a clean energy portfolio at competitive rates. Funding to develop a CCA program in the future could include some seed funding from the Power Enterprise, though no additional funds are included in its current capital plan. To date approximately $9.0 million has been appropriated for CCA program development and

assessment, of which approximately $3.7 million is currently available for project spending. The SFPUC has also approved the transfer of $4.0 million from Power Enterprise funds for CCA working capital, such amount to be repaid with interest by no later than January 31, 2018. The Indenture, however, requires that any City-wide retail electric power program be a Separate System. Following initial funding, the CCA program will be financially independent, using revenues collected from CCA customers. It is possible that CleanPowerSF will purchase electricity supplies from the Power Enterprise, when available.

California Solar Initiative

State Senate Bill 1 ("SB 1"), adopted in 2006 and effective as of January 1, 2007, established the California Solar Initiative and set a statewide goal to install 3,000 MW of new solar energy systems on California rooftops within ten years, and established requirements to have solar energy systems installed on 50% of new residential developments within 13 years.

SB 1 requires POUs, including the SFPUC, to establish a program that meets the POU obligations under the initiative. Through its municipal solar and GoSolarSF programs, the SFPUC has already exceeded its 2017 targets under SB 1. The SFPUC will continue to file annual reports on the progress of its SB 1 solar programs to the California Energy Commission.

Energy Storage

State Assembly Bill 2514 requires that by October 1, 2014 "the governing board of each local publicly owned electric utility shall determine appropriate targets, if any, for the utility to procure viable and cost-effective energy storage systems to be achieved by December 31, 2016, and December 31, 2020." In response to this legislative requirement, the SFPUC resolved, in its Resolution 14-0147, that the SFPUC has no near-term need for energy storage services apart from the potential use of energy storage to fulfill Local Resource Adequacy Capacity requirements, which is not cost-effective at this time. The SFPUC also decided to continue to evaluate energy storage as a procurement option going forward and to identify a pilot energy storage project.

State Law Requirements Affecting Investor-Owned Utilities

The California State Constitution (Article XII) gives the CPUC the authority to regulate "Private corporations and persons that own, operate, control, or manage the production, generation, transmission, or furnishing of heat, light, water [or] power directly or indirectly to or for the public." The CPUC does not have authority over the rates and services offered by publicly-owned utilities such as the SFPUC, but the CPUC's regulation of investor-owned utilities, particularly PG&E, can affect the SFPUC's operations. PG&E, Trans Bay Cable and the direct access energy service providers are subject to extensive regulation by FERC with respect to applicable wholesale transactions and electricity transmission.

Almost all of the SFPUC's electric load is served off of PG&E's distribution system, and the SFPUC relies on PG&E's transmission system (albeit under operational control of the CAISO) to deliver Hetch Hetchy Project and other energy supplies to its load. These activities are regulated by FERC. See **– Federal Law and Regulation**. Where SFPUC provides electric service to retail customers in the City (other than municipal load), it does so in competition with PG&E.

Future Regulation and Other Factors

The electric industry has been highly regulated throughout its history and is subject to continuing legislative and administrative regulation and reform. State and federal entities routinely consider changes to the regulations governing the electric industry. Recent proposals have included both those aimed at further deregulating the industry and those proposing additional regulations. The SFPUC is unable to predict at this time the impact any such proposals will have on the operations and finances of the SFPUC or the electric utility industry generally.

The electric utility industry in general has been, and in the future may be, affected by a number of other factors which could impact the financial condition and competitiveness of many electric utilities and the level of utilization of generating and transmission facilities. In addition to the factors discussed above, such factors include, among others, (a) the effects of compliance with rapidly changing environmental, safety, licensing, regulatory and

legislative requirements other than those described above; (b) changes resulting from conservation and demand side management programs on the timing and use of electric energy; (c) changes resulting from a national energy policy; (d) the effects of competition from other electric utilities (including increased competition resulting from mergers, acquisitions, and "strategic alliances" of competing electric and natural gas utilities and from competitors transmitting less expensive electricity from much greater distances over an interconnected system); (e) the development and deployment of new methods of, and new facilities for, producing electricity at competitive prices; (f) the repeal of certain federal statutes that would have the effect of increasing the competitiveness of many investor owned utilities; (g) increased competition from independent power producers and marketers, brokers and federal power marketing agencies; (h) "self-generation" or "distributed generation" (for example, solar power, microturbines and fuel cells) by customers and others; (i) current and future requirements relating to the SFPUC's ability to issue tax-exempt obligations, including restrictions on sales to non-qualified entities of the electricity from generation projects and transmission service from transmission line projects financed with tax-exempt obligations; (j) the effects of inflation on the operating and maintenance costs of electric utilities and their facilities; (k) actual results that differ from projected future load requirements; (l) increases in costs and uncertain availability of capital; (m) shifts in the availability and relative costs of different fuels (including the cost of natural gas); (n) sudden and dramatic increases in the price of energy purchased on the open market that may occur in times of high peak demand in an area of the country experiencing such high peak demand, as occurred, for example, in California's energy crisis in 2000 and 2001; (o) issues relating to risk management procedures and practices with respect to, among other things, the purchase and sale of natural gas, energy and transmission capacity; (p) other legislative changes, voter initiatives, referenda and statewide propositions; (q) the effects of changes in the local, State, national or global economy; (r) the effects of possible manipulation of the electric markets; (s) natural disasters or other physical calamities, including, but not limited to, earthquakes and flood; (t) climate change and related regulations; and (u) issues relating to cybersecurity. Any of these factors (as well as other factors) could have an adverse effect on the financial condition of an electric utility, including the Power Enterprise.

This Official Statement includes a brief discussion of certain of the factors identified in the previous paragraph. It does not purport to be comprehensive or definitive, and these matters are subject to change subsequent to the date hereof. Extensive information on the electric utility industry is available from legislative and regulatory bodies and other sources in the public domain, and potential purchasers of the 2015 Series AB Bonds should obtain and review such information. The SFPUC is unable to predict what impact such factors will have on the SFPUC's electric system or the business operations and financial condition of the Power Enterprise, but such impacts could be significant. To the extent described herein, the SFPUC has taken steps to mitigate the potential impacts of a number of these factors.

CONSTITUTIONAL, STATUTORY AND CHARTER LIMITATIONS

Proposition 218 and Proposition 26

Proposition 218, a State ballot initiative known as the "Right to Vote on Taxes Act," was approved by State voters in 1996. The initiative added Articles XIIIC and XIIID to the California Constitution. Article XIIID creates additional requirements for the imposition by most local governments (including the SFPUC) of general taxes, special taxes, assessments and "property-related" fees and charges. Article XIIID explicitly exempts fees and charges for the provision of electric service from its provisions.

Article XIIIC extends the people's initiative powers to the reduction or repeal of local taxes, assessments and fees and charges imposed prior to its effective date (November 1996). The California Supreme Court in *Bighorn-Desert View Water Agency* v. *Verjil*, 46 Cal.Rptr.3d 73 (2006) concluded that, under Article XIIIC, local voters by initiative may reduce a public agency's water rates and delivery charges, as those are "property related" fees or charges within the meaning of Article XIIID. As the terms "fees" and "charges" are not defined in Article XIIIC, however, its extension of the initiative powers may apply not only to "property-related" fees and charges, as defined in Article XIIID, but also, for example, to fees and charges for the provision of electric services which are exempted from Article XIIID. The California appellate court suggested as much in *Bock* v. *City Council of Lompoc*, 109 Cal.App.3d 43 (1980). The SFPUC is unable to determine whether the California courts will hold that rates for electric service are subject to the initiative process or, if they are, what limitations will apply to that process.

The California electorate adopted Proposition 26 at the November 2, 2010 election, amending Article XIIIC of the California Constitution. Proposition 26 imposes a majority voter approval requirement on local governments such as the City with respect to certain fees and charges for general purposes, and a two-thirds voter approval requirement with respect to certain fees and charges for special purposes. The initiative was designed to supplement tax limitations California voters adopted when they approved Proposition 13 in 1978, and other measures. Proposition 26 applies by its terms to any levy, charge or exaction imposed, increased or extended by a local government on or after November 3, 2010. Proposition 26 deems any such levy, charge or fee to be a "tax", requiring voter approval unless it comes within one of the listed exceptions. Proposition 26 expressly excludes from its definition of a "tax", among other things, a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product.

Proposition 26 is subject to interpretation by California courts. In Citizens for Fair REU Rates v. City of Redding (filed on January 20, 2015 and modified on February 19, 2015), for example, the California Court of Appeal considered a ratepayer challenge to a "payment in lieu of taxes" (or "PILOT") imposed by the City of Redding on its electric utility without voter approval. The city's PILOT was designed to be equivalent to the ad valorem taxes the electric utility would have had to pay if the electric utility were privately owned. The PILOT is passed through to the city's electric utility customers as part of the rates and charges for electric service. The Court of Appeal determined that a charge for electric service could be an "imposed charge" if the purchaser has no realistic alternative power source and held that the PILOT constitutes an unconstitutional "tax" under Proposition 26 unless the city proves that the amount collected is necessary to cover the reasonable costs to the city of providing various governmental services to the city's electric utility. In reaching its conclusion, the Court of Appeal noted that the city does incur costs to provide infrastructure and support to the city's electric utility, including city streets and police and fire services, and that a flat rate is not required to be charged to all customers. The Court of Appeal stated, however, that even if the rates charged by the city are lower than those paid by others in California, they must not exceed the city's reasonable cost of providing electric service or be approved by the voters. On April 29, 2015, the California Supreme Court granted a petition for review of the Court of Appeal Decision.

The City does not collect a "payment in lieu of taxes" payable from the Power Enterprise, but the SFPUC does make transfers to the City's General Fund from the Power Enterprise for direct services provided to the Power Enterprise and for general City overhead costs allocable to the Power Enterprise. See **FINANCIAL OPERATIONS – Payments to/from the City**. In addition, the City's General Fund as well as various City departments and agencies which are supported by the City's General Fund pay rates for power delivered by the Power Enterprise that are substantially lower than those paid by other Power Enterprise customers. See **FINANCIAL OPERATIONS – Rate-Setting Process; Rates**. The SFPUC is unable to predict the ultimate impact of Proposition 26 on the SFPUC and its charges for electricity.

Charter Limitations

The Charter generally requires that bonds (such as the Bonds) secured by revenues, other than refunding bonds, may be issued only with the assent of a majority of voters. Under the Charter, however, the SFPUC may issue revenue bonds to finance buildings, fixtures or equipment necessary to comply with an order of a state or federal authority, for the reconstruction or replacement of existing water facilities or electric power facilities or combinations of water and electric power facilities and to finance certain equipment or facilities for renewal energy and energy conservation. See **OBLIGATIONS PAYABLE FROM REVENUES – Authority for Issuance of Revenue Bonds and Other Obligations Payable from Revenues**.

In June 1998 the electorate of the City approved Proposition H which, subject to certain exceptions, including a limited exception to raise rates to pay debt service on voter-approved debt, froze the SFPUC's water rates through July 1, 2006. The SFPUC can give no assurance that the electorate will not seek in the future to freeze or limit rate increases.

Initiative Measures and Charter Amendments

Articles XIIIC and XIIID of the California Constitution and Proposition 26 were adopted pursuant to the State's initiative process. From time to time other initiative measures could be adopted by State voters, or by voters of the City, placing additional limitations on the ability of the SFPUC to increase revenues.

The voters could adopt additional Charter amendments in the future that could limit the ability of the SFPUC to issue debt, affect the operation of the Power Enterprise, limit the ability of the SFPUC to enact rate increases, or implement other changes affecting the SFPUC and the Power Enterprise.

LITIGATION

The SFPUC is not aware of any litigation pending or threatened questioning the political existence of the City or the SFPUC or contesting the SFPUC's power to fix electric rates and charges, or in any way questioning or affecting:

(i) the proceedings under which the 2015 Series AB Bonds are to be issued;

(ii) the validity of any provision of the 2015 Series AB Bonds or the Indenture;

(iii) the pledge of Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, by the SFPUC under the Indenture; or

(iv) the titles to office of the present members of the Board of Supervisors and the Commission.

There are a number of suits and claims pending against the City and the SFPUC, which may include personal injury, wrongful death and other suits and claims against which the City may self-insure. The aggregate amount of the self-insured liabilities of the City and the SFPUC which may result from such suits and claims will not, in the opinion of the City Attorney, materially impair the ability of the SFPUC to pay principal of or interest on the 2015 Series AB Bonds as they become due. There is no litigation pending, with service of process having been accomplished, against the City or the SFPUC which if determined adversely to the City or the SFPUC would, in the opinion of the City Attorney, materially impair the ability of the SFPUC to pay principal of and interest on the 2015 Series AB Bonds as they become due.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP and Curls Bartling, P.C., Co-Bond Counsel, based on an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the 2015 Series AB Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the "Code") and is exempt from State of California personal income taxes. Co-Bond Counsel are further of the opinion that interest on the 2015 Series AB Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Co-Bond Counsel observe that interest on the 2015 Series AB Bonds is included in adjusted current earnings when calculating federal corporate alternative minimum taxable income. A complete copy of the proposed opinion of Co-Bond Counsel is set forth in Appendix C hereto.

2015 Series AB Bonds purchased, whether at original issuance or otherwise, for an amount greater than their principal amount payable at maturity (or, in some cases, at their earlier call date) ("Premium Bonds") will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of obligations, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax exempt interest received, and a purchaser's basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such purchaser. Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal tax purposes of interest on obligations such as the 2015 Series AB Bonds. The SFPUC has made certain representations and has covenanted to comply with certain restrictions designed to assure that the interest on the 2015 Series AB Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in the interest on the 2015 Series AB Bonds being included in federal gross income, possibly from the date of issuance of the 2015 Series AB Bonds. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring) after the date of issuance of the 2015 Series AB Bonds may affect the tax status of the interest on the 2015 Series AB Bonds or the value of the 2015 Series AB Bonds.

Although Co-Bond Counsel have rendered an opinion that the interest portion on the 2015 Series AB Bonds is excluded from gross income for federal income tax purposes, the ownership or disposition of the 2015 Series AB Bonds and the accrual or receipt of amounts treated as interest thereon may otherwise affect a 2015 Series AB Bond owner's tax liability. The nature and extent of these other tax consequences will depend upon each 2015 Series AB Bond owner's particular tax status and the 2015 Series AB Bond owner's other items of income or deduction. Co-Bond Counsel express no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the 2015 Series AB Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent 2015 Series AB Bond owners from realizing the full current benefit of the tax status of such interest. For example, the Obama Administration's budget proposals in recent years have proposed legislation that would limit the exclusion from gross income of interest on the 2015 Series AB Bonds to some extent for high-income individuals. The introduction or enactment of any such future legislative proposals, clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the 2015 Series AB Bonds. Prospective purchasers of the 2015 Series AB Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Co-Bond Counsel express no opinion.

The opinion of Co-Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Co-Bond Counsel's judgment as to the proper treatment of the 2015 Series AB Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("IRS") or the courts. Furthermore, Co-Bond Counsel cannot give and have not given any opinion or assurance about the future activities of the SFPUC, or about the effect of future changes in the Code, the applicable regulations the interpretation thereof or the enforcement thereof by the IRS. The SFPUC has covenanted, however, to comply with the requirements of the Code.

Co-Bond Counsel's engagement with respect to the 2015 Series AB Bonds ends with the issuance of the 2015 Series AB Bonds, and, unless separately engaged, Co-Bond Counsel are not obligated to defend the SFPUC or the owners of the 2015 Series AB Bonds regarding the tax-exempt status of the 2015 Series AB Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the SFPUC, and its appointed counsel, including the owners of the 2015 Series AB Bonds, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the SFPUC legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the 2015 Series AB Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the 2015 Series AB Bonds, and may cause the SFPUC or the owners of the 2015 Series AB Bonds to incur significant expense.

CERTAIN LEGAL MATTERS

The validity of the 2015 Series AB Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, San Francisco, California, and Curls Bartling P.C., Oakland, California, Co-Bond Counsel. Complete copies of the proposed form of Bond Counsel opinion is contained in Appendix D hereto. Certain legal matters will be passed upon for the SFPUC by the City Attorney and by Orrick, Herrington & Sutcliffe LLP, Disclosure Counsel to the SFPUC. Certain legal matters will be passed upon for the

Underwriter by Nossaman LLP. None of Co-Bond Counsel, Disclosure Counsel or Underwriter's Counsel undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

Orrick, Herrington & Sutcliffe LLP has served as disclosure counsel to the SFPUC and in such capacity has advised the SFPUC with respect to applicable securities laws and participated with responsible SFPUC officials and staff in conferences and meetings where information contained in this Official Statement was reviewed for accuracy and completeness. Disclosure Counsel is not responsible for the accuracy or completeness of the statements or information presented in this Official Statement and has not undertaken to independently verify any of such statements or information. Rather, the SFPUC is solely responsible for the accuracy and completeness of the statements and information contained in this Official Statement. Upon the issuance of the 2015 Series AB Bonds, Disclosure Counsel will deliver a letter to the SFPUC which advises the SFPUC, subject to the assumptions, exclusions, qualifications and limitations set forth therein, that no facts came to attention of the attorneys at such firm rendering legal services in connection with such firm's role as Disclosure Counsel which caused them to believe that this Official Statement as of its date and as of the date of issuance of the 2015 Series AB Bonds contained or contains any untrue statement of a material fact or omitted or omits to state any material fact necessary to make the statements therein, in light of the circumstances under which they were made, not misleading. No purchaser or holder of the 2015 Series AB Bonds, or other person or party other than the SFPUC, will be entitled to or may rely on such letter of Orrick, Herrington & Sutcliffe LLP's having acted in the role of Disclosure Counsel to the SFPUC.

RATINGS

The 2015 Series AB Bonds have been rated "AA-" by Fitch, Inc. ("Fitch"), One State Street Plaza, New York, New York, and "A+" by Standard & Poor's Ratings Services, a Standard & Poor's Financial Services LLC business, 55 Water Street, New York, New York ("Standard & Poor's"). The ratings assigned by Fitch and Standard & Poor's express only the views of the rating agencies. The explanation of the significance of the ratings may be obtained from Fitch and Standard & Poor's, respectively. There is no assurance such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the rating agencies, if in the judgment of such rating agencies, circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the 2015 Series AB Bonds.

UNDERWRITING

The 2015 Series AB Bonds are being purchased by Wells Fargo Bank, National Association (the "Underwriter"). The Underwriter has agreed to purchase the 2015 Series AB Bonds at a purchase price of $44,304,407.79 (comprised of the principal amount of the 2015 Series AB Bonds, plus a reoffering premium on the 2015 Series AB Bonds of $4,857,020.00, less an underwriter's discount in the amount of $107,612.21).

The purchase contract pursuant to which the 2015 Series AB Bonds are being sold provides that the Underwriter will purchase all of the 2015 Series AB Bonds if any 2015 Series AB Bonds are purchased, and the obligation to make such purchase is subject to certain terms and conditions set forth in such purchase contract, the approval of certain legal matters by counsel and certain other conditions. The Underwriter may offer and sell the 2015 Series AB Bonds to certain dealers and others at a price lower than the offering prices stated on the inside cover page hereof. The offering prices may be changed from time to time by the Underwriter.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association.

Wells Fargo Bank, National Association ("WFBNA"), the underwriter of the 2015 Series AB Bonds, has entered into an agreement (the "Distribution Agreement") with its affiliate, Wells Fargo Advisors, LLC ("WFA"), for the distribution of certain municipal securities offerings, including the 2015 Series AB Bonds. Pursuant to the Distribution Agreement, WFBNA will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the 2015 Series AB Bonds with WFA. WFBNA also utilizes the distribution capabilities of its affiliate Wells Fargo Securities, LLC ("WFSLLC"), for the distribution of municipal securities offerings, including the 2015 Series AB Bonds. In connection with utilizing the distribution capabilities of WFSLLC,

WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

FINANCIAL STATEMENTS

Audited Financial Statements of the SFPUC's Power Enterprise (the "Financial Statements") for the Fiscal Year ended June 30, 2014 are attached as Appendix B. See **APPENDIX B – SFPUC POWER ENTERPRISE FINANCIAL STATEMENTS**. Such financial statements have been audited by KPMG LLP (the "Auditor"), independent certified public accountants.

The SFPUC has not requested nor did the SFPUC obtain permission from the Auditor to include the audited financial statements as an Appendix to this Official Statement. Accordingly, the Auditor has made no representation in connection with inclusion of the audits herein that there has been no material change in the financial condition of the SFPUC since the most recent audit was concluded. The Auditor has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. The Auditor also has not performed any procedures relating to this Official Statement.

CONTINUING DISCLOSURE

The SFPUC has covenanted for the benefit of the Owners of the 2015 Series AB Bonds to provide certain financial information and operating data not later than nine months after the end of the SFPUC's Fiscal Year (which currently ends on June 30), commencing with the report for Fiscal Year 2014-15 (the "Annual Report") and to provide notices of the occurrence of certain enumerated events. The Annual Report will be filed by the SFPUC with the MSRB through EMMA.

The specific nature of the information to be contained in the Annual Report or the notices of material events is summarized in **APPENDIX D – FORM OF CONTINUING DISCLOSURE CERTIFICATE**. These covenants have been made in order to assist the Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the "Rule").

Although the SFPUC filed on EMMA materials describing the effectiveness of certain amendments to the indenture pursuant to which the SFPUC's wastewater revenue bonds have been issued (payable from revenues of a separate enterprise fund – see **THE PUBLIC UTILITIES COMMISSION – Organization, Purposes and Powers**), it failed to file timely a simultaneous and duplicative notice of material event.

The SFPUC has, at least twice in the last five years, failed to file in a timely manner notice of a change in the rating of SFPUC bonds resulting from a change in the rating of a bond insurer. The current ratings of the SFPUC's insured bonds are correct on EMMA.

FINANCIAL ADVISORS

Public Financial Management, Inc., San Francisco, California, and Kitahata & Company, San Francisco, California, are acting as financial advisors to the SFPUC with respect to the 2015 Series AB Bonds (the "Co-Financial Advisors"). The Co-Financial Advisors have assisted the SFPUC in the preparation of this Official Statement and in other matters relating to the planning, structuring, execution and delivery of the 2015 Series AB Bonds. The Co-Financial Advisors have not independently verified any of the data contained herein or conducted a detailed investigation of the affairs of the SFPUC to determine the accuracy or completeness of this Official Statement. Because of its limited participation, the Co-Financial Advisors assume no responsibility for the accuracy or completeness of any of the information contained herein. The Co-Financial Advisors will not purchase or make a market in any of the 2015 Series A Bonds.

The compensation to be received by the Co-Financial Advisors from the SFPUC for services provided in connection with the planning, structuring, execution and delivery of the 2015 Series AB Bonds is contingent upon the sale and delivery of the 2015 Series AB Bonds.

MISCELLANEOUS

References made herein to certain documents and reports are brief summaries thereof that do not purport to be complete or definitive, and reference is made to such documents and reports for full and complete statements of the contents thereof.

The appendices to this Official Statement are integral parts of this Official Statement. Investors must read the entire Official Statement, including the appendices, to obtain information essential to making an informed investment decision.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the SFPUC and the purchasers or owners of any of the Bonds. The preparation and distribution of this Official Statement has been authorized by the SFPUC.

APPROVAL AND EXECUTION

The execution and delivery of this Official Statement has been authorized by the Board of Commissioners of the SFPUC.

PUBLIC UTILITIES COMMISSION OF THE CITY AND
COUNTY OF SAN FRANCISCO

By: /s/ Harlan L. Kelly, Jr.
Harlan L. Kelly, Jr.
General Manager

APPENDIX A

SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

The following is a brief summary of certain provisions of the Indenture. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Indenture. Reference is directed to the Indenture for the complete text thereof.

Definitions

"**Accreted Value**" means, with respect to any Capital Appreciation Bond, the principal amount thereof plus the interest accrued thereon from its delivery date, compounded at the approximate interest rate thereof on each date specified therein, to the date of calculation.

"**Additional R&R Fund Deposits**" means, for any Fiscal Year or other designated twelve-month period, the amount, if any, in addition to any Priority R&R Fund Deposits, deposited in the Reconstruction and Replacement Fund from Revenues prior to deposits in such Fiscal Year for payment of any Subordinate Obligations.

"**Annual Debt Service**" means, as of any date of calculation, for any Fiscal Year (or other designated twelve-month period) the amount of Principal and interest becoming due and payable on all Outstanding Bonds in such Fiscal Year (or other designated twelve-month period); provided, that for the purposes of computing Annual Debt Service:

(a) the interest rate on Variable Rate Bonds will be assumed to be 80% of the 30-year Revenue Bond Index published in *The Bond Buyer* on such date of calculation (or, if *The Bond Buyer* ceases to be published or ceases to publish such index, any comparable successor nationally recognized financial publication or index designated by the SFPUC);

(b) notwithstanding clause (a), if a Swap Agreement is in effect pursuant to which the SFPUC is obligated to pay a fixed rate with respect to any Variable Rate Bonds, the interest rate on such Variable Rate Bonds during the period such Swap Agreement is scheduled to be in effect will be assumed to be the fixed rate specified in such Swap Agreement;

(c) if a Swap Agreement is in effect with respect to any Bonds pursuant to which the SFPUC receives a fixed rate in exchange for paying a variable rate, the interest rate on such Bonds during the period such Swap Agreement is scheduled to be in effect will be assumed to be the sum of (A) the interest rate on such Bonds determined as if such Bonds were Variable Rate Bonds, plus (B) the positive difference, if any, between the fixed rate of interest borne by such Bonds and the fixed rate the SFPUC receives pursuant to such Swap Agreement;

(d) notwithstanding clause (a), the interest rate on Paired Bonds will be assumed to be the aggregate fixed interest rate to be paid by the SFPUC with respect to such Paired Bonds;

(e) the Principal of any Balloon Bonds will be assumed to become due and payable in equal installments in each Fiscal Year for a period of 25 years from the date of calculation;

(f) the Principal and interest payments on Bonds will be excluded to the extent such payments are to be made from amounts on deposit, as of the date of calculation, with the Trustee or any other fiduciary in an escrow or other account irrevocably dedicated therefor, including interest payments that are to be paid from the proceeds of Bonds held by the Trustee or any other fiduciary; and

(g) the interest coming due in any Fiscal Year will be reduced by the amount of Refundable Credits due to the SFPUC with respect thereto.

"**Authorized Investments**" means any obligations or investments in which the Treasurer may legally invest the SFPUC's funds.

"**Balloon Bonds**" means the aggregate Principal of Bonds of a Series (including Capital Appreciation Bonds) that becomes due and payable, either at scheduled maturity, by Mandatory Sinking Fund Payment or by mandatory tender for purchase, in any Fiscal Year that constitutes 25% or more of the initial aggregate Principal of such Series of Bonds.

"**Beneficial Owner**" means, for any Bond held by a nominee, the owner of the beneficial interest in such Bond.

"**Bond Counsel**" means a firm of attorneys, appointed by the SFPUC with the consent of the City Attorney of the City, with substantial experience and expertise in the field of municipal finance law and the federal and state tax laws related thereto whose opinions are widely recognized and accepted by the municipal finance markets.

"**Bond Fund**" means each fund of that name established pursuant to the Indenture.

"**Bond Register**" means the books maintained for the registration and transfer of Bonds.

"**Bond Retirement Account**" means each account of that name established pursuant to the Indenture.

"**Bond Year**" means, with respect to a Series of Bonds, the Bond Year set forth in the Supplemental Indenture authorizing the issuance of such Series of Bonds.

"**Bonds**" means the Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds issued pursuant to, under authority of and for the purposes provided in the Indenture.

"**Book-Entry Bonds**" means Bonds for which a Securities Depository or its nominee is the Owner.

"**Business Day**" means any day other than (a) a Saturday, Sunday, or a day on which banking institutions in the State or the State of New York are authorized or obligated by law or executive order to be closed, (b) a day upon which the principal office of the SFPUC or the Trustee is authorized or required by law to be closed, or (c) with respect to a Series of Bonds, any day so specified in the Supplemental Indenture authorizing the issuance of such Series of Bonds.

"**Capital Appreciation Bonds**" means any Bonds the interest on which is not scheduled to be paid until the maturity or prior redemption thereof, or the conversion thereof to Current Interest Bonds.

"**Capitalized Interest Account**" means each account of that name established pursuant to the Indenture.

"**Certificate**" of the SFPUC means a written certificate signed by a duly authorized officer or employee of the SFPUC.

"**Code**" means the Internal Revenue Code of 1986, as amended and supplemented, and all regulations promulgated from time to time by the United States Department of the Treasury with respect thereto.

"**Common Reserve Account**" means the account of that name established in the Reserve Fund pursuant to the Indenture to secure the Common Reserve Series.

"**Common Reserve Series**" means those Series of Bonds secured by the Common Reserve Account as provided in the Supplemental Indenture providing for each such Series.

"**Computation Period**" means a five-year period ending on the last day of each fifth Bond Year.

"**Consulting Engineer**" means an independent consulting engineering firm appointed by the SFPUC with substantial experience and expertise in the area of electric utility engineering consulting whose opinions and views are widely recognized and accepted in the municipal finance markets.

"**Credit Facility**" means a letter of credit, line of credit, or other credit or liquidity facility provided by a financial institution or insurance company, including municipal bond insurance and guarantees, delivered to the Trustee for a Series of Bonds or portion thereof, which provides for payment, in accordance with the terms thereof, of the Principal, Purchase Price and/or Redemption Price of and/or interest on such Series of Bonds or portion thereof.

"**Credit Facility Provider**" means the financial institution or insurance company that is providing a Credit Facility.

"**Current Interest Bonds**" means any Bonds, other than Capital Appreciation Bonds, which pay interest at least annually to the Owners thereof commencing within 18 months from the date of issuance thereof.

"**Event of Default**" means each event defined as such in the Indenture.

"**Fiscal Year**" means the twelve-month period selected from time to time by the SFPUC as the official fiscal year of the Power Enterprise.

"**Fitch**" means Fitch Ratings, Inc., and its successors and assigns, except that if such organization will be dissolved or liquidated or will no longer perform the functions of a securities credit rating agency, then the term "Fitch" will be deemed to refer to any other nationally recognized securities credit rating agency selected by the SFPUC.

"**Fund**" means any fund or account established under the Indenture.

"**GAAP**" means generally accepted accounting principles from time to time applicable to governmental entities such as the SFPUC.

"**Government Securities**" means direct obligations of, or obligations the timely payment of which are unconditionally guaranteed by, the United States of America.

"**Insolvent**" means, with respect to any Person (a) such Person will have instituted proceedings to be adjudicated a bankrupt or insolvent, will have consented to the institution of bankruptcy or insolvency proceedings against it, will have filed a petition or answer or consent seeking reorganization or relief under the federal Bankruptcy Code or any other similar applicable federal or state law, or will have consented to the filing of any such petition or to the appointment of a receiver, liquidator, assignee, trustee or sequestrator or other similar official of itself or of any substantial part of its property, or will fail to timely controvert an involuntary petition filed against it under the federal Bankruptcy Code, or will consent to the entry of an order for relief under the federal Bankruptcy Code or will make an assignment for the benefit of creditors or will admit in writing its inability to pay its debts generally as they become due; or (b) a decree or order by a court having jurisdiction in the premises adjudging such Person as bankrupt or insolvent, or approving as properly filed a petition seeking reorganization, arrangement, adjustment or composition of or in respect of such person under the federal Bankruptcy Code or any other similar applicable federal or state law or for relief under the federal Bankruptcy Code after an involuntary petition has been filed against such Person, or appointing a receiver, liquidator, assignee, trustee or sequestrator or other similar official of such Person or of any substantial part of its property, or ordering the winding up or liquidation of its affairs, will have been entered and will have continued unstayed and in effect for a period of 90 consecutive days.

"**Interest Account**" means each account of that name established pursuant to the Indenture.

"**Interest Payment Date**" means the date or dates specified in the Indenture.

"**Mandatory Sinking Fund Payment**" means, with respect to any Term Bond, an amount required by the Supplemental Indenture authorizing the issuance of the Series of Bonds of which such Term Bond is a part to be deposited in the Bond Retirement Account created for such Series of Bonds for the mandatory purchase or redemption of such Term Bond or portion thereof prior to the final maturity thereof.

"**Moody's**" means Moody's Investors Service, Inc. and its successors and assigns, except that if such organization will be dissolved or liquidated or will no longer perform the functions of a securities credit rating agency, then the term "Moody's" will be deemed to refer to any other nationally recognized securities credit rating agency selected by the SFPUC.

"**Order**" means a written order of the SFPUC signed by a duly authorized officer or employee of the SFPUC.

"**Original Bonds**" means bonds or other obligations payable from Revenues (other than Bonds) to be refunded by Refunding Bonds.

"**Outstanding**" means, as of any date, (a) when used with respect to the Bonds, all Bonds authenticated and delivered under the Indenture, except (i) Bonds theretofore cancelled or delivered to the Trustee for cancellation under the Indenture, (ii) Bonds in substitution for which other Bonds have been authenticated and delivered pursuant to the Indenture, (iii) Bonds that are deemed to be no longer outstanding in accordance with the Indenture and (iv) Bonds that are deemed to be no longer outstanding in accordance with the Supplemental Indenture pursuant to which such Bonds were issued; and (b) when used with respect to other obligations for borrowed money, all obligations issued pursuant to the resolution or resolutions authorizing the issuance of such obligations other than obligations deemed to be no longer outstanding pursuant to such resolution or resolutions.

"**Owner**," with respect to a Bond, means the Person in whose name such Bond is registered.

"**Paired Bonds**" means Bonds (a) that are issued simultaneously, (b) that are designated as Paired Bonds in the Supplemental Indenture authorizing the issuance thereof or in a Certificate of the SFPUC delivered at the time of issuance thereof, (c) the principal amount of each portion of which is equal and which matures and is subject to mandatory sinking fund redemption on the same date and in the same amount, and (d) the interest rates on which, taken together, result in an irrevocable fixed interest rate obligation of the SFPUC on the aggregate principal amount of such Bonds until the maturity or prior redemption of such Bonds.

"**Person**" means an individual, corporation, firm, association, partnership, trust, or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"**Principal**" means, as of any date of calculation, (a) with respect to any Current Interest Bond, the principal amount thereof, and (b) with respect to any Capital Appreciation Bond, the Accreted Value thereof as of the date on which interest on such Capital Appreciation Bond is compounded next preceding such date of calculation (unless such date of calculation is a date on which such interest is compounded, in which case, as of such date).

"**Project Fund**" means each fund of that name established pursuant to the Indenture.

"**Purchase Price**" means, with respect to any Bond, the price payable upon the optional or mandatory tender for purchase of such Bond or portion thereof as set forth in the Supplemental Indenture authorizing the issuance of the Series of Bonds of which such Bond is a part.

"**Qualified Counterparty**" means a party other than the SFPUC which is the party to a Swap Agreement and, at the time of execution and delivery of the Swap Agreement, (a) (i) whose senior debt obligations are or claims-paying ability is rated in one of the three highest rating categories of each of at least two Rating Agencies (without regard to any gradations within a rating category) or (ii) whose obligations under the Swap Agreement are guaranteed for the entire term of the Swap Agreement by a Person whose senior debt obligations are or claims-paying ability is rated in one of the three highest rating categories of each of at least two Rating Agencies (without

regard to any gradations within a rating category) and (b) which is otherwise qualified to act as the party to a Swap Agreement with the SFPUC under any applicable law.

"**Rating Agencies**" means Fitch, Moody's and Standard & Poor's or any other nationally recognized securities credit rating agency selected by the SFPUC.

"**Rebate Amount**" means, with respect to each Series of Tax-Exempt Bonds, an amount equal to the sum required to be paid to the United States Department of the Treasury from time to time, if any, with respect to the investment of proceeds of such Series of Tax-Exempt Bonds, all as determined in accordance with Section 148 of the Code and the Supplemental Indenture authorizing the issuance of such Series of Bonds.

"**Rebate Fund**" means each fund of that name established pursuant to the Indenture.

"**Reconstruction and Replacement Fund**" means the fund of that name established pursuant to the Indenture.

"**Record Date**" means the fifteenth day of the calendar month before each Interest Payment Date.

"**Redemption Price**" means, (a) with respect to any Bond or portion thereof, the Principal of such Bond or portion thereof plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Supplemental Indenture authorizing the issuance of the Series of Bonds of which such Bond is a part, and (b) with respect to any other obligation for borrowed money or portion thereof, the principal or accreted value of such obligation or portion thereof plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such obligation and the resolution or resolutions authorizing the issuance or incurrence of such obligation.

"**Refundable Credits**" means amounts payable by the Federal government to the SFPUC under direct-pay subsidy programs substantially similar to the Build America Bond program under Section 54AA of the Code.

"**Refunding Bonds**" means all Bonds issued pursuant to the Indenture.

"**Registrar**" means the Person responsible for maintaining the Bond Register, which initially will be the Trustee.

"**Reserve Fund**" means the fund of that name established pursuant to the Indenture.

"**Reserve Account**" means each account of that name established pursuant to the Indenture, which Account may secure one or more series of Bonds as provided herein or in the Supplemental Indenture providing for the creation thereof.

"**Reserve Account Credit Facility**" means a letter of credit, insurance policy, surety bond, or other credit facility provided to the Trustee by a bank, insurance company or other financial institution whose senior unsecured debt obligations are, or whose claims-paying ability is, rated in the two highest rating categories by each of at least two (2) Rating Agencies at the time of delivery thereof, which provides for payment when due, in accordance with the terms thereof, of the Principal or Redemption Price of and/or interest on one or more Series of Bonds.

"**Revenue Fund**" means the "Revenue Fund" created pursuant to the Indenture.

"**Securities Depository**" means a Person registered as a clearing agency under Section 17A of the Securities Exchange Act of 1934, or any successor legislation, or whose business is confined to the performance of the functions of a clearing agency with respect to exempted securities, as defined in Section 3(a)(12) of such Act, or any successor legislation, for the purposes of Section 17A thereof.

"**Series**" means all of the Bonds designated by Supplemental Indenture as being of the same series, regardless of variations in maturity, interest rate, redemption and other provisions, and any Bonds thereafter

authenticated and delivered upon transfer or exchange or in lieu of or in substitution for (but not to refund) such Bonds as hereinafter provided.

"**Standard & Poor's**" means Standard & Poor's Ratings Services, a Standard & Poor's Financial Services LLC business, and its successors and assigns, except that if such organization will be dissolved or liquidated or will no longer perform the functions of a securities credit rating agency, then the term "Standard & Poor's" will be deemed to refer to any other nationally recognized securities credit rating agency selected by the SFPUC.

"**State**" means the State of California.

"**Subordinate Obligations**" means, collectively, bonds, notes or other obligations of the SFPUC for borrowed money payable from and secured by a pledge of and lien and charge on Revenues junior and inferior to the Bonds and the payments required to be made into the Bond Funds and the Reserve Fund.

"**Supplemental Indenture**" means any resolution hereafter duly adopted by the SFPUC, supplementing, modifying or amending the Indenture in accordance herewith.

"**Swap Agreement**" means any financial instrument that: (a) is entered into by the SFPUC with a party that is a Qualified Counterparty at the time the instrument is entered into; (b) is entered into with respect to all or a portion of a Series of Bonds; (c) is for a term not extending beyond the final maturity of the Series of Bonds or portion thereof to which it relates; (d) provides that the SFPUC will pay to such Qualified Counterparty an amount accruing at either a fixed rate or a variable rate, as the case may be, on a notional amount equal to or less than the principal amount of the Series of Bonds or portion thereof to which it relates, and that such Qualified Counterparty will pay to the SFPUC an amount accruing at either a variable rate or fixed rate, as appropriate, on such notional amount; (e) provides that one party will pay to the other party any net amounts due under such instrument; and (f) has been designated to the Trustee in the Supplemental Indenture authorizing the issuance of the related Series of Bonds or portion thereof or in a Certificate of the SFPUC as a Swap Agreement with respect to such Bonds.

"**Take-or-Pay Power Purchase Agreement**" means a contract (a) with a term of more than 5 years, (b) pursuant to which the SFPUC is obligated (i) to purchase capacity or energy from a generating facility, and (ii) to pay for such capacity or energy as an Operation and Maintenance Expense regardless of whether or not such capacity or energy is taken by or made available or delivered to the SFPUC, and (c) the payments pursuant to which are directly pledged and applied to pay and secure debt obligations issued to finance such generating facility.

"**Take-or-Pay Power Sales Contract**" means a contract (a) with a term of at least 5 years, (b) between the SFPUC and a purchaser of capacity or energy from the Power Enterprise, (c) whereby such purchaser is obligated to make fixed payments or payments based on a percentage of cost for such capacity or energy whether or not such capacity or energy is taken by or made available or delivered to such purchaser.

"**Tax Certificate**" means a Tax Certificate delivered by the SFPUC at the time of the issuance and delivery of the Tax-Exempt Bonds, as the same may be amended or supplemented in accordance with its terms.

"**Tax-Exempt Bonds**" means Bonds, the interest on which in the opinion of Bond Counsel as of the date of issuance thereof is not includable in gross income for federal income tax purposes under Section 103(a) of the Code.

"**Term Bonds**" means Bonds that are subject to mandatory purchase or redemption prior to their scheduled maturity date or dates from Mandatory Sinking Fund Payments established for that purpose and calculated to retire such Bonds on or before their specified maturity date or dates.

"**Treasurer**" means the Treasurer of the City.

"**Variable Rate Bonds**" means any Bonds the interest rate on which is not fixed to the scheduled maturity date or prior mandatory tender or redemption date, as of the date of calculation, at a single numerical rate for the entire remaining term to maturity or mandatory tender or redemption thereof.

"**Wastewater Enterprise**" means the municipal sanitary waste and storm water collection, treatment and disposal system, as located partially within and partially without the City, and all additions, betterments, and extensions to said sanitary waste and storm water system.

"**Water Enterprise**" means the municipal water supply, storage and distribution system of the SFPUC, as located partially within and partially without the City, including all of the presently existing municipal water system of the City, and all additions, betterments, and extensions to said water system, but excluding any water supply, storage or distribution facilities which constitute part of the Hetch Hetchy Project.

Trustee Funds and Accounts

Bond Funds.

(a) There is created under the Indenture for each Series of Bonds a special fund of the SFPUC to be known as the "Power Enterprise Revenue Bonds, Series _____ Bond Fund" (each, a "Bond Fund"). Each Bond Fund and the accounts therein will be held and administered by the Trustee appointed as provided for in the Indenture, and will be used solely for the purpose of paying the Bonds and the Swap Agreement Payments of the related Series in the manner herein provided. The SFPUC obligates and binds itself irrevocably to set aside and to pay to the Trustee (to the extent not otherwise provided) out of the Revenues, after payment of Operation and Maintenance Expenses, in trust for the account of the Bond Fund, certain fixed amounts, without regard to any fixed proportion of the Revenues, after payment of Operation and Maintenance Expenses, sufficient to pay the Bonds and the Swap Agreement Payments of the related Series issued pursuant to the Indenture and the Supplemental Indenture authorizing the issuance thereof and from time to time Outstanding as the same respectively become due and payable. Such fixed amounts to be paid to the Trustee and deposited into the related Bond Fund will be a charge and lien upon the Revenue Fund and payable therefrom as set forth in the Indenture.

(b) There is created under the Indenture an Interest Account in each Bond Fund. Promptly upon receipt thereof the Trustee will deposit in the Interest Account money received by the SFPUC as accrued interest on the Bonds of the related Series, and any Swap Agreement Receipts and Refundable Credits related to such Series of Bonds. The SFPUC will pay or cause to be paid to the Trustee for deposit into such Interest Account such amounts, taking into account amounts then on deposit in such Interest Account, as will be necessary to pay the interest on and any Swap Agreement Payments with respect to such Series of Bonds as the same will become due. The money in such Interest Account will be applied by the Trustee on the date upon which any such interest or payment is due and in amounts sufficient to pay such interest or payment.

(c) There is created under the Indenture a Capitalized Interest Account in each Bond Fund for each Series of Bonds for which a portion of the proceeds of sale of such Series of Bonds or other available moneys of the SFPUC, if any, are to be used for the purpose of paying interest on such Series of Bonds. Upon the issuance, sale and delivery of such Series of Bonds, the SFPUC will pay or cause to be paid to the Trustee for deposit into the Capitalized Interest Account for such Series of Bonds such portion of the proceeds of sale or such other available moneys, if any. Money in the Capitalized Interest Account for such Series of Bonds will be applied by the Trustee to the extent available for the purpose of paying interest on such Series of Bonds during the period specified in the Supplemental Indenture authorizing the issuance thereof. On or before the date on which interest on such Series of Bonds becomes due and payable, the Trustee will transfer from the Capitalized Interest Account for such Series of Bonds to the Interest Account for such Series of Bonds an amount which, together with any money theretofore received or held by the Trustee for such purpose, will be sufficient to pay the interest on such Series of Bonds coming due on such date.

(d) There is created under the Indenture a Bond Retirement Account in each Bond Fund. The SFPUC will pay or cause to be paid to the Trustee for deposit into such Bond Retirement Account such amounts, taking into account amounts then on deposit in the Bond Retirement Account, as will be necessary to pay the Mandatory Sinking Fund Payments and Principal of such Series of Bonds as the same will become due. The money in such Bond Retirement Account will be applied by the Trustee on the date upon which any such Mandatory Sinking Fund Payments or Principal is due and in amounts sufficient to pay such Mandatory Sinking Fund Payments or Principal.

(e) Each Bond Fund will be drawn upon for the sole purpose of paying the Principal, Mandatory Sinking Fund Payments and Redemption Price of and interest on the Bonds of and the Swap Agreement Payments for the related Series. Money set aside from time to time with the Trustee for the payment of such Principal, Mandatory Sinking Fund Payments, Redemption Price, interest and Swap Agreement Payments will be held in trust equally and ratably for the Owners or Qualified Counterparties in respect of which the same will have been so set aside. Each Series of Bonds and the interest thereon will be a valid claim of the Owners thereof only against the Bond Fund for such Series of Bonds (and the Reserve Account for such Series of Bonds, if such Series of Bonds are secured by a Reserve Account) and the amount of the Revenues pledged to such Bond Fund (and, if applicable, such Reserve Account), and together with the related Swap Agreement Payments will constitute a prior charge over all other charges or claims whatsoever against the Bond Fund (and, if applicable, such Reserve Account) for such Series of Bonds.

(f) If at any time there will be insufficient money in the Revenue Fund to make the payments required to be made into the respective Bond Funds, the SFPUC will make payments to the Trustee for deposit into such Bond Funds in the same ratio as the Principal amount of each Series of Bonds then Outstanding bears to the aggregate Principal amount of all Series of Bonds then Outstanding. If in any month there is a failure for any reason to pay into any Bond Fund for credit to the Interest Account or the Bond Retirement Account the amounts prescribed above, the amount of any such deficiency will be added to the amount otherwise required to be paid into the Bond Fund for credit to the Interest Account or the Bond Retirement Account during the succeeding month or months.

(g) Whenever the assets of the Bond Fund for a Series of Bonds (together, if such Series of Bonds are secured by a Reserve Account, with the assets of such Reserve Account allocable to such Series of Bonds) will be sufficient to provide money to pay all Bonds of such Series then Outstanding, including such interest thereon as thereafter may become due and payable and any premiums upon redemption thereof, and all related Swap Agreement Payments, no further payments need be made into the Bond Fund or such Reserve Account for such Series of Bonds.

Project Funds. There is created under the Indenture for each Series of Bonds a special fund of the SFPUC to be known as the "Power Revenue Bonds, Series ____ Project Fund" (each, a "Project Fund"). Each Project Fund will be held by the Treasurer and administered by the SFPUC. Immediately upon the issuance, sale and delivery of a Series of the Bonds, the SFPUC will pay or cause to be paid into the Project Fund for such Series such amount of the proceeds derived from the sale of such Series of Bonds as will be designated pursuant to the Supplemental Indenture authorizing the issuance thereof. Money so deposited in the Project Fund will be applied to the costs of issuance of such Series of Bonds and to the costs of acquiring and constructing the additions, betterments and improvements to, and repairs, renewals and replacements of, the Power Enterprise or other lawful purposes of the Power Enterprise to be funded out of the proceeds of such Series of Bonds.

Each payment by the SFPUC from the Project Fund will constitute the representation of the SFPUC that (a) an obligation in such amount has been incurred by the SFPUC, (b) such obligation is a proper and reasonable charge against such Project Fund, (c) such amount has not been theretofore paid, (d) insofar as any such obligation was incurred for work, materials, equipment or supplies, such work was actually performed, or such materials, equipment or supplies were actually installed or delivered, or such amount is a progress payment due thereon and (e) there has not been filed with or served upon the SFPUC any notice of any lien, right to lien, or attachment upon or claim affecting the right to receive payment of such amount that has not been released or will not be released simultaneously with the payment of such amount.

Rebate Funds. Unless otherwise provided pursuant to a Supplemental Indenture, there is established under the Indenture a Rebate Fund for each Series of Tax-Exempt Bonds to be held by the Treasurer and administered by the SFPUC as set forth in the Indenture. The SFPUC will maintain each Rebate Fund until the expiration of 60 days after the retirement of such Series of Tax-Exempt Bonds. Within 30 days after the end of each Computation Period, the SFPUC will determine or cause to be determined the Rebate Amount attributable to each Rebate Fund for such Computation Period. Subject to the provisions of the Indenture, the SFPUC will transfer from the Revenue Fund into the Rebate Fund money to the extent required to provide for any Rebate Amount the SFPUC has determined to exist.

Investment or Deposit of Funds

Deposits and Security. All money received by the Trustee under the Indenture for deposit in the Funds will be considered trust funds pending their application as provided in the Indenture and will be subject to a prior and paramount pledge, lien and charge in favor of the Owners of the Series of Bonds and Qualified Counterparties payable from or secured by each such Fund, and for the further security of such Series of Bonds until paid out or transferred as herein provided. All money on deposit with the Trustee will be secured in the manner required by State or other applicable law. All security for deposits will be perfected in such manner as may be required or permitted under applicable law in order to provide to the Trustee a perfected lien on and security interest in such security.

Investment or Deposit of Funds.

(a) All money on deposit in the Funds will be invested and reinvested by the Trustee or the Treasurer, as the case may be, in Authorized Investments that mature, or are subject to repurchase, withdrawal without penalty or redemption at the option of the holder on or before the dates on which the amounts invested are reasonably expected to be needed for the purposes of the Indenture.

(b) All purchases or sales of Authorized Investments made by the Trustee will be made at the direction of the SFPUC (given in writing or orally, confirmed in writing). In the absence of such direction, the Trustee will invest all money on deposit in the Funds held by the Trustee in money market funds comprised or full secured by Government Securities.

(c) Any Authorized Investments held by the Trustee may be transferred by the Trustee, if required in writing by the SFPUC, from any of the Funds to any other Fund at the then current market value thereof without having to be sold and purchased or repurchased; provided, that after any such transfer or transfers, the Authorized Investments in each such Fund will be in accordance with the provisions of the Indenture, and whenever any other transfer or payment is required to be made from any particular Fund, such transfer or payment will be made from such combination of maturing principal, redemption premiums, liquidation proceeds and withdrawals of principal as the Trustee deems appropriate for such purpose.

(d) The Trustee will not be accountable for any depreciation in the value of Authorized Investments or for any losses incurred upon any authorized disposition thereof.

(e) Subject to the foregoing, the Trustee is expressly authorized to invest money in two or more Funds in a single investment; provided, that the portion of the investment allocable to each such Fund, and all payments received with respect to such allocable portion, will be applied in accordance with the applicable provisions governing such Fund under the Indenture.

Valuation of Funds. The Trustee will determine the market value of the Authorized Investments in each of the Funds held by the Trustee as of (a) June 30 of each year (or if such day is not a Business Day, the preceding Business Day) and (b) the date of issuance of each Series of Bonds. As soon as practicable after each such valuation date, the Trustee will furnish to the SFPUC a report of the status of each Fund held by the Trustee as of such date. In computing the value of Authorized Investments in any Fund, Authorized Investments will be valued at the fair market value thereof; provided, that investments in any Reserve Account will be valued at cost plus accreted value.

Covenants of the Commission

The SFPUC covenants and agrees with the Owners from time to time of the Bonds issued pursuant to the Indenture as follows:

Not to Dispose of Power Enterprise Properties. The SFPUC will not sell, lease or otherwise dispose of, or cause the sale, lease or other disposition of, or permit to be sold, leased or otherwise disposed of, any real or personal properties constituting part of the Power Enterprise unless:

(a) Such sale, lease or disposal is of properties that in the judgment of the SFPUC have become unserviceable, inadequate, obsolete, unfit or no longer needed for the efficient and economical operation of the Power Enterprise; or

(b) Such sale, lease or disposal will not materially impair the ability of the SFPUC to comply with the provisions of the Indenture for a period of 3 Fiscal Years after such sale, lease or disposal, as set forth in a certificate of the SFPUC; or

(c) The SFPUC applies the proceeds of such sale, lease or disposal to redeem or defease the Outstanding Bonds on a *pro rata* basis across all maturities thereof.

The foregoing will not preclude the SFPUC from providing a security or leasehold interest in property to secure obligations for borrowed money entered into to finance the acquisition or construction of such properties.

Insurance.

(a) The SFPUC will maintain property, liability and other insurance with respect to the business, operations, works, plants and facilities of the Power Enterprise, to the extent available at a reasonable cost from responsible insurers, with policies payable to the SFPUC for the benefit of the Power Enterprise, in such amounts and against such risks as are typically carried by similar municipally-owned electric utilities; provided, that the SFPUC will not be required to carry insurance for losses to the Power Enterprise caused by earthquake.

(b) In the event of any loss or damage to the properties or facilities of the Power Enterprise covered by insurance exceeding in any Fiscal Year 5% of the net book value of the capital assets of the Power Enterprise, the SFPUC will apply the proceeds received by the SFPUC of any insurance policy or policies covering such damage or loss for the purposes of (i) repairing or replacing such properties or facilities; (ii) acquiring or constructing other properties or facilities; and/or (iii) to pay, redeem or defease Outstanding Bonds of such maturity or maturities as the SFPUC will determine in its discretion.

(c) The SFPUC may provide any insurance coverage otherwise required by (a) through a self-insurance program.

Eminent Domain. In the event of transfer of the properties of the Power Enterprise by operation of law or under threat of condemnation, the SFPUC will apply the proceeds received by the SFPUC of any such condemnation award or any such sale under threat of condemnation for the purpose of replacing or restoring such properties of the Power Enterprise, or to defease the Outstanding Bonds on a *pro rata* basis across all maturities thereof.

Payment of Taxes and Claims. The SFPUC will from time to time duly pay and discharge, or cause to be paid and discharged, all taxes, assessments and other governmental charges, or required payments in lieu thereof, lawfully imposed upon the properties constituting part of the Power Enterprise or on the Revenues when the same will become due, and all lawful claims for labor and material and supplies which, if not paid, might become a lien or charge upon such properties, or any part thereof, or upon the Revenues, or which might in any material way impair the security for the Bonds; provided, that the SFPUC will not be required to pay any such taxes, assessments, charges or claims which the SFPUC will in good faith contest by proper legal proceedings.

Tax Covenants. Except as provided in a Supplemental Trust Indenture with respect to a Series of Bonds the interest on which is not intended to be exempt from Federal income tax:

(a) The SFPUC will not take any action, or fail to take any action, if any such action or failure to take action would adversely affect the exclusion from gross income of interest on the Bonds under Section 103 of the Code. The SFPUC will not, directly or indirectly, use or permit the use of proceeds of the Bonds or any of the property financed or refinanced with proceeds of the Bonds, or any portion thereof, by any person other than a governmental unit (as such term is used in Section 141 of the Code), in such manner or to such extent as would result in the loss of exclusion from gross income for federal income tax purposes of interest on the Bonds.

(b) The SFPUC will not take any action, or fail to take any action, if any such action or failure to take action would cause the Bonds to be "private activity bonds" within the meaning of Section 141 of the Code, and in furtherance thereof, will not make any use of the proceeds of the Bonds or any of the property financed or refinanced with proceeds of the Bonds, or any portion thereof, or any other funds of the SFPUC, that would cause the Bonds to be "private activity bonds" within the meaning of Section 141 of the Code. To that end, so long as any Bonds are Outstanding, the SFPUC, with respect to such proceeds and property and such other funds, will comply with applicable requirements of the Code and all regulations of the United States Department of the Treasury issued thereunder, to the extent such requirements are, at the time, applicable and in effect. The SFPUC will establish reasonable procedures necessary to ensure continued compliance with Section 141 of the Code and the continued qualification of the Bonds as "governmental bonds."

Further Assurances. The SFPUC will at any and all times, insofar as it may be authorized to do so by law, pass, make, do, execute, acknowledge and deliver all and every such further resolutions, acts, assignments, instruments and assurances as may be necessary or desirable for the better assuring, granting, pledging, assigning and confirming any and all of the rights, revenues, funds and other property hereby granted, pledged or assigned to pay or secure the payment of the Bonds, in the manner and to the extent provided herein.

Defaults and Remedies

Events of Default. Each of the following is an "Event of Default" under the Indenture:

(a) The SFPUC will default in the payment of any Principal, Purchase Price or Redemption Price of or interest on any Bond when the same becomes due and payable; or

(b) Subject to the provisions of the Indenture, default in the performance, or breach, of any covenant, warranty or representation of the SFPUC contained in the Indenture (other than a default under (a) above); or

(c) (i) The filing of a petition in bankruptcy (or other commencement of a bankruptcy or similar proceedings) by the SFPUC or the City as debtor, under federal or state bankruptcy law; (ii) the filing of a petition in bankruptcy (or other commencement of a bankruptcy or similar proceedings) against the SFPUC or the City as debtor, under federal or state bankruptcy law, which petition is not dismissed within 60 days after filing; (iii) the appointment of a receiver, liquidator, assignee, custodian, trustee, sequestrator or other similar official of the SFPUC or the City or of any substantial portion of its property; or (iv) the ordering of the winding up or liquidation of the affairs of the SFPUC or the City.

Remedies Upon Default.

(a) If an Event of Default under the caption "Events of Default" occurs and is continuing, the Trustee may, and upon the written request to the Trustee by the Owners of a majority in aggregate Principal amount of the Outstanding Bonds the Trustee will, subject to the requirements under the caption "Certain Rights of the Trustee," by written notice to the SFPUC, declare the Principal of the Bonds and all interest accrued thereon to the date of acceleration to be immediately due and payable.

(b) At any time after such a declaration of acceleration has been made and before the entry of a judgment or decree for payment of the money due, the Trustee may, or the Owners of a majority in aggregate Principal amount of the Outstanding Bonds, may by written notice to the SFPUC and the Trustee, and subject to the requirements under the caption "Certain Rights of the Trustee," direct the Trustee to, rescind and annul such declaration and its consequences if:

(i) there has been paid to or deposited with the Trustee by or for the account of the SFPUC, or provision satisfactory to the Trustee has been made for the payment of a sum sufficient to pay: (A) all overdue installments of interest on the Bonds; (B) the Principal, Purchase Price, and Redemption Price of any Bonds that have become due other than by such declaration of acceleration and interest thereon; (C) to the extent lawful, interest upon overdue interest and redemption premium, if any; and (D) all sums paid or advanced by the Trustee under the Indenture, together with the reasonable compensation, expenses,

disbursements and advances of the Trustee and its agents and counsel prior to the date of notice of rescission; and

(ii) all Events of Default have been cured or waived, other than the nonpayment of Principal, Purchase Price or Redemption Price of and interest on the Bonds that occasioned such acceleration.

(c) No such rescission and annulment will affect any subsequent default or impair any consequent right.

Additional Remedies.

(a) The Trustee, upon the occurrence of an Event of Default may, and upon the written request of the Owners of a majority in aggregate Principal amount of the Outstanding Bonds, and subject to the requirements under the caption "Certain Rights of the Trustee," will proceed to protect and enforce its rights and the rights of the Owners of the Bonds under the Indenture by a suit or suits in equity or at law, either for the specific performance of any covenant or agreement contained in the Indenture or in aid of the execution of any power herein or therein granted, or for the enforcement of any other appropriate legal or equitable remedy, and the Trustee in reliance upon the advice of counsel may deem most effective to protect and enforce any of the rights or interests of the Owners of the Bonds under the Bonds or the Indenture.

(b) Without limiting the generality of the foregoing, the Trustee will at all times have the power to institute and maintain such proceedings as it may deem expedient: (i) to prevent any impairment of the money and other property then held under the Indenture by any acts that may be unlawful or in violation of the Indenture, and (ii) to protect its interests and the interests of the Owners in the money and other property then held under the Indenture and in the issues, profits, revenues and other income arising therefrom, including the power to maintain proceedings to restrain the enforcement of or compliance with any governmental enactment, rule or order that may be unconstitutional or otherwise invalid, if the enforcement of, or compliance with, such enactment, rule or order would impair the money and other property then held under the Indenture or be prejudicial to the interests of the Owners or the Trustee.

Marshaling of Assets. Upon the occurrence of an Event of Default, all money in all Funds will be available to be utilized by the Trustee in accordance with the provisions under the caption "Events of Default." The rights of the Trustee under the caption "Compensation and Expenses of the Trustee," will be applicable. During the continuance of any such Event of Default, all provisions of the Indenture relating to the utilization of the Funds will be superseded by the provisions under the caption "Events of Default." Subsequent to the curing or waiver of any such Event of Default, the provisions of the Indenture relating to utilization of the Funds will be reinstated.

Notice and Opportunity to Cure Certain Defaults. No default in (b) under the caption "Events of Default," will constitute an Event of Default until written notice of such default will have been given to the SFPUC by the Trustee or by the Owners of at least 25% in aggregate Principal amount of the Bonds Outstanding, and the SFPUC will have had 60 days after receipt of such notice to correct such default or cause such default to be corrected, and will have failed to do so. In the event, however, that the default is such that it cannot be corrected within such 60-day period, it will not constitute an Event of Default if corrective action is instituted by the SFPUC within such period and diligently pursued (as determined by the Trustee) until the default is corrected.

Priority of Payment Following Event of Default.

(a) If at any time after the occurrence of an Event of Default the money held by the Trustee under the Indenture will not be sufficient to pay the Bonds as the same become due and payable, such money, together with any money then available or thereafter becoming available for such purpose, whether through the exercise of remedies in the provisions under the caption "Events of Default" or otherwise, will, subject to (b) and (c) under this section, be applied by the Trustee as follows:

(i) *First*, to the payment of all amounts due the Trustee under the caption "Compensation and Expenses of the Trustee;"

(ii) *Second*, to the payment of Operation and Maintenance Expenses;

(iii) *Third*, to the payment of all interest on the Bonds and Swap Agreement Payments then due and payable in the order in which the same became due and payable, and, if the amount available will not be sufficient to make any payment in full, then to the payment, ratably, according to the amounts due with respect to such payments, without discrimination or preference;

(iv) *Fourth*, to the payment of the unpaid Principal amount of any of the Bonds that will have become due and payable, in the order of due dates (other than Bonds called for redemption or contracted to be purchased for the payment of which money is held pursuant to the provisions of the Indenture), with interest upon the Principal amount of the Bonds from the respective dates upon which they will have become due and payable, and, if the amount available will not be sufficient to pay in full the Principal of such Bonds due and payable on any particular due date, together with such interest, then to the payment first of such interest, ratably, according to the amount of Principal due on such date, without any discrimination or preference;

(v) *Fifth*, to the payment of the Redemption Price of Bonds called for optional redemption, if any;

(vi) *Sixth*, to the payment under all reimbursement agreements with the providers of Reserve Account Credit Facilities of all amounts due and payable thereunder (and if there is not sufficient money to make all such payments, then on a *pro rata* basis to each provider);

(vii) *Seventh*, (A) for the payment of principal and premium, if any, and interest on Subordinate Obligations; (B) for deposit into a reserve fund securing any Subordinate Obligations; (C) for Swap Agreement Payments pursuant to any Swap Agreements entered into by the SFPUC with respect to any Subordinate Obligations; and (D) for payment to any financial institution or insurance company providing any letter of credit, line of credit, or other credit or liquidity facility, including municipal bond insurance and guarantees, that secures the payment of principal of or interest on any Subordinate Obligations; in each case in any order of priority which may be hereafter established by the SFPUC;

(viii) *Eighth*, for any payment under a Take-or-Pay Power Purchase Agreement that does not constitute an Operation and Maintenance Expense;

(ix) *Ninth*, for any payment under a Swap Agreement that does not constitute a Swap Agreement Payment; and

(x) *Tenth*, to the payment of all other charges or obligations against the Revenues of whatever nature now or hereafter imposed thereon by law or contract, in any order of priority which may be hereafter established by the SFPUC.

(b) If the Principal of all Bonds will have become due and payable, subject to clause (i) of (a) under this section, regarding payment to the Trustee, all such money will be applied to the payment of the Principal and interest then due and unpaid upon the Bonds, without preference or priority of Principal over interest or of interest over Principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, ratably, according to the amounts due respectively for Principal and interest, without any discrimination or preference.

(c) Whenever money is to be applied pursuant to the provisions of this section, the Trustee may, in its discretion, establish and maintain a reserve for future fees and expenses, and may apply money to be distributed at such times, and from time to time, as the Trustee will determine, having due regard for the amount of such money available for application and the likelihood of additional money becoming available for such application in the future. Whenever the Trustee will apply such funds, it will fix a date (which will be an interest payment date unless it will deem another date more suitable) upon which such application is to be made and upon such date interest on the amounts of Principal to be paid on such dates, and for which money is available, will cease to accrue. The

Trustee will also select a record date for such payment date. The Trustee will give such notice as it may deem appropriate of the deposit with it of any money and of the fixing of any such record date and payment date, and will not be required to make payment to the Owner of any Bond until such Bond will be presented to the Trustee for appropriate endorsement or for cancellation if fully paid.

Owners May Direct Proceedings. The Owners of a majority in aggregate Principal amount of the Outstanding Bonds will, subject to the requirements of (e) under the caption "Certain Rights of the Trustee," have the right, by an instrument or instruments in writing executed and delivered to the Trustee, to direct the method and place of conducting all remedial proceedings by the Trustee under the Indenture, provided that such direction will not be in conflict with any rule of law or the Indenture and that the Trustee will have the right to decline to follow any such direction which in the opinion of the Trustee would be unduly prejudicial to the rights of Owners not parties to such direction or would subject the Trustee to personal liability or expense. Notwithstanding the foregoing, the Trustee will have the right to select and retain counsel of its choosing to represent it in any such proceedings. The Trustee may take any other action which is not inconsistent with any direction under this section.

Limitations on Rights of Owners.

(a) No Owner will have any right to pursue any other remedy under the Indenture or the Bonds unless: (i) an Event of Default will have occurred and is continuing; (ii) the Owners of a majority in aggregate Principal amount of the Outstanding Bonds have requested the Trustee, in writing, to exercise the powers hereinabove granted or to pursue such remedy in its or their name or names; (iii) the Trustee has been offered indemnity satisfactory to it against costs, expenses and liabilities reasonably anticipated to be incurred; (iv) the Trustee has declined to comply with such request, or has failed to do so, within 60 days after its receipt of such written request and offer of indemnity; and (v) no direction inconsistent with such request has been given to the Trustee during such 60-day period by the Owners of a majority in aggregate Principal amount of the Outstanding Bonds.

(b) The provisions of (a) of this section are conditions precedent to the exercise by any Owner of any remedy under the Indenture. The exercise of such rights is further subject to the provisions under the captions "Owners May Direct Proceedings," "Unconditional Right of Owners to Receive Payment" and "Delay or Omission Not Waiver." No one or more Owners will have any right in any manner whatever to enforce any right under the Indenture, except in the manner herein provided. All proceedings at law or in equity with respect to an Event of Default will be instituted and maintained in the manner herein provided for the equal and ratable benefit of the Owners of all Bonds Outstanding.

Unconditional Right of Owners To Receive Payment. Notwithstanding any other provision of the Indenture, the Owner of each Bond will have the absolute and unconditional right to receive payment of Principal, Purchase Price and Redemption Price of and interest on such Bond on and after the due date thereof, and to institute suit for the enforcement of any such payment.

Restoration of Rights and Remedies. If the Trustee or any Owner has instituted any proceeding to enforce any right or remedy under the Indenture, and any such proceeding has been discontinued or abandoned for any reason, or has been determined adversely to the Trustee or such Owner, then the SFPUC, the Trustee and the Owners will, subject to any determination in such proceeding, be restored to their former positions under the Indenture, and all rights and remedies of the Trustee and the Owners will continue as though no such proceeding had been instituted.

Rights and Remedies Cumulative. No right or remedy herein conferred upon or reserved to the Trustee is intended to be exclusive of any other right or remedy, but each such right or remedy will, to the extent permitted by law, be cumulative of and in addition to every other right or remedy given under the Indenture or now or hereafter existing at law, in equity or otherwise. The assertion or employment of any right or remedy under the Indenture will not prevent the concurrent assertion or employment of any other appropriate right or remedy.

Delay or Omission Not Waiver. No delay or omission by the Trustee or any Owner to exercise any right or remedy accruing upon any Event of Default will impair any such right or remedy or constitute a waiver of such

Event of Default. Every right and remedy given by the provisions under the caption "Events of Default." or by law to the Trustee or the Owners may be exercised from time to time, and as often as may as deemed expedient, by the Trustee or the Owners, as the case may be.

Waiver of Defaults.

(a) The Owners of a majority in aggregate Principal amount of the Outstanding Bonds may, by written notice to the Trustee and subject to the requirements of (e) under the caption "Certain Rights of the Trustee," waive any existing default or Event of Default and its consequences, except an Event of Default under (a) under the caption "Events of Default." Upon any such waiver, the default or Event of Default will be deemed cured and will cease to exist for all purposes. No waiver of any default or Event of Default will extend to or effect any subsequent default or Event of Default or will impair any right or remedy consequent thereto.

(b) Notwithstanding any provision of the Indenture, in no event will any Person, other than all of the affected Owners, have the ability to waive any Event of Default under the Indenture if such event results or may result, in the opinion of Bond Counsel, in interest on any of the Tax-Exempt Bonds becoming includable in gross income for federal income tax purposes.

Notice of Events of Default. If an Event of Default occurs of which the Trustee has or is deemed to have notice under (h) under the caption "Certain Rights of the Trustee," the Trustee will give prompt notice thereof to the SFPUC. Within 30 days thereafter (unless such Event of Default has been cured or waived), the Trustee will give notice of such Event of Default to each Owner of Bonds then Outstanding; provided, that except in the instance of an Event of Default under (a) under the caption "Events of Default," the Trustee may withhold such notice to Owners if and so long as the Trustee in good faith determines that the withholding of such notice is in the interests of Owners; and provided further, that notice to Owners of any Event of Default under (b) under the caption "Events of Default," will be subject to the provisions under the caption "Notice and Opportunity to Cure Certain Defaults" and will not be given until the grace period has expired.

The Trustee

Appointment; Duties and Responsibilities of the Trustee. U.S. Bank National Association will serve as the initial Trustee with respect to the Bonds.

(a) Prior to the occurrence of an Event of Default of which it has or is deemed to have notice under the Indenture, and after the curing or waiver of any Event of Default that may have occurred: (i) the Trustee undertakes to perform such duties and only such duties as are specifically set forth in the Indenture, and no implied covenants or obligations will be read into the Indenture against the Trustee; and (ii) in the absence of bad faith on its part, the Trustee may conclusively rely, as to the truth of the statements and the correctness of the opinions expressed therein, upon certificates or opinions furnished to the Trustee that conform to the requirements of the Indenture; but the Trustee is under a duty to examine such certificates and opinions to determine whether they conform to the requirements of the Indenture.

(b) In case an Event of Default of which the Trustee has or is deemed to have notice under the Indenture has occurred and is continuing, the Trustee will exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use in the conduct of such person's own affairs.

(c) No provision of the Indenture will be construed to relieve the Trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct, except that: (i) this subsection will not be construed to limit the effect of subsection (b) of this section; (ii) the Trustee is not liable for any error of judgment made in good faith by an authorized officer of the Trustee, unless it is proven that the Trustee was negligent in ascertaining the pertinent facts; (iii) the Trustee is not liable with respect to any action it takes or omits to be taken by it in good faith in accordance with the direction of the Owners under any provision of the Indenture relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under the Indenture; and (iv) no provision of the Indenture

will require the Trustee to expend or risk its own funds or otherwise incur any liability in the performance of any of its duties under the Indenture, or in the exercise of any of its rights or powers, if it has reasonable grounds for believing that the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it.

(d) The Trustee will maintain records of all investments and disbursements of proceeds in the Funds through the date ending 6 years following the date on which all the Bonds have been retired.

(e) Whether or not expressly so provided, every provision of the Indenture relating to the conduct or affecting the liability of or affording protection to the Trustee is subject to the provisions of this section.

Certain Rights of the Trustee. Except as otherwise provided in the provisions under the caption "Appointment; Duties and Responsibilities of the Trustee:"

(a) The Trustee may rely and is protected in acting or refraining from acting upon any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, approval, bond, debenture or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties;

(b) Any statement or certification of the SFPUC under the Indenture will be sufficiently evidenced by a Certificate of the SFPUC (unless other evidence thereof is specifically prescribed), any request, direction, order or demand of the SFPUC under the Indenture will be sufficiently evidenced by an Order of the SFPUC (unless other evidence thereof is specifically prescribed) and any resolution of the SFPUC may be sufficiently evidenced by a copy thereof certified by the Secretary of the SFPUC;

(c) Whenever in the administration of the Indenture the Trustee deems it desirable that a matter be proved or established prior to taking, suffering or omitting any action under the Indenture, the Trustee (unless other evidence thereof is specifically prescribed) may, in the absence of bad faith on its part, rely upon a Certificate of the SFPUC;

(d) The Trustee may consult with counsel and the written advice of such counsel or an opinion of counsel or of Bond Counsel will be full and complete authorization and protection for any action taken, suffered or omitted by it in good faith and in accordance with such advice or opinion;

(e) The Trustee is under no obligation to exercise any of the rights or powers vested in it by the Indenture at the request or direction of any of the Owners unless the Owners have offered to the Trustee security or indemnity satisfactory to the Trustee as to its terms, coverage, duration, amount and otherwise with respect to the costs, expenses and liabilities which may be incurred by it in compliance with such request or direction, and the provision of such indemnity will be mandatory for any remedy taken upon direction of the Owners of a majority in aggregate Principal amount of the Outstanding Bonds;

(f) The Trustee is not required to make any inquiry or investigation into the facts or matters stated in any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, approval, bond, debenture or other paper or document but the Trustee, in its discretion, may make such further inquiry or investigation into such facts or matters as it may see fit and, if the Trustee determines to make such further inquiry or investigation, it is entitled to examine the books, records and premises of the SFPUC, in person or by agent or attorney;

(g) The Trustee may execute any of its trusts or powers or perform any duties under the Indenture either directly or by or through agents or attorneys, and may in all cases pay, subject to reimbursement as provided under the caption "Compensation and Expenses of the Trustee," such reasonable compensation as it deems proper to all such agents and attorneys reasonably employed or retained by it, and the Trustee will not be responsible for any misconduct or negligence of any agent or attorney appointed with due care by it;

(h) The Trustee is not required to take notice or deemed to have notice of any default or Event of Default under the Indenture, except an Event of Default under (a) under the caption "Events of Default," (a), unless an officer of the Trustee has actual knowledge thereof or has received notice in writing of such default or Event of Default from the SFPUC or the Owners of at least 25% in aggregate Principal amount of the Outstanding Bonds, and in the absence of any such notice, the Trustee may conclusively assume that no such default or Event of Default exists;

(i) The Trustee is not required to give any bond or surety with respect to the performance of its duties or the exercise of its powers under the Indenture;

(j) In the event the Trustee receives inconsistent or conflicting requests and indemnity from two or more groups of Owners, each representing less than a majority in aggregate Principal amount of the Outstanding Bonds, pursuant to the provisions of the Indenture, the Trustee, in its sole discretion, may determine what action, if any, will be taken;

(k) The Trustee's immunities and protections from liability and its right to indemnification in connection with the performance of its duties under the Indenture will extend to the Trustee's officers, directors, agents, attorneys and employees. Such immunities and protections and right to indemnification, together with the Trustee's right to compensation, will survive the Trustee's resignation or removal, the defeasance or discharge of the Indenture and final payment of the Bonds;

(l) The permissive right of the Trustee to take the actions permitted by the Indenture will not be construed as an obligation or duty to do so;

(m) Except for information provided by the Trustee concerning the Trustee, the Trustee will have no responsibility for any information in any offering memorandum or other disclosure material distributed with respect to the Bonds, and the Trustee will have no responsibility for compliance with any state or federal securities laws in connection with the Bonds; and

(n) The Trustee will not be considered in breach of or in default in its obligations under the Indenture or progress in respect thereto in the event of delay in the performance of such obligations due to unforeseeable causes beyond its control and without its fault or negligence, including, but not limited to, acts of God or of the public enemy or terrorists, acts of a government, acts of the other party, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, earthquakes, explosion, mob violence, riot, inability to procure or general sabotage or rationing of labor, equipment, facilities, sources of energy, material or supplies in the open market, litigation or arbitration involving a party or others relating to zoning or other governmental action or inaction pertaining to any project refinanced with the proceeds of the Bonds, malicious mischief, condemnation, and unusually severe weather or delays of suppliers or subcontractors due to such causes or any similar event and/or occurrences beyond the control of the Trustee.

Qualifications of the Trustee. There will at all times be a trustee under the Indenture which will be a corporation or banking association organized and doing business under the laws of the United States of America or of any state, authorized under such laws to exercise corporate trust powers, which satisfies the combined capital and surplus of requirements of the Indenture, or is an affiliate of, or has a contractual relationship with, a corporation or banking association meeting such capital and surplus requirement which guarantees the obligations and liabilities of the proposed trustee, and which is subject to supervision or examination by federal or state banking authority. If such corporation or banking association publishes reports of condition at least annually, pursuant to law or the requirements of any supervising or examining authority above referred to, then for purposes of this section, the combined capital and surplus of such corporation or banking association will be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. If at any time the Trustee will cease to be eligible in accordance with the provisions of this section, it will resign promptly in the manner and with the effect specified in the Indenture.

Resignation or Removal of the Trustee; Appointment of Successor Trustee.

(a) No resignation or removal of the Trustee and no appointment of a successor Trustee pursuant to the Indenture will become effective until the acceptance of appointment by the successor Trustee under the caption "Acceptance of Appointment by Successor Trustee."

(b) The Trustee may resign at any time by giving written notice to the SFPUC. Upon receiving such notice of resignation, the SFPUC will promptly appoint a successor Trustee by an instrument in writing. If an instrument of acceptance has not been delivered to the resigning Trustee within 30 days after the giving of such notice of resignation, the resigning Trustee or any Owner of a Bond then Outstanding may petition a court of competent jurisdiction for the appointment of a successor Trustee.

(c) Prior to the occurrence and continuance of an Event of Default under the Indenture, or after the curing or waiver of any such Event of Default, the SFPUC or the Owners of a majority in aggregate Principal amount of the Outstanding Bonds may remove the Trustee and will appoint a successor Trustee. In the event there will have occurred and be continuing an Event of Default under the Indenture, the Owners of a majority in aggregate Principal amount of the Outstanding Bonds may remove the Trustee and will appoint a successor Trustee. In each instance such removal and appointment will be accomplished by an instrument or concurrent instruments in writing signed by the SFPUC or such Owners, as the case may be, and delivered to the Trustee, the SFPUC and Owners of the Outstanding Bonds.

(d) If at any time: (i) the Trustee will cease to be eligible and qualified under the Indenture and will fail or refuse to resign after written request to do so by the SFPUC or the Owner of any Bond, or (ii) the Trustee will become Insolvent, then in either such case (A) the SFPUC may remove the Trustee and appoint a successor Trustee in accordance with the provisions of (c) of this section; or (B) any Owner of a Bond then Outstanding may, on behalf of the Owners of all Outstanding Bonds, petition a court of competent jurisdiction for removal of the Trustee and appointment of a successor Trustee.

(e) The SFPUC will give written notice of each resignation or removal of the Trustee and each appointment of a successor Trustee to each Owner of Bonds then Outstanding as listed in the Bond Register. Each such notice will include the name and address of the applicable corporate trust office of the successor Trustee.

Merger, Succession or Consolidation of Trustee. Any corporation or association: (a) into which the Trustee is merged or with which it is consolidated; (b) resulting from any merger or consolidation to which the Trustee is a party; or (c) succeeding to all or substantially all of the corporate trust business of the Trustee, will be the successor Trustee without the execution or filing of any document or the taking of any further action. Any such successor must nevertheless be eligible and qualified under the provisions of the Indenture.

Notices to Owners; Waiver.

(a) Where the Indenture provides for notice to Owners of any event, such notice will be sufficiently given (unless otherwise expressly provided herein) if in writing and mailed, first-class postage prepaid, to each Owner affected by each event, at such Owner's address as it appears on the Bond Register, not later than the latest date, and not earlier than the earliest date, prescribed for the first giving of such notice. In any case where notice to Owners is given by mail, neither the failure to mail such notice, nor any default in any notice so mailed to any particular Owner will affect the sufficiency of such notice with respect to other Owners. Where the Indenture provides for notice in any manner, such notice may be waived in writing by the Person entitled to receive such notice, either before or after the event, and such waiver will be the equivalent of such notice. Waivers of notice by Owners will be filed with the Trustee, but such filing will not be a condition precedent to the validity of any action taken in reliance upon such waiver.

(b) Where the Indenture provides for notice to the Owners of any event, the form of the notice will prominently include a title block, separate from the body of the notice, which will include the following information: (i) the complete title of the Bonds; (ii) the complete name of the SFPUC; (iii) the entire nine-digit CUSIP number of

each affected Bond; (iv) the record date for the notice; and (v) a summary that is no more than the maximum number of characters permitted by the Securities Depository.

(c) Any notice required or permitted by the Indenture to be given to the Securities Depository will be given to it in the manner provided by this section for giving notice to Owners, and also will be given in the format requested by the Securities Depository to such address as may be specified by the Securities Depository in writing to the Trustee.

Discharge and Defeasance

Discharge. If (a) the Principal of any Bonds and the interest due or to become due thereon together with any premium required by redemption of any of such Bonds prior to maturity will be paid, or is caused to be paid, or is provided for under the Indenture, at the times and in the manner to which reference is made in such Bonds, according to the true intent and meaning thereof, or such Bonds will have been paid and discharged in accordance with the Indenture, and (b) and all Swap Agreement Payments and other payments due in accordance with the provisions of the Swap Agreements and the Indenture have been made and (c) all of the covenants, agreements, obligations, terms and conditions of the SFPUC under the Indenture will have been kept, performed and observed and there will have been paid to the Trustee all sums of money due or to become due to it in accordance with the terms and provisions of the Indenture, then the right, title and interest of the Trustee in all money and other property then held under the Indenture will thereupon cease and the Trustee, on request of and at the expense of the SFPUC, will release the Indenture and will execute such documents to evidence such release as may be reasonably required by the SFPUC and will turn over to the SFPUC, or to such other Person as may be entitled to receive the same, all balances remaining in any Funds except for amounts required to pay such Bonds or held pursuant to the Indenture.

Defeasance. If the SFPUC deposits with the Trustee money or non-callable Government Securities which, together with the earnings thereon, are sufficient to pay the Principal, Purchase Price or Redemption Price of any particular Bond or Bonds, or portions thereof, becoming due, together with all interest accruing thereon to the due date or redemption date, and pays or makes provision for payment of all fees, costs and expenses of the Trustee due or to become due with respect to such Bonds, all liability of the SFPUC with respect to such Bond or Bonds (or portions thereof) will cease, such Bond or Bonds (or portions thereof) will be deemed not to be Outstanding under the Indenture and the Owner or Owners of such Bond or Bonds (or portions thereof) will be restricted exclusively to the money or Government Securities so deposited, together with any earnings thereon, for any claim of whatsoever nature with respect to such Bond or Bonds (or portions thereof), and the Trustee will hold such money, Government Securities and earnings in trust exclusively for such Owner or Owners and such money, Government Securities and earnings will not secure any other Bonds under the Indenture. In determining the sufficiency of the money and Government Securities deposited pursuant to this section, the Trustee will receive, at the expense of the SFPUC, and may rely upon: (a) a verification report of a firm of nationally recognized independent certified public accountants or other qualified firm acceptable to the SFPUC; and (b) an opinion of Bond Counsel to the effect that (1) all conditions set forth in the Indenture have been satisfied and (2) that defeasance of the Bonds will not cause interest on any Tax-Exempt Bonds to be includable in gross income for federal income tax purposes. Upon such defeasance all rights of the SFPUC, including its right to provide for optional redemption of Bonds on dates other than planned pursuant to such defeasance, will cease unless specifically retained by filing a written notification thereof with the Trustee on or prior to the date the Government Securities are deposited with the Trustee. When a Bond is deemed to be paid under the Indenture, as aforesaid, it will no longer be secured by or entitled to the benefits of the Indenture, except for the purposes of any such payment from such money or Government Securities and except for the provisions of this section.

Notice of Defeasance.

(a) If money or non-callable Government Securities have been deposited with the Trustee pursuant to the Indenture for payment of less than all Bonds of a Series and maturity, the Bonds of such Series and maturity to be so paid from such deposit will be selected by the Trustee by lot by such method as will provide for the selection of portions (in authorized denominations) of the Principal of Bonds of such Series and maturity of a denomination larger than the smallest authorized denomination. Such selection will be made within seven days after the money or Government Securities have been deposited with the Trustee. This selection process will be in lieu of the selection

process otherwise provided with respect to redemption of Bonds in the Indenture. After such selection is made, Bonds that are to be paid from such deposit (including Bonds issued in exchange for such Bonds pursuant to the transfer or exchange provisions of the Indenture) will be identified by a separate CUSIP number or other designation satisfactory to the Trustee. The Trustee will notify Owners whose Bonds (or portions thereof) have been selected for payment from the money or Government Securities on deposit and will direct such Owners to surrender their Bonds to the Trustee in exchange for Bonds with the appropriate designation. The selection of Bonds for payment from such deposit pursuant to this section will be conclusive and binding on the SFPUC. The SFPUC will give to the Trustee in form satisfactory to it irrevocable instructions to give notice of the deposit of money or Government Securities, the selection of Bonds to be redeemed including CUSIP numbers and the anticipated date of redemption. The Trustee will promptly give such notice to the Owners including the information required under the Indenture.

(b) In case any of the Bonds, for the payment of which money or Government Securities have been deposited with the Trustee pursuant to the Indenture, are to be redeemed on any date prior to their maturity, the SFPUC, in addition to any notice required under (a) of this section, will give to the Trustee in form satisfactory to it irrevocable instructions to give notice of redemption of such Bonds on the redemption date for such Bonds as provided in the Indenture.

(c) In addition to the foregoing notice, in the event such Bonds to be redeemed are not by their terms subject to redemption within the next succeeding 65 days, the Trustee will give further notice to the Owners that the deposit required by the Indenture has been made with the Trustee and that said Bonds are deemed to have been paid in accordance with the Indenture and stating the maturity or redemption date or dates upon which money is to be available for the payment of the Principal, Purchase Price or Redemption Price of said Bonds; such further notice will be given promptly following the making of the deposit required by the Indenture; and such further notice also will be given in the manner set forth in the Indenture; but no defect in such further notice nor any failure to give all or any portion of such further notice will in any manner defeat the effectiveness of the deposit.

(d) If the SFPUC has retained any rights pursuant to the last sentence of the provisions under the caption "Defeasance," notice thereof will be sent to Owners of such Bonds as soon as practicable and not later than any notice required by (a) or (b) of this section.

Supplemental Indentures

Supplemental Indentures Without Owner Consent.

(a) The SFPUC may from time to time and at any time adopt a Supplemental Indenture, without the consent of or notice to any Owner, to effect any one or more of the following:

(i) provide for the issuance of Bonds in accordance with the provisions of the Indenture;

(ii) cure any ambiguity or defect or omission or correct or supplement any provision herein or in any Supplemental Indenture;

(iii) grant to or confer upon the Trustee for the benefit of the Owners any additional rights, remedies, powers, authority or security that may lawfully be granted to or conferred upon the Owners or the Trustee that are not contrary to or inconsistent with the Indenture as then in effect or to subject to the pledge and lien of the Indenture additional revenues, properties or collateral;

(iv) add to the covenants and agreements of the SFPUC in the Indenture other covenants and agreements thereafter to be observed by the SFPUC or to surrender any right or power herein reserved to or conferred upon the SFPUC that are not contrary to or inconsistent with the Indenture as then in effect;

(v) permit the appointment of a co-trustee under the Indenture;

(vi) modify, alter, supplement or amend the Indenture in such manner as will permit the qualification of the Indenture, if required, under the Indenture Act of 1939 or, the Securities Act of 1933, as from time to time amended, or any similar federal statute hereafter in effect;

(vii) make any other change herein that will not be materially adverse to the interests of the Owners and which does not involve a change described in the Indenture requiring consents of specific Owners; provided, that whether a Credit Facility is in place to further secure a Series of Bonds will not be taken into account in determining whether an amendment is materially adverse to the interests of such Owners; or

(viii) amend, modify, alter or replace the Letter of Representations as provided in the Indenture or other provisions relating to Book Entry Bonds.

Supplemental Indentures Requiring Owner Consent. The SFPUC, at any time and from time to time, may adopt a Supplemental Indenture for the purpose of making any modification or amendment to the Indenture, but only with the written consent, given as provided in the Indenture, of the Owners of a majority in aggregate Principal amount of the Outstanding Bonds at the time such consent is given, and in case less than all of the Bonds then Outstanding are affected by the modification or amendment, of the Owners of a majority in aggregate Principal amount of the Outstanding Bonds so affected at the time such consent is given; provided, that if such modification or amendment will, by its terms, not take effect so long as any Bonds so affected remain Outstanding, the consent of the Owners of such Bonds will not be required and such Bonds will not be deemed to be Outstanding for the purpose of any calculation of Outstanding Bonds under this section. Notwithstanding the foregoing, no modification or amendment contained in any such Supplemental Indenture will permit any of the following, without the consent of each Owner whose rights are affected thereby: (a) a change in the terms of stated maturity or redemption of any Bond or of any interest thereon; (b) a reduction in the Principal, Purchase Price or Redemption Price of any Bond or in the rate of interest thereon or a change in the currency in which such Bond is payable; (c) the creation of a lien on or a pledge of any part of the money or assets pledged under the Indenture other than as permitted hereby; (d) the granting of a preference or priority of any Bond over any other Bond; (d) a reduction in the aggregate Principal amount of Bonds of which the consent of the Owners is required to effect any such modification or amendment; or (f) a change in the provisions under the caption "Waiver of Defaults." Notwithstanding the foregoing, the Owner of any Bond may extend the time for payment of the Principal, Purchase Price or Redemption Price of or interest on such Bond; provided, that upon the occurrence of an Event of Default, funds available under the Indenture for the payment of the Principal, Purchase Price or Redemption Price of and interest on the Bonds will not be applied to any payment so extended until all Principal, Purchase Price, Redemption Price and interest payments that have not been extended have first been paid in full. Notice of any Supplemental Indenture executed pursuant to this section will be given to the Owners promptly following the adoption thereof by the SFPUC.

Consent of Owners and Opinions. Each Supplemental Indenture executed and delivered pursuant to the provisions of the Indenture will take effect only when and as provided in this section. A copy of such Supplemental Indenture (or brief summary thereof or reference thereto in form approved by the Trustee), together with a request to Owners for their consent thereto in form satisfactory to the Trustee, will be sent by the Trustee to the Owners, at the expense of the SFPUC, by first class mail, postage prepaid; provided, that a failure to mail such request will not affect the validity of the Supplemental Indenture when consented to as provided hereinafter. Such Supplemental Indenture will not be effective unless and until there will have been filed with the Trustee (a) the written consents of Owners of the percentage of Bonds specified in the Indenture, and (b) the written opinion of Bond Counsel described in the Indenture. Any such consent will be binding upon the Owner giving such consent and upon any subsequent Owner of such Bonds and of any Bonds issued in exchange therefor or in lieu thereof (whether or not such subsequent Owner has notice thereof), unless such consent is revoked in writing by the Owner giving such consent or a subsequent Owner of such Bonds by filing such revocation with the Trustee prior to the date the Trustee receives the material required in (a) and (b) of this section. Notwithstanding anything else herein, if a Supplemental Indenture is to become effective under the Indenture on the same date as the date of issuance of a Series of Bonds, the consents of the underwriters of such Series of Bonds will be counted for purposes under the caption "Supplemental Indentures Requiring Owner Consent" and this section.

Consent of Trustee and Qualified Counterparties.

(a) Notwithstanding any provision of the Indenture to the contrary, the SFPUC will not adopt any Supplemental Indenture that adversely affects the rights, duties or immunities of the Trustee under the Indenture without having received the prior written consent of the Trustee.

(b) Notwithstanding any provision of the Indenture to the contrary, the SFPUC will not adopt any Supplemental Indenture that materially and adversely affects the rights or duties of any Qualified Counterparty under the Indenture without having received the prior written consent of each such Qualified Counterparty.

Notation on Bonds. Bonds authenticated and delivered after the effective date of any action taken as provided in the Indenture may, and, if the SFPUC so determines, will bear a notation by endorsement or otherwise in form approved by the Trustee as to such action, and in that case upon demand of the Owner of any Outstanding Bond at such effective date and presentation of such Bond for the purpose at the office of the Trustee, or upon any transfer of any Bond Outstanding at such effective date, suitable notation will be made on such Bond or upon any Bond issued upon any such transfer by the Trustee as to any such action. If the SFPUC will so determine, new Bonds so modified as in the opinion of the Trustee and the SFPUC to conform to such action will be prepared, authenticated and delivered, and upon demand of the Owner of any Bond then Outstanding will be exchanged, without cost to such Owner for Bonds then Outstanding, upon surrender of such Bonds for Bonds of an equal aggregate Principal amount and of the same Series, maturity and interest rate, in any authorized denomination.

Delivery of Opinion. Subject to the provisions of the Indenture, the Trustee in executing or accepting the additional trusts permitted by the Indenture or the modifications thereby of the trusts created by the Indenture may rely, and will be fully protected in relying, on an opinion of Bond Counsel stating that (a) the execution of such Supplemental Indenture is authorized or permitted by the Indenture, (b) all conditions precedent to the execution and delivery of such Supplemental Indenture have been complied with and (c) the execution and performance of such Supplemental Indenture will not, in and of itself, adversely affect the federal income tax status of interest on the Tax-Exempt Bonds. The Trustee may accept and rely upon such opinion of Bond Counsel as conclusive evidence that any Supplemental Indenture executed pursuant to the provisions of the Indenture complies with the requirements of the Indenture.

Effect of Supplemental Indentures. Upon the adoption of any Supplemental Indenture under the Indenture, the Indenture will be modified in accordance therewith, and such Supplemental Indenture will form a part of the Indenture for all purposes; and every Owner of any Bond theretofore or thereafter authenticated and delivered under the Indenture will be bound thereby.

Limitation of Rights

Nothing in the Indenture or in the Bonds expressed or implied is intended or will be construed to give to any Person other than the SFPUC, the Trustee, each Credit Facility Provider, each Qualified Counterparty and the Owners from time to time of the Bonds any rights, remedies or claims under or by reason of the Indenture or any covenant, condition or provision herein or therein contained; and all the covenants, conditions and provisions in the Indenture contained are and will be held to be for the sole and exclusive benefit of the SFPUC, the Trustee, each Credit Facility Provider, each Qualified Counterparty and the Owners from time to time of the Bonds. Each such Credit Facility Provider and Qualified Counterparty will be a third-party beneficiary of the Indenture.

Credit Facility Provider Rights

Except as otherwise provided in the Supplemental Indenture authorizing the issuance of a Series of Bonds, if the Credit Facility Provider with respect to such Series of Bonds is not in default in respect of any of its obligations under the Credit Facility securing such Series of Bonds and is not Insolvent, the following will apply:

(a) Such Credit Facility Provider, and not the actual Owners, will be deemed to be the Owner of such Series of Bonds at all times for the purposes of (i) giving any approval or consent to the effectiveness of any Supplemental Indenture other than a Supplemental Indenture providing for (A) a change in the terms of redemption,

purchase or maturity of the Principal of any Outstanding Bond of such Series or any interest thereon or a reduction in the Principal amount, Purchase Price or Redemption Price thereof or in the rate of interest thereon, or (B) a reduction in the percentage of Owners required to approve or consent to the effectiveness of any Supplemental Indenture, and (ii) giving any approval or consent or exercising any remedies in connection with the occurrence of an Event of Default.

(b) Any amendment to the Indenture requiring the consent of Owners of such Series of Bonds will also require the prior written consent of such Credit Facility Provider.

(c) Any amendment to the Indenture not requiring the consent of Owners of such Series of Bonds will require the prior written consent of such Credit Facility Provider if its rights will be materially and adversely affected by such amendment.

(d) The prior written consent of such Credit Facility Provider will be a condition precedent to the substitution by the SFPUC of any Reserve Account Credit Policy for cash deposited in any Reserve Account securing such Series of Bonds.

(e) In the event the maturity of the Bonds is accelerated, such Credit Facility Provider may elect, in its sole discretion, to pay the accelerated Principal of such Series of Bonds and interest thereon to the date of acceleration (to the extent unpaid by the SFPUC). Upon payment of such accelerated Principal and interest, the obligations of such Credit Facility Provider under such Credit Facility with respect to such Series of Bonds will be fully discharged.

(f) Such Credit Facility Provider will have the right to institute any suit, action or proceeding at law or in equity under the same terms as an Owner of such Series of Bonds in accordance with the Indenture.

(g) Such Credit Facility Provider will, to the extent it makes any payment of Principal or Purchase Price of or interest on such Series of Bonds, become subrogated to the rights of the recipients of such payments in accordance with the terms of such Credit Facility.

(h) The Principal or Purchase Price of or interest on such Series of Bonds paid by such Credit Facility Provider under such Credit Facility will not be deemed paid for purposes of the Indenture, and the Bonds with respect to which such payments were made will remain Outstanding and continue to be due and owing until paid by the SFPUC in accordance with the Indenture.

(i) In the event of any defeasance of such Series of Bonds, the SFPUC will provide such Credit Facility Provider with copies of all documents required by the provisions under the caption "Discharge and Defeasance" to be delivered to the Trustee.

(j) The SFPUC will not discharge the Indenture unless all amounts due or to become due to such Credit Facility Provider have been paid in full or duly provided for.

(k) The SFPUC will send or cause to be sent to such Credit Facility Provider copies of notices required to be sent to Owners or the Trustee under the Indenture.

(l) The SFPUC will observe any payment procedures under such Credit Facility required by such Credit Facility Provider as a condition to the issuance and delivery of the Credit Facility.

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KPMG LLP
Suite 1400
55 Second Street
San Francisco, CA 94105

Independent Auditors' Report

The Honorable Mayor and Board of Supervisors
City and County of San Francisco:

Report on the Financial Statements

We have audited the accompanying financial statements of the business-type activities and each major fund of Hetch Hetchy Water and Power (Hetch Hetchy), an enterprise fund of the City and County of San Francisco, California (the City), as of and for the years ended June 30, 2014 and 2013, and the related notes to the financial statements, which collectively comprise Hetch Hetchy's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities and each major fund of Hetch Hetchy Water and Power, an enterprise fund of the City and County of San Francisco, California as of June 30, 2014 and 2013, and the

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respective changes in financial position, and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Emphasis of Matter

As discussed in Note 1, the financial statements of Hetch Hetchy are intended to present the financial position, and the changes in the financial position of only that portion of the City that is attributable to the transactions of Hetch Hetchy. They do not purport to, and do not, present fairly the financial position of the City as of June 30, 2014 and 2013, the changes in its financial position, or where applicable, its cash flows for the years then ended in conformity with U.S. generally accepted accounting principles.

As discussed in Note 2(t) to the financial statements, in 2014, the Hetch Hetchy adopted Governmental Accounting Standards Board (GASB) Statement No. 65, *Items Previously Reported as Assets and Liabilities*. The July 1, 2012 beginning net position has been restated for the retrospective application of this new accounting guidance. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

U.S. generally accepted accounting principles require that the management's discussion and analysis on pages 24 through 45 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audits of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary and Other Information

Our audits were conducted for the purpose of forming an opinion on the financial statements that collectively comprise Hetch Hetchy's basic financial statements. The introductory section on pages 1 through 20 is presented for purposes of additional analysis and are not a required part of the basic financial statements.

The introductory section has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated October 17, 2014 on our consideration of Hetch Hetchy's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Hetch Hetchy's internal control over financial reporting and compliance.

KPMG LLP

San Francisco, California
October 17, 2014

This section presents management's analysis of San Francisco Hetch Hetchy Water and Power Enterprise's (Hetch Hetchy or the Enterprise) financial condition and activities as of and for the fiscal years ended June 30, 2014 and 2013. Management's Discussion and Analysis (MDA) is intended to serve as an introduction to Hetch Hetchy's financial statements. This information should be read in conjunction with the audited financial statements that follow this section. All dollar amounts, unless otherwise noted, are expressed in thousands of dollars.

The information in this MDA is presented under the following headings:

- Organization and Business
- Overview of the Financial Statements
- Financial Analysis
- Capital Assets and Debt Administration
- Next Year's Rates
- Request for Information

Organization and Business

The San Francisco Public Utilities Commission (SFPUC or the Commission) is an agency of the City and County of San Francisco (the City) that is responsible for the maintenance, operation, and development of three utility enterprises: Water, Wastewater, and Hetch Hetchy Water and Power. Hetch Hetchy was established as a result of the Raker Act of 1913, which granted water and power resource rights-of-way on the Tuolumne River in Yosemite National Park and the Stanislaus National Forest to the City. Hetch Hetchy operates the Hetch Hetchy Project that provides both electricity generation and upcountry water service. Hetch Hetchy is engaged in the collection and conveyance of approximately 85% of the regional system's water supply and in the generation and transmission of electricity.

Approximately 90% of the electricity generated by **Hetchy Power** is used to provide electric service to the City's municipal customers (including the San Francisco Municipal Transportation Agency, Recreation and Parks Department, the Port of San Francisco, San Francisco International Airport and its tenants, San Francisco General Hospital, streetlights, Moscone Convention Center, and the Water and Wastewater Enterprises). The majority of the remaining 10% of electricity generated is sold to other publicly-owned utilities, such as the Turlock Irrigation District (TID) and Modesto Irrigation District (MID).

In normal rain years, 85% of San Francisco's drinking water starts out as snow falling on 459 square miles of watershed land in Yosemite National Park and the City may supplement water supply from an additional 191 square miles of watershed in the Stanislaus National Forest during extremely dry years. As the snow melts, it collects in Hetch Hetchy's three storage reservoirs. As water flows by gravity through over 170 miles of pipelines and tunnels, it turns the turbines in four hydroelectric powerhouses, generating approximately 1.7 billion kilowatt hours of electricity per year. The electricity travels over 160 miles of transmission and distribution lines from the upcountry powerhouses to the San Francisco Bay Area. The majority of the power is used for City offices and services. Surplus power is sold to Central Valley irrigation districts (TID and MID) and other public agencies as available.

Hetch Hetchy Water and Power

Hetch Hetchy provides reliable, high quality water and electric energy to the City and other customers, protects watershed resources in cooperation with Federal agencies, operates and maintains facilities to a high standard of safety and reliability, and maximizes revenue opportunities within approved levels of risk. Hetch Hetchy, like all the SFPUC and its enterprises, strives to promote diversity and the health, safety and professional development of its employees.

Hetch Hetchy is comprised of two component funds: 1) Hetch Hetchy Water (Hetchy Water) upcountry operations and water system; and 2) **Hetch Hetchy Power (Hetchy Power)**, also referred to as the Power Enterprise, which is wholly contained within the Hetch Hetchy fund. A number of the facilities are joint assets and used for both water and power generation.

Hetchy Water

For efficiency and to streamline the coordination of upcountry water and power operations, Hetchy Water operates upcountry and joint-asset facilities, managing resources in an environmentally responsible manner to a high standard of safety and reliability while meeting regulatory requirements. Hetchy Water is responsible for operating the Hetch Hetchy Reservoir, the main source of water for the Hetch Hetchy system. Hetchy Water operates, maintains, and improves water and power facilities, smaller dams and reservoirs, water transmission systems, power generation facilities, and power transmission assets, including transmission lines to the Newark substation. Hetchy Water delivers high quality water from upcountry downhill to the Bay Area while optimizing the resulting generation of clean hydropower as water is transported through the system. It maintains land and properties consistent with public health and neighborhood concerns.

Hetchy Power

The core business of **Hetchy Power**, as a municipal agency, is to provide adequate and reliable supplies of electric power to meet the electricity needs of generating, transmitting, and distributing electricity to the City and County of San Francisco's customers, and to offer, when available, power for the municipal loads and agricultural pumping demands of the MID and TID consistent with prescribed contractual obligations and federal law.

Hetchy Power's portfolio consists of hydroelectric generation, onsite solar at SFPUC and other City facilities, generation using bio-methane produced at SFPUC wastewater treatment facilities, and third-party purchases. Consistent with its commitment to the development of cleaner and greener power, and to address environmental concerns and community objectives, **Hetchy Power** continues to evaluate and expand its existing resource base to include additional renewables, distributed generation, demand management, and energy efficiency programs. As part of its mission and core functions, **Hetchy Power** provides reliable energy services at reasonable cost to customers, with attention to environmental effects and community concern.

Hetch Hetchy Joint Water and Power

A portion of Hetch Hetchy's operating budget and capital program and assets provides benefit to both **Hetchy Power** and Hetchy Water. This is commonly referred to as joint costs and joint assets. Both operating and capital costs that jointly benefit both funds are allocated 55% to **Hetchy Power** and 45% to Hetchy Water, as has historically been done by the SFPUC.

Overview of the Financial Statements

Hetch Hetchy's financial statements include:

Statements of Net Position present information on Hetch Hetchy's assets and liabilities as of year-end, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of Hetch Hetchy is improving or worsening.

While the *Statements of Net Position* provide information about the nature and amount of resources and obligations at year-end, the *Statements of Revenues, Expenses, and Changes in Net Position* present the results of Hetch Hetchy's operations over the course of the fiscal year and information as to how the net position changed during the year. These statements can be used as an indicator of the extent to which Hetch Hetchy has successfully recovered its costs through user fees and other charges. All changes in net position are reported during the period in which the underlying event giving rise to the change occurs, regardless of the timing of the related cash flows. Thus, revenues and expenses are reported in these statements from some items that will result in cash flows in future fiscal periods, such as delayed collection of operating revenues and the expenses of employee earned but unused vacation leave.

The *Statements of Cash Flows* present changes in cash and cash equivalents resulting from operational, capital, non-capital, and investing activities. These statements summarize the annual flow of cash receipts and cash payments, without consideration of the timing of the event giving rise to the obligation or receipt and exclude non-cash accounting measures of depreciation or amortization of assets.

The *Notes to Financial Statements* provide information that is essential to a full understanding of the financial statements that is not presented on the face of the financial statements.

Financial Analysis

Financial Highlights for Fiscal Year 2014

Hetch Hetchy Water and Power

- Total assets of Hetch Hetchy exceeded total liabilities by $513,550. Net position decreased by $4,627 or 0.9% during the fiscal year. Capital assets, net of accumulated depreciation and amortization, increased by $13,587 or 3.9% to $362,497.

- Charges for services, excluding interest and investment income, rental income, and other non-operating revenues, increased by $532 or 0.4% to $134,214. Operating expenses, excluding interest and other non-operating expenses, increased by $7,905 or 6.2% to $136,065.

Hetchy Water

- Total assets of Hetchy Water exceeded total liabilities by $137,404. Net position decreased by $1,489 or 1.1% during the fiscal year. Capital assets, net of accumulated depreciation and amortization, increased by $3,950 or 4.3% to $95,178.

- Charges for services, excluding interest and investment income, rental income, and other non-operating revenues, decreased by $1,763 or 4.7% to $35,521 due to decreased water assessment fee from the Water Enterprise to cover upcountry water-related costs. Operating expenses, excluding interest and other non-operating expenses, increased by $124 or 0.4% to $35,025 due to increases of $575 in project expenses, $231 in temporary salaries and retirement benefits, $55 in workers' compensation, and $21 in materials and supplies. These increases were largely offset by decreases of $495 in services provided by other departments for legal and risk management services, $192 in depreciation, $54 in contractual services, and $17 in judgments and claims.

Hetchy Power

- Total assets of **Hetchy Power** exceeded total liabilities by $376,146. Net position decreased by $3,138 or 0.8% during the fiscal year. Capital assets, net of accumulated depreciation and amortization, increased by $9,637 or 3.7% to $267,319.

- Charges for services, excluding interest and investment income, rental income, and other non-operating revenues, increased by $2,295 or 2.4% to $98,693 primarily due to adopted rate increase of $0.0050/kWh.

- Operating expenses, excluding interest and other non-operating expenses, increased by $7,781 or 8.3% to $101,040 due to increases of $4,085 in transmission and distribution power costs, $1,654 in increased project activities, $1,239 in purchased electricity, and $575 in services provided by other departments for legal and risk management services and Citybuild services related to construction projects. Other increases included $470 in judgments and claims, $404 in materials and supplies, $144 in workers' compensation, $54 in retirement benefits, and $49 in depreciation. These increases were offset by $893 reduction in engineering, management consulting services, and rental expenses.

Financial Highlights for Fiscal Year 2013

Hetch Hetchy Water and Power

- Total assets of Hetch Hetchy exceeded total liabilities by $518,177. Net position increased by $5,807 or 1.1% during the fiscal year. Capital assets, net of accumulated depreciation, increased by $13,515 or 4.0% to $348,910.

- Charges for services, excluding interest and investment income, rental income, and other non-operating revenues, increased by $6,616 or 5.2% to $133,682. Operating expenses, excluding interest expenses and other non-operating expenses, decreased by $2,450 or 1.9% to $128,160.

Hetchy Water

- Total assets of Hetchy Water exceeded total liabilities by $138,893. Net position increased by $2,371 or 1.7% during the fiscal year. Capital assets, net of accumulated depreciation, increased by $3,287 or 3.7% to $91,228.

- Charges for services representing water sales, which exclude interest and investment income, rental income, and other non-operating revenues, increased by $4,898 or 15.1% to $37,284 mainly due to increase of water assessment fees from the Water Enterprise. Operating expenses decreased by $2,102 or 5.7% to $34,901 primarily due to a decrease of $4,047 in non-capitalized project spending and a $201 reduction in contractual services. These decreases were offset by increases of $781 in taxes, licenses, as well as judgments and claims, $722 in services provided by other departments for legal and risk management services, $319 in depreciation, $201 in personnel services for increased retirement and health care benefits, and $123 in materials and supplies.

Hetchy Power

- Total assets of **Hetchy Power** exceeded total liabilities by $379,284. Net position increased by $3,436 or 0.9% during the fiscal year. Capital assets, net of accumulated depreciation, increased by $10,228 or 4.1% to $257,682.

- Charges for services representing electricity sales, which exclude interest and investment income, rental income, and other non-operating revenues, increased by $1,718 or 1.8% to $96,398 primarily due to adopted rate increases. Operating expenses decreased by $348 or 0.4% to $93,259 mainly due to decrease of $3,197 in non-capitalized project expenses resulting from completion of the 525 Golden Gate Headquarters project in July 2012, and $648 decrease in power purchases reflecting prior year increased purchases due to temporary shutdown of the Moccasin powerhouse. These decreases were offset by increases of $1,845 in personnel costs, including salaries, retirement, and health care benefits, $1,283 in depreciation mainly due to completion of the 525 Golden Gate Headquarters project, and $369 in other expenses.

Financial Position

In conformance with the Governmental Accounting Standards Board (GASB) Statement No. 65, *Items Previously Reported as Assets and Liabilities*, bond issuance costs are expensed instead of amortized over the life of the bonds. Net position of fiscal years 2012 and 2013 have been restated, and remaining unamortized bond issuance costs completely written off in fiscal year 2014. The following tables summarize Hetch Hetchy's changes in net position.

Table 1A - Consolidated Hetch Hetchy Water and Power
Comparative Condensed Net Position
June 30, 2014, 2013, and 2012

	2014	2013 (Restated)	2012 (Restated)	2014-2013 Change	2013-2012 Change
Hetch Hetchy Water and Power					
Total assets:					
Current and other assets	$ 230,948	246,130	260,302	(15,182)	(14,172)
Capital assets, net of accumulated depreciation	362,497	348,910	335,395	13,587	13,515
Total assets	593,445	595,040	595,697	(1,595)	(657)
Current liabilities:					
Bonds	1,321	1,308	1,009	13	299
Certificates of participation	287	277	268	10	9
Other liabilities	20,921	18,834	26,558	2,087	(7,724)
Subtotal current liabilities	22,529	20,419	27,835	2,110	(7,416)
Long-term liabilities:					
Bonds	15,774	17,081	18,375	(1,307)	(1,294)
Certificates of participation	15,648	15,977	16,303	(329)	(326)
Other liabilities	25,944	23,386	20,814	2,558	2,572
Subtotal long-term liabilities	57,366	56,444	55,492	922	952
Total liabilities:					
Bonds	17,095	18,389	19,384	(1,294)	(995)
Certificates of participation	15,935	16,254	16,571	(319)	(317)
Other liabilities	46,865	42,220	47,372	4,645	(5,152)
Total liabilities	79,895	76,863	83,327	3,032	(6,464)
Net position:					
Net investment in capital assets	336,202	323,137	309,358	13,065	13,779
Restricted for capital projects	5,507	7,752	14,282	(2,245)	(6,530)
Unrestricted	171,841	187,288	188,730	(15,447)	(1,442)
Total net position	$ 513,550	518,177	512,370	(4,627)	5,807

Table 1B - Hetchy Water and Hetchy Power Comparative Condensed Net Position
June 30, 2014, 2013, and 2012

		2014	2013 (Restated)	2012 (Restated)	2014-2013 Change	2013-2012 Change
Hetchy Water						
Total assets:						
Current and other assets	$	56,795	59,180	59,285	(2,385)	(105)
Capital assets, net of accumulated depreciation		95,178	91,228	87,941	3,950	3,287
Total assets		151,973	150,408	147,226	1,565	3,182
Liabilities:						
Current liabilities		5,633	3,432	3,369	2,201	63
Long-term liabilities		8,936	8,083	7,335	853	748
Total liabilities		14,569	11,515	10,704	3,054	811
Net position:						
Net investment in capital assets		95,186	91,228	87,941	3,958	3,287
Restricted for capital projects		5,507	7,752	14,170	(2,245)	(6,418)
Unrestricted		36,711	39,913	34,411	(3,202)	5,502
Total net position	$	137,404	138,893	136,522	(1,489)	2,371
Hetchy Power						
Total assets:						
Current and other assets	$	174,153	186,950	201,017	(12,797)	(14,067)
Capital assets, net of accumulated depreciation		267,319	257,682	247,454	9,637	10,228
Total assets		441,472	444,632	448,471	(3,160)	(3,839)
Current liabilities:						
Bonds		1,321	1,308	1,009	13	299
Certificates of participation		287	277	268	10	9
Other liabilities		15,288	15,402	23,189	(114)	(7,787)
Total current liabilities		16,896	16,987	24,466	(91)	(7,479)
Long-term liabilities:						
Bonds		15,774	17,081	18,375	(1,307)	(1,294)
Certificates of participation		15,648	15,977	16,303	(329)	(326)
Other liabilities		17,008	15,303	13,479	1,705	1,824
Total long-term liabilities		48,430	48,361	48,157	69	204
Total liabilities:						
Bonds		17,095	18,389	19,384	(1,294)	(995)
Certificates of participation		15,935	16,254	16,571	(319)	(317)
Other liabilities		32,296	30,705	36,668	1,591	(5,963)
Total liabilities		65,326	65,348	72,623	(22)	(7,275)
Net position:						
Net investment in capital assets		241,016	231,909	221,417	9,107	10,492
Restricted for capital projects		—	—	112	—	(112)
Unrestricted		135,130	147,375	154,319	(12,245)	(6,944)
Total net position	$	376,146	379,284	375,848	(3,138)	3,436

Rim Fire

The Rim Fire, the third largest in California history, began on August 17, 2013 and burned over 257,135 acres. Subsequent to the City, the State, and the federal governments' Declarations of Emergency, federal and state funding received totaled $104.

This Rim Fire event was considered unusual, infrequent, material, and reported accordingly as an extraordinary item in the financial statements.

As of June 30, 2014, approximately $8,289 in damages to facilities and infrastructure, and $7,554 in emergency response, clearing of roads, slopes and bridges, and debris removal, have been incurred, totaling $15,843. The funds received were not final settlements and validations do not exclude the SFPUC from further claims on related assets. Additional spending will be incurred and the estimated cost at this time is $35,400 in total costs.

Net Position, Fiscal Year 2014

Hetch Hetchy Water and Power

Hetch Hetchy's net position of $513,550 decreased by $4,627 or 0.9% during the year (see Table 1A). Current and other assets were $230,948, a $15,182 or 6.2% decrease from prior year due to decreases of $13,351 in restricted and unrestricted cash and investment with City Treasury and outside City Treasury as explained by increased project spending as planned, power purchases and unplanned Rim Fire emergency response costs, $2,024 primarily in TID and MID receivables in charges for services due to less excess power for sale resulting from drought condition, $1,373 mainly due to Mayor's Energy Conservation Account repayments, $177 in banked power, $142 in federal grant from Department of Energy to fund MUNI Ways and Structures Building project, and $16 in other receivables. These decreases were offset by increases of $1,452 in Rim Fire insurance reimbursement receivables for assets damaged, $270 in Civic Center Garage prepayment, $171 in interest earning receivables due to higher interest earnings after distributions, and $8 in inventories.

Capital assets, net of accumulated depreciation and amortization, increased by $13,587 or 3.9% to $362,497 primarily due to additions of construction work in progress for Power Distribution and Early Intake Switchyard projects, facilities, improvements, machinery, and equipment, such as Intake Switchyard and O'Shaughnessy Dam Power Distribution Line, Gas Insulated Circuit Breakers, Disinfection System, and Winding Generator Step-up Transformers projects.

Total liabilities of current and non-current obligations increased by $3,032 or 3.9%. At June 30, 2014, outstanding bonds payable of $17,095 and certificates of participation of $15,935 decreased by $1,613 or 4.7% due to debt repayments of principal. Other liabilities of $46,865, such as payables to vendors, contractors, and other government agencies for goods and services under contractual agreements, increased by $4,645 or 11.0%. Increases included $2,564 in other post-employment benefit obligations for retiree health care, $2,469 in payables mainly for Rim Fire engineering services, $342 in accrued payroll, $186 in Rim Fire pollution remediation obligation, and $151 in accrued vacation and sick leave. Other increases included $71 in advances received from custom work and electrical energy surcharge tax, $54 in state and federal grants for Rim Fire, $44 in workers' compensation, and $8 in rental prepayment. These increases were offset by decreases of $695 in restricted payable related to Water bond-funded and Clean Renewable Energy Bonds (CREBs) funded projects, $543 in lower general liability based on actuarial estimate, and $6 in interest payable due to lower outstanding principal.

Hetchy Water

Hetchy Water's net position of $137,404 decreased by $1,489 or 1.1% resulting from increases in total assets of $1,565 and total liabilities of $3,054 (see Table 1B). Contributing to the increase of $1,565 in total assets were increases of $3,950 in construction work in progress related to planned water infrastructure projects and Lower Cherry Aqueduct Project, $321 in insurance reimbursement receivables for assets damaged by the Rim Fire to offset impairment loss, $41 in restricted and unrestricted interest earnings, and $4 in inventories. These increases were offset by decreases of $2,529 in restricted and unrestricted cash and investment with City Treasury primarily due to $1,763 decreased water assessment fees from the Water Enterprise and $766 increased project spending, and $222 in service charge receivables due to water sales to Lawrence Livermore National Laboratory.

Hetchy Water's liabilities increased by $3,054 or 26.5%, as explained by increases of $2,239 in payables due to increased project activities and Rim Fire engineering services, $1,153 in other post-employment benefit obligations for retiree health care, $335 in accrued payroll, $68 in accrued vacation and sick leave, $20 in workers' compensation, $19 in advances of state and federal grants for Rim Fire, and $2 due to other City departments. These increases were offset by decreases of $498 in lower general liability based on actuarial estimate and $284 in restricted payables related to Water bond-funded projects.

Hetchy Power

Hetchy Power's net position of $376,146 decreased by $3,138 or 0.8% resulting from decreases in total assets of $3,160 offset by decrease in total liabilities of $22 (see Table 1B). Decrease in current and other assets of $12,797 was due to decreases of $10,822 in restricted and unrestricted cash and investment with City Treasury and outside City Treasury as explained by increased power purchases of $1,239 due to drought and Rim Fire emergency response costs and miscellaneous costs of $9,583, TID and MID receivables in charges for services decreased by $1,802 due to less excess power for sale resulting from drought condition, $1,373 due to Mayor's Energy Conservation Account repayments, and $142 of federal grant from Department of Energy to fund MUNI Ways and Structures Building Project. These decreases were offset by increases of $1,208 in insurance reimbursement receivables for assets damaged by the Rim Fire to offset impairment loss, $130 in interest earnings, and $4 in inventories.

Capital assets, net of accumulated depreciation and amortization, increased by $9,637 or 3.7% to $267,319 primarily due to increased construction work in progress for Power Distribution and Early Intake Switchyard projects, facilities, improvements, machinery, and equipment, such as Intake Switchyard and O'Shaughnessy Dam Power Distribution Line, Gas Insulated Circuit Breakers, Disinfection System, and Winding Generator Step-up Transformers projects.

Hetchy Power's liabilities decreased by $22 due to decreases of $1,613 in outstanding bonds payable and certificates of participation due to debt repayments of principal, $411 in restricted payable related to CREBs-funded projects, $45 in general liability based on actuarial estimate, and $6 in interest payable due to lower outstanding principal. These decreases were offset by increases of $1,411 in other post-employment benefit obligations for retiree health care, $230 in payables due to increased project activities and Rim Fire engineering services, $186 in Rim Fire pollution remediation obligation, $90 in accrued payroll, vacation and sick leave, and $71 in custom work deposit and electrical energy surcharge tax. Other increases included $35 from state and federal grants for Rim Fire, $24 in workers' compensation, and $6 due to other City departments.

Net Position, Fiscal Year 2013

Hetch Hetchy Water and Power

Hetch Hetchy's net position of $518,177 increased by $5,807 or 1.1% during the year (see Table 1A). Current and other assets were $246,130, a $14,172 or 5.4% decrease from prior year due to decrease of $6,571 in restricted cash and investments with City Treasury primarily due to increased spending for Hetchy Water bond-funded projects. Other decreases included $3,046 receivable from the Water and Wastewater Enterprises for their share of 525 Golden Gate Headquarters project costs and $3,377 in cash and investments with City Treasury due to increased payments for goods and services. Other decreases included $1,372 in prepaid charges for the Civic Center Garage lease prepayment resulting from change of allocation method among the three SFPUC Enterprises based on 525 Golden Gate occupancy instead of parking space usage, $831 due to Mayor's Energy Conservation Account repayments, $730 in restricted cash and investments outside City Treasury for reimbursement to 525 Golden Gate Headquarters project costs, $197 in interest receivable due to lower cash balance and interest rates, $43 in amortization of bond issuance costs, and $13 in federal subsidy receivables. Amortization of bond issuance cost is restated to expense of bond issuance costs of $43. These decreases were offset by increases of $1,744 primarily in Turlock Irrigation District (TID) receivables, $144 in prepaid charges for banked power energy, $80 in new federal grant from Department of Energy to fund Muni Ways and Structure Building project, and $40 in inventories.

As discussed in more detail below, capital assets, net of accumulated depreciation, increased by $13,515 to $348,910. Total liabilities were $76,863, a decrease of $6,464 or 7.8%, which is attributed to decreases of $8,837 in accounts payable due to higher suppliers and contractor payments, $1,312 repayment for revenue bonds and certificates of participation, net of amortization of premium from the certificates of participation and amortization of bond discount from Clean Renewable Energy Bonds (CREBs). Other decreases in liabilities included $1,032 in pollution remediation liability for Mitchell Ravine since remediation work was completed in Fall 2012, $214 due to payment made to Art Commission for the 525 Golden Gate Fire Fly art installation, and $200 in Qualified Energy Conservation Bonds (QECBs) interest payable. These liability decreases were offset by increases of $3,257 in other post-employment benefit obligations as explained by higher actuarially determined annual required contribution, $766 in general liability based on actuarial estimate, $430 in restricted liabilities related to CREBs-funded projects, $306 in accrued payroll liability, $214 in accrued vacation and sick leave, $102 in workers' compensation liability, and $56 in unearned credits relating to custom work and electrical surcharge tax. Hetch Hetchy's net investment in capital assets increased by $13,779 or 4.5% over the prior year to $323,137.

Hetchy Water

Hetchy Water's net position of $138,893 increased by $2,371 or 1.7% resulting from increases in total assets of $3,182 offset by increase in total liabilities of $811 (see Table 1B). Contributing to the increase of $3,182 in total assets were increases of $6,085 in cash and investment with City Treasury primarily due to the water assessment fees from the Water Enterprise and $3,287 in capital assets mainly in construction work in progress for San Joaquin Pipeline Rehabilitation, Mountain Tunnel Lining project, and Moccasin facilities upgrade. Other increases included $196 in receivables due to increased water consumption by Lawrence Livermore National Laboratory, $84 in prepaid charges for Civic Center Garage prepayment resulting from change of allocation method among the three SFPUC Enterprises based on 525 Golden Gate occupancy instead of parking space usage, and $18 in inventories. These increases were offset by decreases of $6,460 in restricted cash and investment mainly due to additional spending for Hetchy Water bond-funded projects, $26 in interest receivables from pooled cash investment due to lower cash balance and interest rates, and $2 in property rental receivables.

Hetchy Water's liabilities increased by $811 or 7.6% due to increases of $1,466 in other post-employment benefit obligations as explained by higher actuarially determined annual required contribution, $421 in general liability based on actuarial estimate, $96 in accrued vacation and sick leave, $80 in payroll liability, and $46 workers' compensation liability. These increases were offset by decreases of $1,032 in pollution remediation liability for Mitchell Ravine since remediation work was completed in Fall 2012, $213 in accounts payable due to additional payments to suppliers and contractors, $51 in accrued restricted liabilities related to projects funded with Water Enterprise bond funds, and $2 in unearned credits for Pacific Gas & Electric Company settlement refund. Hetchy Water's net investment in capital assets was $91,228 or 65.7% of Hetchy Water's total net position.

Hetchy Power

Hetchy Power's net position of $379,284 increased by $3,436 or 0.9% resulting from decreases in total assets of $3,839 offset by decrease of $7,275 in total liabilities (see Table 1B). **Hetchy Power's** total assets decrease of $3,839 was mainly due to decreases of $9,573 in cash as a result of additional payments for goods and services, $3,046 in interfund receivables resulting in payments from the Water and Wastewater Enterprises for their share of 525 Golden Gate Headquarters project costs, and $1,457 in decreased prepaid charges for Civic Center Garage lease prepayment resulting from change of allocation method among the three SFPUC Enterprises based on 525 Golden Gate occupancy instead of parking space usage. Other total assets decreases included $831 in interfund receivables mainly due to Mayor's Energy Conservation Account repayments, $730 in restricted cash and investments outside City Treasury for reimbursement to 525 Golden Gate Headquarters project costs, $175 in interest receivables due to lower cash balance and interest rates, $43 in unamortized bond issuance costs, and $7 in other receivables. Unamortized bond issuance cost is restated to expense of bond issuance costs of $43 in accordance with GASB Statement No. 65. These decreases were offset by increases of $10,228 in capital assets mainly in construction work in progress for transmissions/distributions system, Hetchy governors rehabilitation, and switchyard/substation rehabilitation, $1,548 primarily in TID receivables, $145 in prepaid charges for banked power energy, $80 in new federal grant from Department of Energy to fund Muni Ways and Structure Building project, and $22 in inventories. As discussed further below, **Hetchy Power's** capital assets increased $10,228 or 4.1%.

Hetchy Power's liabilities decreased by $7,275 or 10.0% primarily due to decreases of $8,624 in accounts payable due to additional suppliers and contractor payments, $1,312 repayment for revenue bonds and certificates of participation, net of amortization of bond discount and premium, $214 in interfund payable due to payment made to Art Commission for the 525 Golden Gate Fire Fly art installation, and $200 in QECBs interest payable. These decreases were offset by increases of $1,791 in other post-employment benefit obligations as explained by higher actuarially determined annual required contribution, $481 in restricted liabilities related to CREBs-funded projects, $345 in general liability based on actuarial estimate, $226 in accrued payroll liability, $118 in accrued vacation and sick leave, $58 in unearned credits relating to custom work and electrical surcharge tax, and $56 in workers' compensation liability. **Hetchy Power's** net investment in capital assets was $231,909 or 61.1% of total net position.

Results of Operations

The following tables summarize Hetch Hetchy's revenues, expenses, and changes in net position:

Table 2A - Consolidated Hetch Hetchy Water and Power
Comparative Condensed Revenues, Expenses, and Changes in Net Position
Years ended June 30, 2014, 2013, and 2012

	2014	2013 (Restated)	2012 (Restated)	2014-2013 Change	2013-2012 Change
Hetch Hetchy Water and Power					
Revenues:					
Charges for services	$ 134,214	133,682	127,066	532	6,616
Rents and concessions	224	245	243	(21)	2
Interest and investment income (loss)	1,776	(205)	3,463	1,981	(3,668)
Other non-operating revenues	5,867	5,182	5,857	685	(675)
Total revenues	142,081	138,904	136,629	3,177	2,275
Expenses:					
Operating expenses	136,065	128,160	130,610	7,905	(2,450)
Interest expenses	1,574	1,641	85	(67)	1,556
Amortization of premium, discount, and issuance costs	(28)	7	38	(35)	(31)
Other non-operating expenses	2,584	3,093	3,285	(509)	(192)
Total expenses	140,195	132,901	134,018	7,294	(1,117)
Change in net position before capital contribution, extraordinary item and transfers	1,886	6,003	2,611	(4,117)	3,392
Capital contribution	368	—	—	368	—
Transfers from (to) the City and County of San Francisco	(38)	(196)	14,071	158	(14,267)
Net position after capital contribution and transfers but before extraordinary item	2,216	5,807	16,682	(3,591)	(10,875)
Extraordinary item:					
Rim Fire - loss	(6,843)	—	—	(6,843)	—
Change in net position	(4,627)	5,807	16,682	(10,434)	(10,875)
Net position at beginning of year					
Beginning of year, as previously reported	518,177	512,652	495,908	5,525	16,744
Cumulative effect of accounting change	—	(282)	(220)	282	(62)
Beginning of year as restated	518,177	512,370	495,688	5,807	16,682
Net position at end of year	$ 513,550	518,177	512,370	(4,627)	5,807

Table 2B - Hetchy Water and Hetchy Power Comparative Condensed Revenues, Expenses, and Changes in Net Position
Years ended June 30, 2014, 2013, and 2012

		2014	2013 (Restated)	2012 (Restated)	2014-2013 Change	2013-2012 Change
Hetchy Water						
Revenues:						
Charges for services	$	35,521	37,284	32,386	(1,763)	4,898
Rents and concessions		101	110	109	(9)	1
Interest and investment income (loss)		487	(344)	874	831	(1,218)
Other non-operating revenues		69	290	57	(221)	233
Total revenues		36,178	37,340	33,426	(1,162)	3,914
Expenses:						
Operating expenses		35,025	34,901	37,003	124	(2,102)
Other non-operating expenses		99	68	68	31	—
Total expenses		35,124	34,969	37,071	155	(2,102)
Change in net position before capital contribution, extraordinary item and transfers		1,054	2,371	(3,645)	(1,317)	6,016
Capital contribution		166	—	—	166	—
Transfers from the City and County of San Francisco		—	—	14,073	—	(14,073)
Net position after capital contribution and transfers but before extraordinary item		1,220	2,371	10,428	(1,151)	(8,057)
Extraordinary item:						
Rim Fire - loss		(2,709)	—	—	(2,709)	—
Change in net position		(1,489)	2,371	10,428	(3,860)	(8,057)
Net position at beginning of year		138,893	136,522	126,094	2,371	10,428
Net position at end of year	$	137,404	138,893	136,522	(1,489)	2,371
Hetchy Power						
Revenues:						
Charges for services	$	98,693	96,398	94,680	2,295	1,718
Rents and concessions		123	135	134	(12)	1
Interest and investment income		1,289	139	2,589	1,150	(2,450)
Other non-operating revenues		5,798	4,892	5,800	906	(908)
Total revenues		105,903	101,564	103,203	4,339	(1,639)
Expenses:						
Operating expenses		101,040	93,259	93,607	7,781	(348)
Interest expenses		1,574	1,641	85	(67)	1,556
Amortization of premium, discount, and issuance costs		(28)	7	38	(35)	(31)
Other non-operating expenses		2,485	3,025	3,217	(540)	(192)
Total expenses		105,071	97,932	96,947	7,139	985
Change in net position before capital contribution, extraordinary item and transfers		832	3,632	6,256	(2,800)	(2,624)
Capital contribution		202	—	—	202	—
Transfers to the City and County of San Francisco		(38)	(196)	(2)	158	(194)
Net position after capital contribution and transfers but before extraordinary item		996	3,436	6,254	(2,440)	(2,818)
Extraordinary item:						
Rim Fire - loss		(4,134)	—	—	(4,134)	—
Change in net position		(3,138)	3,436	6,254	(6,574)	(2,818)
Net position at beginning of year						
Beginning of year, as previously reported		379,284	376,130	369,814	3,154	6,316
Cumulative effect of accounting change		—	(282)	(220)	282	(62)
Beginning of year as restated		379,284	375,848	369,594	3,436	6,254
Net position at end of year	$	376,146	379,284	375,848	(3,138)	3,436

Result of Operations, Fiscal Year 2014

Hetch Hetchy Water and Power

Hetch Hetchy's total revenues were $142,081, an increase of $3,177 or 2.3% over the prior year. Hetch Hetchy's total expenses were $140,195, an increase of $7,294 or 5.5% over the prior year. For the fiscal year, Hetch Hetchy recorded $6,843 for losses sustained in the Rim Fire, which began in August 2013, and presented this as an extraordinary item (see Table 2A).

Hetchy Water

Hetchy Water's total revenues were $36,178, a decrease of $1,162 or 3.1% over the prior year's revenues (see Table 2B). The decrease was due to $1,763 decreased charges for services in water assessment fees from the Water Enterprise which pays for upcountry water-related costs, $221 in other non-operating revenues due to one-time winter storm funding received from California Emergency Management Agency in prior year, and $9 in rents and concessions. These decreases were offset by an increase of $831 in interest and investment income mainly due to the prior year's unrealized loss of $902 resulting from market value declines.

Total expenses were $35,124, an increase of $155 or 0.4% due to increases of $575 in project expenses, $231 in temporary salaries and retirement benefits, $55 in workers' compensation, and $21 in materials and supplies. These increases were largely offset by decreases of $495 in services provided by other departments for legal and risk management services, $192 in depreciation, $54 in contractual services, and $17 in higher judgment and claims liability based on actuarial estimate. Other non-operating expense increased by $31 for the Summer Youth Program's Garden Project.

Hetchy Water received $166 capital contribution from the Department of Emergency Management for equipment assets purchased by Emergency Services Homeland grants.

For the fiscal year 2014, Hetchy Water recorded $2,709 for losses sustained in the Rim Fire and presented this as an extraordinary item. This extraordinary loss included $2,768 cost of debris removal, clean-up and emergency response, offset by impairment gain of $59 net of insurance recoveries of $204.

Hetchy Power

Hetchy Power's total revenues were $105,903, an increase of $4,339 or 4.3% over the prior year (see Table 2B). The increase was due to $2,295 increase in charges for services of $8,979 from City departments from the adopted power rate increase of $0.0050/kWh, offset by a decrease of $6,684 sales primarily to MID, TID, and Western System Power Pool (WSPP) due to lower electricity generation resulting from drought. Interest and investment income increased by $1,150 mainly due to prior year's unrealized loss of $1,086 resulting from a market value declines. Other non-operating revenues increase of $906 was due to $705 settlement received from JP Morgan as a penalty imposed by the Federal Energy Regulatory Commission, and $545 of reimbursement costs for the Power System Impact Mitigation Projects from North Star Solar LLC, and $270 from Treasure Island Development Authority for generators rental. These increases were offset by decreases of $234 prior year's one-time winter storm funding received from California Emergency Management Agency, $230 in the Federal Energy Efficiency and Conservation Block grant from Department of Energy, $80 in Cap and Trade auction revenues, and $70 reduction in federal interest subsidy due to sequestration. **Hetchy Power** recognized Cap and Trade revenues of $678 as other non-operating revenues in fiscal year 2014 from sale of its annual carbon allowances. Rents and concessions decreased by $12 from Moccasin cottage rental.

Total operating expenses increased by $7,781 or 8.3% to $101,040 over the prior year primarily due to increased operating expenses, including $4,085 in transmission and distribution power costs, $1,654 in increased project activities, $1,239 in purchased electricity, $575 in services provided by other departments for legal and risk management services and Citybuild services related to construction projects, and $470 due to higher judgment and claims liability based on actuarial estimate, $404 in materials and supplies, $198 in personnel costs, and $49 in depreciation. These increases were offset by $893 decrease in engineering, management consulting services, and rental expenses.

Other non-operating expenses decreased by $540 or 17.9% to $2,485 primarily due to decreased customer rebates for the solar energy incentive program. Interest expenses decreased by $67 primarily due to lower outstanding principal for bonds and certificates of participation, and $35 net of amortization of premium, discount, and issuance costs.

Hetchy Power received $202 capital contribution from the Department of Emergency Management for equipment assets purchased by Emergency Services Homeland grants.

For the fiscal year 2014, **Hetchy Power** recorded $4,134 for losses sustained in the Rim Fire and presented this as an extraordinary item. This extraordinary loss included $5,563 cost of debris removal, clean-up and emergency response, offset by impairment gain of $1,429 net of insurance recoveries of $2,222.

Results of Operations, Fiscal Year 2013

Hetch Hetchy Water and Power

Hetch Hetchy's total revenues were $138,904, an increase of $2,275 or 1.7% over the prior year (see Table 2A). Hetch Hetchy's total expenses were $132,901, a decrease of $1,117 or 0.8% over the prior year.

Hetchy Water

Hetchy Water's total revenues were $37,340, an increase of $3,914 or 11.7% over the prior year (see Table 2B). The increases were due to $4,898 in charges for services mainly attributed to increased water assessment fees of $4,433 from the Water Enterprise and $465 from increased consumption, and $234 in other non-operating revenues primarily due to winter storms funding received from California Emergency Management Agency. These increases were offset by a decrease of $1,218 in unrealized loss as explained by the decline in market value of pooled investment and low interest earnings. Total expenses were $34,969, a decrease of $2,102 or 5.7% due to decreases of $4,047 in non-capitalized project expenses and $201 in contractual services. These decreases were offset by increases of $781 in taxes, licenses, as well as judgments and claims, $722 in services provided by other departments for legal and risk management services, $319 in depreciation, $201 in personnel services for increased retirement and health care benefits, and $123 in materials and supplies. Other non-operating expense of $68 was for summer youth program payment to the Garden Project which was unchanged from prior year.

Hetchy Power

Hetchy Power's total revenues were $101,564, a decrease of $1,639 or 1.6% over the prior year (see Table 2B). The decrease was primarily due to $2,450 in unrealized loss as explained by the decline in market value of pooled investment and low interest earnings. Other non-operating revenues decrease of $908 was due to $2,208 in prior year completion of the Federal Energy Efficiency and Conservation Block grant from Department of Energy and $533 in settlement, offset by increase of $758 in Cap and Trade auction revenues. Under the adopted

California Cap on Greenhouse Gas (GHG) Emissions and Market-Based Compliance Mechanisms Regulation (Cap and Trade Regulation), a predetermined quantity of GHG allowances is given directly to IOUs and POUs annually, including the SFPUC through the Power Enterprise. The California Air Resources Board adopted the Cap and Trade program as one measure to work toward the State's goal of reaching 1990 GHG emission levels by 2020. The program is a central element of California's Global Warming Solutions Act (AB 32). In fiscal year 2013, the Power Enterprise has realized $758 new non-operating revenues from the sale of some of its carbon allowances at auction. The Cap and Trade auction revenues will be used to fund qualifying **Hetchy Power** capital projects. Other increases included $825 mainly for the Power System Impact Mitigation and San Francisco Electric Reliability projects and $250 in federal bond interest subsidy funding. Charges for services representing electricity sales, which exclude interest and investment income, rental income, and other non-operating revenues, increased by $1,718 or 1.8% to $96,398 primarily due to adopted rate increases.

Total expenses increased by $985 or 1.0% to $97,932 over the prior year primarily due to $1,556 in higher interest rate and lower capitalized bond interest. Other non-operating expenses decreased by $192 or 6.0% primarily due to a decrease of $154 in solar incentive program costs. Operating expenses decreased by $348 or 0.4% to $93,259 mainly due to decrease of $3,197 in non-capitalized project expenses resulting from completion of the 525 Golden Gate Headquarters in July 2012, and $648 decrease in power purchases reflecting prior year increased purchases due to temporary shutdown of the Moccasin powerhouse. These decreases were offset by increases of $1,845 in personnel costs, including salaries, retirement, and health care benefits, $1,283 in depreciation mainly due to completion of the 525 Golden Gate Headquarters, and $369 in other expenses. Amortization of premium, discount, and issuance cost decreased by $31.

Capital Assets

The following tables summarize Hetch Hetchy's changes in capital assets.

Table 3A - Capital Assets, Net of Accumulated Depreciation
As of June 30, 2014, 2013, and 2012

	2014	2013	2012	2014-2013 Change	2013-2012 Change
Hetch Hetchy Water and Power					
Facilities, improvements, machinery, and equipment	$ 241,678	227,924	235,367	13,754	(7,443)
Land and rights-of-way	4,742	4,720	4,720	22	—
Intangible assets	28,203	28,686	29,169	(483)	(483)
Construction work in progress	87,874	87,580	66,139	294	21,441
Total	362,497	348,910	335,395	13,587	13,515
Hetchy Water					
Facilities, improvements, machinery, and equipment	54,186	55,140	58,247	(954)	(3,107)
Land and rights-of-way	3,038	3,028	3,028	10	—
Intangible assets	12,032	12,239	12,446	(207)	(207)
Construction work in progress	25,922	20,821	14,220	5,101	6,601
Total	95,178	91,228	87,941	3,950	3,287
Hetchy Power					
Facilities, improvements, machinery, and equipment	187,492	172,784	177,120	14,708	(4,336)
Land and rights-of-way	1,704	1,692	1,692	12	—
Intangible assets	16,171	16,447	16,723	(276)	(276)
Construction work in progress	61,952	66,759	51,919	(4,807)	14,840
Total	$ 267,319	257,682	247,454	9,637	10,228

Capital Assets, Fiscal Year 2014

Hetch Hetchy Water and Power

Hetch Hetchy has capital assets of $362,497, net of accumulated depreciation and amortization, invested in both water and power utility capital assets as of June 30, 2014 (see Table 3A). This amount represents an increase of $13,587 or 3.9%, resulting from increases of $13,754 in facilities, improvements, machinery, and equipment, $294 in construction work in progress, and $22 in land and rights-of-way, offset by a decrease of $483 in amortization of intangible assets. Of the $13,587 increase in capital assets, $6,388 pertained to Rim Fire related increase. The investment in capital assets includes land, buildings, improvements, hydropower facilities, dams, transmission lines, machinery, and equipment.

With the adoption of GASB Statement No. 51, *Accounting and Financial Reporting for Intangible Assets*, in fiscal year 2010, Hetch Hetchy reclassified water rights, easements, and emission reduction credits in intangible assets net of accumulated amortization. As of June 30, 2014 and 2013, intangible asset balances net of accumulated amortization were $28,203 and $28,686, respectively.

Major additions to construction work in progress, depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service, including transfers of completed projects from construction work in progress, during the year ended June 30, 2014 include:

Table 3B - Hetch Hetchy Water and Power
Major Additions to Construction Work in Progress and
Facilities, Improvements, Intangible Assets, Machinery, and Equipment Placed in Service
Year ended June 30, 2014

	Hetchy Water	Hetchy Power	Total 2014
Power Distribution	$ —	5,077	5,077
Early Intake Switchyard	—	4,608	4,608
Project Development - Joint Projects	657	802	1,459
Sustainable Energy Account for Davies Symphony Hall	—	1,447	1,447
Project Development - Water Projects	1,239	—	1,239
Lower Cherry Aqueduct	1,023	—	1,023
Other project additions individually below $1,000	5,004	11,599	16,603
Additions to Construction Work in Progress	7,923	23,533	31,456
UV Disinfection System - Early Intake, O'Shaughnessy, Moccasin	1,652	2,020	3,672
Intake Switchyard and O'Shaughnessy Dam Power Distribution Line	—	3,100	3,100
Gas Insulated Circuit Breakers	—	2,676	2,676
Winding Generator Step Up Transformers	—	1,576	1,576
Solar Photovoltaic System	—	1,523	1,523
Peak AC Photovoltaic System	—	1,452	1,452
Auxiliary Bus Disconnect Switches & Surge Arresters	—	1,301	1,301
Cherry Ridge Line for Rim Fire Restoration	—	1,133	1,133
Other project additions individually below $1,000	1,572	11,463	13,035
Facilities, Improvements, Intangible Assets, Machinery, and Equipment Placed in Service	$ 3,224	26,244	29,468

Hetchy Water

Hetchy Water has net capital assets of $95,178, net of accumulated depreciation and amortization, invested in a broad range of utility capital assets as of June 30, 2014 (see Table 3A). This amount represents an increase of $3,950 or 4.3%, primarily due to increases of $5,101 in construction work in progress and $10 in land and rights-

of-way, offset by decreases of $954 in depreciation of facilities, improvements, machinery, and equipment, and $207 in amortization of intangible assets.

With the adoption of GASB Statement No. 51, Hetchy Water reclassified water rights and easements in intangible assets, net of accumulated amortization, in fiscal year 2010. Intangible assets net of accumulated amortization were $12,032 and $12,239 for fiscal years 2014 and 2013, respectively.

As of June 30, 2014, Hetchy Water's major additions to construction work in progress totaled $7,923. Major depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service totaled $3,224 (see Table 3B).

Hetchy Power

Hetchy Power has net capital assets of $267,319, net of accumulated depreciation and amortization, invested in power utility capital assets as of June 30, 2014 (see Table 3A). This amount represents an increase of $9,637 or 3.7%, primarily due to increases of $14,708 in facilities, improvements, machinery, and equipment and $12 in land and rights-of-way, offset by decreases of $4,807 in construction work in progress, and $276 in intangible assets net of accumulated amortization.

With the adoption of GASB Statement No. 51, **Hetchy Power** reclassified electric meter software and emission reduction credits in intangible assets in fiscal year 2010. Intangible assets net of accumulated amortization were $16,171 and $16,447 for fiscal years 2014 and 2013, respectively.

For the year ended June 30, 2014, **Hetchy Power's** major additions to construction work in progress totaled $23,533. Major depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service totaled $26,244 (see Table 3B).

Capital Assets, Fiscal Year 2013

Hetch Hetchy Water and Power

Hetch Hetchy has net capital assets of $348,910 invested in both water and power utility capital assets as of June 30, 2013 (see Table 3A). This amount represents an increase of $13,515 or 4.0%, resulting from an increase of $21,441 in construction work in progress, offset by decreases of $7,443 in facilities, improvements, machinery, and equipment, and $483 in intangible assets, net of accumulated amortization. The investment in capital assets includes land, buildings, improvements, hydropower facilities, dams, transmission lines, machinery, and equipment.

With the adoption of GASB Statement No. 51 in fiscal year 2010, Hetch Hetchy reclassified water rights, easements, and emission reduction credits in intangible assets net of accumulated amortization. As of June 30, 2013, intangible asset balances net of accumulated amortization were $12,239 and $16,447 for Hetchy Water and **Hetchy Power**, respectively. As of June 30, 2012, Hetch Hetchy intangible assets net of accumulated amortization were $12,446 and $16,723 for Hetchy Water and **Hetchy Power**, respectively.

Major additions to construction work in progress, depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service, including transfers of completed projects from construction work in progress, during the year ended June 30, 2013 include:

Table 3C - Hetch Hetchy Water and Power
Major Additions to Construction Work in Progress and
Facilities, Improvements, Intangible Assets, Machinery, and Equipment Placed in Service
Year ended June 30, 2013

	Water	Power	Total 2013
Transmission/Distribution System Improvements	$ —	3,560	3,560
San Joaquin Pipeline Rehabilitation	1,958	—	1,958
Governors Rehabilitation	—	1,887	1,887
Switchyard/Substation Rehabilitation	—	1,510	1,510
Mountain Tunnel Lining	1,490	—	1,490
525 Golden Gate Headquarters Project	—	1,222	1,222
Powerhouse Control Upgrade	—	1,258	1,258
Western Electric Coordination Council Compliance Program	—	1,245	1,245
Treasure Island Capital Improvements	—	1,099	1,099
Other project additions individually below $1,000	4,258	9,871	14,129
Additions to Construction Work in Progress	7,706	21,652	29,358
Holm Powerhouse Circuit Breaker	—	1,919	1,919
525 Golden Gate Headquarters Project	—	1,176	1,176
Solar Photovoltaic System at Alvarado School	—	570	570
Transformer Replacement	—	341	341
Other project additions individually below $300	1,046	2,575	3,621
Facilities, Improvements, Intangible Assets, Machinery, and Equipment Placed in Service	$ 1,046	6,581	7,627

Hetchy Water

Hetchy Water has net capital assets of $91,228 invested in a broad range of utility capital assets as of June 30, 2013 (see Table 3A). This amount represents an increase of $3,287 or 3.7%, primarily due to increases of $6,601 in construction work in progress, offset by decreases of $3,107 in facilities, improvements, machinery, and equipment and $207 in intangible assets net of accumulated amortization.

With the adoption of GASB Statement No. 51, Hetchy Water reclassified water rights and easements in intangible assets net of accumulated amortization as of June 30, 2010. In fiscal years 2013 and 2012, total intangible assets net of accumulated amortization were $12,239 and $12,446, respectively, for Hetchy Water.

For the year ended June 30, 2013, Hetchy Water's major additions to construction work in progress totaled $7,706. Major depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service totaled $1,046 (see Table 3C).

Hetchy Power

Hetchy Power has net capital assets of $257,682 invested in power utility capital assets as of June 30, 2013 (see Table 3A). This amount represents an increase of $10,228 or 4.1%, primarily due to an increase of $14,840 in construction work in progress, offset by decreases of $4,336 in facilities, improvements, machinery, and equipment, and $276 in intangible assets net of accumulated amortization.

With the adoption of GASB Statement No. 51, **Hetchy Power** reclassified electric meter software and emission reduction credits in intangible assets as of June 30, 2010. In fiscal years 2013 and 2012, total intangible assets net of accumulated amortization were $16,447 and $16,723, respectively, for **Hetchy Power**.

For the year ended June 30, 2013, **Hetchy Power's** major additions to construction work in progress totaled $21,652. Major depreciable facilities, improvements, intangible assets, machinery, and equipment placed in service totaled $6,581 (see Table 3C).

See Note 4 for additional information about capital assets.

525 Golden Gate Avenue Headquarters Project

The Headquarters Project was completed as of July 2012. The 13-story Class A office building at 525 Golden Gate Avenue in San Francisco received the prestigious Leadership in Energy and Environmental Design (LEED) Platinum office building award in 2013. The Enterprise's share of the construction costs of the new headquarters was approximately $21,196. Over the 100-year building lifespan, the total asset ownership is projected to save future ratepayers approximately $3.7 billion and insulate ratepayers from the expensive San Francisco office-space rental market. The building's carbon footprint is 50% lower and consumes 32% less energy and 60% less water than similarly sized office buildings.

Debt Administration

Hetch Hetchy Water and Power

As of June 30, 2014, Hetch Hetchy has outstanding certificates of participation, CREBs, QECBs and New Clean Renewable Energy Bonds (NCREBs). See **Hetchy Power** section below for more details.

Hetchy Water

Hetchy Water did not have any debt outstanding as of June 30, 2014 and 2013. Water Enterprise debt, including bond issuances that pay for water-related, upcountry infrastructure improvements, is reflected on the Water Enterprise's financial statements.

Hetchy Power

As of June 30, 2014 and 2013, **Hetchy Power** has outstanding debt of $33,030 and $34,643, respectively, as shown in Table 4.

Table 4 - Hetchy Power
Outstanding Debt, Net of Unamortized Costs
As of June 30, 2014, 2013, and 2012

		2014	2013	2012	2014-2013 Change	2013-2012 Change
Clean Renewable Energy Bonds 2008	$	3,677	4,085	4,493	(408)	(408)
Certificates of Participation 2009 Series C		3,342	3,661	3,978	(319)	(317)
Certificates of Participation 2009 Series D (BABs)		12,593	12,593	12,593	—	—
Qualified Energy Conservation Bonds 2011		7,350	7,848	8,291	(498)	(443)
New Clean Renewable Energy Bonds 2012		6,068	6,456	6,600	(388)	(144)
Total	$	33,030	34,643	35,955	(1,613)	(1,312)

Total debt outstanding on June 30, 2014 consisted of $15,935 in certificates of participation, $7,350 in taxable QECBs, $6,068 in taxable NCREBs, and $3,677 in CREBs. CREBs in the amount of $6,325 were issued in accordance with the Energy Tax Incentives Act of 2005 to fund solar photovoltaic projects in November 2008. These bonds qualified as no interest, tax credit bonds with a term of 15 years. Annual payments in the amount of $422 are due on December 15 beginning in 2008.

QECBs in the amount of $8,291 were issued in December 2011 to fund qualified green energy efficiency projects for the SFPUC's 525 Golden Gate Headquarters project. QECBs have a tax credit IRS subsidy and have a term of 15 years. Semi-annual principal and interest payments are due on June 15 and December 15 with the first payment of $589 due in December 2012.

NCREBs were issued for $6,600 in April 2012 to fund certain qualified facilities that will provide clean, renewable energy at Davies Symphony Hall, City Hall, and University Mound Reservoir. NCREBs have a tax credit IRS subsidy and have a term of 16 years. Semi-annual principal and interest payments are due on April 25 and October 25 with the first payment of $457 due in April 2013.

More detailed information on **Hetchy Power's** long-term liabilities is presented in Note 6 to the financial statements.

Next Year's Rates

Hetchy Water

Assessment fees from the Water Enterprise, which cover the water-related upcountry costs, will increase from $33,309 to $36,800 as reflected in the fiscal year 2015 adopted budget. Hetch Hetchy charges for services related to the storage and delivery of water, including providing electricity to contractual and municipal customers. Fund transfers, related to water-related revenue-funded operating costs, from the Water Enterprise are forecast to increase as associated operating increase at 3.0 percent. All water-related capital costs are assumed bond-funded.

Hetchy Power

The electric retail rate setting process in conjunction with an independent rate study is required by City Charter. **Hetchy Power** charges for services related to the storage and delivery of water, as well as generating and delivering electricity to contractual and municipal customers. For municipal power services, Enterprise department customers generally pay rates based on the projected PG&E equivalent rate based on customer class.

General Fund department customers generally pay subsidized rates. In fiscal year 2012, a rate increase of 2 cents per kWh was adopted over four years. **Hetchy Power's** revenue requirement analysis was completed in 2009, and a formal retail rate setting process in fiscal year 2012 was completed to support new retail electric customers coming online over the next few years in the redevelopment areas, mainly Hunters Point and Treasure Island.

The following table shows the electric schedule for next fiscal year residential service rates and low-income residential service rates.

Hetchy Power	R1 Residential Service Rates	R2 Low-Income Residential Service Rates
Monthly Service Charge (per account)	$ 2.91	$ 2.91
First 278 kWh ($ per kWh)	0.11451	0.08015
Next 83 kWh ($ per kWh)	0.13018	0.09112
All Additional kWh ($ per kWh)	0.26649	0.18655

In fiscal year 2014, **Hetchy Power** charged the General Fund City departments on average $0.0475 per kilowatt hours (kWh). Other City enterprise departments were charged at the PG&E scheduled rates. In December 2011, the SFPUC adopted a four-year rate increase plan for selected public agencies including the General Fund City departments. The plan included a $0.0050/kWh increase per year, starting July 1, 2012. The increase will continue in increments of $0.0050/kWh annually each July until a total $0.02/kWh increase is reached.

For fiscal year 2014, the MID and TID class one rates were $0.03593/kWh and $0.03212/kWh, respectively. MID/TID rates get trued up every year based on actual costs.

Under an existing development agreement, **Hetchy Power** will construct, own, and operate the electric distribution infrastructure required to provide retail electric service to residential and commercial customers in Parcel "A" of the former Hunter's Point Shipyard. Public power rates for redevelopment areas in San Francisco were adopted on February 8, 2011. Effective July 1, 2012 and each successive July 1, the rates are adjusted by the lesser of the annual percentage in the Consumer Price Index or the change of the PG&E scheduled rates. To date, **Hetchy Power** has prepared service standards, developed system plans and specifications, acquired materials and equipment, and initiated construction of primary distribution facilities. Total bundled service charges for residential service rates and low-income residential service rates are calculated using the total rates shown above, on a monthly basis, based on monthly meter reading, plus any applicable taxes. On May 27, 2014, SFPUC, through Resolution 14-0089, approved a $0.01/kWh rate increase per year in fiscal years 2015 and 2016. The next electric rate-setting process will start in the Fall of 2014 for new rates to take effect on July 1, 2016.

Request for Information

This report is designed to provide our citizens, customers, investors, and creditors with an overview of Hetch Hetchy's finances and to demonstrate Hetch Hetchy's respective accountability for the money it receives. Questions regarding any of the information provided in this report or requests for additional financial information should be addressed to San Francisco Public Utilities Commission, Chief Financial Officer, 525 Golden Gate Avenue, 13th Floor, San Francisco, CA 94102.

This report is available at http://www.sfwater.org/index.aspx?page=347.

HETCH HETCHY WATER AND POWER

Statements of Net Position

June 30, 2014 and 2013

(In thousands)

	Hetchy Water	Hetchy Power	2014 Total	Hetchy Water	Hetchy Power (Restated)	2013 Total (Restated)
Assets						
Current assets:						
Cash and investments with City Treasury	$ 49,975	138,044	188,019	49,972	146,311	196,283
Cash and investments outside City Treasury	2	8	10	2	8	10
Receivables:						
Charges for services (net of allowance for doubtful accounts of $0 in 2014 and 2013)	243	8,145	8,388	465	11,110	11,575
Due from other City departments, current portion	—	1,273	1,273	—	1,372	1,372
Due from other governments	—	—	—	—	142	142
Interest receivables	99	117	216	62	1	63
Total current receivables	342	9,535	9,877	527	12,625	13,152
Prepaid charges, advances, and other	420	4,835	5,255	99	3,627	3,726
Inventories	160	184	344	156	180	336
Restricted cash and investments outside City Treasury	—	1,281	1,281	—	1,814	1,814
Total current assets	50,899	153,887	204,786	50,756	164,565	215,321
Non-current assets:						
Restricted cash and investments with City Treasury	5,888	5,174	11,062	8,420	6,488	14,908
Restricted cash and investments outside City Treasury	—	—	—	—	708	708
Restricted interest receivable	8	111	119	4	97	101
Capital assets, not being depreciated	28,966	65,087	94,053	23,855	69,882	93,737
Capital assets, net of accumulated depreciation	66,212	202,232	268,444	67,373	187,800	255,173
Charges for services	—	2,238	2,238	—	1,075	1,075
Due from other City departments	—	12,743	12,743	—	14,017	14,017
Total non-current assets	101,074	287,585	388,659	99,652	280,067	379,719
Total assets	151,973	441,472	593,445	150,408	444,632	595,040
Liabilities						
Current liabilities:						
Accounts payable	3,204	10,056	13,260	965	9,826	10,791
Accrued payroll	1,161	2,280	3,441	826	2,273	3,099
Accrued vacation and sick leave, current portion	659	1,289	1,948	575	1,186	1,761
Accrued workers' compensation, current portion	136	303	439	126	292	418
Due to other City departments	2	6	8	—	—	—
Damage claims liability, current portion	60	728	788	264	888	1,152
Unearned revenues, refunds, and other	23	224	247	4	118	122
Bond and loan interest payable	—	223	223	—	229	229
Bonds, current portion	—	1,321	1,321	—	1,308	1,308
Certificates of participation, current portion	—	287	287	—	277	277
Current liabilities payable from restricted assets	388	179	567	672	590	1,262
Total current liabilities	5,633	16,896	22,529	3,432	16,987	20,419
Long-term liabilities:						
Other post-employment benefits obligations	7,674	12,449	20,123	6,521	11,038	17,559
Accrued vacation and sick leave, less current portion	467	1,034	1,501	483	1,054	1,537
Accrued workers' compensation, less current portion	637	1,391	2,028	627	1,378	2,005
Damage claims liability, less current portion	158	1,948	2,106	452	1,833	2,285
Bonds, less current portion	—	15,774	15,774	—	17,081	17,081
Certificates of participation, less current portion	—	15,648	15,648	—	15,977	15,977
Pollution remediation obligation	—	186	186	—	—	—
Total long-term liabilities	8,936	48,430	57,366	8,083	48,361	56,444
Total liabilities	14,569	65,326	79,895	11,515	65,348	76,863
Net position:						
Net investment in capital assets	95,186	241,016	336,202	91,228	231,909	323,137
Restricted for capital projects	5,507	—	5,507	7,752	—	7,752
Unrestricted	36,711	135,130	171,841	39,913	147,375	187,288
Total net position	$ 137,404	376,146	513,550	138,893	379,284	518,177

See accompanying notes to financial statements.

HETCH HETCHY WATER AND POWER

Statements of Revenues, Expenses, and Changes in Net Position

Years ended June 30, 2014 and 2013

(In thousands)

	Hetchy Water	Hetchy Power	2014 Total	Hetchy Water	Hetchy Power (Restated)	2013 Total (Restated)
Operating revenues:						
Charges for services	$ 35,521	98,693	134,214	37,284	96,398	133,682
Rents and concessions	101	123	224	110	135	245
Total operating revenues	35,622	98,816	134,438	37,394	96,533	133,927
Operating expenses:						
Personnel services	13,343	33,762	47,105	13,057	33,564	46,621
Contractual services	835	4,063	4,898	889	4,956	5,845
Transmission/distribution and other power costs	—	22,399	22,399	—	18,314	18,314
Purchased electricity	—	3,816	3,816	—	2,577	2,577
Materials and supplies	1,352	2,075	3,427	1,331	1,671	3,002
Depreciation	4,186	11,128	15,314	4,378	11,079	15,457
Services provided by other departments	1,211	5,577	6,788	1,706	5,002	6,708
General and administrative and other	14,098	18,220	32,318	13,540	16,096	29,636
Total operating expenses	35,025	101,040	136,065	34,901	93,259	128,160
Operating income (loss)	597	(2,224)	(1,627)	2,493	3,274	5,767
Non-operating revenues (expenses):						
Federal and state grants	20	136	156	—	373	373
Interest and investment income (loss)	487	1,289	1,776	(344)	139	(205)
Interest expenses	—	(1,574)	(1,574)	—	(1,641)	(1,641)
Amortization of premium, discount, and issuance costs	—	28	28	—	(7)	(7)
Net gain from sale of assets	5	6	11	36	44	80
Other non-operating revenues	44	5,656	5,700	254	4,475	4,729
Other non-operating expenses	(99)	(2,485)	(2,584)	(68)	(3,025)	(3,093)
Net non-operating revenues (expenses)	457	3,056	3,513	(122)	358	236
Change in net position before capital contribution, transfers and extraordinary item	1,054	832	1,886	2,371	3,632	6,003
Capital contribution	166	202	368	—	—	—
Transfers to the City and County of San Francisco	—	(38)	(38)	—	(196)	(196)
Net position after capital contribution and transfers but before extraordinary item	1,220	996	2,216	2,371	3,436	5,807
Extraordinary item:						
Rim Fire (loss)	(2,709)	(4,134)	(6,843)	—	—	—
Change in net position	(1,489)	(3,138)	(4,627)	2,371	3,436	5,807
Net position at beginning of year						
Beginning of year, as previously reported	138,893	379,284	518,177	136,522	376,130	512,652
Cumulative effect of accounting change	—	—	—	—	(282)	(282)
Beginning of year as restated	138,893	379,284	518,177	136,522	375,848	512,370
Net position at end of year	$ 137,404	376,146	513,550	138,893	379,284	518,177

See accompanying notes to financial statements.

HETCH HETCHY WATER AND POWER

Statements of Cash Flows

Years ended June 30, 2014 and 2013

(In thousands)

		Hetchy Water	Hetchy Power	2014 Total	Hetchy Water	Hetchy Power	2013 Total
Cash flows from operating activities:							
Cash received from customers, including cash deposits	$	35,762	101,874	137,636	37,090	95,744	132,834
Cash received from tenants for rent		101	123	224	112	137	249
Cash paid to employees for services		(11,512)	(31,728)	(43,240)	(11,194)	(31,040)	(42,234)
Cash paid to suppliers for goods and services		(17,300)	(58,379)	(75,679)	(16,311)	(53,514)	(69,825)
Cash received for license fees		—	2,157	2,157	—	2,115	2,115
Cash received from miscellaneous revenues		44	2,792	2,836	254	1,583	1,837
Cash received from settlements		—	3	3	—	—	—
Cash paid for rebates and program incentives		(99)	(2,485)	(2,584)	(68)	(3,025)	(3,093)
Cash paid for judgments and claims		(1,769)	(2,072)	(3,841)	(1,803)	(1,315)	(3,118)
Net cash provided by operating activities		5,227	12,285	17,512	8,080	10,685	18,765
Cash flows from non-capital and related financing activities:							
Federal and state grants		20	278	298	—	293	293
Transfers out to the City and County of San Francisco		—	(38)	(38)	—	(196)	(196)
Net cash provided by non-capital financing activities		20	240	260	—	97	97
Cash flows from capital and related financing activities:							
Acquisition and construction of capital assets		(8,227)	(21,993)	(30,220)	(8,169)	(19,066)	(27,235)
Proceeds from sale of capital assets		5	6	11	36	44	80
Principal payments on long-term debt		—	(1,584)	(1,584)	—	(1,277)	(1,277)
Interest paid on long-term debt		—	(1,639)	(1,639)	—	(1,877)	(1,877)
Federal interest income subsidy		—	694	694	—	925	925
Net cash used in capital and related financing activities		(8,222)	(24,516)	(32,738)	(8,133)	(21,251)	(29,384)
Cash flows from investing activities:							
Interest income (loss) received		295	973	1,268	(223)	292	69
Proceeds from sale of investments outside City Treasury		—	483	483	—	2,362	2,362
Purchases of investments outside City Treasury		—	(483)	(483)	—	(2,133)	(2,133)
Net cash provided by (used in) investing activities		295	973	1,268	(223)	521	298
Decrease in cash and cash equivalents		(2,680)	(11,018)	(13,698)	(276)	(9,948)	(10,224)
Cash and cash equivalents:							
Beginning of year		58,493	154,493	212,986	58,769	164,441	223,210
End of year	$	55,813	143,475	199,288	58,493	154,493	212,986
Reconciliation of cash and cash equivalents to the statements of net position:							
Cash and investments with City Treasury:							
Unrestricted	$	49,975	138,044	188,019	49,972	146,311	196,283
Restricted		5,888	5,174	11,062	8,420	6,488	14,908
Cash and investments outside City Treasury:							
Unrestricted		2	8	10	2	8	10
Restricted		—	1,281	1,281	—	2,522	2,522
Less: Restricted (with maturity more than 90 days - see table in Note 3)		—	(962)	(962)	—	(962)	(962)
Less: Unrealized (gain) loss on investments		(52)	(70)	(122)	99	126	225
Cash and cash equivalents at end of year on statements of cash flows	$	55,813	143,475	199,288	58,493	154,493	212,986

(Continued)

HETCH HETCHY WATER AND POWER

Statements of Cash Flows

Years ended June 30, 2014 and 2013

(In thousands)

		Hetchy Water	Hetchy Power	2014 Total	Hetchy Water	Hetchy Power	2013 Total
Reconciliation of operating income to net cash provided by operating activities:							
Operating income (loss)	$	597	(2,224)	(1,627)	2,493	3,274	5,767
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:							
Depreciation		4,186	11,128	15,314	4,378	11,079	15,457
Write-off of Rim Fire loss		(2,767)	(5,564)	(8,331)	—	—	—
Write-off of capital assets		31	2,607	2,638	453	1,109	1,562
Miscellaneous revenues		44	2,792	2,836	254	1,583	1,837
Settlements		—	3	3	—	—	—
Rebates and program incentives		(99)	(2,485)	(2,584)	(68)	(3,025)	(3,093)
License fees		—	2,157	2,157	—	2,115	2,115
Changes in operating assets and liabilities:							
Receivables:							
Charges for services		222	1,802	2,024	(196)	(1,548)	(1,744)
Due from other City departments		—	1,273	1,273	—	831	831
Other receivables		—	—	—	6	7	13
Prepaid charges, advances, and other		(321)	(1,208)	(1,529)	(84)	1,312	1,228
Inventories		(4)	(4)	(8)	(18)	(22)	(40)
Accounts payable		2,239	230	2,469	(213)	(8,624)	(8,837)
Accrued payroll		335	7	342	80	226	306
Accrued other post-employment benefits obligation		1,153	1,411	2,564	1,466	1,791	3,257
Accrued vacation and sick leave		68	83	151	96	118	214
Accrued workers' compensation		20	24	44	46	56	102
Pollution remediation obligation		—	186	186	(1,032)	—	(1,032)
Damage claims liability		(498)	(45)	(543)	421	345	766
Due to other City departments		2	6	8	—	—	—
Unearned revenues, refunds, and other		19	106	125	(2)	58	56
Total adjustments		4,630	14,509	19,139	5,587	7,411	12,998
Net cash provided by operating activities	$	5,227	12,285	17,512	8,080	10,685	18,765
Noncash transaction:							
Accrued capital asset costs	$	388	179	567	672	590	1,262
Interfund loan payable		—	6	6	—	—	—

See accompanying notes to financial statements.

(1) Description of Reporting Entity

San Francisco Hetch Hetchy Water and Power was established as a result of the Raker Act of 1913, which granted water and power resources rights-of-way on the Tuolumne River in Yosemite National Park and Stanislaus National Forest to the City and County of San Francisco (the City). Hetch Hetchy is a stand-alone enterprise comprised of two discreetly presented, component funds, **Hetchy Power** (aka the Power Enterprise) and Hetchy Water, the portion of the Water Enterprise's operations, specifically the upcountry water supply and transmission service. Hetch Hetchy accounts for the activities of Hetch Hetchy Water and Power and is engaged in the collection and conveyance of approximately 85% of the City's water supply and in the generation and transmission of electricity from that resource, as well as the City Power services including energy efficiency and renewables.

Approximately 90% of the electricity generated by **Hetchy Power** is used to provide electric service to the City's municipal customers (including the San Francisco Municipal Transportation Agency, Recreation and Parks Department, the Port of San Francisco, the San Francisco International Airport and its tenants, San Francisco General Hospital, streetlights, Moscone Convention Center, and the Water and Wastewater Enterprises). The majority of the remaining 10% balance of electricity is sold to other utility districts, such as the Turlock and Modesto Irrigation Districts (the Districts). As a result of the 1913 Raker Act, energy produced above the City's Municipal Load is sold first to the Districts to cover their agricultural pumping and municipal load needs and any remaining energy is either sold to other municipalities and/or government agencies (not for resale) or deposited into an energy bank account under the City's agreement with Pacific Gas and Electric Company (PG&E). Hetch Hetchy operation is an integrated system of reservoirs, hydroelectric power plants, aqueducts, pipelines, and transmission lines.

Hetch Hetchy also purchases wholesale electric power from various energy providers that are used in conjunction with owned hydro resources to meet the power requirements of its customers. Operations and business decisions can be greatly influenced by market conditions, state and federal power matters before the California Public Utilities Commission (CPUC), the California Independent System Operator (CAISO), and the Federal Energy Regulatory Commission (FERC). Therefore, Hetch Hetchy serves as the City's representative at CPUC, CAISO, and FERC forums and continues to monitor regulatory proceedings.

Until August 1, 2008, the San Francisco Public Utilities Commission (SFPUC) consisted of five members, all appointed by the Mayor. Proposition E, a City and County of San Francisco Charter amendment approved by the voters in the June 3, 2008 election, terminated the terms of all five existing members of the SFPUC, changed the process for appointing new members, and set qualifications for all members. Under the amended Charter, the Mayor continues to nominate candidates to the SFPUC, but nominees do not take office until the Board of Supervisors votes to approve their appointments by a majority (at least six members). The amended Charter provides for staggered four-year terms for SFPUC members and requires them to meet the following qualifications:

- Seat 1 must have experience in environmental policy and an understanding of environmental justice issues.
- Seat 2 must have experience in ratepayer or consumer advocacy.
- Seat 3 must have experience in project finance.
- Seat 4 must have expertise in water systems, power systems, or public utility management.
- Seat 5 is an at-large member.

The SFPUC is a department of the City, and as such, the financial operations of Hetch Hetchy, Wastewater, and the Water Enterprises are included in the Comprehensive Annual Financial Report (CAFR) of the City as enterprise funds. These financial statements are intended to present only the financial position, and the changes in financial position and cash flows of only that portion of the City that is attributable to the transactions of Hetch Hetchy. They do not purport to, and do not, present fairly the financial position of the City as of June 30, 2014 and 2013, and the changes in its financial position, or, where applicable, the cash flows for the years then ended in conformity with U.S. generally accepted accounting principles (GAAP).

(2) Significant Accounting Policies

(a) Basis of Accounting and Measurement Focus

The accounts of Hetch Hetchy are organized on the basis of proprietary fund types and are included as enterprise funds of the City. The activities of Hetch Hetchy and each fund are accounted for with a separate set of self-balancing accounts that comprise Hetch Hetchy's and each fund's assets, liabilities, net position, revenues, and expenses. Enterprise funds account for activities (i) that are financed with debt that is secured solely by a pledge of the net revenues from fees and charges of the activity; or (ii) that are required by laws or regulations that the activity's costs of providing services, including capital costs (such as depreciation or debt service), be recovered with fees and charges, rather than with taxes or similar revenues; or (iii) that the pricing policies of the activity establish fees and charges designed to recover its costs, including capital costs (such as depreciation or debt service).

The financial activities of Hetch Hetchy are accounted for on a flow of economic resources measurement focus, using the accrual basis of accounting in accordance with U.S. GAAP. Under this method, all assets and liabilities associated with operations are included on the statements of net position, revenues are recognized when earned, and expenses are recognized when liabilities are incurred. Operating revenues are defined as charges to customers and rental income.

Hetch Hetchy applies all applicable Governmental Accounting Standards Board (GASB) pronouncements.

(b) Cash and Cash Equivalents

Hetch Hetchy considers its pooled deposits and investments held with the City Treasury to be demand deposits and, therefore, cash and cash equivalents for financial reporting. The City Treasury also holds non-pooled cash and investments for the Enterprise. Non-pooled restricted deposits and restricted deposits and investments held outside the City Treasury with original maturities of three months or less are considered to be cash equivalents.

(c) Investments

Money market funds are carried at cost, which approximates fair value. All other investments are stated at fair value based upon quoted market prices. Changes in fair value are recognized as investment gains or losses and are recorded as a component of non-operating revenues.

(d) Prepaid Charges

Prepaid charges consist of costs incurred to generate the power that has been placed in the Municipal Deviation and Deferred Delivery Accounts under the provisions of the interconnection agreement with PG&E (see Note 12(a)).

(e) Inventory

Inventory consists primarily of construction materials and maintenance supplies and is valued at average cost. Inventory is expensed as it is consumed.

(f) Capital Assets

Capital assets are defined as assets with an initial individual cost of more than $5 and an estimated useful life in excess of one year. Capital assets with an original acquisition date prior to July 1, 1977 are recorded in the financial statements at estimated cost, as determined by an independent professional appraisal, or at cost, if known. All subsequent acquisitions have been recorded at cost. All donated capital assets are valued at estimated fair value at the time of donation. Depreciation and amortization are computed using the straight-line method over the estimated useful lives of the related assets, which range from 1 to 100 years. No depreciation or amortization is recorded in the year of acquisition, and depreciation or amortization is recorded in the year of disposal.

(g) Intangible Assets

Under GASB Statement No. 51, *Accounting and Financial Reporting for Intangible Assets,* intangible assets are defined as identifiable, non-financial assets capable of being separated, sold, transferred, or licensed, and include contractual or legal rights. Examples of intangible assets include rights-of-way easements, land use rights, water rights, licenses, and permits. The accounting pronouncement also provides guidance on the capitalization of internally generated intangible assets, such as the development and installation of computer software by or on behalf of the reporting entity.

According to the standard, Hetch Hetchy is required to capitalize intangible assets with a useful life extending beyond one reporting period. Hetch Hetchy has established a capitalization threshold of $100. GASB Statement No. 51 also requires amortization of intangible assets over the benefit period, except for certain assets having an indefinite useful life. Assets with an indefinite useful life generally provide a benefit that is not constrained by legal or contractual limitations or any other external factor, and therefore, are not amortized (see Note 4).

(h) Construction Work In Progress

The cost of acquisition and construction of major plant and equipment is recorded as construction work in progress. Costs of construction projects that are discontinued are recorded as expense in the year in which the decision is made to discontinue such projects.

(i) Capitalization of Interest

A portion of the interest cost incurred on capital projects is capitalized on assets that require a period of time for construction or to otherwise prepare them for their intended use. Such amounts are amortized over the useful lives of the assets (see Note 4).

(j) Bond Discount, Premium, and Issuance Costs

Bond issuance costs related to prepaid insurance costs are capitalized and amortized using the effective interest method. Other bond issuance costs are expensed when incurred. Original issue bond discount or premium are offset against the related debt and are also amortized using the effective interest method.

(k) Accrued Vacation and Sick Leave

Accrued vacation pay, which may be accumulated up to 10 weeks per employee, is charged to expense as earned. Sick leave earned subsequent to December 6, 1978 is non-vesting and may be accumulated up to six months per employee.

(l) Workers' Compensation

The Enterprise is self-insured for workers' compensation claims and accrues the estimated cost of those claims, including the estimated cost of incurred but not reported claims (see Note 11(c)).

(m) General Liability

The Enterprise is self-insured for general liability and uninsurable property damage claims. Commercially uninsurable property includes assets that are underground or provide transmission and distribution. Maintained commercial coverage does not cover claims attributed to loss from earthquake, contamination, pollution remediation efforts, and other specific naturally occurring contaminants such as mold. The liability represents an estimate of the cost of all outstanding claims, including adverse loss development and estimated incurred but not reported claims (see Note 11(a)).

(n) Arbitrage Rebate Requirement

Certain bonds are subject to arbitrage rebate requirements in accordance with regulations issued by the U.S. Treasury Department. The requirements of the Clean Renewable Energy Bonds (CREBs) and the New Clean Renewable Energy Bonds (NCREBs) stipulate that the first payment of excess investment earnings if any, is required to be rebated to the federal government, no later than 60 days after the end of the fifth bond year of the agreement. Hetch Hetchy did not have any arbitrage liability as of June 30, 2014 and 2013.

(o) Income Taxes

As a government agency, the Enterprise is exempt from both federal income taxes and California State franchise taxes.

(p) Revenue Recognition

Water and power revenues are based on water and power consumption and billing rates. Generally, customers are billed monthly. Revenues earned but unbilled are accrued as charges for services receivables on the Statements of Net Position.

(q) Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements and the reported

amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(r) Reclassifications

Certain reclassifications have been made to prior year amounts to conform to current year presentation.

(s) Accounting and Financial Reporting for Pollution Remediation Obligations

According to GASB Statement No. 49, *Accounting and Financial Reporting for Pollution Remediation Obligations*, a government would have to estimate its expected outlays for pollution remediation if it knows a site is polluted and any of the following recognition triggers occur:

- Pollution poses an imminent danger to the public or environment and a government has little or no discretion to avoid fixing the problem;
- A government has violated a pollution prevention-related permit or license;
- A regulator has identified (or evidence indicates it will identify) a government as responsible (or potentially responsible) for cleaning up pollution, or for paying all or some of the cost of the cleanup;
- A government is named (or evidence indicates that it will be named) in a lawsuit to compel it to address the pollution; or
- A government begins or legally obligates itself to begin cleanup or post-cleanup activities (limited to amounts the government is legally required to complete).

As a part of ongoing operations, situations may occur requiring the removal of pollution or other hazardous material. These situations typically arise in the process of acquiring an asset, preparing an asset for its intended use, or during the Design Phase of projects under review by the project managers. Other times, pollution may arise during the implementation and construction of a major or minor capital project. Examples of pollution may include, but are not limited to, asbestos or lead paint removal; leaking of sewage in underground pipes or neighboring areas; chemical spills; removal and disposal of known toxic waste; harmful biological and chemical pollution of water; or contamination of surrounding soils by underground storage tanks (see Note 12(c)).

(t) New Accounting Standard Adopted

In March 2012, GASB issued Statement No. 65, *Items Previously Reported as Assets and Liabilities*. This Statement is a related or companion standard to GASB Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources, and Net Position.* GASB Statement No. 65 establishes accounting and financial reporting standards that reclassify, as deferred outflows of resources or deferred inflows of resources, certain items that were previously reported as assets and liabilities and recognizes, as outflows of resources or inflows of resources. The requirements of this Statement will improve financial reporting by clarifying the appropriate use of the financial statement elements, deferred outflows of resources and deferred inflows of resources, to ensure consistency in financial reporting. The provisions of the Statement No. 65 are effective for financial statements for periods beginning after December 15, 2012. The Enterprise adopted the requirements of this Statement for fiscal year ended June 30, 2014, therefore restating the financial statements for the earliest period presented as of July 1, 2012.

As a result, the requirements of this Statement restated the beginning net position effective July 1, 2012 in the amount of $282 to write off unamortized bond issuance costs previously classified as assets.

(u) Future Implementation of New Accounting Standards

1) In June 2012, the GASB issued Statement No. 68 – *Accounting and Financial Reporting for Pensions*. GASB Statement No. 68 revises and establishes new accounting and financial reporting requirements for most governments that provide their employees with pension benefits. The new standard is effective for periods beginning after June 15, 2014. The Enterprise will implement the provisions of Statement No. 68 in fiscal year 2015.

2) In January 2013, the GASB issued Statement No. 69 – *Government Combinations and Disposals of Government Operations*. GASB Statement No. 69 establishes accounting and financial reporting standards for governments that combine or dispose of their operations. The new standard is effective for periods beginning after December 15, 2013. The Enterprise will implement the provisions of Statement No. 69 in fiscal year 2015.

3) In April 2013, the GASB issued Statement No. 70 – *Accounting and Financial Reporting for Nonexchange Financial Guarantees*. GASB Statement No. 70 establishes accounting and financial reporting standards for governments that offer or receive financial guarantees that are nonexchange transactions. The new standard is effective for periods beginning after June 15, 2013. As of July 1, 2014, the Enterprise adopted the provisions of this statement, which did not have a significant impact on its financial statements.

4) In November 2013, the GASB issued Statement No. 71 – *Pension Transition for Contributions Made Subsequent to the Measurement Date*. GASB Statement No. 71 modifies the transition guidance provided in GASB Statement No. 68. The new standard is to be applied simultaneously with the provisions of GASB Statement No. 68. The Enterprise will implement the provisions of Statement No. 71 in fiscal year 2015.

(3) Cash, Cash Equivalents, and Investments

Hetch Hetchy's cash, cash equivalents, and investments with the City Treasury are invested in an unrated City pool pursuant to investment policy guidelines established by the City Treasurer. The objectives of the policy guidelines are, in order of priority, preservation of capital, liquidity, and yield. The policy addresses soundness of financial institutions in which the City will deposit funds, types of investment instruments as permitted by the California Government Code, and the percentage of the portfolio which may be invested in certain instruments with longer terms to maturity. The City Treasurer allocates income from the investment of pooled cash at month-end in proportion to Hetch Hetchy's average daily cash balances. The primary objectives of Hetch Hetchy's investment policy are consistent with the City and County's policy for the pool.

Non-pooled cash outside of the investment pool is $1,291 and $2,532 on June 30, 2014 and 2013, respectively. The balance as of June 30, 2014 included certificates of participation proceeds of $1,281 and $10 held at a commercial bank in a non-interest bearing checking account that is covered by depository insurance. The account was established as provided by the City's Administrative Code. The balance as of June 30, 2013 included CREBs proceeds of $1,484 deposited into a Federal Deposit Insurance Corporation (FDIC) insured money market fund with a weighted average maturity of 61 days, certificates of

participation proceeds of $1,038, and $10 held at a commercial bank in a non-interest bearing checking account that is covered by depository insurance. The account was established as provided by the City's Administrative Code.

The following tables show the values of restricted cash and investments outside City Treasury by maturity as of June 30, 2014 and 2013.

Restricted Cash and Investments outside City Treasury

Investments	Credit ratings (S&P/Moody's)	June 30, 2014 Maturities	Fair Value
U.S. Agencies	AA+/Aaa	August 20, 2015	$ 962
U.S. Treasury Money Market Funds	AAAm/Aaa-mf	<90 days	319
Total			$ 1,281

Restricted Cash and Investments outside City Treasury

Investments	Credit ratings (S&P/Moody's)	June 30, 2013 Maturities	Fair Value
U.S. Agencies	AA+/Aaa	August 20, 2015	$ 962
Money Market Funds	AAAm/Aaa-mf	<90 days	76
Money Market Funds	AAAm/Aaa-mf	<90 days	1,484
Total			$ 2,522

For fiscal year 2014, proceeds from the certificates of participation held as restricted cash and investments outside City Treasury in the amount of $962 were invested in U.S. Treasury Bills with maturity date of August 20, 2015. The credit ratings of the Treasury Bills as of June 30, 2014 were "AA+" by Standard & Poor's and "Aaa" by Moody's.

Hetch Hetchy's cash, cash equivalents, and investments are shown on the accompanying Statements of Net Position as of June 30, 2014 and 2013:

	Hetchy Water	Hetchy Power	Total 2014
Current assets:			
Cash and investments with City Treasury	$ 49,975	138,044	188,019
Cash and investments outside City Treasury	2	8	10
Restricted cash and investments outside City Treasury	—	1,281	1,281
Non-current assets:			
Restricted cash and investments with City Treasury	5,888	5,174	11,062
Total cash, cash equivalents, and investments	$ 55,865	144,507	200,372

	Hetchy Water	Hetchy Power	Total 2013
Current assets:			
Cash and investments with City Treasury	$ 49,972	146,311	196,283
Cash and investments outside City Treasury	2	8	10
Restricted cash and investments outside City Treasury	—	1,814	1,814
Non-current assets:			
Restricted cash and investments with City Treasury	8,420	6,488	14,908
Restricted cash and investments outside City Treasury	—	708	708
Total cash, cash equivalents, and investments	$ 58,394	155,329	213,723

The following table shows the percentage distribution of the City's pooled investment by maturity as of June 30, 2014:

Investment maturities (in months)			
Under 1	**1 to less than 6**	**6 to less than 12**	**12 – 60**
3.4%	9.6%	15.6%	71.4%

The following table shows the percentage distribution of the City's pooled investment by maturity as of June 30, 2013:

Investment maturities (in months)			
Under 1	**1 to less than 6**	**6 to less than 12**	**12 – 60**
9.1%	4.9%	9.4%	76.6%

(4) Capital Assets

(a) Hetch Hetchy Water and Power

Capital assets with a useful life of 50 years or greater include buildings and structures, reservoirs, dams, power stations, certain water mains and pipelines, transmission and distributions systems, tunnels, and bridges.

Hetch Hetchy capital assets as of June 30, 2014 and 2013 consist of the following:

	Balance June 30, 2013	Increases	Decreases	Balance June 30, 2014
Capital assets not being depreciated:				
Land and rights-of-way	$ 4,720	22	—	4,742
Intangible assets	1,437	—	—	1,437
Construction work in progress	87,580	31,456	(31,162) *	87,874
Total capital assets not being depreciated	93,737	31,478	(31,162)	94,053
Capital assets being depreciated:				
Facilities and improvements	498,091	15,435	(797)	512,729
Intangible assets	45,715	—	—	45,715
Machinery and equipment	80,842	14,033	(238)	94,637
Total capital assets being depreciated	624,648	29,468 *	(1,035)	653,081
Less accumulated depreciation for:				
Facilities and improvements	(305,000)	(10,417)	91	(315,326)
Intangible assets	(18,466)	(483)	—	(18,949)
Machinery and equipment	(46,009)	(4,414)	61	(50,362)
Total accumulated depreciation	(369,475)	(15,314)	152	(384,637)
Total capital assets being depreciated, net	255,173	14,154	(883)	268,444
Total capital assets, net	$ 348,910	45,632	(32,045)	362,497

* Decrease in construction work in progress is greater than increase in capital assets being depreciated is explained by $2,638 in capital project write-offs, mainly related to Hetch Hetchy Switchyard Upgrades Project, Transmission and Distribution System Assessment Project, Protection Systems and Control Devices Project, and New Microwave Communication Site Project.

	Balance June 30, 2012	Increases	Decreases	Balance June 30, 2013
Capital assets not being depreciated:				
Land and rights-of-way	$ 4,720	—	—	4,720
Intangible assets	1,437	—	—	1,437
Construction work in progress	66,139	29,358	(7,917) *	87,580
Total capital assets not being depreciated	72,296	29,358	(7,917)	93,737
Capital assets being depreciated:				
Facilities and improvements	493,462	4,629	—	498,091
Intangible assets	45,715	—	—	45,715
Machinery and equipment	78,081	2,998	(237)	80,842
Total capital assets being depreciated	617,258	7,627	(237)	624,648
Less accumulated depreciation for:				
Facilities and improvements	(294,403)	(10,597)	—	(305,000)
Intangible assets	(17,983)	(483)	—	(18,466)
Machinery and equipment	(41,773)	(4,377)	141	(46,009)
Total accumulated depreciation	(354,159)	(15,457)	141	(369,475)
Total capital assets being depreciated, net	263,099	(7,830)	(96)	255,173
Total capital assets, net	$ 335,395	21,528	(8,013)	348,910

* Includes $1,562 in capital project write-offs, mainly related to Hetch Hetchy Roads and Rights-of-Way Project, Power Step-up Transformers Project, Distribution System Assessment and Rehabilitation Project, Tunnel Condition Assessment and Improvement Project, and Emergency Backup Power Moccasin Project.

(b) *Hetchy Water*

Hetchy Water capital assets as of June 30, 2014 and 2013 consist of the following:

	Balance June 30, 2013	Increases	Decreases	Balance June 30, 2014
Capital assets not being depreciated:				
Land and rights-of-way	$ 3,028	10	—	3,038
Intangible assets	6	—	—	6
Construction work in progress	20,821	7,923	(2,822) *	25,922
Total capital assets not being depreciated	23,855	7,933	(2,822)	28,966
Capital assets being depreciated:				
Facilities and improvements	195,103	2,585	(144)	197,544
Intangible assets	20,522	—	—	20,522
Machinery and equipment	18,833	639	(106)	19,366
Total capital assets being depreciated	234,458	3,224	(250)	237,432
Less accumulated depreciation for:				
Facilities and improvements	(147,479)	(2,787)	24	(150,242)
Intangible assets	(8,289)	(207)	—	(8,496)
Machinery and equipment	(11,317)	(1,192)	27	(12,482)
Total accumulated depreciation	(167,085)	(4,186)	51	(171,220)
Total capital assets being depreciated, net	67,373	(962)	(199)	66,212
Total capital assets, net	$ 91,228	6,971	(3,021)	95,178

* Includes $31 in capital project write-offs, mainly related to Hetchy Water's share of the New Microwave Communication Site Project.

	Balance June 30, 2012	Increases	Decreases	Balance June 30, 2013
Capital assets not being depreciated:				
Land and rights-of-way	$ 3,028	—	—	3,028
Intangible assets	6	—	—	6
Construction work in progress	14,220	7,706	(1,105) *	20,821
Total capital assets not being depreciated	17,254	7,706	(1,105)	23,855
Capital assets being depreciated:				
Facilities and improvements	194,640	463	—	195,103
Intangible assets	20,522	—	—	20,522
Machinery and equipment	18,295	583	(45)	18,833
Total capital assets being depreciated	233,457	1,046	(45)	234,458
Less accumulated depreciation for:				
Facilities and improvements	(144,544)	(2,935)	—	(147,479)
Intangible assets	(8,082)	(207)	—	(8,289)
Machinery and equipment	(10,144)	(1,236)	63	(11,317)
Total accumulated depreciation	(162,770)	(4,378)	63	(167,085)
Total capital assets being depreciated, net	70,687	(3,332)	18	67,373
Total capital assets, net	$ 87,941	4,374	(1,087)	91,228

* Includes $453 in capital project write-offs, mainly related to Hetchy Water's share of Roads and Rights-of-Way Project, Tunnel Condition Assessment and Improvement Project, Emergency Backup Power Moccasin Project, and the San Joaquin Pipeline Rehabilitation Project.

(c) Hetchy Power

Hetchy Power capital assets as of June 30, 2014 and 2013 consist of the following:

	Balance June 30, 2013	Increases	Decreases	Balance June 30, 2014
Capital assets not being depreciated:				
Land and rights-of-way	$ 1,692	12	—	1,704
Intangible assets	1,431	—	—	1,431
Construction work in progress	66,759	23,533	(28,340) *	61,952
Total capital assets not being depreciated	69,882	23,545	(28,340)	65,087
Capital assets being depreciated:				
Facilities and improvements	302,988	12,850	(653)	315,185
Intangible assets	25,193	—	—	25,193
Machinery and equipment	62,009	13,394	(132)	75,271
Total capital assets being depreciated	390,190	26,244 *	(785)	415,649
Less accumulated depreciation for:				
Facilities and improvements	(157,521)	(7,630)	67	(165,084)
Intangible assets	(10,177)	(276)	—	(10,453)
Machinery and equipment	(34,692)	(3,222)	34	(37,880)
Total accumulated depreciation	(202,390)	(11,128)	101	(213,417)
Total capital assets being depreciated, net	187,800	15,116	(684)	202,232
Total capital assets, net	$ 257,682	38,661	(29,024)	267,319

* Decrease in construction work in progress is greater than increase in capital assets being depreciated is explained by $2,607 in capital project write-offs, mainly related to **Hetchy Power's** share of Switchyard Upgrades Project, Transmission and Distribution System Assessment Project, and the Protection Systems and Control Devices Project.

	Balance June 30, 2012	Increases	Decreases	Balance June 30, 2013
Capital assets not being depreciated:				
Land and rights-of-way	$ 1,692	—	—	1,692
Intangible assets	1,431	—	—	1,431
Construction work in progress	51,919	21,652	(6,812) *	66,759
Total capital assets not being depreciated	55,042	21,652	(6,812)	69,882
Capital assets being depreciated:				
Facilities and improvements	298,822	4,166	—	302,988
Intangible assets	25,193	—	—	25,193
Machinery and equipment	59,786	2,415	(192)	62,009
Total capital assets being depreciated	383,801	6,581	(192)	390,190
Less accumulated depreciation for:				
Facilities and improvements	(149,859)	(7,662)	—	(157,521)
Intangible assets	(9,901)	(276)	—	(10,177)
Machinery and equipment	(31,629)	(3,141)	78	(34,692)
Total accumulated depreciation	(191,389)	(11,079)	78	(202,390)
Total capital assets being depreciated, net	192,412	(4,498)	(114)	187,800
Total capital assets, net	$ 247,454	17,154	(6,926)	257,682

* Includes $1,109 in capital project write-offs, mainly related to Hetchy Power's share of Roads and Rights-of-Way Project, Power Step-up Transformers Project, Distribution System Assessment and Rehabilitation Project, and the Generators Project.

During fiscal year 2014, Hetchy Water and Hetchy Power expensed $31 and $2,607, respectively, related to engineering, testing, and repair costs on various Hetch Hetchy projects. Hetch Hetchy write-offs of $2,638 collectively were primarily related to power projects for Switchyard Upgrades, Transmission and Distribution System Assessment, Protection Systems and Control Devices, Power Engineering Services, and water project for the New Microwave Communication Site. During fiscal year 2013, Hetchy Water and Hetchy Power expensed $453 and $1,109, respectively, related to design and planning costs on various Hetch Hetchy projects. Hetch Hetchy write-offs of $1,562 collectively were primarily related to joint projects for Roads and Rights-of-Way, Tunnel Condition Assessment and Improvement, and Emergency Backup Power Moccasin.

GASB Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements*, requires that interest expense incurred during construction of assets be capitalized. Interest included in the construction work in progress and total interest expense incurred during the years ended June 30, 2014 and 2013 are as follows:

	2014	2013 (Restated)
Hetchy Power		
Interest expensed	$ 1,574	1,641
Interest included in construction work in progress	59	37
Total interest incurred	$ 1,633	1,678

(5) Restricted Assets

Pursuant to the Master Lease/Purchase Agreements (the Agreements), net power revenues of Hetch Hetchy are irrevocably pledged to the punctual payment of debt service on the CREBs, Qualified Energy

Conservation Bonds (QECBs), and NCREBs. Accordingly, pledged power revenue shall not be used for any other purpose while any of its CREBs, QECBs, and NCREBs are outstanding, except as expressly permitted by the Agreements. Further, all revenues shall be deposited by the City Treasury, by instruction of Hetch Hetchy, in special funds designated as the Hetch Hetchy Water and Power Revenue Fund (the Power Revenue Fund), which must be maintained in the City Treasury. These funds, held at the City Treasury, are recorded in the statements of net position of Hetch Hetchy as deposits and investments.

Deposits in the Power Revenue Fund, including earnings thereon, shall be appropriated, transferred, expended, or used for the following purposes pertaining to the financing, maintenance, and operation of Hetch Hetchy in accordance with the following priority:

1. The payment of operation and maintenance expenses for such utility and related facilities;
2. The payment of pension charges and proportionate payments to such compensation and other insurance or outside reserve funds as Hetch Hetchy may establish or the Board of Supervisors may require with respect to employees of Hetch Hetchy;
3. The payment of principal, interest, reserve, sinking fund, or other mandatory funds created to secure long-term financing issued by Hetch Hetchy for the acquisition, construction, or extension of facilities owned, operated, or controlled by Hetch Hetchy;
4. Reconstruction and replacement as determined by Hetch Hetchy or as required by any of Hetch Hetchy's financing ordinances duly adopted and approved; and
5. The acquisition of land, real property, or interest in real property for, and the acquisition, construction, enlargement, and improvement of, new and existing buildings, structures, facilities, equipment, appliances, and other property necessary or convenient to the development or improvement of such utility owned, controlled, or operated by Hetch Hetchy, and for any other lawful purpose of Hetch Hetchy, including the transfer of surplus funds pursuant to Section 6.407(e) of the City's Charter.

In accordance with the Agreements, Hetch Hetchy maintains certain restricted cash and investment balances in trust. Restricted assets held in trust consist of the following as of June 30, 2014 and 2013:

(a) Hetchy Water

Hetchy Water has the following restricted assets held in trust as of June 30, 2014 and 2013:

	2014	2013
Cash and investments with City Treasury:		
Hetch Hetchy bond construction fund	$ 5,888	8,420
Interest receivable:		
Hetch Hetchy bond construction fund	8	4
Total restricted assets	$ 5,896	8,424

(b) Hetchy Power

Hetchy Power has the following restricted assets held in trust as of June 30, 2014 and 2013:

	2014	2013
Cash and investments with City Treasury:		
Hetch Hetchy bond construction fund	$ 5,174	6,488
Cash and investments outside City Treasury:		
2008 Clean renewable energy bonds	—	1,484
2009 Series C Certificates of participation - 525 Golden Gate	231	528
2009 Series D Certificates of participation - 525 Golden Gate	1,050	510
Total restricted cash and investments outside City Treasury	1,281	2,522
Interest receivable:		
Hetch Hetchy bond construction fund	111	97
Total restricted assets	$ 6,566	9,107

(6) Changes in Long-Term Liabilities

Total Hetch Hetchy long-term liability activities for the years ended June 30, 2014 and 2013 are as follows:

	Interest rate*	Maturity (Calendar Year)	July 1, 2013	Additions	Reductions	June 30, 2014	Due within one year
Bonds:							
Clean Renewable Energy Bonds	0.00 %	2022	$ 4,215	—	(422)	3,793	422
Qualified Energy Conservation Bonds	4.74	2027	7,848	—	(498)	7,350	505
New Clean Renewable Energy Bonds	4.74	2028	6,456	—	(388)	6,068	394
Less issuance discount			(130)	—	14	(116)	—
Total bonds payable			18,389	—	(1,294)	17,095	1,321
2009 Series C Certificates of participation (COPs)	2.00 - 5.00	2022	3,437	—	(277)	3,160	287
2009 Series C COPs issuance premiums			224	—	(42)	182	—
2009 Series D COPs (Build America)	6.36 - 6.49	2041	12,593	—	—	12,593	—
Other post-employment benefits obligation			17,559	4,212	(1,648)	20,123	—
Accrued vacation and sick leave			3,298	1,886	(1,735)	3,449	1,948
Accrued workers' compensation			2,423	808	(764)	2,467	439
Damage claims liability			3,437	2,775	(3,318)	2,894	788
Pollution remediation obligation			—	186	—	186	—
Total			$ 61,360	9,867	(9,078)	62,149	4,783

* After adjusting for the federal interest subsidy, the true interest cost for the certificates of participation 2009 Series D issued as Build America Bonds is 4.3%, 1.2% for the QECBs, and 1.5% for the NCREBs, respectively.

	Interest rate*	Maturity (Calendar Year)	July 1, 2012	Additions	Reductions	June 30, 2013	Due within one year
Bonds:							
Clean Renewable Energy Bonds	0.00 %	2022	$ 4,637	—	(422)	4,215	422
Qualified Energy Conservation Bonds	4.74	2027	8,291	—	(443)	7,848	498
New Clean Renewable Energy Bonds	4.74	2028	6,600	—	(144)	6,456	388
Less issuance discount			(144)	—	14	(130)	—
Total bonds payable			19,384	—	(995)	18,389	1,308
2009 Series C Certificates of participation (COPs)	2.00 - 5.00	2022	3,705	—	(268)	3,437	277
2009 Series C COPs issuance premiums			273	—	(49)	224	—
2009 Series D COPs (Build America)	6.36 - 6.49	2041	12,593	—	—	12,593	—
Other post-employment benefits obligation			14,302	4,796	(1,539)	17,559	—
Accrued vacation and sick leave			3,084	1,709	(1,495)	3,298	1,761
Accrued workers' compensation			2,321	610	(508)	2,423	418
Damage claims liability			2,671	2,698	(1,932)	3,437	1,152
Pollution remediation obligation			1,032	—	(1,032)	—	—
Total			$ 59,365	9,813	(7,818)	61,360	4,916

* After adjusting for the federal interest subsidy, the true interest cost for the certificates of participation 2009 Series D issued as Build America Bonds is 4.3%, 1.2% for the QECBs, and 1.5% for the NCREBs, respectively.

a) Hetchy Water's long-term liability activities for the years ended June 30, 2014 and 2013 are as follows:

	July 1, 2013	Additions	Reductions	June 30, 2014	Due within one year
Other post-employment benefits obligation	$ 6,521	1,895	(742)	7,674	—
Accrued vacation and sick leave	1,058	561	(493)	1,126	659
Accrued workers' compensation	753	275	(255)	773	136
Damage claims liability	716	1,016	(1,514)	218	60
Total	$ 9,048	3,747	(3,004)	9,791	855

	July 1, 2012	Additions	Reductions	June 30, 2013	Due within one year
Other post-employment benefits obligation	$ 5,055	2,159	(693)	6,521	—
Accrued vacation and sick leave	962	502	(406)	1,058	575
Accrued workers' compensation	707	221	(175)	753	126
Damage claims liability	295	1,016	(595)	716	264
Pollution remediation obligation	1,032	—	(1,032)	—	—
Total	$ 8,051	3,898	(2,901)	9,048	965

b) **Hetchy Power's** long-term liability activities for the years ended June 30, 2014 and 2013 are as follows:

	Interest rate*	Maturity (Calendar Year)	July 1, 2013	Additions	Reductions	June 30, 2014	Due within one year
Bonds:							
Clean Renewable Energy Bonds	0.00 %	2022	$ 4,215	—	(422)	3,793	422
Qualified Energy Conservation Bonds	4.74	2027	7,848	—	(498)	7,350	505
New Clean Renewable Energy Bonds	4.74	2028	6,456	—	(388)	6,068	394
Less issuance discount			(130)	—	14	(116)	—
Total bonds payable			18,389	—	(1,294)	17,095	1,321
2009 Series C Certificates of participation (COPs)	2.00 - 5.00	2022	3,437	—	(277)	3,160	287
2009 Series C COPs issuance premiums			224	—	(42)	182	—
2009 Series D COPs (Build America)	6.36 - 6.49	2041	12,593	—	—	12,593	—
Other post-employment benefits obligation			11,038	2,317	(906)	12,449	—
Accrued vacation and sick leave			2,240	1,325	(1,242)	2,323	1,289
Accrued workers' compensation			1,670	533	(509)	1,694	303
Damage claims liability			2,721	1,759	(1,804)	2,676	728
Pollution remediation obligation			—	186	—	186	—
Total			$ 52,312	6,120	(6,074)	52,358	3,928

* After adjusting for the federal interest subsidy, the true interest cost for the certificates of participation 2009 Series D issued as Build America Bonds is 4.3%, 1.2% for the QECBs, and 1.5% for the NCREBs, respectively.

	Interest rate*	Maturity (Calendar Year)	July 1, 2012	Additions	Reductions	June 30, 2013	Due within one year
Bonds:							
Clean Renewable Energy Bonds	0.00 %	2022	$ 4,637	—	(422)	4,215	422
Qualified Energy Conservation Bonds	4.74	2027	8,291	—	(443)	7,848	498
New Clean Renewable Energy Bonds	4.74	2028	6,600	—	(144)	6,456	388
Less issuance discount			(144)	—	14	(130)	—
Total bonds payable			19,384	—	(995)	18,389	1,308
2009 Series C Certificates of participation (COPs)	2.00 - 5.00	2022	3,705	—	(268)	3,437	277
2009 Series C COPs issuance premiums			273	—	(49)	224	—
2009 Series D COPs (Build America)	6.36 - 6.49	2041	12,593	—	—	12,593	—
Other post-employment benefits obligation			9,247	2,637	(846)	11,038	—
Accrued vacation and sick leave			2,122	1,207	(1,089)	2,240	1,186
Accrued workers' compensation			1,614	389	(333)	1,670	292
Damage claims liability			2,376	1,682	(1,337)	2,721	888
Total			$ 51,314	5,915	(4,917)	52,312	3,951

* After adjusting for the federal interest subsidy, the true interest cost for the certificates of participation 2009 Series D issued as Build America Bonds is 4.3%, 1.2% for the QECBs, and 1.5% for the NCREBs, respectively.

(a) Clean Renewable Energy Bonds

Hetchy Power issued $6,325 in CREBs on November 7, 2008 to finance the installation of solar energy equipment on City-owned facilities, including Chinatown Branch Library, Maxine Hall Medical Center, City Distribution Division Warehouse, North Point Wastewater, Chinatown Public Health Center, Municipal Transportation Agency Woods Facility, and Solar Energy Facility. **Hetchy Power** has not previously issued debt and has instead historically relied on revenue from ratepayers to fund renewable energy projects. CREBs provide the SFPUC with low-cost access to capital to further its green power objectives.

Hetchy Power began making principal payments in the amount of $422 on December 15, 2008 and will continue annual payments for 15 years until December 15, 2022. Funding for these payments

will be guaranteed by net power revenues. Interest payments are not required, since the effective equivalent of interest on the bonds is paid in the form of federal tax credits in lieu of interest paid by the issuer.

The future annual debt service relating to the CREBs outstanding as of June 30, 2014 is as follows:

Hetchy Power - Clean Renewable Energy Bonds

	Principal
Fiscal years ending June 30:	
2015	$ 422
2016	422
2017	422
2018	422
2019	422
2020-2023	1,683
	3,793
Less: Current portion	(422)
Less: Unamortized bond discount	(116)
Long-term portion as of June 30, 2014	$ 3,255

(b) Qualified Energy Conservation Bonds

In October 2011, Hetchy Power issued $8,291 of taxable QECBs. The QECBs were issued to fund certain qualified green components for the SFPUC's 525 Golden Gate Headquarters project. The QECBs were non-rated and privately-placed with Bank of America Leasing. The net effective interest rate on the QECBs, after the federal tax subsidy, is 1.2% through 2028.

The future annual debt service relating to the QECBs outstanding as of June 30, 2014 is as follows:

Hetchy Power - Qualified Energy Conservation Bonds

	Principal	Interest before subsidy	Federal interest subsidy*	Interest net of subsidy
Fiscal years ending June 30:				
2015	$ 505	342	(237)	105
2016	511	318	(221)	97
2017	517	294	(204)	90
2018	523	270	(187)	83
2019	529	245	(170)	75
2020-2024	2,744	840	(582)	258
2025-2028	2,021	192	(134)	58
	7,350	2,501	(1,735)	766
Less: Current portion	(505)			
Long-term portion as of June 30, 2014	$ 6,845			

* The SFPUC received IRS notice dated February 24, 2014 that the federal interest subsidy on the QECBs is reduced by 7.2% or a total reduction of $134 due to sequestration.

(c) *New Clean Renewable Energy Bonds*

In April 2012, Hetchy Power issued $6,600 of new taxable NCREBs. The NCREBs were issued to fund certain qualified facilities that will provide clean, renewable energy at Davies Symphony Hall, City Hall, and University Mound Reservoir. The NCREBs were non-rated and privately-placed with Bank of America Leasing. The net effective interest rate on the NCREBs, after the federal tax subsidy, is 1.5% through 2028.

The future annual debt service relating to the NCREBs outstanding as of June 30, 2014 is as follows:

Hetchy Power - New Clean Renewable Energy Bonds

	Principal	Interest before subsidy	Federal interest subsidy*	Interest net of subsidy
Fiscal years ending June 30:				
2015	$ 394	283	(182)	101
2016	399	264	(170)	94
2017	405	245	(158)	87
2018	411	226	(145)	81
2019	417	206	(133)	73
2020-2024	2,180	728	(468)	260
2025-2028	1,862	202	(128)	74
	6,068	2,154	(1,384)	770
Less: Current portion	(394)			
Long-term portion as of June 30, 2014	$ 5,674			

* The SFPUC received IRS notice dated February 24, 2014 that the federal interest subsidy on the New Clean Renewable Energy bonds is reduced by 7.2% or a total reduction of $107 due to sequestration.

(d) *Certificates of Participation Issued for the 525 Golden Gate Headquarters Project*

In October 2009, the City issued $167,670 in certificates of participation to fund construction of the headquarters of the SFPUC at 525 Golden Gate Avenue. The 2009 Series C certificates were issued for $38,120 and 2009 Series D for $129,550 as "Build America Bonds" (BABs) on a taxable basis under the 2009 American Recovery and Reinvestment Act. The 2009 Series C certificates carry interest rates ranging from 2.0% to 5.0% and mature on November 1, 2022. The 2009 Series D certificates carry interest rates ranging from 6.4% to 6.5% and mature on November 1, 2041. After adjusting Series D for the federal interest subsidy, the true interest cost averages 3.4% and 4.3% for Series C and Series D certificates, respectively.

Under the terms of a Memorandum of Understanding between the City and the SFPUC dated October 1, 2009, the City conveyed the real property to the Trustee, the Bank of New York Mellon Trust Company, N.A., which was replaced by U.S. Bank in March 2014 under a property lease in exchange for the proceeds of the sale of the certificates. The Trustee has leased the property back to the City for the City's use under a Project Lease. The City is obligated under the Project Lease to pay base rental payments and other payments to the Trustee each year during the 32 year term of the Project Lease. The Commission makes annual base rental payments to the City for the building equal to annual debt service on the certificates. It is anticipated these lease costs will be offset with reductions in costs associated with current office rental expense. The Power Enterprise's share is reflected on the Hetchy Power fund statements.

The Power, Water, and Wastewater Enterprises have ownership interest in the building equal to their projected usage of space as follows: Water (73%), Wastewater (15%), and Power (12%). Similarly, each Enterprise is responsible for a portion of the annual Base Rental Payment based on their ownership percentages less contributed equity. The percentage share of Base Rental Payments for the Enterprises is as follows: Water (71.4%), Wastewater (18.9%), and Power (9.7%).

The future annual debt service relating to the certificates of participation 2009 Series C outstanding as of June 30, 2014 is as follows:

Hetchy Power - Certificates of Participation 2009 Series C (Tax Exempt)

	Principal	Interest	Total
Fiscal years ending June 30:			
2015	$ 287	149	436
2016	299	136	435
2017	315	121	436
2018	331	105	436
2019	348	88	436
2020-2023	1,580	163	1,743
	3,160	762	3,922
Less: Current portion	(287)		
Add: Unamortized bond premium	182		
Long-term portion as of June 30, 2014	$ 3,055		

The following table presents the future annual debt service relating to the certificates of participation 2009 Series D outstanding as of June 30, 2014. The federal interest subsidy represents 35% of the interest:

Hetchy Power - Certificates of Participation 2009 Series D (Taxable BABs)

	Principal	Interest before subsidy	Federal interest subsidy*	Interest net of subsidy
Fiscal years ending June 30:				
2015	$ —	812	(264)	548
2016	—	812	(264)	548
2017	—	812	(264)	548
2018	—	812	(264)	548
2019	—	812	(264)	548
2020-2024	445	4,048	(1,315)	2,733
2025-2029	2,520	3,533	(1,148)	2,385
2030-2034	3,099	2,637	(856)	1,781
2035-2039	3,822	1,519	(493)	1,026
2040-2042	2,707	271	(87)	184
Total		16,068	(5,219)	10,849
Long-term portion as of June 30, 2014	$ 12,593			

* The SFPUC received IRS notice dated February 24, 2014 that the federal interest subsidy on the 2009 Series D bonds is reduced by 7.2% or a total reduction of $405 due to sequestration.

(7) Revenue Pledge

Hetchy Power has pledged future power revenues to repay QECBs, and NCREBs which were issued in fiscal year 2012. Additionally, **Hetchy Power** has pledged future power revenues for CREBs which were issued in fiscal year 2009. Proceeds from the bonds provided financing for various capital construction and facility energy efficiency projects. The bonds are payable through fiscal year 2028 and are solely from net power revenues of **Hetchy Power**.

The original amount of bonds issued, total principal and interest remaining, principal and interest paid, during fiscal years 2014 and 2013, and funds available for bond debt service are as follows:

	2014	2013
Bonds issued with revenue pledge	$ 21,216	21,216
Principal and interest remaining due at the end of the year	21,866	23,841
Principal and interest paid during the year	1,975	1,907
Funds available for bond debt service	16,453	14,697

(8) Other Non-Operating Revenue – Trans Bay Cable Construction and Licensing Fees

In 2007, the Board of Supervisors adopted the resolution to enter into two non-exclusive licenses with the Trans Bay Cable LLC (the Licensee) for the Trans Bay Cable Project. The Licensee proposed to install, operate, and maintain approximately 53 miles of high-voltage direct current transmission cable running from the City of Pittsburg to the City. The first license is a Construction License to install a 400 MW high-voltage transmission line, with a four-year term. The Licensee has paid **Hetchy Power** $3,500 in "Renewable Energy, Transmission and Grid Reliability Payment." Per the License agreement, the SFPUC shall use the payments for study and development of two City-owned transmission projects, a Newark-San Francisco Project and a Potrero-Embarcadero Project. Discussions with the State of California Independent System Operator (CAISO) began in fiscal year 2013, and are in progress to gain policy guidance in determining transmission options as of June 2014. Of the $3,500, only $1,260 has been spent to date. For fiscal years ended June 30, 2014 and 2013, expenses were $24 and $0, respectively.

The second license is an Operational License for operation of the transmission line with 25-year term and an option to renew for 10 years. The Licensee agrees to pay **Hetchy Power** in excess of $20,000 in 10 separate installments of $2,000 annually with adjustments for inflation, as the "San Francisco Electric Reliability Payment" to implement, advance, promote, or enhance policies and projects consistent with City Energy Policies. The project came on line November 29, 2010, and **Hetchy Power** received the first installment of $2,000. As of June 30, 2014, accumulative revenues to date of $8,329 were recorded. For fiscal years ended June 30, 2014 and 2013, $2,157 and $2,115 respectively, of revenue have been recorded. Per agreement, the SFPUC shall consult with Departments of Environment and Public Health, as well as community members, including the Power Plant Task Force, in developing its proposals to the Board of Supervisors for how to spend the San Francisco Electricity Reliability Payment, and shall consider specifically renewable energy, conservation, and environmental health programs which benefit low-income, at-risk, and environmentally disadvantaged communities. The San Francisco Electricity Reliability Payment shall also be partly used for green jobs training and placement programs which benefit low-income, at-risk, and environmentally disadvantaged communities. As of June 30, 2014, accumulative expenses of $1,298 have been lower than accumulative revenues but are expected to increase significantly in fiscal year 2015. For fiscal years ended June 30, 2014 and 2013, expenses were $934 and $363 respectively.

(9) Employee Benefits

(a) Retirement Plan

Plan Description – Hetch Hetchy participates in the City's single-employer defined benefit retirement plan (the Plan), which is administered by the San Francisco City and County Employees' Retirement System (the Retirement System). The Plan covers substantially all full-time employees of Hetch Hetchy along with other employees of the City. The Plan provides basic service retirement, disability, and death benefits based on specified percentages of final average salary and provides cost-of-living adjustments (COLA) after retirement. The Plan also provides pension continuation benefits to qualified survivors. The San Francisco City and County Charter and Administrative Code are the authorities that establish and amend the benefit provisions and employer obligations of the Plan.

Funding Policy – Contributions to the basic Plan are made by both Hetch Hetchy and its employees. Employee contributions are mandatory. Employee contribution rates for fiscal years 2014, 2013 and 2012 varied from 7.5% to 13.0% as a percentage of covered payrolls. In addition, Hetch Hetchy was required to contribute for the fiscal years ended June 30, 2014, 2013, and 2012, at an actuarially determined contribution rate as a percentage of covered payrolls of 24.8%, 20.7% and 18.1%, respectively. Hetch Hetchy contributed 100% of its required contribution of $6,182 in 2014, $4,966 in 2013, and $4,540 in 2012. Hetchy Water's share of the contribution for the fiscal years 2014 and 2013 were $2,782 and $2,235, respectively, or 45% and **Hetchy Power's** share of the contribution were $3,400 and $2,731, respectively, or 55%.

Proposition B, a City Charter Amendment Changing Qualifications for Retiree Health and Pension Benefits and Establishing a Retiree Health Care Trust Fund (RHCTF), was passed by voters on June 3, 2008, and increased the years of service required to qualify for employer-funded retiree health benefits for City employees who retire under the San Francisco Employees Retirement System (the Retirement System) and were hired on or after January 10, 2009. Employees hired before January 10, 2009, became eligible to participate in the retirement health care system after five years of service and the employer paid 100% of the contribution. Proposition B also stated that a separate RHCTF would be created to pay for the City's future costs related to retiree health care. This trust fund will be funded by employer and employee contributions for employees hired on or after January 10, 2009. These new employees would contribute up to 2% of their pre-tax pay, and employers would contribute 1%.

Proposition C, a City Charter Amendment Changing Qualifications for Retiree Health and Pension Benefits and Establishing a RHCTF, was passed by voters on November 8, 2011, and created new Retirement System benefit plans for Miscellaneous and Miscellaneous Safety employees commencing employment on or after January 7, 2012. Proposition C raised the minimum service retirement age for Miscellaneous members from 50 to 53; limited covered compensation to 85% of the IRC §401(a)(17) limits for Miscellaneous members and 75% of the IRC §401(a)(17) limits for Miscellaneous Safety members; calculated final compensation using highest three-year average compensation; decreased vesting allowances for Miscellaneous members by lowering the City's funding for a portion of the vesting allowance from 100% to 50%; and provided that employees commencing employment on or after January 7, 2012, otherwise eligible for membership in CalPERS may become members of the Retirement System.

Effective July 1, 2012, Proposition C provides for an increase or decrease of employee contributions to the Retirement System for certain Retirement System members based on the employer

contribution rate set by the Retirement Board for that year (e.g. Miscellaneous employees who earn less than $50 per year would pay the minimum Charter-mandated employee contribution rate; Miscellaneous employees who earn between $50 and $100 per year would pay a fluctuating contribution rate in the range of +4% to -4% of the Charter-mandated employee contribution rate; and Miscellaneous employees who earn $100 or more per year would pay a fluctuating contribution rate in the range of +5% to -5% of the Charter-mandated employee contribution rate. Similar fluctuating employee contributions are required from Safety employees also); and provides that, effective July 1, 2012, no Supplemental COLA will be paid unless the Retirement System is fully funded on a market value of assets basis and, for employees hired on or after January 7, 2012, Supplemental COLA benefits will not be permanent adjustments to retirement benefits - in any year when a Supplemental COLA is not paid, all previously paid Supplemental COLAs will expire.

The San Francisco RHCTF was established in December 2010 by the Retiree Health Trust Fund Board of the City. The RHCTF was established to receive employer and employee contributions prescribed by the Charter for the purpose of pre-funding certain postretirement health benefits. Proposition B requires employees hired on or after January 10, 2009 to contribute 2% of pay and the employer to contribute 1% of pay. Between January 10, 2009 and the establishment of the RHCTF, contributions were set aside and deposited into the RHCTF when it was established. Proposition C also requires all employees hired on or before January 9, 2009 to contribute 0.25% of pay to the RHCTF commencing July 1, 2016, increasing annually by 0.25% to a maximum of 1.0% of pay. The employer is required to contribute an equal amount. The RHCTF is currently invested in short-term fixed income securities. The RHCTF may not pay benefits from the Trust before January 1, 2020.

The Retirement System issues a publicly available financial report at a citywide level that includes financial statements and required supplementary information for the Plan. That report may be obtained by writing to the San Francisco City and County Employees' Retirement System, 30 Van Ness Avenue, Suite 3000, San Francisco, CA 94102, or by calling (415) 487-7020.

(b) Health Care Benefits

Health care benefits for Hetch Hetchy employees, retired employees, and surviving spouses are financed by beneficiaries and by the City through the City and County of San Francisco Health Service System (the Health Service System). Hetch Hetchy's annual contribution for both active and retired employees was $5,867 and $5,768 in fiscal years 2014 and 2013, respectively. Included in these amounts are $1,648 and $1,539 for 2014 and 2013, respectively, to provide post-retirement benefits for Hetch Hetchy's retired employees, on a pay-as-you-go basis.

The City has determined a citywide Annual Required Contribution (ARC), interest on net other post-employment benefits (OPEB) other than pensions obligation, ARC adjustment, and OPEB cost based upon an actuarial valuation performed in accordance with GASB Statement No. 45, by the City's actuaries. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost of each year and any unfunded actuarial liabilities (or funding excess) amortized over 30 years. The City's allocation of the OPEB related costs to Hetch Hetchy for the year ended June 30, 2014 based upon its percentage of citywide payroll costs is presented below.

The following tables show the components of the City's annual OPEB allocations for Hetch Hetchy for the years ended June 30, 2014 and 2013, for the amounts contributed to the plan, and changes in the City's net OPEB obligation:

Fiscal Year 2014		Hetchy Water	Hetchy Power	Total Hetch Hetchy Water and Power
Annual required contribution	$	1,832	2,238	4,070
Interest on net OPEB obligation		383	469	852
Adjustment to ARC		(320)	(390)	(710)
Annual OPEB cost		1,895	2,317	4,212
Contribution made		(742)	(906)	(1,648)
Increase in net OPEB obligation		1,153	1,411	2,564
Net OPEB obligation – beginning of year		6,521	11,038	17,559
Net OPEB obligation – end of year	$	7,674	12,449	20,123

Fiscal Year 2013		Hetchy Water	Hetchy Power	Total Hetch Hetchy Water and Power
Annual required contribution	$	2,108	2,576	4,684
Interest on net OPEB obligation		296	361	657
Adjustment to ARC		(245)	(300)	(545)
Annual OPEB cost		2,159	2,637	4,796
Contribution made		(693)	(846)	(1,539)
Increase in net OPEB obligation		1,466	1,791	3,257
Net OPEB obligation – beginning of year		5,055	9,247	14,302
Net OPEB obligation – end of year	$	6,521	11,038	17,559

The City issues a publicly available financial report at a citywide level that includes the complete note disclosures and required supplementary information related to the City's post-retirement health care obligations. The report may be obtained by writing to the City and County of San Francisco, Office of the Controller, 1 Dr. Carlton B. Goodlett Place, Room 316, San Francisco, CA 94102, or by calling (415) 554-7500.

(10) Related Parties

(a) Hetch Hetchy Water and Power

Various common costs incurred by the SFPUC are allocated pro-ratably among Hetch Hetchy including the Power, Water, and the Wastewater Enterprises. The allocations are based on the SFPUC management's best estimate and may change from year to year depending on the activities incurred by each Enterprise and the information available. For the years ended June 30, 2014 and 2013, the SFPUC allocated $12,426 or 16.2% and $12,848 or 16.6%, respectively, in administrative costs to Hetch Hetchy, which is included in the financial statements under various expense categories. These costs are then allocated to Hetchy Water and **Hetchy Power** in the Hetch Hetchy financial statements, using the periodically reviewed department overhead allocation model.

The City performs certain administrative services such as maintenance of accounting records and investment of cash for all fund groups within the City. The various funds are charged for these

services based on the City's indirect cost allocation plan. The overhead allocation paid to the General Fund of the City by Hetch Hetchy was $83 and $552 for the years ended June 30, 2014 and 2013, respectively, and is included in other operating expenses in the accompanying financial statements.

The fiscal year 2014 payment of $83 reflects the true-up adjustment between projection and actual. Some City departments provide direct services such as engineering, purchasing, legal, data processing, telecommunication, and human resources to Hetch Hetchy and charge amounts designed to recover those departments' costs. These charges totaling approximately $6,788 and $6,708 for the years ended June 30, 2014 and 2013, respectively, have been included in services provided by other departments in the accompanying financial statements.

SFPUC's 75-year lease agreement with the San Francisco Recreation and Parks Department, for the use of parking spaces for its fleet of vehicles at the Civic Center Garage, commenced on February 1, 2011. Total payment under this agreement is $6,274, with one more prepayment of $274 due in fiscal year 2015. The expenses and prepayments among the three SFPUC Enterprises are based on 525 Golden Gate occupancy. As of fiscal year ended June 30, 2014, Hetch Hetchy's allocable shares of expenses and prepayment were $16 and $984, respectively, and as of June 30, 2013 were $15 and $714, respectively.

(b) Hetchy Water

The Water Enterprise purchases water from Hetchy Water. Included in the operating revenues are the water assessment fees of $33,309 and $35,072 for the years ended June 30, 2014 and 2013, respectively. The water assessment fees represent a recovery to fund upcountry, water-related costs that are not otherwise funded through Hetchy water-related revenue or Water revenue bonds.

(c) Hetchy Power

During 2014 and 2013, **Hetchy Power** delivered power and gas without charge to certain City departments, which amounted to $1,231 and $1,050, respectively, based on metered usage and what would otherwise be the applicable power rates. These amounts were excluded from operating revenues in the accompanying financial statements.

Included in 2014 and 2013 operating revenues are sales of power to departments within the City of $73,095 and $64,116, respectively, excluding free power noted above.

The Water Enterprise also purchases electricity from **Hetchy Power**. This amount totaled $8,653 and $8,419 for the years ended June 30, 2014 and 2013, respectively.

The Wastewater Enterprise purchases electricity from **Hetchy Power**. This amount totaled $9,154 and $8,388 for the years ended June 30, 2014 and 2013, respectively.

Hetchy Power facilitates all electric and gas service connections between PG&E and City departments. In this capacity, **Hetchy Power** facilitates and coordinates the terms and payment for the service connections that are performed by PG&E. As of June 30, 2014 and 2013, there were no outstanding amounts due from City departments related to this work. In the event **Hetchy Power** received money from PG&E after project completion, monies are to be refunded to the City departments for their respective credits.

Hetchy Power serves as the City's agency for energy efficiency projects and maintains the Sustainable Energy Account (SEA) (formerly known as the Mayor's Energy Conservation Account) fund to sponsor and financially support such projects at various City departments. In this role, **Hetchy Power** may secure low-interest financing to supplement funds available in the SEA fund. At June 30, 2014 and 2013, projects completed or underway throughout the City amounted to $9,944 and $11,217, respectively, and are recorded as due from other government agencies.

Besides funding the SEA projects, in fiscal year 2010 Hetch Hetchy funded a project for the Treasure Island Development Authority and recorded $2,599 as due from other government agencies. **Hetchy Power** and the Moscone Center have renegotiated the memoranda of understanding to extend the payment terms of the receivables to match the useful life of underlying assets.

As of June 30, 2014 and 2013, **Hetchy Power** recorded receivables of $1,473 and $1,573, respectively, due from the Wastewater Enterprise for its share of costs relating to 525 Golden Gate Headquarters project for living machine system. Details of these projects are as follows:

	2014	2013
Moscone Center	$ 8,100	8,606
San Francisco General Hospital	945	1,198
San Francisco Department of Public Health	328	475
Port of San Francisco	276	505
Wastewater	295	433
Total SEA-related projects	9,944	11,217
Treasure Island Development Authority	2,599	2,599
Wastewater - 525 Golden Gate Headquarters Project	1,473	1,573
Total due from other governmental agencies	14,016	15,389
Less: current portion	(1,273)	(1,372)
Long-term portion as of June 30	$ 12,743	14,017

(11) Risk Management

The Enterprise's Risk Management program includes both self-insured (i.e. self-retention) and insured exposures at risk. Risk assessments and purchasing of insurance coverage are collaboratively coordinated by SFPUC Enterprise Risk Management and the City's Office of Risk Management. With certain exceptions, the City and the Enterprise's general approach is to first evaluate the exposure at risk for self-insurance. Based on this analysis, internal mitigation strategies and financing through a "self-retention" mechanism is generally more economical as the SFPUC, in coordination with the City Attorney's Office, administers, adjusts, settles, defends, and pays claims from budgeted resources (i.e. pay-as-you-go fund). When economically more viable or when required by debt financing covenants, the Enterprise obtains commercial insurance. At least annually, the City actuarially determines general liability and workers' compensation risk exposures. The Enterprise does not maintain commercial earthquake coverage, with certain minor exceptions, such as a sublimit for fire-sprinkler leakage due to earthquake under the Property Insurance program.

Primary Risks	Typical Coverage Approach
General liability	Self-Insured
Property	Purchased Insurance and Self-Insured
Electronic data processing	Purchased Insurance and Self-Insured
Workers' compensation	Self-Insured through Citywide Pool

Other Risks	Typical Coverage Approach
Surety bonds	Purchased and Contractually Transferred
Errors and omissions	Combination of Self-Insured and Contractual Risk Transfer
Professional liability	Combination of Self-Insured and Contractual Risk Transfer
Public officials liability	Purchased Insurance
Employment practices liability	Purchased Insurance
Builders' risk	Contractually Transferred
Crime	Purchased Insurance

(a) General Liability

Through coordination with the Controller and the City Attorney's Office, the general liability risk exposure is actuarially determined and is addressed through pay-as-you-go funding as part of the budgetary process. Associated costs and estimates are booked as expenses as required under GAAP for financial statement purposes for both the Enterprise and the City and County of San Francisco's CAFR. The claim expense allocations are determined based on actuarially determined anticipated claim payments and the projected timing of disbursement.

The changes for the general liability for the years ended June 30, 2014 and 2013 are as follows:

Fiscal years		Beginning of year	Claims and changes in estimates	Claims paid	End of year
Hetch Hetchy Water and Power					
2013	$	2,671	2,698	(1,932)	3,437
2014		3,437	2,775	(3,318)	2,894
Hetchy Water					
2013	$	295	1,016	(595)	716
2014		716	1,016	(1,514)	218
Hetchy Power					
2013	$	2,376	1,682	(1,337)	2,721
2014		2,721	1,759	(1,804)	2,676

(b) Property and Electronic Data Processing

The Enterprise's property risk management approach varies depending on whether the facility is currently under construction, the property is part of revenue-generating operations, the property is of high value, or is mission-critical in nature. During the course of construction, the Enterprise requires each contractor to provide its own insurance, while ensuring the full scope of work be covered with satisfactory levels to limit the Enterprise's risk exposure. Once construction is complete, the Enterprise performs an assessment to determine whether liability/loss coverage will be obtained through the commercial Property policy or self-insurance. The majority of property scheduled in the insurance program is for either: 1) revenue-generating facilities, 2) debt-financed facilities,

3) mandated coverage to meet statutory requirements for bonding of various public officials, or 4) high-value mission-critical property or equipment. The Electronic Data Processing policy protects selected high-value electronic property in case of damage or loss.

(c) Workers' Compensation

The City actuarially determines and allocates workers' compensation costs to the Enterprise according to a formula based on the following: (i) the dollar amount of claims; (ii) yearly projections of payments based on historical experience; and (iii) the size of the Enterprise's payroll. The administration of workers' compensation claims and payouts are handled by the Workers' Compensation Division of the City's Department of Human Resources. Statewide workers' compensation reforms have resulted in budgetary savings in recent years. The City continues to develop and implement improved programs, such as return-to-work programs, to lower or mitigate the growth of workers' compensation costs. Programs include accident prevention, investigation, and duty modification for injured employees with medical restrictions so return to work can occur as soon as possible.

The changes for the workers' compensation liabilities for the years ended June 30, 2014 and 2013 are as follows:

Fiscal years	Beginning of year	Claims and changes in estimates	Claims paid	End of year
Hetch Hetchy Water and Power				
2013	$ 2,321	610	(508)	2,423
2014	2,423	808	(764)	2,467
Hetchy Water				
2013	$ 707	221	(175)	753
2014	753	275	(255)	773
Hetchy Power				
2013	$ 1,614	389	(333)	1,670
2014	1,670	533	(509)	1,694

(d) Surety Bonds

Bonds are required in most phases of the public utilities construction contracting process for such phases, as bid, performance, and payment or maintenance. Additionally, bonds may be required in other contracts where goods or services are provided to ensure compliance with applicable terms and conditions such as warranty.

(e) Errors and Omissions, Professional Liability

Errors and omissions and professional liability are commonly transferred through contract to the contracted professional, or retained through self-insurance on a case-by-case basis depending on the size, complexity, or scope of construction or professional service contracts. Examples of such contracts are inclusive of services provided by engineers, architects, design professionals, and other licensed or certified professional service providers.

(f) Public Officials Liability, Employment Practices Liability

All Enterprise public officials with financial oversight responsibilities are provided coverage through a commercial Public Officials Liability policy. An Employment Practices Liability policy is retained to protect against employment-related claims and liabilities.

(g) Builders' Risk

Builders' Risk policies of insurance are required to be provided by the contractor on all construction projects for the full value of construction.

(h) Crime

The Enterprise also retains a commercial crime policy, in lieu of bonding its employees, to provide coverage against liabilities or losses due to third-party crime or employee fraud.

(i) Energy Risk Management

Similar to other electric utilities with a heavy reliance on hydro-electric generation, Hetch Hetchy is exposed to risks that could impact its ability to generate net revenues to fund operating and capital investment activities. Hydroelectric generation facilities in the Sierra Nevada are the primary source of electricity for Hetch Hetchy. For this reason, the Hetch Hetchy revenues can vary with watershed hydrology, unexpected generator outages, and market prices for energy. Given the inherent risk for all hydroelectric generation, several risk management interventions have been developed to mitigate exposure.

(12) Commitments and Litigation

(a) Commitments

As of June 30, 2014 and 2013, Hetch Hetchy has outstanding commitments with third parties of $23,203 and $26,992, respectively, for various capital projects and other purchase agreements for materials and services.

Hetchy Water

To meet certain requirements of the Don Pedro Reservoir operating license, the City entered into an agreement with the Modesto Irrigation District (MID) and Turlock Irrigation District (TID) in which the Districts would be responsible for an increase in water flow releases from the reservoir in exchange for annual payments from the City, which are included in Hetchy Water's operating expenses. The payment amounts were $4,509 and $4,429 in fiscal years 2014 and 2013, respectively. The payments are to be made for the duration of the license, but may be terminated with one year's prior written notice after 2001. The City and the Districts have also agreed to monitor the fisheries in the lower Tuolumne River for the duration of the license. A maximum monitoring expense of $1,400 is to be shared between the City and the Districts over the term of the license. The City's share of the monitoring costs is 52%, while the Districts are responsible for 48% of the costs.

Hetchy Power

District Sales

In April 1988, **Hetchy Power** entered into two separate long-term power sales agreements (the Agreement) with the two irrigation districts, the MID and TID. Both Agreements expire on June 30, 2015.

The Agreement with MID has been amended, effective January 1, 2008, removing **Hetchy Power's** obligation to provide firm power and eliminated MID's rights to excess energy from the project.

In April 2005, **Hetchy Power** amended the terms of the Agreement with TID, terminating **Hetchy Power's** obligation to provide TID firm power, and retaining TID's rights to excess energy from the project through the term of the Agreement.

The SFPUC will continue to comply with the Raker Act by making Hetch Hetchy generated hydropower available at cost to MID and TID for their agricultural pumping and municipal loads as energy from the Hetch Hetchy project is available after meeting the SFPUC's municipal load obligations. For fiscal years 2014 and 2013, energy sales to the Districts totaled 103,489 Megawatt hours (MWh) or $3,463 and 227,544 MWh or $8,266, respectively. The decrease was a result of drought condition in California.

1987 Interconnection Agreement

In 1987 the City entered into an interconnection agreement with PG&E to provide transmission, supplemental energy services and distribution services on PG&E's system to deliver power to the City's customers. The agreement was renegotiated in 2007 and will expire on July 1, 2015. During fiscal years 2014 and 2013, **Hetchy Power** purchased $13,834 and $13,920, respectively, of transmission, distribution services, and other support services from PG&E under the terms of the agreement.

The Interconnection Agreement with PG&E also contains a contractual provision allowing Hetch Hetchy to bank **Hetchy Power** produced in excess of its load obligations, with a maximum of 110,000 MWh. During fiscal year 2014, **Hetchy Power** generated 1,021,667 MWh of power, banked (deposited) in the Deferred Delivery Account (DDA) 105,184 MWh and used (withdrew) 122,280 MWh. At June 30, 2014 and 2013, the balance in the bank was 78,502 MWh or $2,821 and 95,598 MWh or $2,991, respectively.

Western System Power Pool

Hetchy Power may purchase or sell energy with different market entities through the Western System Power Pool (WSPP). During fiscal year 2014 and 2013, **Hetchy Power** purchased $2,650 and $732 of power, respectively. Sales of excess power, after meeting Hetch Hetchy's obligations, were 2,400 MWh, or $127 for 2014 and 131,200 MWh, or $5,143 for 2013. The decrease was a result of drought condition in California.

Power Purchase Agreement (PPA)

Hetchy Power (Buyer) purchases energy, capacity and environmental attributes from a solar photovoltaic project located at Sunset Reservoir (the facility) pursuant to the 2009 25-year Power Purchase Agreement (PPA) with DEGSolar, LLC, owned by Duke Energy (Seller). In November 2010, the facility commenced commercial operation and began to provide **Hetchy Power** energy generated by the facility.

The PPA sets the purchase price of generated energy at $235/MWh, increased by 3% each year throughout the term of the agreement and it is expected that the facility will generate 6,560 MWh per year. In fiscal year 2014, the facility generated 6,705 MWh. In the event that the facility generates more energy than expected due to better than normal meteorological conditions, the PPA requires the Buyer to purchase all the excess energy but generation in excess of 120% of expected is purchased at no cost. The PPA also requires the Seller to generate a minimum amount of energy from the facility annually. If energy production falls below 50% of expected, the Seller must provide replacement power, and if energy falls below 90% of expected, the price for energy generated is lowered. In fiscal years 2014 and 2013, purchases of energy under the Agreement were $1,758 or 6,705 MWh, and $1,761 or 6,902 MWh, respectively.

(b) Litigation

Hetch Hetchy is a defendant in various legal actions and claims that arise during the normal course of business. The final disposition of these legal actions and claims is not determinable. However, in the opinion of management, the outcome of any litigation of these matters will not have a material effect on the financial position or changes in net position of Hetch Hetchy.

(c) Environmental Issue

The City and the Enterprise have been listed as potential responsible parties to commence clean-up activities related to the Rim Fire, in Tuolumne County and the Stanislaus National Forest, which began on August 17, 2013. The clean-up effort includes removal of hazardous debris from multiple locations. The pollution remediation obligation reported in the accompanying Statements of Net Position was based on estimated contractual costs. The balances as of June 30, 2014 and 2013 were $186 and $0, respectively.

(13) Rim Fire

The Rim Fire, the third largest in California history, began on August 17, 2013 and burned over 257,135 acres. This Rim Fire event was considered unusual, infrequent, material, and reported accordingly as an extraordinary item in the financial statements.

As of June 30, 2014, approximately $8,289 in damages to facilities and infrastructure, and $7,554 in emergency response, clearing of roads, slopes and bridges, and debris removal, have been incurred, totaling $15,843. Of these expenses, $8,331 costs were considered as extraordinary loss. In addition to the $15,843 costs incurred, Hetch Hetchy recognized an impairment loss of $939 to building structures and construction in progress, including Holm Powerhouse mechanical and electrical equipment, and the fiber optic line. Additionally, as a result of the fire damage to creosote treated power poles, **Hetchy Power** recorded $186 in pollution remediation obligation as debris from the poles pose a potential threat if washed into nearby waterways. Capital asset impairment loss of $939 and purchased and banked power of $1,026 were netted with the $3,453 insurance recoveries SFPUC received for damages sustained. For the year ended June 30, 2014, Hetch Hetchy recorded an extraordinary loss of $6,843, net of impairment loss and insurance recovery.

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APPENDIX C

PROPOSED FORM OF OPINION OF CO-BOND COUNSEL

[Closing Date]

Public Utilities Commission of the
City and County of San Francisco
San Francisco, California

Public Utilities Commission of the
City and County of San Francisco
Power Revenue Bonds, 2015 Series AB
(Final Opinion)

Ladies and Gentlemen:

We have acted as co-bond counsel to the Public Utilities Commission of the City and County of San Francisco (the "Issuer") in connection with the issuance of $39,555,000 aggregate principal amount of Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series AB (the "Bonds"), issued pursuant to a Trust Indenture dated as of May 1, 2015 (the "Master Indenture") and a First Supplemental Trust Indenture dated as of May 1, 2015 (the "First Supplemental Indenture" and collectively with the Master Indenture, the "Indenture"), between the Issuer and U.S. Bank National Association, as trustee (the "Trustee"). The Bonds are being issued in two sub-series: Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series A (Green Bonds), in the aggregate principal amount of $32,025,000, and Public Utilities Commission of the City and County of San Francisco Power Revenue Bonds, 2015 Series B, in the aggregate principal amount of $7,530,000. Capitalized terms not otherwise defined herein shall have the meanings set forth in the Indenture.

In such connection, we have reviewed the Indenture, the Tax Certificate executed by the Issuer in connection with the Bonds, dated the date hereof (the "Tax Certificate"), certificates of the Issuer, the Trustee, and others, opinions of counsel to the Issuer and the Trustee and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this opinion speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this opinion. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the Issuer. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against cities and counties in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue,

waiver or severability provisions contained in the foregoing documents nor do we express any opinion with respect to the state or quality of title to or interest in any of the assets described in or subject to the lien of the Indenture or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding special limited obligations of the Issuer.

2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Issuer, and the Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of Revenues, after payment of Operation and Maintenance Expenses and any Priority R&R Fund Deposits, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth therein.

3. Interest on the Bonds is excluded from gross income for federal income tax purposes under section 103 of the Internal Revenue Code of 1986 and interest on the Bonds is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although we observe that interest on the Bonds is included in adjusted current earnings in calculating corporate alternative minimum taxable income. We express no opinion regarding other tax consequences relating to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

$39,555,000
Public Utilities Commission
of the
City and County of San Francisco
Power Revenue Bonds,
2015 Series AB

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the Public Utilities Commission of the City and County of San Francisco (the "SFPUC") in connection with the issuance of the power revenue bonds captioned above (the "2015 Series AB Bonds"). The 2015 Series AB Bonds are being issued pursuant to an authority granted by Sections 9.107(6) and 9.107(8) of the Charter of the City and a First Supplemental Trust Indenture, dated as of May 1, 2015, by and between the SFPUC and U.S. Bank National Association, as trustee (the "Trustee"), which supplements a Trust Indenture, dated as of May 1, 2015 (collectively, the "Indenture"), by and between the SFPUC and the Trustee.

The SFPUC covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the SFPUC for the benefit of the Holders and Beneficial Owners of the 2015 Series AB Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission (the "S.E.C.") Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section 2, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the SFPUC pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Beneficial Owner" shall mean any person that: (a) has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any 2015 Series AB Bonds (including persons holding 2015 Series AB Bonds through nominees, depositories or other intermediaries) including, but not limited to, the power to vote or consent with respect to any 2015 Series AB Bonds or to dispose of ownership of any 2015 Series AB Bonds; or (b) is treated as the owner of any 2015 Series AB Bonds for federal income tax purposes.

"Dissemination Agent" shall mean the SFPUC, acting in its capacity as Dissemination Agent under this Disclosure Certificate, or any successor Dissemination Agent designated in writing by the SFPUC and which has filed with the SFPUC a written acceptance of such designation.

"Holder" shall mean either the registered owners of the 2015 Series AB Bonds, or, if the 2015 Series AB Bonds are registered in the name of The Depository Trust Company as its nominee or another recognized depository, any applicable participant in such depository system.

"Listed Events" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive continuing disclosure filings pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB currently located at *http://emma.msrb.org*.

"Official Statement" shall mean the final Official Statement, dated May 7, 2015, prepared in connection with the sale and offering of the 2015 Series AB Bonds.

"Participating Underwriter" shall mean any of the original underwriters or purchasers of the 2015 Series AB Bonds required to comply with the Rule in connection with the offering of the 2015 Series AB Bonds.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the S.E.C. under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The SFPUC shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the SFPUC's fiscal year (which currently ends June 30), commencing March 31, 2016 with the report for the 2014-15 Fiscal Year, provide to the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. If the Dissemination Agent is not the SFPUC, the SFPUC shall provide the Annual Report to the Dissemination Agent not later than 15 days prior to said date. The Annual Report must be submitted in electronic format and accompanied by such identifying information as is prescribed by the MSRB, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate. However, if the audited financial statements of the SFPUC are not available by the date required above for the filing of the Annual Report, the SFPUC shall submit unaudited financial statements and submit the audited financial statements as soon as they are available. If the SFPUC's Fiscal Year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c).

(b) If the SFPUC is unable to provide to the MSRB an Annual Report by the date required in subsection (a), the SFPUC shall send a notice to the MSRB in substantially the form attached as Exhibit A.

(c) The Dissemination Agent shall (if the Dissemination Agent is other than the SFPUC), file a report with the SFPUC certifying the date that the Annual Report was provided to the MSRB pursuant to this Disclosure Certificate.

SECTION 4. Content of Annual Reports. SFPUC's Annual Report shall contain or incorporate by reference the following information:

(a) the audited general purpose financial statements of the SFPUC's power enterprise for the prior fiscal year prepared in accordance with generally accepted accounting principles applicable to governmental entities; and

(b) an update of the information contained in the following tables in the Official Statement:

(A) TABLE 5, POWER ENTERPRISE ELECTRIC SERVICE ACCOUNTS BY CUSTOMER CATEGORY FISCAL YEARS 2009-10 TO 2013-14;

(B) TABLE 8, MUNICIPAL CUSTOMERS AVERAGE RATES FOR FY 2013-14 TO FY 2015-16; and

(C) TABLE 13, POWER ENTERPRISE HISTORICAL REVENUES AND OPERATION AND MAINTENANCE EXPENSES FOR FISCAL YEARS ENDED JUNE 30 (IN THOUSANDS).

Any or all of the items listed above may be set forth in a document or set of documents, or may be included by specific reference to other documents, including official statements of debt issues of the SFPUC or related public entities, which are available to the public on the MSRB website. If the document included by reference is a final official statement, it must be available from the MSRB. The SFPUC shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) The SFPUC shall give, or cause to be given, notice of the occurrence of any of the following events numbered 1-9 with respect to the 2015 Series AB Bonds not later than ten business days after the occurrence of the event:

1. Principal and interest payment delinquencies;
2. Unscheduled draws on debt service reserves reflecting financial difficulties;
3. Unscheduled draws on credit enhancements reflecting financial difficulties;
4. Substitution of credit or liquidity providers, or their failure to perform;
5. Issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB) or adverse tax opinions;
6. Tender offers;
7. Defeasances;
8. Rating changes; or
9. Bankruptcy, insolvency, receivership or similar event of the obligated person.

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under State or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The SFPUC shall give, or cause to be given, notice of the occurrence of any of the following events numbered 10-16 with respect to the 2015 Series AB Bonds not later than ten business days after the occurrence of the event, if material:

10. Unless described in paragraph 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the 2015 Series AB Bonds;

11. Modifications to rights of 2015 Series AB Bond holders;

12. Unscheduled or contingent 2015 Series AB Bond calls;

13. Release, substitution, or sale of property securing repayment of the 2015 Series AB Bonds;

14. Non-payment related defaults;

15. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant - to its terms; or

16. Appointment of a successor or additional trustee or the change of name of a trustee.

(c) The SFPUC shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 3, as provided in Section 3(b).

(d) Whenever the SFPUC obtains knowledge of the occurrence of a Listed Event described in Section 5(b), the SFPUC shall determine if such event would be material under applicable federal securities laws.

(e) If the SFPUC learns of the occurrence of a Listed Event described in Section 5(a), or determines that knowledge of a Listed Event described in Section 5(b) would be material under applicable federal securities laws, the SFPUC shall within ten business days of occurrence file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsection 5(b)(12) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected 2015 Series AB Bonds pursuant to the Indenture.

SECTION 6. Termination of Reporting Obligation. The SFPUC's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the 2015 Series AB Bonds. If such termination occurs prior to the final maturity of the 2015 Series AB Bonds, the SFPUC shall give notice of such termination in the same manner as for a Listed Event under Section 5(e).

SECTION 7. Dissemination Agent. The SFPUC may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the SFPUC may amend or waive this Disclosure Certificate or any provision of this Disclosure Certificate, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 3(b), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the 2015 Series A Bonds or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of the City Attorney of the City and County of San Francisco or nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the 2015 Series AB Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver either (i) is approved by the owners of a majority in aggregate principal amount of the 2015 Series AB Bonds or (ii) does not, in the opinion of the City Attorney or nationally recognized bond counsel, materially impair the interests of the Holders.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the SFPUC shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the SFPUC. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements: (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5; and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the SFPUC from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the SFPUC chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the SFPUC shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the SFPUC to comply with any provision of this Disclosure Certificate, any Participating Underwriter, Holder or Beneficial Owner of the 2015 Series AB Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the SFPUC to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in a federal or State court located in the City and County of San Francisco, State of California. Failure by the SFPUC to comply with any provision of this Disclosure Certificate shall not be deemed an Event of Default under the Indenture and the sole remedy under this Disclosure Certificate in the event of any failure of the SFPUC to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the SFPUC, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the 2015 Series AB Bonds, and shall create no rights in any other person or entity.

Date: May 20, 2015.

PUBLIC UTILITIES COMMISSION OF THE CITY AND COUNTY OF SAN FRANCISCO

By_____
Harlan L. Kelly, Jr.
General Manager

Approved as to Form:

DENNIS J. HERRERA
CITY ATTORNEY

By:_____
Deputy City Attorney

CONTINUING DISCLOSURE CERTIFICATE EXHIBIT A

FORM OF NOTICE TO THE
MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: PUBLIC UTILITIES COMMISSION OF THE CITY AND COUNTY OF SAN FRANCISCO

Name of Issue: PUBLIC UTILITIES COMMISSION OF THE CITY AND COUNTY OF SAN FRANCISCO POWER REVENUE BONDS, 2015 SERIES AB

Date of Issuance: May 20, 2015

NOTICE IS HEREBY GIVEN that the SFPUC has not provided an Annual Report with respect to the above-named Bonds as required by Section 3 of the Continuing Disclosure Certificate of the Public Utilities Commission of the City and County of San Francisco, dated May 20, 2015. The SFPUC anticipates that the Annual Report will be filed by _____.

Dated: _____, 2015

PUBLIC UTILITIES COMMISSION OF THE CITY AND COUNTY OF SAN FRANCISCO

By:_____[to be signed only if filed]_____
Title_____

APPENDIX E

SECURITIES DEPOSITORY AND THE BOOK-ENTRY SYSTEM

The information in this **APPENDIX E** has been provided by DTC for use in securities offering documents, and the SFPUC takes no responsibility for the accuracy or completeness thereof. The SFPUC cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants will distribute to the beneficial owners either (a) payments of interest, principal or premium, if any, with respect to the 2015 Series AB Bonds or (b) certificates representing ownership interest in or other confirmation of ownership interest in the 2015 Series AB Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

As used in this Appendix, "Securities" means the 2015 Series AB Bonds, "Issuer" means the SFPUC, and "Agent" means the Trustee.

1. The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the securities (the "Securities"). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds $500 million, one certificate will be issued with respect to each $500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information contained on this Internet site is not incorporated herein by reference.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

10. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that SFPUC believes to be reliable, but the SFPUC takes no responsibility for the accuracy thereof.

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